

PG Electroplast (PGEL)

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November 18, 2022

Sub.: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 – Transcript of the Earnings Conference Call

Dear Sir,

Pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the Earnings Conference Call held on November 15, 2022.

This is for your information & Records.

For PG Electroplast Limited

(Sanchay Dubey)
Company Secretary
To,
The Manager (Listing)
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 533581 To,
The Manager (Listing)
National Stock Exchange of India Limited,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051

Scrip Symbol: PGEL

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“PG ElectroPlast Limited Q2 FY -23 Earnings Conference Call”

November 15, 2022

MANAGEMENT : MR. VISHAL GUPTA – MANAGING DIRECTOR ,

FINANCE , PG ELECTROPLAST LIMITED
MR. PRAMOD GUPTA – CHIEF FINANCIAL OFFICER ,
PG ELECTROPLAST LIMITED
MODERATOR : MR. DEEPAK AGARWAL – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

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Moderator : Ladies and gentlemen good day and welcome to the PG Electroplast Q2 FY23 Earnings Conference Call hosted by PhillipCapital (India) Private Limited.

During this call Company may make certain forward -looking statements based on the currently held beliefs of the management of the Company which are expressed in good faith and in management's opinion are reasonable. The forward -looking statements may involve known and unknown risks uncertainty and other factors which may cause the actual results, financial condition, performance or achievements of the Company or industry to differ materially from those in forward -looking statements.

These forward -looking statements represent only the Company's current intentions, beliefs or expectations, and any forward -looking statement speaks only as of the date on which it was made. The Company assumes no obligation to revise or update any forward -looking statements. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr Deepak Agarwal from PhillipCapital (India) Private Limited .

Deepak Agarwal : Thanks. Good afternoon , all. On behalf of PhillipCapital , I welcome you all to PG Electroplast Limited Q2 FY23 earning call. Today we have with us senior management represented by Mr. Vishal Gupta – Managing Director (Finance) , Mr. Pramod Gupta – Chief Financial Officer . Without taking much of time , I would like to handover the floor to the management for their opening remarks , post which will open the floor for Q &A. Thanks and over to you sir.

Vishal Gupta: Thank you Deepak. Thanks everyone and good afternoon. Thank you for sparing your valuable time and joining this call today. Hope all of you are doing well. I'm joined on this call by Mr. Pramod Gupta, our CFO and we have already shared our results presentation earlier and hope you must have gone through that.

First half of this financial year has been another milestone for our Company . We have crossed 850 crores revenue and we have cemented our position as a reliable and capable outsourcing partner for washing machines and split ACs in India. The current washing machine expansion will give us two locations for manufacturing washing machines and I am very happy to share that washing machine business grew 123 % for the first half and the outlook for the growth remains very strong for the rest of the year. Our washing machine business achieved significant milestone in first half and we sold over 2.5 lakh units of washing machines in first 6 months. We are on track to double our capacities across different product businesses. The new wash machine capacity in Greater Noida is commissioned and is in trial phase . We are also expanding our wash

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machine model range and are developing new platforms for washing machines. The further capacity expansion for AC manufacturing should be ready by end of this calendar year. For the AC business in our first season of OEM category went very well for us. We crossed Rs. 300 crores revenue in the AC business in the first half and we supplied LDU ODU and C BUs to leading eight brands in India. The outlook and order book for coming season stands very strong and Company has been able to gain 16 new orders from existing and new clients .

During the quarter our AC R&D has already developed , validated and launched new ODM platforms and products of split ACs which have been optimized as per the new energy ratings which have to become effective from 1st July

July 2022 . Our solutions have received great response

from our existing and new clients. We are cementing our position as a well-established option for outsourcing split AC manufacturing in India.

Overall guidance is being maintained and has been reiterated in the release and we are confident of scaling all our businesses significantly in this year. We see very strong demand for our products and we are preparing ourselves for a very strong ramp up in the product businesses again in FY23 and we are budgeting a YOY growth of 120% over FY22 in our product businesses.

Now I will hand over the call to my colleague Mr. Pramod Gupta, our CFO. He will elaborate on the financials. Thank you.

Pramod Gupta: Good evening, everyone. I'm sure you have seen the financials in detail. Just couple of small things I want to point out. We had a very good scale up from operations point of view. The product sales was 457 crores in the first half which was 478 for the full year 2022.

Now coming to margins at operating level; I want to highlight that during the first half we have changed the accounting policy and now we account the FOREX loss and the operational cost. Due to which this quarter again we had a hit of 2.2 crores and for the first half the total hit is about Rs. 5 crores. Also, during the first half we have taken 1.59 crores worth of noncash ESOP expense in this year which was nil in the first half last year. This quarter also we had an adverse business mix because our electronics and TV business contributed almost 15% of the revenue versus 3%-4% which used to be there. We also had a little negative operating leverage because of the low AC season which is seasonal also.

Now coming to the future; we think we have a good order book and we are expecting a very good scale up in the coming months in the AC business as well as continuing momentum in the washing machine business. We hope to have some improvement in the margins, in the coming quarters as the commodities have softened. Also, AC business will see operating leverage and overall revenue should be better.

Coming to balance sheet; this quarter inventory has increased in anticipation of the strong AC season and working capital has therefore gone up. On a trailing 12-month basis the working

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capital cycle stands at about 58 days which is slightly higher than our target of about 50 days.

We have seen increase in net debt by almost 45 crores during the first half. That is largely due to the CAPEX which we have done for the expansion. We think we are probably near the peak debt and debt will probably not be increasing very significantly from here for the rest of the year, maybe about 15-20 crores at max. With this now I would like to open the call for question-answer session. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is on the line of Ashish Kumar Singh, an individual investor.

Ashish Kumar Singh: I wanted to ask about LED TV CAPEX that was coming from last December. What's the update on that and what's the current utilization from that CAPEX?

Pramod Gupta: On the LED television, this quarter we had revenues of about 30 odd crores, although month of October was slightly better. But still business is in the process of scaling up. We are hopeful that next year onwards the numbers will be better. We have done a very small CAPEX only. There's almost about Rs. 5-6 crores only in last year. Right now, we are servicing about 3 to 4 brands. Next year we hope to do much better. We have also launched our ODM solution in this business and we've got a good response this year in the initial launch that we did in the ODM solution also.

Moderator: The next question is from the line of Keshav Bharadia.

Keshav Bharadia: My first question is if

any new customer additions have been done in Q2 and how the overall order book looks like for AC going ahead to the season?

Vishal Gupta: AC order book is very strong. In fact, we are already almost sold out for the expanded capacity that is going to be ready and operational from December. We have added several new customers and for some of them the trial production and for at least one of them the full production has started. In this year we will be seeing a significant scale up in the AC business from last year. Last full year we did the 297 crores of turnover in the AC product business. This year we think we should be at least more than 700 crores in the total AC business for the full financial year.

Keshav Bharadia: Can you give an inventory break up between finished goods and raw materials that we have at present?

Pramod Gupta: Out of the 290 odd crores of inventory that we have, only 250 crores is raw material, 291 crores of the inventory, out of which probably 50 crores in the WIP, work in progress and finished good, rest everything is in raw material.

Keshav Bharadia: And I have one more question. Any new products that we are planning to launch in ODM over the next 18 to 24 months and what is the share of ODM in our ACs and how this will look 1 to 2 years down the line?

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Pramod Gupta: Right now, there is nothing very firm on the table which we are working on. These three products in the ODM, solution and television which is basically cooler, washing machine, ACs and television are something which we are focusing on and scaling up this business. As and when

any development is there, we will update you and investors on the same. Coming to the ODM side of AC business, we are now having almost 80% of our sales coming from the ODM solutions. Only 20% or so is from the OEM in the product side of the AC business.

Keshav Bharadia: By FY23 what will be our combined capacity in both AC and washing machine once the additional capacity is operational?

Pramod Gupta: In washing machines we will be having by end of FY23 close to 1 lakh units on the semiautomatic side and 15,000 units on the fully automatic side per month. This is the capacity per month and in the AC indoor unit capacity will be close to 2 lakh units per month and outdoor unit capacity will be about 1 lakh units per month.

Keshav Bharadia: One more question from my side. What is the CAPEX guidance for FY 23 and '24 as well as what is the response for our automatic washing machines?

Pramod Gupta: CAPEX guidance stands as such, we this year plan to do about 130 to 140 crores of CAPEX and we are on track. Already 67 crores of CAPEX has been commissioned or has been done in the first 6 months and in the coming quarter and by maybe January this CAPEX will be over. Next year numbers we will be able to tell you in the next quarter call maybe around that time. By that time, we will get little bit more color on the demand outlook for the next year and what we need to do on capacity expansion. That time we will be able to update you but fair to assume it will be probably close to something like 100 plus crores only in the same range as this year. Coming to your last question about what was the other question you had?

Keshav Bharadia: The response to automatic washing machines.

Pramod Gupta: Yes. Response for automatic washing machine has been slow. I'll be very upfront. In this year also till right now, the overall proportion of fully automatic washing machine is very less. In the sense that, out of the 250,000 odd washing machines that we sold in the first half, less than 10% is what we have sold in the fully automatic category actually. To be precise it is just about 7% or so.

Moderator: The next question is from the line of Akhilesh Bhandari from ICICI Prudential.

Akhilesh Bhandari: I

understand that this quarter's margin was impacted by not only the ESOP expense but also FOREX loss. But generally, the ESOP expenses of course are running business expense which you'll also perhaps have in subsequent quarters or subsequent years as well. But excluding the FOREX loss how quickly do you see your overall margin inching up to that 7%-7.5% run rate which you were achieving earlier?

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Pramod Gupta: See in that first half if you see we have done 6.3% operating margin which is obviously lower than our historical numbers. A couple of reasons for them almost Rs. 5 crores which is almost 0.6% -0.7% of the sales have gone in the FOREX loss. Also coming to the ESOP expense, actually, we last year took the ESOP expense only in the fourth quarter. This year we have been spreading it out. We took some amount at first quarter and then paid some amount in the second quarter also. Another reason this quarter also was that AC business was very small. It was actually only 40-50 crores of AC product sales we were able to do in this quarter. That business had a negative operating leverage and there was hardly any money. There was a small loss at the net level in the AC business this quarter and because of which it pulled up the overall margins, pulled down the overall margins. Also, television business was almost 15% of the total, television plus electronics business which is a very low margin business. All these four things contributed together to the margin being lower. Coming quarters some of these things will reverse and that's why we are saying that we are hopeful that margins will start inching up back.

Akhilesh Bhandari: You mentioned that your current debt level is close to the peak what you're expecting. But from a medium-term perspective what is the optimum net debt to equity which you are thinking of operating at? Also, if you can comment on the net working capital level which you think the business will stabilize at?

Pramod Gupta: Right now, we will always aspire to have a debt-to-equity ratio of less than 1 and not more than 4X debt to EBITDA. Actually, by year end we think that those levels should be in the range at least on the debt to EBITDA for sure. Even on the debt to equity we will be very close or maybe actually near to that. Other thing is on a working capital side, we think that 45 to 50 days is an optimum working capital cycle one should resume in this business. Right now, it is on the higher side because some of the supply chains are actually coming from China and because of these problems of COVID and lockdowns we are very careful because this is our only second year and we don't want to take any chance because in the last 1 year we have seen multiple times capacities get closed and then the supplies get delayed. Now we will be entering the peak season in the coming month. If we do not secure our supplies from China on a timely basis our operations can get delayed and it actually leads to loss for the customer and also for us. That is why we are extra cautious. But I'm very sure that in coming times in a year or two this situation

will start improving significantly as the supply chain start moving from China to India. For example, all the critical components and some of the basic raw material like copper tubing and aluminium foil, right now are getting imported from China or other countries. Those capacities are in the process of getting commissioned in India because of the PLI. I'm very hopeful that in the next 2 to 3 years significant import substitution will happen and we will be locally sourcing many of these components as well as raw material which will lead to both lower inventory levels and working capital in business. Because today importing and doing this planning itself is a very big task at all the companies which are making

g ACs in India.
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Akhilesh Bhandari: Apart from depending on supply chain localization which of course to an extent is beyond your control any other internal measures which you are taking to control the overall working capital level?

Pramod Gupta: Internally right now, we are trying to optimize and we have an advantage over some of the competition that we have a single location and a large part of our business is actually coming from Supa in the western region. We are near to the port also, so those advantages are already there. But as the scale up happens in the business, the inventory levels generally in terms of number of days reduces which we will see this year and next year irrespective of whether the supply chain shifts or not. Also at our own end we are trying to be very tight on looking at the ordering and inventory level that without harming operations how can we optimize. But apart from that nothing more else we can do actually.

Akhilesh Bhandari: What kind of customer addition are you expecting in the fully automatic washing machine? How do you see that segment scaling up in FY24 and FY25?

Pramod Gupta: See fully automatic business has actually been slow in the business from our expectation I agree. One of the reasons is that probably the penetration levels of washing machine in the semi auto itself are pretty low in India. Because in a lot of the villages and also in Tier 2 towns running water, continuous power supply is just like 3-year, 4 year back phenomena and therefore that penetration level is increasing. Then upgradation to the fully automatic will probably be happening subsequently. So, our hope is that probably in 2-3 years' time when the market starts to get mature and the penetration levels improve then the upgradation will happen to the fully automatic side. Also please appreciate that in the outsourcing market, right now the large part of the outsourcing is happening for the semi-automatic side only. In the fully automatic side, most of the brands have their in-house capacity or they are still dependent on imports. The outsourcing on that side is not that prevalent as of now. But if it starts picking up we are getting ready and we are continuously investing in that business.

Moderator: The next question is from the line of Gopal Nawandhar from SBI Life Insurance.

Gopal Nawandhar: Just wanted to understand the process of the price negotiation and in terms of raw material sourcing and all for the coming season. What are the general timelines and how you are seeing the pricing versus say previous cycle?

Vishal Gupta: Supply chain there is no much change this year again and we have to really actually import lot of material in advance because our AC season actually falls right in middle of the Chinese New Year and sometime between 15th January till 15th February China is not working. Just to take care of that in fact we have to take all material shipments that have to be done. Whatever material we need to use till end of March, we have to import in advance. So, supply chain in AC is right now like this only and once some new plants come up, some component manufacturing starts happening in India with this PLI, maybe some things will get localized. GMCC compressor plant
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has just recently started manufacturing and they are saying that they will start supplying small numbers of compressors from their India factory which is very near to our Supa factory in Ahmednagar and they will start supplying some small numbers. This is going to be the first year so we can't really rely on that. We have to actually assure our supply chain from China only right now and.

Gopal Nawandhar: In terms of imports what all components we are importing and is it that even post currency depreciation the imports

are still attractive versus sourcing domestically?

Vishal Gupta: We are actually importing compressors, motors, copper and aluminum and controller. All the major components are being imported into India right now. As far as currency depreciation is there yes, the cost has gone up. But actually, there are not much alternatives available in India through which we can buy in India. We have to import even if the currency has depreciated.

Gopal Nawandhar: In terms of like -to-like product if you want to understand the pricing though copper declined in between but then currency depreciated and again copper is up. How we ensure that we don't take any hit on the raw material or on the margins ?

Vishal Gupta: We are into two types of businesses. One is OEM , in OEM, in AC manufacturing also we have a every month pass through to the customers . In case of ODM yes there is a lag of a month or two to take the price increase and whenever the price decrease is there, customers are always after us and we try to delay that. But yes, this is there , yes commodities have eased. If you see in last 6 months the current commodities have really eased. But at the same time dollars has actually become very strong and the rupee has depreciated. All those gains have been more than offset by the depreciated rupee.

Gopal Nawandhar: Basically, you don't see any change in the unit price versus the previous year's price ?

Vishal Gupta: As compared to previous year there has been a little decrease but because of the main categories are just three -star inverter categories in the AC. If you compare , if you see vis-à-vis last year prices there has been a very less price decrease , not increase but it has been not a very significant number. Maybe 1%-1.5% or 2% maximum at the BOM level.

Gopal Nawandhar: In terms of inventory levels at our customer level because what we have been hearing is that still customers are filled up with a lot of old inventories. In that case do you see like this old inventory which we have finished goods will take some more time to be liquidated?

Vishal Gupta: We don't carry any finished goods inventory. We are holding inventories at the component level first, second point when this BEE rating changed on 30th of June so in anticipation of that some customers had built up some additional quantities at their different channels. But those inventories has been more or less liquidated now because that we can see from the inquiries and the pick -up in demand from the customers. We are not seeing any challenge in that right now.

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Gopal Nawandhar: Lastly in terms of our bid margins versus say last year and for coming season ; how should one look at it? Whether it is improving or it should remain same or it will be under pressure?

Vishal Gupta: No, I didn't understand your question. Can you be a little louder and near to the phone?

Gopal Nawandhar: Yes, sure. Basically, what I'm asking is when we are negotiating with the customer, we are going with the X margin . That X margin since last year it was a beginning of the operations and all.

Should one expect improvement in that margin , bid margin itself or it should still be similar to what it was last year ?

Vishal Gupta: As last year was the start up year. You know there were certain learning costs and in fact this year we expect that margins will be little better. But I don't want to give you very rosy forecast on that but yes definitely we are looking...

Gopal Nawandhar: Your customer is also suffering with a lot of competition on ground . What is the reason?

Vishal Gupta: But still, we are very hopeful that we'll be able to improve on our margins in AC business vis-à-vis last year definitely.

Moderator : The next question is from the line of Pulkit Singhal from Dalmus Capital Management .

Pulkit Singhal: Just wanted

to check these 126 crores operating profit guidance, is this EBITDA including other income?

Pramod Gupta: No, it is excluding other income.

Pulkit Singhal: If you exclude other income , if that's excluding other income it seems to suggest the 7% kind of EBITDA margin for the full year. Whereas I think in the first half you have done around 6.3% or 6.2% , sorry I am not getting that exactly right ?

Pramod Gupta: 6.3%.

Pulkit Singhal: So, therefore in the second half you are expecting more than 7.5% -8% kind of EBITDA margin?

Pramod Gupta: About 7.5 we should do and I had given you absolute number , I have not given you absolute guidance on the percentage number. But yes, we should be having slight better margins in the second half.

Pulkit Singhal: If I look at the return on capital employed and this is the first year where your capacities are properly used so even if 126 crores of EBITDA were to happen and you subtract depreciation from that we come to a free tax ROC of just 13%. I'm looking at your first half balance sheet to calculate the capital employed. This seems suboptimal even with full capacities being utilized?

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Pramod Gupta: Yes, I agree but I don't know how are you calculating that? My sense is in all the case you take debt plus equity and you take trailing 12 months , on a trailing 12 months basis if you look at the numbers, I think Pulkit we will see that ROC will be upwards of 15% for sure.

Pulkit Singhal: No, I think you already have capital employed of 725 -730 crores as of this September end and 126 crores is your full year guidance of EBITDA. Let's say you achieved that and even if you

subtract depreciation you will come to around EBIT of 92 crores odd?

Pramod Gupta: So, you will also add the other income etc. into that because it is PBIT, you will have to take. Because this other income is largely not interest income or any other gain. It is actually the income which we get because of the operations are running and we are meeting some government incentives on tax refunds etc. sales tax refund etc. That is the reason we have to take that also into account.

Pulkit Singhal: Your 15% is taking that other income into account? Because it already reduces your capital employed, if you take that other income, it will be still, it increases the cash in the balance sheet and the capital employed is lesser to that extent. So, counting it again in the numerator does not make much sense but I get it. So, you are basically from next 2–3-year perspective what is the return on capital employed that you are targeting or you really believe that this can be achieved?

Pramod Gupta: Between 15% to 20% pre tax ROCE should be achievable in this Company and see we are in the continuous scale up mode, lot of the machinery and I will say capital expenditure which we have done this year is actually still not in the operations. Please appreciate that even the CAPEX which we have done last year is going to be fully reflective only this year. Whatever CAPEX I'm doing this year will be fully reflective next year. Out of these 120 crores of or 130 crores of CAPEX that we are doing this year that will contribute very little to the numbers this year. They will be contributing to the sales of next year and the growth for the next year.

Pulkit Singhal: I understand that but then you are growing Company so you'll constantly have some CAPEX in the base. What about the new capital I mean you have taken some enabling resolution for capital raise what is the thought process on that?

Pramod Gupta: There are some opportunities which we were evaluating. Nothing has been finalized so we have not actually utilized that opportunity for raising capital. If something we come up from right now, we think that from debt and internal accruals we are good enough. Once we think

there are

some opportunities we will actually come and hit the market. Right now, we do not have any firm plan as of now. There was some opportunity which was coming which could not get finalized and therefore we are not moving ahead in terms of the capital raise immediately.

Pulkit Singhal: For the current growth plans, you don't see any capital raise required basically?

Pramod Gupta: It's a dynamic situation. See what is happening is because of the change in environment and the opportunities which keep on coming because we keep on hearing from the Ministry about the PG Electroplast Limited

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different PLIs etc. also in the different segments we have kept options open. If any of those things start to materialize, we will probably look at raising capital. But as of now in the three businesses which we are doing which is basically product business of AC, washing machine, coolers, television and plastic molding, right now the requirement is not there immediately to raise any capital.

Moderator: The next question is from the line of Keyur from ICICI Prudential Life Insurance.

Keyur: Just want to understand first of all, how should we think about this season cycle I mean generally how does it work? Right now, you are discussing with the clients or you have already started producing for the next season and they've already given their estimated volume. Just want to understand timelines and how ramp up happens that is first? And second, I think as earlier participants also asked that few of the brands are saying that they have some inventory which is above normal inventory. So, despite being a good season why this kind of high inventory with the brand and is it impacting your orders of execution? Probably it gets delayed because brands already have enough inventory. Just want to understand these two parts?

Vishal Gupta: So, you asked basically three questions. First of all, whenever you are engaging with your customers it's a long-drawn process of the product selection and product validation. All those activities have been going on for last 3-4 months and we always get forecast, monthly forecast from our customers and we plan accordingly. We already have firm plans from all the customers from us and we have actually planned our supply chain accordingly. So, coming to your second question why brands are carrying a little higher inventories. The reason which I have explained earlier also that because of the change in the BEE ratings on 30th of June which was effective new ratings were effective from 1st of July. People created some inventories of some categories of ACs where the bill of material cost was going up significantly. Brands created some inventory and because you are allowed to sell that AC for 6 months or 1-year something like that so they were able to take care of that. They wanted to take that benefit. So, for that you can say that they have been carrying some inventories from some category of models, not all models. Having said that, that's why our AC season, AC sales in September quarter were actually little muted because of that delayed pickup from our customers. But now from November and December onwards we are actually seeing a very strong ramp up and we are already looking at a good number going onwards from here now.

Keyur: The production which we do for the summer of 2023 so what all components will be available

with us? I mean the entire pipeline that we have talked about ranging from cross flow to motors to heat exchangers and so electronics. For '23 summer what all we will make in house? If you can just give more idea about to what extent this is of our total volume and probably it's a long-drawn process so it may have been approved by some customers and some may take some time. Just to get update on each of the components or backward integration how are we planned?

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Vishal Gupta: We are going to do in house all the components except compressor and motors and packaging material and some electrical cables and all those so plastic components, sheet metal components, heat exchangers, copper components, EFF and controllers; all those things are being done in house in our Supa Ahmednagar factory. Controller factory is going to start production in month of December. We have already got approval from our customers but this year we are not going to do 100% in house manufacturing of controllers. This year we are targeting around 25% in house and 75% we will continue from our existing sources the way we have been buying. We will ramp up those volumes and hopefully by next year we should do at least 75% -80% of controllers in house and some small quantity we will buy outsource. All these components have been already approved by our customers and they have been already planned in our 2023 season planning.

Moderator: The next question is from the line of Amit Agrawal from Burman Capital Management.

Amit Agrawal: First is on the other income. If you can help us understand what is the other income that we earned for the quarter and for which period it pertains to and also when is the expected other income from the Supa plant and also have you filed for PLI incentive?

Pramod Gupta: First of all, PLI we have not filed anything and we have not accounted also because PLI will be applicable only on this year's incremental production. PLI we will be probably taking into account only sometime next year when we file our claim which will be probably next year sometime. Now coming to the other income this quarter there was 8 crores other income out of which about 2.5 crores was for the Supa Unit-4 of PG Electroplast. It is a state government benefit which we have got and that the other 6 crores kind of income has come from the government benefit of UP. We have made the investment in UP and CAPEX in the last 3-4 years and based on that investment we have got some incentive from the government of UP.

Amit Agrawal: Are these recurring so both this Supa and the UP?

Pramod Gupta: Supa is recurring, UP is not recurring.

Amit Agrawal: This is one time that we have gained?

Pramod Gupta: Yes.

Amit Agrawal: And for the PG Technoplast the subsidiary, when can we expect in the same incentive?

Pramod Gupta: PG Technoplast we have still not completed our CAPEX. So, once we complete our CAPEX then only, we can probably do which will be probably next year we will complete our CAPEX commitment and then we will file for the eligibility certificate and once the eligibility certificate comes then only you can start accruing the benefit.

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Amit Agrawal: And second on the margin. For this quarter the washing machines typically have higher gross margin, higher EBITDA margins, with respect to other products. That should have helped the overall margins?

Pramod Gupta: But TV had a lower margin.

Amit Agrawal: In the AC would we still be positive or do you think in terms of margins?

Pramod Gupta: No, we made a small loss there. We had a small loss.

Amit Agrawal: And for the full year if I heard it correctly you said 7.5% margin or for the H2 7.5% margin, is that correct?

Pramod Gupta: No, I never said anything about the percentage margin. I just said that we are standing by the guidance for the margin in absolute number which is 126 crores which is what we think we should be able to achieve despite the fact that we had an unexpected FOREIGN loss of about 5 crores in the first half.

Amit Agrawal: In a way that means there's an upside to the revenue numbers, am I reading it correct?

Pramod Gupta: I'm not saying anything like that as of now but I can tell you that from whatever business

plans

we have; we are very hopeful that some of the margin loss which we have had in the first half we should be able to make up in the second half.

Moderator: We take the next question from the line of Keshav Bharadia.

Keshav Bharadia: Just one follow up question. In AC what kind of value addition are we expecting overall 2 to 3

years down the line?

Pramod Gupta: The value addition is a difficult question to say but probably close to 20%-25%, 20%. Can you please clarify question? What do you mean by value addition, in house, domestic?

Keshav Bharadia: In house, so how much will be manufactured in house by us?

Pramod Gupta: Out of the total BOM value I think we should be doing around 50% to 60% will be domestic in-house manufacturing of the bill of material value.

Vishal Gupta: But value addition has a different value.

Pramod Gupta: Value addition is a different meaning. Value addition will be not be more than 15% but in house manufacturing of the BOM percentage if you are asking that should be around anything between 55%-60%.

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Moderator : Thank you. As there are no further questions, I now hand the conference over to the management for their closing comments.

Pramod Gupta: We are thankful to everyone for attending this call and thank you so much.

Vishal Gupta: Thank you all and I invite you all to visit Supa Facility. Please coordinate with me or send a mail to us and we will reply. We will like you to come and visit sometime in November and December when the production will be ramping up and by that time hopefully our control of facility will also be starting to operate so thank you everyone.

Moderator : Thank you. Ladies and gentlemen on behalf of PhilipCapital (India) Private Limited that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2023

February 08, 2023

Sub.: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 – Transcript of the Earnings Conference Call

Dear Sir,

Pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the Earnings Conference Call held on February 06, 2023 .

This is for your information & Records.

For PG Electroplast Limited

(Sanchay Dubey)
Company Secretary
To,
The Manager (Listing)
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 533581 To,
The Manager (Listing)
National Stock Exchange of India Limited,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051

Scrip Symbol: PGEL

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“PG Electro plast Limited Q3 FY’23 Earnings
Conference Call ”

February 06, 2023

MANAGEMENT : MR. VISHAL GUPTA - MANAGING DIRECTOR (FINANCE),
PG ELECTROPLAST LIMITED .
MR. VIKAS GUPTA - MANAGING DIRECTOR (OPERATIONS),
PG ELECTROPLAST LIMITED .

MR. PRAMOD GUPTA - CHIEF FINANCIAL OFFICER ,
PG ELECTROPLAST LIMITED .
MODERATOR MR. DEEPAK AGARWAL - PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED .

PG Electro plast Limited
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Moderator : Ladies and gentlemen, good day and welcome to the PG Electr oplast Limited , Q3 FY'23 Earnings Conference Call hosted by Phillip Capital (India) Private Limited.

During this call, the Company may make certain forward -looking statements based on the currently held beliefs of the managem ent of the Company , which are expressed in good faith and in the management's opinion are reasonable. The forward -looking statements may involve known and unknown risks, uncertainty and other factors, which may cause the actual results , financial condition , performance or achievements of the company or industry to differ materially from those in forward -looking statements. These forward -looking statements represent only the Company's current intentions, beliefs or expectations and any forward -looking statement speaks only as of the date on which it was made. The Company assumes no obligation to revise or update any forward -looking statements.

As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference , please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conferen ce over to Mr. Deepak Agarwal from Phil lipCapital (India) Private Limited. Thank you , and over to you Mr. Agarwal.

Deepak Agarwal : Good afternoon, all. On behalf of PhillipCapital (India) Private Limited , I welcome you all to PG Electro plast Limited , Q3 FY '23 Earnings Conference Call. Today we have with us senior management represented by Mr. Vishal Gupta - Managing Director (Finance) , Mr. Vikas Gupta – Managing Director (Operations) and Mr. Pramod Gupta - Chief Financial Officer.

Without taking much of time, I would like to handle the flow to the management for the ir opening remarks , post which we will open the floor for Q&A . Thanks, and over to you, sir.

Vishal Gupta : Good evening, everyone. Thank you for sparing your valuable time and joining this call today. I hope all of you are doing well.

I am joined on this call by Mr. Vikas Gupta – our Managing Director , Operations and Mr. Pr amod Gupta – our CFO . We have already shared our Results Presentation earlier and hope you would have gone through that.

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Nine months of FY '23 has been another milestone for PG. There is significant growth over FY'22 numbers , the revenue grew 1 21% and crossed Rs. 1,320 crore with products business leading the show with a 55 % share. EBITDA increased by 153% and stood at Rs. 103.5 crore , and net profit rose 281% with Rs. 37 crore . Product business cross ed Rs. 720 crore in the first nine months of FY '23 with room AC business contributing Rs. 497 crores which is a 431% year -on-year growth . The washing machine business for the nine months had a YoY growth of 80% with a Company selling over 360,000 washing machines in the period . Order book for product business remains robust and that Compan y is on tr ack to scale the product business significantly in FY'23 and FY'24.

This ye ar's capacity expansion projects have already co ncluded and begun mass production. CAPEX guidance for FY'23 is being maintained in the range of Rs. 135 crore to Rs. 140 crore . And Company has already doubled i ts washing machine and air-cooler capacity while also further expanded room AC capacity with 200,000 indoor units per month and 100,000 outdoor units per month . And the new PCB assembly facility for R AC controllers in our Supa factory has also begun mass production.

We are also increasing our sales guidance to at least Rs. 2,000 crore, which is a growth of 82% over FY'22 consolidated sales and operating profit guidance of at least Rs. 140

crore, which is a growth of 88% over FY'22 operating profit of Rs. 74.5 crores.

PG's new product offerings in washing machines and room ACs have received very good response from the customers. The Company is focusing its efforts towards developing the products that help in maintaining cost leadership, while also striving for product leadership. The company continues to see increased interest for business from new and existing clients. And we remain very confident on the future growth prospects of the business.

With this now, I would like to hand over the call to our colleague, Mr. Pramod Gupta, our CFO to elaborate on the financials.

Pramod Gupta : Hello, and good afternoon everyone. I am sure all of you have seen the financials in details already.

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We had a very good scale-up during the first nine months from operations point of view. Our net sales for the quarter are up almost 75% at Rs. 457.9 crores. EBITDA grew 114.3% at Rs. 38.17 crores and net profit rose 148% to Rs. 17.4 crore. During the period operating margins have improved due to cost control, also due to lower commodity prices and operating leverage which has lifted the AC business especially.

On the balance sheet side, I want to highlight that we have had debt increase of about Rs. 1.36 billion which is Rs. 136 crores in the first nine months, largely due to completion of CAPEX which was funded partially by the debt, and also increase in working capital. This increase in working capital has happened largely because we pulled up some of the inventories for the strong AC season which we are expecting, and also because there was a murmur in the month of November /December that China may open up completely which they did finally, and we were suspecting that it could lead to some problems later on, which did not happen incidentally. So, we actually pulled up some inventory and that has led to some higher working capital during the last quarter.

I want to highlight here that the debt increase has largely been on account of working capital debt. In fact, if you look at it from the long-term borrowing has actually increased quarter-on-quarter by only Rs. 29 crores, while the working capital debt has actually increased by almost Rs. 68 crores during this quarter. And that is largely because of this inventory, pulling up issue as well as very sharp ramp-up which we had in the AC business in the month of December. Also, because, we are grieving the guidance to Rs. 2,000 crores, we will be having a little higher than expected or initially budgeted working capital for the full year. And that's why the debt has been looking higher, but we hope that over the next quarter the working capital cycle will improve further from here.

With this I open the floor for question-answers.

Moderator : Thank you. We will now begin with a question-and-answer session. The first question is from the line of Bala Murali, an individual investor. Please go ahead.

Bala Murali : I would like to know about long term view of the Company over four- or five-years origin by assuming that the industry will grow at a significant rates. So, in what kind of position our Company in four, five years origin?

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Vishal Gupta : Let me tell you, see for next four, five years, I can give you a very general statement in the sense that Company have a very strong conviction in India growth story, and India consumption. As an economy grows and the per capita income improves and purchasing power improves for the people, the consumers then the products what we are dealing in, incidentally the penetration levels are very low in India market and there is a very big and vast potential of the growth.

So, we see a very strong potential in that growth which is actually supported by the go

vernment policies where the government is now pushing for import substitution and is ensuring that whatever is being sold in India has to be made in India. So, all these factors, import substitution, government policy supports, PLI schemes and the general growth in the Indian economy, and the growth in the per capita and the purchasing power of Indian consumers will actually lead to a very secular growth for next four, five years. That is our strong belief. And that is why Company is preparing itself for this growth opportunity. The company is heavily invested in the capabilities and the capacities to take benefit of all such opportunities which may

arise in future .

Bala Murali : And one more thing I want to know about FY'24, are there any CAPEX plans already made and any new products you are going to introduce or any backward integration ?

Vishal Gupta : In FY'24, see, we will be doing a CAPEX of Rs. 125 crore to Rs. 130 crores, that is the basic CAPEX what we have planned right now . The Company is looking at new product categories also as and when those projects materialize we will further update the market on that . As of now, the CAPEX guidance is around Rs. 100 crore to Rs. 150 crores for FY '24 as and when new product categories or anything which is being discussed internally something forms up, we will update the market on that .

Bala Murali : And lastly on any guidance for FY '24 based on the capacity almost doubled for air - conditioner and washing machines --?

Vishal Gupta : FY'24 numbers are being worked up right now internally . It will take another three months to four months to firm up those numbers. And we will be sharing those numbers maybe in the June quarter , we will be sharing those numbers.

Moderator : Thank you. The next question is from the line of Kartik Jain, an individual investor. Please go ahead.

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Kartik Jain : I have a couple of questions on the TV business. I think your TV business has grown significantly in this quarter, I think it represents about 12% of the overall revenue for this quarter as I can see in the presentation. Can you just put some more light on that business , how the growth prospects are and how are you planning to increase that business?

Pramod Gupta : Yes, Kartik, so, TV business is something that we reentered only a year back , it is not more than 12 months old for us. So, we were at a small base in FY'22 as compared to that to FY'23 that is the reason the growth is looking impressive, because the base for the FY'22 was very small . And going forward, we feel that again, we are confident that in the TV segment as well the business for us should grow . We are discussing with various clients, regional and national level brands for the TV manufacturing for them. So, I think going forward the TV business will also grow in FY '24 as well .

Kartik Jain : And regarding your AC business , so, the majority of the CAPEX that you are doing is for which product line , is it for the AC , is it for the coolers , is it for the TV units , can you just give us some more details about where the CAPEX has really been?

Pramod Gupta : See the majority of the CAPEX has been done for AC business and washing machine business . Out of the total Rs. 130 crore CAPEX till now which we have done , almost Rs. 90 crores is for AC business and about Rs. 25 crores to Rs. 30 crores is for washing machine and rest is for the other component --

Moderator : Thank you. The next question is from the line of Abhineet Anand from Emkay Global . Please go ahead.

Abhineet Anand : First I want to understand what was our overall utilization in the RAC part, in the first nine months ?

Pramod Gupta : See, utilization is difficult especially because we do not maintain the utilization on a monthly or a quarterly basis in the Company , but I can tell you that in the off

season typically the utilization level falls very badly . And last quarter if you see now, for the whole quarter , the AC business had at a total turnover of only Rs. 50 crores odd , but this quarter that has moved up significantly , because of the month of December itself only .

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And the current utilization levels till March are likely to be in the range of 85 % to 90% in the AC business . But, after March we will be able to comment only how the tertiary sales actually take place. So, on an overall basis typically, in the AC business 55% to 60% is the capacity utilization which is optimal as per our experience of last year that we see happen over a full year .

Abhineet Anand : Yes, I understand that because of the seasonality the utilization will be low, maybe 50% to 60% . So, what is the 80% to 85% that you talked about?

Vishal Gupta : Right now, the utilization on the total expanded capacity is 80 -85%

Abhineet Anand : Okay, you are saying 4Q.

Vishal Gupta : Yes.

Abhineet Anand : Second is I mean from your understanding of, in the RAC market have you seen demand coming back, majority of the brand what are they expecting in terms of the upcoming summer ?

Vishal Gupta : You know, right now, as everyone knows, right now is the primary sales which is happening in the sense the brands are pushing material to the dealer and distributor network. Tertiary sales or secondary sales will start happening from the third or fourth week of March , when some summer sets in the South India , it starts from there South India. So, as of now people are expecting good season , good summers, but things will be come more clearer and we will have better picture once by third or fourth week of March only. But as of now, the industry as a whole is pushing for a good growth this year.

Abhineet Anand : In the AC industry from across brands we understand that looks to be slightly, quite a bit of competition there . I mean, there are players which are probably trying to gain market share through aggressive branding, aggressive pricing, which has been prevalent for last few quarters . I mean, as of now, you feel that this situation is continuing or an y subjectivity around that if you can throw some light .

Vishal Gupta : See we can share our limited knowledge with you on that, but there are certain brands who are aggressively pursuing a market share gains strategy . And once they are doing that, so, they will have to be aggressive on prices and be aggressive on advertising and other thing, so that they are able to increase their market share that is there. So, some brands are trying to do that , we are seeing that thing in the market .

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Abhineet Anand : And lastly from R AC sale of this around Rs. 500 crore of sales in nine months, this consists of RAC plus components, right .

Vishal Gupta : See this is purely RAC sales .

Pramod Gupta : RAC product sale for three components.

Abhineet Anand : Where does the components lie?

Pramod Gupta : Components lie in the plastic molding of our business .

Moderator : Thank you. The next question is from the line of Pranay Roop Chatterjee from Burman Capital . Please go ahead.

Pranay Roop Chatterjee : My question was regarding the washing machine segment. Firstly, apologies if I missed the volume number in the presentation , if you could just disclose oh I think the volume is given , that's it. Regarding the washing machine demand environment , if you could just give us your comments on how the demand is shaping up ? And how you are scaling up in the different segments , which is semi -auto versus auto ? And any comments on your market share movement in the last quarter?

Pramod Gupta : Volume side, I will just clarify , in the first nine months we have done about 3.6 lakh volumes till now. And in the 3rd Quar

ter we did about 111,000 volumes .

Vikas Gupta : So, when we talk about the forecast for the near-term period, I think the market sentiment is looking quite strong , the kind of forecasts or the kind of a roadmap that we have from our clients, we see a sharp pickup in the demand for this washing machines from June onwards. Typically, the high season for washing machine starts with the onset of the monsoon , and it starts picking up , the Diwali is one big season for washing machine sales, then there is a sales happening during the winter also. So, it starts tapering off from the month of December onwards. So, what we see as of now, we are in discussion with our clients and we see strong growth for the washing machines, as we have already doubled our capacity that is based on certain assumptions , on certain discussions with our clients, where we are seeing a further ramp up of the volume with the existing clients, where we are seeing increased share of wallet from their side and we have added quite a few new clients also as well.

Pranay Roop Chatterjee : Could you please give the volume of AC s in this quarter , IDU versus ODU ?

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Pramod Gupta : Yes, then I will just share with you , just a minute . The IDU number is about 193,000 and outdoor units number is about 62 ,000.

Pranay Roop Chatterjee : And did you receive any state incentive this quarter?

Pramod Gupta : No, this quarter, just on the older investment , in the parent company PGEL, we continue to basically receive the state incentive.

Vishal Gupta : See we are in the process of completing our investment in PG Techno plast, the wholly -owned subsidiary in Supa. And we already have a in principle approval

from the Government of Maharashtra. We will make our application in FY '24 after completing our investment and apply for those benefits in the parent company, which is there for the last many years, now in Supa only. We continue to get those benefits from the Maharashtra government.

Pranay Roop Chatterjee : And I just have one last question, you reported 7.8% EBITDA margins in this quarter. Just wanted to check in case there was any one-offs in this margin.

Vikas Gupta : Well, there is no one-off, actually last quarter, if you see we had a negative operating leverage of the AC business because we had a small loss in the operating, in the AC business because of the seasonality. This quarter all the businesses had profitability and operating leverage turned on the positive side in the AC business.

Pranay Roop Chatterjee : In case I can squeeze in one more question. Your net debt is around Rs. 472 crores right now. By Q4 end would you expect it to go up or down?

Pramod Gupta : We have already given guidance for the full year; debt is likely to be probably in the same range or maybe Rs. 10 crores to Rs. 20 crores plus minus I will say. The reason is we are having a very high inventory level for the season and we actually are hoping that receivables will be able to control, most of the CAPEX is already done. So, the working capital loan should probably be in the same range. And we do not foresee any increase in the term loans.

Vishal Gupta : See what happens because of the last quarter we have had such a sharp ramp up in our sales. So, working capital numbers will be a little tweak. In fact, by the June quarter, June end those numbers will start normalizing, but in March end numbers you will see at similar levels what we are seeing right now.

Pranay Roop Chatterjee : Do you see an increase in interest cost, would that have contributed?

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Pramod Gupta : No interest rates, we are getting our market rate only about 9% of the cost of borrowing. And if obviously the bank rate increases, then we will see probably some increase.

Moderator : Thank you.

The next question is from the line of Teena Virmani from Kotak Institutional Equities. Please go ahead.

Teena Virmani : My question is regarding the pricing strategy that you have mentioned about certain brands which are aggressively pursuing this market share gains strategy. Now, this could be a near-term scenario that we may see, but how do you see the long-term realization movement for both even the AC players and the ODM players moving out, given that there is a scope in the industry also to grow and everybody is also expanding capacity. So, how would the situation pan out, over a slightly longer period of time when the capacities are in place and the realization for both AC players as well as ODM players like you and other players in the industry?

Vishal Gupta : So, you are trying to put up two questions, how the brands are going to play in the next two, three years? And how ODM people like us are going to play in the next two, three years once the capacities are in place, and they are fully operational, right.

So, see it will be very difficult for us to really answer the question from the brands perspective, but as per the information or the knowledge that we gather from the industry people, there are certain brands who have a very aggressive market share gains strategy, that is why they are pursuing those aggressive pricing. And they hope to follow that for at least this season, they are hoping to follow this strategy. In case of ODM players like us, being a seasonal business, I will tell you, it's very evident, the brands, the people who are putting up their factories, and some brands are also putting up their factories and some ODM players are also expanding their capacities. But being seasonal in nature the pricing, there is not much of the pricing play in the ODM sector in the sense, because when clients are buying a product of Rs. 20,000 from any ODM player, so anything I mean Rs. 100, Rs. 200, Rs. 300 difference doesn't make much of impact to them, they are actually focusing more on timely delivery and quality.

So, quality and delivery is very important. Cost is exactly, you know, not exactly means it's a industry given, it's a buyer's market, it's a not a seller's market we agree on that. But let me tell you, that Rs. 200, Rs. 300 on Rs. 20,000 product doesn't make much of a difference provided your customer can derive comfort from your

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capabilities of delivering a quality product on their time, as and when they want and

the flexibility is there. So, it's very, I can't answer this question in a very simple manner. So, that is a way I have given you this explanation .

Teena Virmani : So, even on a longer -term basis, this may remain more or less similar to what all the ODM players are currently getting from the brand.

Vishal Gupta : I will tell you what strategy as a Company we are trying to follow . We are trying to follow cost leadership . We are trying to , the plan t, what we have put up in Sup a, is the most backward integrated, single location plant and one of the largest single location AC manufacturing facilities in India right now . The basic idea is to derive cost leadership from all the synergies , if you are making all components in -house and you are not spending money on packing and forwarding of those components to make ACs, that is one thing , you know that is what we are trying to do right now. So, if we are able to drive cost leadership , one point .

And the second point, what we believe as a team, what we tell our team members, actually we are not selling any product, we are selling a service . What product we are offering is not much different from the product being offered by our competition , but what can differentiate us from our competition is the kind of delivery or kind of service we are able to offer to our customers . And that is

why

we are able to increase our market share in this competitive scenario because of the service aspect of this business what we are trying to highlight .

Teena Virmani : So, what would be your current market share or maybe FY'23 closing market share approximately among the ODM players if one were to analyze that?

Vishal Gupta : Teena, I wouldn't like to speculate on those numbers, because it's a very early , it's a second year of operations only for us. So, I don't think we will not be in the right position to answer this question , right now .

Teena Virmani : And one last question is on the incremental margin benefit that can come through from your new capacities which are primarily led by the PLI CAPEX . So, without taking into account any PLI incentive, what could be the data gain in margins that you can accrue from this entire backward integration expansion that you already have done ?

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Pramod Gupta : Margins are likely to be largely in the same range as they are because some of the benefits that we had talked about of backward integration are largely there. And we don't focus so much on the margins, per se, although we are, as Vishal Ji explained, we have a clear focus on cost leadership . The whole focus of the organization is to actually increase the throughput , and actually have a much better asset term. So, actually, I keep on telling this to all the investors and I will repeat again for the benefit that in our business margins are actually an outcome of the many of the things , one of the very big important thing is actually the commodity prices during that time. Now in this quarter, we had slightly lower commodity prices that actually are helping the margin percentage . Although whatever money we get to make an AC, as our gross contribution is actually very similar to what we were getting last year, or in the last quarter, that has not changed.

Second thing is if we can actually increase our asset churns and do more throughput from the same plant that is actually going to let us make , actually give us much more advantage than actually focusing probably on 10 , 20 basis points of margin . And that is what has been our strategy. And if you look at in our case, we have probably invested close to till now Rs. 200 plus crores, and in the very second year, we are expecting a turnover in the AC product business of almost Rs. 900 plus crore, which is our asset churns of 4.5, which we think is very good in manufacturing, contract manufacturing business like us. And that has been our strategy on all the product side where we are working and only focusing to increase the asset throughput to improve our ROCE and not actually very focused on the margin percentage per se.

Teena Virmani : And as and when your other segments apart from washing machine when they start expanding , let's say for example, if TV expands then probably your asset churns can improve further ?

Pramod Gupta : Yes, so TV actually is a very small business as of now for us only this year we will probably do close to Rs. 150 odd crore . As and when TV and washing machine further expand, the overall asset turn in the company and therefore, the ROCE will see a further improvement going forward.

Moderator : Thank you. The next question is from the line of Akhilesh from ICI CI. Please go ahead.

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Akhilesh : So, firstly, you mentioned that for the full year you expect the net debt number to broadly remain at the current level Rs. 10 crores or Rs. 20 crores perhaps slightly higher. So, what is your assumption regarding the receivable level at the end of the year, because what we have seen in the last two years especially that the receivable in terms of number of days also goes up in the last quarter, so what is that assumption which you are making?

g?

Pramod Gupta : See what actually happens is in the last two years it happened was, that 4th Quarter was a very big quarter in comparison to --. So, that happens because of the seasonality and as well as in last two years, the first half in both the years got marred because the COVID issue. This year, that challenge is not there. Although, nonetheless, the 4th Quarter is going to be relatively larger, we have given a guidance of almost Rs. 680 odd crores in the 4th Quarter vis-à-vis Rs. 1320 crores in the first nine months, but nonetheless, it is not as skewed as last year or the year before that.

So, overall, on a monthly basis, we don't see that kind of a shoot-up, which happened in the previous two years. So, those numbers will not look that acute in terms of days receivable. But nonetheless, I will tell you what happens is that monthly run-rate has actually significantly changes in the 4th Quarter. So, in the first nine months, if you see our monthly run-rate is of the order of about Rs. 140 odd crores or Rs. 145 crores, and now we are expecting close to something like Rs. 230 odd crores of a run-rate in the next three months. So, obviously, this run-rate leads to about, even if you assume 45 days of receivable situation then 230×1.5 that will come to something like Rs. 345 crores or Rs. 350 crores is the kind of numbers which you will see on the receivable side, but we are working towards many aspects. So, to control our receivables as well as inventory and hope some of those things may actually work out.

Akhilesh : So, you remain confident that if let us say we have reported around 40 or almost 50 days of receivable at the end of the current quarter, so that will go down to around 45 days.

Pramod Gupta : Yes.

Akhilesh : I don't know if I have missed this, if you have already given it, but what is the volume for LED TVs? I know it's a small part, but what is the volume in this quarter?

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Pramod Gupta : Just give me a second, I will.

Akhilesh : Yes, and in the meanwhile, if you can also speak about the customer addition, washing machines and LED TV business which you are expecting?

Vishal Gupta : So, we don't disclose individual client names in our customer list. But we are on the verge of adding two very large customers, national brands, which one of them has already, going to start mass production this month. And one more customer product approval is already completed and we expect to start productions in the month of April for that last customer addition, in the case of the washing machine.

In the case of TV also we are discussing with a lot of customers. And we are trying to add those customers, as and when you know we are developing our ODM products in the TV category now. So, we will be adding some more customers. But right now, we will not be able to disclose the names right now.

Akhilesh : And in washing machine, the customer addition the two national brands, which you spoke about this will be for the semi-automatic category?

Vishal Gupta : Yes sir.

Akhilesh : And based on your guidance, you are expecting the full year margin to be around, the EBITDA level to be around 7%. So, is this a sustainable level we should assume or do you think this has further scope to inch up in FY24 and FY25?

Pramod Gupta : Yes, so coming back to your TV question, this quarter, we had about 40,000 volumes in the TV in the quarter, in the sales. And actually, margin is an outcome of many things and how in the quarter, what is the mix of the segments that also decides the margin apart from individual segment level margins. So, it's always difficult to pinpoint the margins in the quarter. But we hope that because of the improvements in the revenue outlook across all the segments, the margins should

be slightly better in the coming quarter in each of the segments

ts, but final margin

will actually totally depend on the overall mix. And that mix we don't know as of now, today, it will actually be visible to us only by the end of March. Nonetheless, because of the scale initiatives and also because of the operating leverage, we are very hopeful that margins in the coming quarter will improve further in each of the segments.

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Akhilesh : And, by the end of next year, what kind of debt reduction you are expecting overall from the current level ?

Pramod Gupta : I will tell you very frankly, if we do not add any new product segment then we should see some amount of debt reduction surely next year. But we are actually considering some new products and if we take any decision on that, then we may have to do some further CAPEX on those new product lines. But in the existing product line as of now whatever the business plan is there, we think Rs. 130 plus or minus Rs. 5 to Rs. 10 crores of CAPEX is going to be the same as this year. And next year, our EBITDA and other income should be significantly higher than this year. And that should help us to actually do some debt reduction for sure. Those numbers we will be able to share with you once we finalize the business plan for the next year, sometime in May, after the 4th Quarter results.

Moderator : Thank you. The next question is from the line of Shrinidhi from HSBC.

Shrinidhi : I have a question on margin first, if I look at your margin at about 7%, it looks very impressive, particularly given that one of your close peer Amber has reported quite a weak margins. So, in your assessment, what is really driving the superior margin for PG Electroplast given the size of the company is smaller ?

Pramod Gupta : See as Vishal Ji has been telling that we work a lot towards cost leadership. And also, please appreciate we are a multi-product company and we have a wider portfolio which allows us to weather the seasonality of the AC business, seasonality of other businesses is much better. And therefore, the operating leverage that actually works into the negative in the offseason in AC is mitigated to some extent in the portfolio because of the other products helps us to actually report slightly better margin. But I think on an overall product business margins for us Amber must be in the same range that is my best guess at least in the season. In the offseason, actually, because of the operating leverages that play out for different players, because of the portfolio of products, they may have a different impact. And that is one of the reasons because of which probably today we are reporting slightly better margins.

Shrinidhi : And you also highlighted that you probably have a largest single location manufacturing plant for AC and probably closer to ports. Just wondering how much does that help in terms of having a better cost economics?

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Pramod Gupta : It does surely help, and is more important than nearest to the port, it is actually the single location and having all the units for all the components at a single location and on a single roof, actually, that leads to a little bit of saving in terms of transportation, logistics, as well as the packing and some of the other costs, which in our opinion, maybe to the tune of maybe 0.4% or 0.5% at best.

Shrinidhi : And one more question from my end again on margin. So, if you look at your guidance of about 7% margin in FY23, may I ask how is it different between product business and your rest of the business?

Vishal Gupta : So, I will just give you some, basically broad ballpark margins on each of the segments that we have. And this is what we have seen over a slightly longish period of time. Typically, the product margins are between 7% to 8.5% depending upon the mix of the products, washing machines has slightly better margins than AC.

And actually, cooler has the best margins. Cooler margins are almost in the double digits, lower double digit, but cooler is very highly seasonal, it is only a four-month product. And it's a very small segment for us now.

In the plastic molding business, the margins are 7% point +/- 0.4% or 0.5% is what we have seen over a longer period of time. And in the TV business, which is a relatively new business, but we

have estimated it is around about 1.5% to 2% at best is the margin at the operating level which we make. In the mold making or the tool making the margins are anywhere between 25 to 30 %, depending on the deliveries in that quarter. These are the broad ballpark margins which we have seen in our different segments.

Shrinidhi : Last one from my end, so you are guiding about Rs. 900 crore of revenue from AC products right for FY 23?

Pramod Gupta : Yes.

Shrinidhi: May I ask, how much is it coming from your own design product?

Pramod Gupta : It will be almost 80% plus will be from our own ODM products .

Shrinidhi : And it includes inverter , air conditioners as well right?

Pramod Gupta : Yes, it includes across all the categories both fixed speed and Inverter and one ton , one and a half ton and 2 ton.

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Moderator : Thank you. The next question is from the line of Harsh Saraswat, an individual investor . Please go ahead.

Harsh Saraswat : My question is in a broader context, competitors are seeing a slowdown in mobile segment and I wanted to understand that does that help to gauge a pattern of demand in our segments also, can we also see a slowdown looking forward in the year?

Vishal Gupta : See, I would , actually the behavior of the market is different in both mobile phone products and the consumer durables. If you see industry penetration, the product penetration mobile phone and LED TV still will have a very good penetration in India, maybe 70 % to 75% penetration is there in mobile phones and LED TV, but the product categories like AC , washing machines, the products, what we are trying to aggressively push and try to make it as our growth driver, the penetration levels are very low right now in India.

So, what we feel that with the income levels improving and overall electricity availability and all those things helping ; we see a very good growth potential for next four, five years. So, we have a very strong conviction that this product category is where we are trying to put our focus, they will have a very good growth in times to come.

Harsh Saraswat : And one more thing, if you were to point out a few risks in the business, what would they be like?

Vishal Gupta : Business is trying to grow; we are trying to grow business very fast. So, execution is something which is very important in our business . Let me tell you the business contract manufacturing, actually there is very little risk because you get very clear forecast from your customers, provided you don't really goof up big time or you make any big blunders, you are able to meet their requirements, you don't see any major challenges in this. But execution is something very important day in day out, because business is so competitive and margins are like wafer thin. So, you have to be always on your toes, focusing on cost leadership, trying to do loss elimination in your plant, that is a continuous focus so that you remain relevant all the time, you are able to maintain your cost leadership, that is the focus. And that is the actual risk but we have to keep focusing on day-in-day-out.

Moderator : Thank you . The next question is from the line of Ashish Kumar Singh , an individual investor . Please go ahead.

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Ashish Kumar Singh : Previous participant had asked for the LED TV

numbers. So, I wanted to get those ?

Pramod Gupta : 40,000 for the quarter. And in the first 9 months, the total number is about 80 ,000, just give me a second I will exactly tell you .

Ashish Kumar Singh : And other than that, I wanted to get your comment on the raw material costs that you have that they have reduced in the past month. So, what do you think , they will be lowest in the coming months or?

Pramod Gupta : Yes, for the first 9 months the number is 80,500 in television and in the last quarter the number was about 40,000 . Now coming back to the commodity price it's very difficult to forecast the commodity prices and they are dependent on many factors which are beyond our control. We are actually a price taker in that market. And some of the commodities which had softened significantly in the last quarter have actually started moving up, especially base metals like aluminum, copper, etc. in the recent week. In fact, in the last four weeks, there has been a significant

movement upward in both copper and aluminum and it will be reflected, it is a pass-through for us maybe with a lag of a month or so. So, it will be reflected in, I think, in the coming months.

Ashish Kumar Singh : And I wanted to ask, you have mentioned that the inventory has gone up in the last quarter and I can see that it 's around Rs. 350 crores . So, is that inventory on lower cost against right now, or is it higher than right now ?

Pramod Gupta : See it is actually the copper and aluminum inventory that we are carrying , we were carrying end of December, because there has been a significant production also in the month of January and till now in February , was at a lower cost, but we don't cover ourselves for more than about one and a half to two months in the inventory. Now, the prices of the material which we are purchasing are at the market prices, which is at a higher price than what we were having in December.

Ashish Kumar Singh : And so, I think the margins would improve in the next quarter for the previous inventory, right?

Pramod Gupta: No, the issue is there that the pricing also happens with the lag it does not immediately that you are able to , yesterday the price increased and you will tell your customer that you have to give me a higher price tomorrow, it doesn't work that way. In our business, the contract manufacturing the prices actually get reset
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every one month, two months or three months depending upon the contracts. And then according to those contracts, we try to cover ourselves on those inventory . We don't take active call on prices of inventory now by hoarding copper and aluminum. On the contrary, like whatever orders we have at a price we try to cover ourselves to that extent in those commodities, we don't actually take a call at all on the prices of commodity .

Ashish Kumar Singh : And the last question what is the order book for the interest that you are seeing for this summer season in AC business?

Pramod Gupta : Till March we have a very strong order book , whatever our capacities are there they are all booked out. And we have orders beyond March also , but I will keep my fingers crossed, because those orders will start to materialize only if the tertiary and the secondary sales are good beyond March. So, till March I can tell you that we are running at almost 90% capacity utilization 85% to 90% plus – expanded capacity in the AC .

Vishal Gupta : So, April onwards what will happen you know, the production numbers for us may be 20% higher or 20% lower, depending upon the secondary sales which will start happening from the third and fourth week of March. Once we have those numbers, then we will be able to give you a little better idea. But the numbers will not change much. It may be plus minus 20%.

Moderator : Thank you. That was our last question for today ladies

and gentlemen. I now hand

the conference over to the Management for closing comments over to you sir .

Vishal Gupta : I want to thank you all for participating in the call. And I want to reiterate once again that please don't look at the percentage margins in this business, they are actually an outcome , not of the business mix as well as the commodity prices in that particular quarter. Our focus is totally to just push more through -put on the same investment which we have done. And we will be focusing actually much more on getting our asset churns rather than margins. The margin percentage is actually very irrelevant in our business , in our opinion.

With this, I will actually thank you all . And I will invite any of you who want to visit our plants both in Supa and Noida. Please feel free and mail to me or my colleagues and reach out to us and we will make the arrangements. Thank you very much.

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Moderator : Thank you. On behalf of PhilipCapital (India) Private Limited. That concludes the conference call. Thank you for joining us, you may now disconnect your lines .

Call: May 2023

May 31, 2023

Sub.: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 – Transcript of the Earnings Conference Call

Dear Sir,

Pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, please find enclosed Transcript of the Earnings Conference Call held on May 29, 2023 .

This is for your information & Records.

For PG Electroplast Limited

(Sanchay Dubey)
Company Secretary
To,
The Manager (Listing)
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 533581 To,
The Manager (Listing)
National Stock Exchange of India Limited,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051

Scrip Symbol: PGEL
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"PG Electroplast Limited
Q4 FY'23 Earnings Conference Call "
May 29, 2023

MANAGEMENT : MR. VISHAL GUPTA - MANAGING DIRECTOR FINANCE
PG ELECTROPLAST LIMITED
MR. VIKAS GUPTA - MANAGING DIRECTOR OPERATIONS
PG ELECTROPLAST LIMITED
MR. PRAMOD GUPTA - CHIEF FINANCIAL OFFICER
PG ELECTROPLAST LIMITED

MODERATOR : MR. GAURAV UTTRANI – JM FINANCIAL INSTITUTIONAL
SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY 2023 Earnings Conference Call of PG Electroplast Limited, hosted by JM Financial.

During this call, the company may make certain forward-looking statements based on the currently held beliefs of the management of the company, which are expressed in good faith and in the management's opinion are reasonable. The forward-looking statements may involve risks, unknown risks, uncertainty and other factors which may cause the actual results, financial condition, performance or achievements of the company or industry to differ materially from those in forward-looking statements. These forward-looking statements represent only the company's current intentions, beliefs or expectations and any forward-looking statement speaks only as of the date of this call on which it was made. The company assumes no obligation to revise or update any forward-looking statements.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gaurav Utrani from JM Financial Institutional Securities.

Thank you and over to you Mr. Utrani.

Gaurav Utrani: Thanks, Darwin. A warm welcome to everyone for 4Q FY '23 earning calls of PG Electroplast. So, we have the management today being represented by Mr. Vishal Gupta, Managing Director Finance, Mr. Vikas Gupta, Managing Director Operations, and Mr. Pramod Gupta, Chief Financial Officer.

At this point, I'd like to hand over the call to the management for the opening remarks, post which we will open the floor for Q&A. Over to you, sir.

Management: Thank you, Gaurav and good afternoon everyone. And thank you for sparing your valuable time and joining this call today. Hope all of you are doing well. Okay, so FY '23 has been another landmark year for our company, PG Electroplast, with a significant growth over FY '22 numbers. Sales numbers have grown at 96% and crossed INR2,100 crores with the product business leading the show with a 62% share. And EBITDA has also increased by around 91% and it stands at INR180 crores. And net profit grew by 107% and it stands at around INR77.5 crores.

Product business has crossed INR1,300 crores in FY '23 with room AC business contributing INR141 crores with a 180% growth on a Y-o-Y basis. And the washing machine business has also grown at around 57% on a Y-o-Y and coolers grew at 169%. Order book for product business remains very robust and the company is on track to scale the product business significantly in FY '24. PG's new products offerings in washing machines and room ACs have been very well received by our clients. The company is focusing its efforts towards developing products that helps it maintain its cost leadership while striving for product leadership too. Companies continue to see increased interest for business from new and existing clients and we remain confident on the future growth prospects of our business.

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For FY '24, our sales guidance stands at, at least INR2,800 crores, which is a growth of around 30% over FY '23 and operating profit guidance of at least INR210 crores which is a growth of around 28% over FY '23 operating profit of INR164 crores. Our growth in product business that is washing machines, room air conditioners and air coolers is expected to be around 43% and we hope to scale up this business from INR1,341 crores to around INR1,920 crores in FY '24. Capex guidance for FY '24 is around INR170 crores to INR180 crores and company has further -- com

pany is further planning to expand its room AC capacity by setting up a new integrated unit in Rajas than for making room ACs and we are at the same time building a new building in a super factory and we are doubling our PCB assembly capacities for our AC controls in super. With this now, I will hand over the call to my colleague Mr. Pramod Gupta, our CFO who will elaborate on the financials.

Pramod Gupta: Hello, good afternoon everyone. I am sure you have all seen the financials in detail already. I will just touch upon some of the highlights. We had a very good scale up during FY '24 from operations point of view. The net sales for the quarter 4 was 65% up at INR827 crores, operating profit grew 106% in the fourth quarter to INR74.42 crores and net profit rose 45% to INR40.2 crores. During the fourth quarter and FY '23 operating margins improved due to cost control, lower commodity prices and operating leverage. On balance sheet, we have had an increase of

about INR158 crores of debt in the last 12 months that is largely because of the working capital and capex that has been funded by the new debt.

We know we have seen slightly higher debt than what we budgeted due to the sharp revision in the business execution and higher sales leading to higher working capital during the year. But I want to highlight here that we are aiming at delivering industry leading growth with best in class return ratios in coming years and our new partnerships which you would have seen today we have announced a new partnership for TV also. We aim to be a significant leader in the consumer electronic industry as well.

Now with this I will open the floor for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Dhananjai Bagrodia from Ask Investment Managers Private Limited. Please go ahead.

Dhananjai Bagrodia: Sir, thank you. I wanted to ask you about AC now. How do we see that? This year was obviously great numbers. How do we see that happening over let's say, over two years as companies might be moving and we see any terms of traction on that? And B, how do we see working capital being for the next year?

Management: So, for AC, sir, as we have already guided for '24, we are very confident of seeing at least 25 %-30% growth in the AC numbers for this -- maybe around 40% growth we will see in the AC numbers for FY '24. And the new categories of products that we are developing, we are working on window ACs also now, the category where we are not present right now. We have started developing window ACs also now, which we will be offering to our customers for 2024 season.

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So going forward for at least next two years, we don't see any challenge to maintain a growth rate of around 35 % to 40% for next two years for AC business especially.

And for working capital, sir, we are trying to shift some of our supply chain from China to domestic vendors. Last year, we have started something in that direction. And this year we intend to consolidate on that and increase the share of business of our local vendors in place of our overseas vendors. And going forward, that is the idea that will help us in managing our working capital cycle also.

Dhananjai Bagrodia: Sure. So just to have an idea, just how much of our production is now in-house versus imported and imported and outsourced and between outsourced also how much is imported versus India?

Management: So, for the complete AC manufacturing, we are doing in-house everything. But some raw material and components we need to buy, for example, copper and aluminum right now is 100% imports. Controller is also there. Motor is around 80 %-90% is imports. Right? So, all those compressors are around 70% imports. So those components we are trying to, you know, start sourcing from local

vendors. This is one. And then, you know, there are guys under PLI who are setting up plans for making copper tubes and aluminum foils in India. By next year, we intend to start some percentage of buying of copper and aluminum foil from local sources.

But next year it will not be a very large number. But for other product categories, components like compressor and motors, next year we are planning to have a large sourcing from domestic suppliers. With this, our idea is to actually manage that. But this is not going to happen in a year's time. It will take another two, three years for us to really make some meaningful changes of our supply chain from imports to local sources.

Dhananjai Bagrodia: So right now, was it not available or was the cost essential quite a bit?

Management: Because there was a combination of both the things. Some SKUs or some models were not available in India and at the same time pricing was also a big disadvantage, which is correcting, you know. Both the things are getting corrected.

Dhananjai Bagrodia: Okay, sure. And any target in terms of capex, what we see for next year?

Management: So, we have already stated the capex for next year is around INR170 crores to INR180 crores.

It's a couple of, multiple of things, but we are trying to do. We are expanding our capacities at all the product categories where we are in already. And maybe as I already told in the call that we are setting up a new plant in Bhiwadi for making ACs. So, all those things, you know, INR170 crores, INR180 crores capex guidance, what we have given is take care of everything.

Dhananjai Bagrodia: Perfect. Thank you so much, sir. Thank you.

Management: Thank you.

Moderator: Thank you. The next question is from the line of Pranay Roop Chatterjee from BCMPL. Please go ahead.

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Pranay Chatterjee: Great. Good morning. Good afternoon, everyone. My first question was on your margins. This quarter it was slightly higher, 9.2%. If you could explain what led to this jump and what the normalized levels could be like for FY '24 ?

Management: So, we have given the guidance already for FY '24 . It comes out to be about 7.5%. See, on a full-year basis, typically the margins are in the range of 7 % to 8% only. This is a high season for AC and this quarter we had a lot of operating leverage. In fact, if you will see, during the quarter , the gross contribution margin or gross margins were flat Y-o-Y, but we had a lot of improvement in the manpower cost as a percentage of sales as well as the other expenses also. So that led to a higher margin and also the commodity prices are quite moderate this quarter.

So that also optically gives a high margin perception, but actually in our business , the margins are not really material , in the sense that they do not matter. The percentage margins are an outcome of what prices are for the commodities and those things are not in our hand. What we have been always telling and again I will reiterate here is that the most important thing for us is the gross contribution or the amount we get to make an AC or a TV or a washing machine in the business and bill of material is a pass-through for us.

Pranay Chatterjee: Got it. Okay. My next question is around your washing machine segment. If you could just help us with understanding the story over the next three years, any comments around industry growth, outsourcing trends and if you could just point out what your market share was two years back versus now ? And incrementally , when we look how fast can the contract manufacturers within the washing machine story, how fast can they grow?

Management: We are right now the second largest washing machine contract manufacturer in the country and we think that the growth opportunities are great from the medium-term point of view. Probably the reason we sense is that a lot of penet

ration led growth is happening in the industry because water and electricity availability is increasing in the rural and semi-urban areas and that is leading to the entry-level product, which is what we make, which is a semi-automatic top-load washing machine.

They are getting penetration in the household which either were not happening because there was not a regular supply or continuous supply, non-intermittent supply of water and electricity which was there. And we think that penetration levels still remain very, very low so growth opportunities are going to be there initially for probably the entry-level products and gradually there will be an upgrade cycle also which will come because these are the very basic models , the basic washing machines that people are buying and we are working towards right now expanding the capacity in the semi-automatic top-load but we are continuously investing in the semi-automatic, fully automatic top-load.

And we will be at some point in time in the next one to a year start looking at front-load washing machines also. So, we have our roadmap for the product side, what we want to deliver in the next three to four years and we will be working towards it. As we remain very optimistic on the washing machine business, we think growth can be pretty decent for washing machine in the coming years.

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Pranay Chatterjee: Just to touch upon that and it's the same question only, so just if I compare it with the AC story, is it possible for your washing machine division to grow and power with your AC or could there be a lag given the PLA benefit for AC?

Management: No, no, I think from this year onwards the growth for both AC and washing machine should be matching about 35 %-40%, 45% range should be the growth for both AC and washing machine in our opinion this year onwards.

Pranay Chatterjee: Okay. Thanks a lot. I'll get back in the queue.

Moderator: Thank you. The next question is from the line of Kaushik Mohan from Ashika Stock Broking. Please go ahead.

Kaushik Mohan: Hi sir, congratulations for the great set of numbers. Sir, I just wanted to understand on the new capex and announcement that you did for the Rajasthan AC plant. Can I understand what can be the optimum utilizations like asset terms that you can expect from this plant?

Management: Going forward, we are hopeful to make this plant operational by end of this calendar year.

Having said that, you know, for FY '24 , it would not be right for me to give you any numbers on that, but FY '25 we should be easily achieved as a turn of more than five on this.

Kaushik Mohan: Sir, and the second question comes on, let current existing plant, if you take the full capacity utilization, what can be the optimum revenues can be achieved?

Management: For the existing plant for AC manufacturing, if you are asking, is in Supa, where we have already achieved that asset turn of more than five on that. In FY '24 , we are hopeful of another 30% growth in the revenue from the existing facility only. We are going to only add a new building

and maybe some lines on that. May not be a very big capex from the plant and machinery side, but we need some space in the building, that is why we will be making new building and some additional capacities are being created in some components level, maybe RAC controller or some other product component category. So, with that new capex, I think, and with this, I think we should be able to achieve at least more than five and a half, six asset turn from the Supa plant also.

Kaushik Mohan: Got it, sir. Sir, last and final question on the employee expense. There has been a slight decrease in employee expense as a cost, but the number of employees has been grown up. What is this exactly?

Management: Not an absolute term. The absolute term, employee cost has actually been increasing only, if you

see, is the percentage term that has come down and percentage has come down because obviously the salaries of senior management, middle management are not increasing while we are adding a lot of people at the worker and supervisor level where the salaries typically are low. So, that is the reason because of which this operating leverage is playing out and that is why the overall salary bill is increasing, but as a percentage of sales it is coming up.

Kaushik Mohan: Got it, sir. Thanks, sir. I will come back in the queue.

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Moderator: Thank you. We have the next question from the line of Abhineet Anand from MK Global Financial Services. Please go ahead.

Abhineet Anand: Thanks for the opportunity. First of all, you told about the Rajasthan facility. Can you just highlight what could be the capacity in terms of units or from where it goes to reach somewhere?

Management: So, this capacity, what we are planning to do is not a very large. The first phase is we are just going to test water. So, maybe the capacity what we are talking is around 25,000 CBU sets or 30,000 CBU sets on an every month basis for a split indoor unit and outdoor unit and first phase and window ACs of around 25,000 to 30,000 PCs every month. So, this is the first phase. Provided we get a good response in FY '24, so provided we get a good response in FY '24, then we will scale up this number and we will double it up for the FY '25.

Abhineet Anand: Okay. So, I think last quarter you had highlighted capex of INR120 crores to INR130 crores. So, I am thinking that this INR50-odd crores goes here, right?

Management: The capex break up we do not give, but I can tell you the large part of the capex is going to be in Rajasthan and some INR30 crores to INR40 crores, INR40 crores, INR45 crores will go for in Supa. So, out of total INR180 crores capex guidance we are giving you, around 45%, 50%, 40% will go in the new Rajasthan plant and the other capex what we are talking about is in our different product categories in Supa air conditioner plant, washing machine factories, our plastic molding businesses and all other business categories, you know.

Abhineet Anand: Okay. Secondly, you know, if you can highlight from the year, how much of PLI benefits or state government benefit we have had?

Management: We have not taken any PLI benefit till now in FY '23. On the state government benefit, that amount was only to the tune of about INR8.5 crores to INR9 crores and that was only in the existing company, which is the parent company. The new PGTL benefits we have not yet started accruing, we will be starting to accrue that only in FY '24.

Abhineet Anand: And this forms a part of other income, right?

Management: This will be part of operational revenue now. From here on, our auditor has therefore asked us to follow the industry practice, which all our peers, larger peers are following. So, this incentive will actually go as a part of the operating revenues.

Abhineet Anand: So, this year also in FY '23, you have accounted in revenue or other income?

Management: Yes. So, in the final year, if you, in the final balance sheet, if you see the final P&L that we have given, I have therefore broken down in both the terms. So, in the balance sheet, in the reported numbers, it has gone as a part of the revenues, but in the presentation, I have actually taken it below the line, but from here on, I will be taking it above the line only and in the part of the revenues.

Abhineet Anand: So fair to assume that actually this aids the EBITDA as well, right?

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Management: Yes, but the guidance which I have given is only for operating profit and I have not given the guidance for EBITDA actually. Like -on-like, because I still do not have a full handle of how

much other income we will accrue during the full year. Once we get some surety, then we will guide you for that better.

Abhineet Anand: Okay. And for this quarter, for which was the tax rates lesser than last year?

Management: The tax rate is going to actually for the full year going to be about 20%. This year, this quarter, the rate was low. The reason is this, that the growth and the larger revenue actually happened in the subsidiary and the subsidiary has a lower tax rate as we have been highlighting that our subsidiary is in the new manufacturing policy. Therefore, it is a new manufacturing unit.

Therefore, it enjoys a tax rate of 15% -plus surcharge, which comes to about 17%. So, on an overall basis, as we have been highlighting that tax rate should incrementally come off slightly for the whole group and as the growth is being driven totally by the subsidiary.

Abhineet Anand: So, for subsequent years, 20% is a fair assumption?

Management: Yes. Yes.

Abhineet Anand: And can you, is it possible to, you know, throw some light over to your top five customers in the RAC side?

Management: So basically, sir, we are working, we normally do not give a customer wise breakup, but largely we are working with Voltas, we are working with Carrier India, Whirlpool, Reliance Retail. We are working with Blue Star, Goldbridge, Onida, then some smaller brands like Amstrad, Hyundai. So, we have a lot of customers, sir. Normally we do not give customer wise breakup on our revenues.

Abhineet Anand: So, and if you can just highlight this whole RAC industry, it was from the brand perspective with a lot of competition, right?

Management: Sorry, can you just, can you repeat your question? It was not audible.

Abhineet Anand: Okay. So, what I'm saying is that in the last 12 months to 15 months, the RAC market has seen a huge amount of competition from the brands. There have been brands which are probably cutting down prices and selling at just cost plus or at the cost and some of the large guys at the top have lost market share. And we have seen companies like Reliance as well, you know, entering into the market. So, if you can throw some light as to whether this competition is going to continue and is good for you as you have a pooled.

Management: Our focus is largely on our manufacturing and cultivating our relationships with our existing and new customers. You know, basically at the customer end, branding end and the front end, we are not actually giving more focus on that. But yes, but you have said that there is intense competition, but actually it is not affecting people like us. And we cannot comment much on that, you know, what people are doing, what brands are doing amongst themselves. You know, it will be very difficult for us to comment on that.

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Abhineet Anand : Yes, sure. Thanks a lot, sir.

Moderator: Thank you. The next question is from the line of Farokh Pandole from Avestha Fund

Management. Please go ahead.

Farokh Pandole: Yes. Hi, Pramod. Congratulations on the outstanding results. I had a couple of questions. Firstly, you spoke about the capex plans for the coming year and beyond. And given the fact that the QIP we were planning did not sort of materialize eventually, what is the thinking on that and how do we propose to replace that amount of funds going forward?

Also, secondly, with respect to the joint venture which you just announced, if you could just shed a little bit more color as to what the plans are and, you know, specifically how it would help you scale up in this particular category?

Management: So, as of now, we are not pursuing the QIP route for fund raise. In fact, this year we have significantly altered our capex plan. So, if you will see, day before yesterday, on the result day, I think, we also announced that in Rajasthan we are actually doing a capex on a

leased premises.

So, this is a built to suit leased premises, which is being done by the facility owner and therefore our capex is going to be much lesser than what we were anticipating. And the other capex which we were looking for in the refrigerator, we have actually postponed that this year.

And this capex which we have given is going to be generated significantly from the own profits this year, only very small portion is going to come from some incremental debt. This year the focus of whole organization is going to be largely on optimizing the working capital and generating cash flows to meet all the internal requirements. That is on your capex side and we are not compromising growth, I can assure you this. The only thing is that right now the market was not suitable for the capex or understanding our story. So, we have actually put that process on hold and we are now focusing on business.

Coming to the new JV that we have formed; this is also another strategy to reduce the capex. So, there is an entity which has actually a Google license. Our TV business was not scaling up to our expectation and we were going a little slow. Now this actually puts us at par with some of

our larger peers because we can give a full Google ODM solution to Indian brands. This entity actually has a Google license for the last three years and they were looking for a good manufacturing partner. And we think with this new entity, we can scale up our TV business in a very, very significant manner in the next coming couple of years. This will be one of the largest facility which we will be putting in TV manufacturing in India. Probably will be in North India only, Noida somewhere near in the NCR region. We are in the process of finalizing the details and we will let you know about that soon. Later on, if this TV which is starting as a TV works well, we will extend it to other consumer electronic items like wearable, hearable and other things as well. The advantage is that Jena at one point in time used to be one of the largest buyers of cell phone in India in a Carbon brand and they have a very good understanding and supply chain understanding from China and a lot of electronics right now is coming from there. So, they can actually help us understand and gain that expertise and because of this Google license we can also become very sizable in electronics

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business in India and therefore it is a win-win partnership hopefully. And we think in the next one, one and a half years, we should see very, very significant revenues from there.

Farokh Pandole: Great, thanks very much and all the best for the year ahead.

Management: Also, I want to highlight that whatever capex we have highlighted this year, we have not built in any contribution from sales from this year's capex in this year's revenue guidance. Thank you.

Farokh Pandole: Good to know. Thanks a lot.

Moderator: Thank you. The next question is from the line of Mukesh Jain from Hem [inaudible] Securities. Please go ahead. Mr. Mukesh Jain, the line for you has been unmuted. You may proceed with your question. As there is no response from the current participant, we will move to the next question which will be from the line of Ashish Kumar Singh, an Individual Investor. Please go ahead.

Ashish Kumar: Hello, sir. Congratulations on your good set of numbers. I was curious about the contribution that you will be putting in the JV that you mentioned. So, can you highlight that?

Management: That equity participation and capex plans are getting finalized probably in our next call, which may happen in the June result. We will be able to highlight everything about it. Those final details are yet to be finalized and it will take probably another month or so before we get into this.

Ashish Kumar: Okay. And can you highlight something about the asset turnovers that you have? In the last conference call you said that you want to achieve 5.5 times or 6 times of asset turnovers. So, what's your guidance for this year?

Management: This year by year end we think we overall net fixed asset should cross 4.5 for the company at least which right now on an average was 4.2. We will try to strive to do better and in the coming years as the businesses scale up especially the product businesses, the net fixed asset terms are going to be inching to what we have been highlighting about 5x to 5.5x.

Ashish Kumar: Okay. And what's the capacity utilization for AC as well as the washing machine?

Management: During the season this year, which was from January till April, we had almost 80% to 85% capacity utilization in AC, in washing machine, the season ended in October-November. That time our capacity was not expanded and we were running almost at 100% capacity utilization. Now we have doubled the capacity which has actually which became operational only in January. So right now, the capacity utilization is running low and as the season approaches, we hope to have significantly higher capacity utilization in the coming months.

Ashish Kumar: Okay and can you highlight something about the washing machine season, how they work and what's the balance for that?

Management: Washing machine season typically starts somewhere from late June to November and November, December typically till Diwali, Diwali end and this year we have added two very significant clients. We are actually expecting a very sharp ramp up in the washing machine

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business. We for the last two years have been growing upwards of 50% in washing machine. We hope to maintain a similar growth rate in washing machine this year also.

Ashish Kumar: Okay. That's all I wanted to ask. Thank you.

Moderator: Thank you. The next question is from the line of Pranay Roop Chatterjee from BCMPL. Please go ahead.

Pranay Chatterjee: Yes. So, I think like you said this is with reference to how you are going to account your

incentive both the state and PLI. So firstly, in Q4 2023 how much was the incentive that you recognized as a part of your revenue?

Management: It was only less than just about INR2 crores to INR2.2 crores rupees which was a state incentive in the parent which was recognized in the revenues.

Pranay Chatterjee: Got it. And incrementally like you said you will be recognized in operational revenue like you said the industry peers are doing. So how will it be accounted? Will it be a one -short addition to the revenue in the quarter it comes in or will it be accrual basis across the quarters?

Management: So, for PLI it will be accounted as and when it will be received. In the other state incentive, it is typically realized on a continuous basis. Once you get the eligibility certificate then that eligibility certificate allows you to recognize your revenue on a every quarterly basis on based on your sales.

Pranay Chatterjee: Okay. So, is it fair to understand that the state incentive would be more or less spread across, but the PLI would be like a one -short addition?

Management: Yes, yes. But in state incentive we have yet not received our eligibility certificate. We have even not applied. We will be applying the eligibility certificate only once we complete our capex in Supa in this year which will be probably sometime in September -October.

Pranay Chatterjee: Got it. Got it. Any sense when the PLI thing would be recognized? Would it be like the latter half of your H2?

Management: We are expected to make an application by August month. Once we make an application maybe in September quarter, we will recognize this PLI incentive in our balance sheet.

Pranay Chatterjee: Okay, okay. And my last question is on your AC demand. Could you disclose what was your IDU and ODU volume in Q4?

Management: Sir,

those numbers normally we don't disclose to others, to outside people.

Pranay Chatterjee: Got it. Okay. So just wanted to understand now that you are going into components as well along with fully built units. Incrementally would all those revenues be recognized in our product business or rather the question is which parts would be recognized in plastic molding as well?

Management : Sir normally sir, our plastic business and our electronics business are separate business verticals. Our AC manufacturing, washing machine manufacturing and air cooler manufacturing is

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recognized under product business. If we are making separate components for them and selling to external customers that will be a part of component business. But if those components are being used for internal consumption for making finished goods, those are not considered in component business. Those are considered in finished goods business or product business.

Pranay Chatterjee: Got it. Understood. Got it.

Moderator: Thank you. The next question is from the line of Dhruvish Pujara from Premji Invest. Please go ahead.

Dhruvish Pujara: Hi sir. Thanks for the opportunity. So, two questions. First is can you help us with the units sold for the year in AC, both ICU and ODU combined, IDU and ODU combined? And second is on the current capacity both in terms of solar versus and what is that number for IDU and ODU combined?

Management: So around 1.3 million, 1.4 million units what we have sold in FY'23. Total units.

Dhruvish Pujara: Right. Sure. And this and the capacity would be right now after including the north, sorry, just Jan capacity which you guys started?

Management: See the capacity is always taken on a monthly basis. What you can do in peak months. When we do on an annualized basis because of the seasonality of this business, that will not be a right way to look at those capacities. The capacity what you create on a monthly basis are being created to cater to the peak demand of the customers in those peak months. Right. So, the capacity but right now we have in Supa is 200,000 IDUs and 100,000 ODUs which we, for North Plant I have already stated in this call that the setup we have created in North India will be around 30,000 IDUs, 30,000 ODUs and around 30,000 window ACs in the phase one.

If 2024 season goes well then we will be growing that capacity also in North India. And at the same time we are making a new building and adding some component capacities here and we will be increasing the capacities here also from 200,000 IDUs to 250,000 IDUs and from 100,000 ODUs to 150,000 ODUs on a monthly basis.

Dhruvish Pujara: Got it. Thank you. This is so useful. The second is on the, can you quantify the PLI which you think can pass through in FY'24 like?

Management: So, in FY'24 we expect to get INR15 crores rupees because we have already achieved the PLI targets what has been set for us for the FY'23. That has been achieved. Since once we make our application for the PLI claim, once we do that we will recognize this income in our balance sheet.

Dhruvish Pujara: Sure. Okay. Yes. And just one more question on the refrigerator. So, you said you delayed that,

right? So, do you think that can commission in FY'25 or will think for the more visibility?

Management: Most likely, sir. That is the way internally we are looking at. But right now, it will be very difficult for me to give you any heads up. As of today, the guidance from our side is it is delayed

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for at least another six months. It might change keeping in the market situation. Business condition is always very dynamic. But as of now it is like this.

Dhruvish Pujara: Sure, sure. Thanks. And will the TV margins would be more than like 2% -3% or more in line with the company margins right now?

Management: No

o, no, sir. It cannot be in line with the company margins. It will be something comparable to the peers or the competition which is doing should be around 3%. That is our target.

Dhruvish Pujara: Got it. So that will there be an incremental benefit due to this Android thing or like some kind of margins?

Management: Yes. That is the idea that we are that's why we have done a partnership because this will allow us to offer a Google TV in India to brands. And that is what is the main reason for going into a JV.

Dhruvish Pujara: Sure, sure. Okay. Thanks a lot. Yes.

Moderator: Thank you. The next question is from the line of Sandeep Tulsiyan from JM Financial. Please go ahead.

Sandeep Tulsiyan: Yes, very good afternoon and congratulations on a great set of numbers. I just wanted some of your thoughts on how the industry structure is moving in terms of competition. One is, you know, we've seen marginalization of market share of larger brands and a lot of new upcoming brands as well as the in-house brands of retailers and online sellers are gaining share.

So, we'd be glad to know your thoughts on this because these brands will use more outsourcing because they might not be having enough where with all to set up new plants. So, how are you looking at the whole structure moving forward? Do you really think these small brands or in-house brands of large retailers can actually make a dent to the larger guys?

Management: Sandeep ji, see for an industry level brand, we don't have much on that. Our focus is to target cost leadership. Our focus is that only that we target cost leadership. And we are able to offer good value products to our customers, whosoever it may be. It can be private labels. It can be brands also. It can be people who have their own factories. It can be people who don't have their own factories. Our focus is to offer a value proposition to the customer which he cannot refuse. That is our target and that is the direction as a company, as a team we have for ourselves for all product categories where we are operating.

Yes, we agree. But nonetheless, we expect outsourcing in the AC business to continue to remain robust and economically I am betting on the rationality, economic rationality of my customers because by putting up their own factories and running them, especially in a very highly seasonal business, it does not make sense for brands which are having a single product or are only focusing on single Indian market to run the factories themselves. It makes more sense to do an outsourcing in our opinion.

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Sandeep Tulsiyan: Right, right. This is one of the reasons I am also asking. This is one of the other large contract manufacturers is going the other way, right? They are investing more into selling components versus selling IDU, ODUs and the smaller brands are relatively more keen to procure IDU, ODUs instead of doing the assembly in-house. So where is the industry headed in that direction in your view? That was my intention to ask. Is it more component that will get sold in future by indigenization of all these Chinese efforts or will IDU, ODU outsourcing also continue in a large way in your opinion?

Management: In my opinion, outsourcing which is at around 40% or so should continue in the longer, medium to longer term at the same level. There may be a year or two of a disruption because some capacities are coming. And that's why we say that we have to be very competitive and cost leadership is something which we keep on striving for. I don't have a reason to challenge my competition's thought process but our internal analysis says that outsourcing should be making much more sense for brands.

As well as the private level and the smaller companies or the new brands which are coming because economic rationality doesn't make sense at all to do insourcing, to put up your own factory

ries, do capex. And actually, not make any money in the off season in our opinion. And that's why we are actually betting that outsourcing is going to continue and rise in the longer term.

Sandeep Tulsiyan: Got it. And also, after the rule was changed for the gas charged ACs to be imported, a lot of large super premium brands also have announced their capex here in India like O'General and Mitsubishi and other guys. So, what's the thought process of these super premium brands? Are they also looking at outsourcing the entire unit or when they say they are setting up capacity it's more to procure from other guys and do very small premium units in house and outsource a major part of the ODU, IDU as well. So, could you just, let us know what are your conversations with these guys?

Management: Sandeep it's very difficult for us to comment on the strategies what these guys are going to have. As we, Pramod ji has been reiterating, our focus is very clear that there will be outsourcing opportunities in abundance and our focus is on that. There may be some people who may not outsource but our focus is on the people who will be outsourcing or whom we can convert from insourcing to outsourcing. That is our focus. That is what we have been trying to work at because what we understand in India outsourcing is for entry level products only.

Largely premium categories people do in -sourcing. Our focus is to remain and offer a cost leadership to our prospective customers so that in case they are making insource in house also we can actually offer a very compelling value proposition to them so that they can shift from insourcing to outsourcing.

Sandeep Tulsiyan: And lastly on the capital requirement you did highlight the capex requirement will be INR170 crores to INR180 crores. How will the networking capital requirement increase in proportion to FY'23 and how will the debt equity ratio change accordingly for next year if we can get some sense of that?

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Management: Working capital side, as I said this year a very significant focus is being put on kind of trying to optimize the working capital. And if we can do few things which we have set our target for internally then I think with a very small growth in the working capital from what we had in the balance sheet as of April we will be able to manage internally only. So, we have set our targets for ourselves this year in both receivable, payable as well as inventory days and we think that if we can manage few of those things the requirement for working capital will not be there from the debt point of view.

And yes, we are having a debt -to-equity ratio which is at about 1.25 . We intend to keep that in the same or slightly better than that in the next years. That is what we think we should be able to achieve if we are able to control our working capital and whole of the companies all the units have been given target to do significant things towards the working capital management this year.

Sandeep Tulsiyan: And lastly the growth that you are planning will entirely be through the capex or do we have any plans to acquire any of the small component manufacturers like when you mentioned motors large part is imported with indigenized. And so will a lot of other components as well including controllers and the others. Do you have any plans to go for any inorganic acquisitions to ramp up capacity in these areas or will that be largely organic?

Management: As of now Sandeep we do not have any intention of going for any inorganic growth. Our target is to ramp up our in-house capacities only. And at the same time the numbers what we have, revenue guidance what we have shared with you are without the impact of the growth of the business which will come from the capex what we are going to do in FY'24. FY'24 capex will be factored into the business in FY'25 only. So, the numbe

rs what we are talking about is from the existing capacities which is currently available with the company.

Sandeep Tulsiyan: That is about it sir. Thank you so much for taking on this questions.

Moderator: Thank you. The next question is from the line of Pranay Roop Chatterjee from BCMPL. Please go ahead.

Pranay Chatterjee: Hey sorry just one quick question. Given that we have been hearing commentary of the summer season getting delayed and AC inventory is sort of piling up. What is your sense on the latest situation of inventory in the market and do you expect Q1 maybe to limit in growth on a Y -O-Y basis and then you know maybe Q2, Q3 onwards sort of picking up. What sort of trend do you see you know intra quarter basis?

Management: Pranay ji, see for us as from a manufacturing point of view the season is already over. Now it is all based on the tertiary and secondary sales of the banks. So, June quarter is already factored in more or less you know since May is more or less over and only June month is available with us for the first quarter and already we have some guidance of the business from our customers on that. So, we are seeing a healthy growth in Q1 also for us. But having said that, having said that since we are expecting some delayed summers but there are you know intermittent trends

happening all over India at other locations also.
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So, there might be some you know, delay in the liquidation of the inventories in the channel but that is happening right now and we don't see any major challenge. Typically, you know September quarter is always a low season, very low season. Typically, hardly any business is there in the September quarter. So, there is nothing which is out of line of our expectation.

Pranay Chatterjee: Got it, got it. Perfect. That's it for me.

Management: Thank you. Thank you, Pranay.

Moderator: Thank you. The next question is from the line of Kaushik Mohan from Ashika Stock Broking. Please go ahead.

Kaushik Mohan: Hi sir. Sir, one question on this JV. It's more or less if you don't like what can be the total sales that you can expect from this JV? And the cost you told that it will be dealt in next one month.

So, can I understand how this entire JV will work out to you people sir?

Management: Sir, as Pramod ji has already told you, we will be talking in detail about this JV in June quarter earnings call. Right now, I don't think it will be right for us to say something which is still not, which is still on the drawing boards. A lot of things have been discussed. As we have already told you, there will be a significant ramp up of our TV business. So that is the only statement we can give you as of right now. It will not be very right for us to give you in detail how it is going to work out.

Kaushik Mohan: Got it sir. Sir, and second question is on the Rajasthan business. So, if you would have done the complete capex on your own, what would be the cost of capex that for entire project of Rajasthan?

Management: So, we are going to do the capex of our own only. We might be doing, taking some debt for that, but largely it will be funded through internal numbers. But sir, land and building, if we would have done, it should have been around INR50 -60 crores, INR70 crores, depending on the size of the land and the building you must have created. But the total capex right now, what we are going to do over there is in the tune of around INR80 crores to INR90 crores without land and building.

Kaushik Mohan: Got it. Thanks sir.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Mr. Gaurav Uttrani for closing comments. Over to you, sir.

Gaurav Uttrani: I would like to thank management for giving us the opportunity to host PG Electroplast call. Any closing remarks from your side, post which we

will conclude the call?

Management: Thank you everyone. Basically, what we are trying to say is that it's a very exciting time for manufacturing in India. Overall, government of India is very clear. Whatever is selling in India, that will be made in India. So, we as an organization are actually preparing ourselves for that opportunity, which we are very strongly confident about in next few years, that in India, we can see some really big manufacturing champions emerging out within next three, four or maybe
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five years can actually challenge some global leaders also for manufacturing. So that is the focus we have for this business.

And we are seeing traction on that, to start with the focus is domestic market. But we are seeing going forward in next three, four years, if we have enough component ecosystem coming up in India with where the government is having various policy innovations like PLI and PMP. So once those things are taking shape in next three, four years, we'll start seeing some green shoots of those exports starting the way we have seen mobile phone in last one, one and a half years. We are very confident that in consumer durable space also, in next three, four years, India can become a very credible option for other countries, for China, and for these options for European and American markets. Thank you, everyone.

Moderator: Thank you. On behalf of JM Financial, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2023

August 07, 2023

Sub.: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 – Transcript of the Earnings Conference Call

Dear Sir,

Pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, please find enclosed Transcript of the Earnings Conference Call held on August 05, 2023 .

This is for your information & Records.

For PG Electroplast Limited

(Sanchay Dubey)
Company Secretary
To,
The Manager (Listing)
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 533581 To,
The Manager (Listing)
National Stock Exchange of India Limited,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051

Scrip Symbol: PGEL
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“PG Electroplast Limited
Q1 FY'24 Earnings Conference Call ”
August 05, 2023

MANAGEMENT : MR. VISHAL GUPTA – MANAGING DIRECTOR , FINANCE
– PG ELECTROPLAST LIMITED
MR. VIKAS GUPTA – MANAGING DIRECTOR OPERATIONS
– PG ELECTROPLAST LIMITED
MR. PRAMOD GUPTA – CHIEF FINANCIAL OFFICER
– PG ELECTROPLAST LIMITED

MODERATOR : MR. DEEPAK AGARWAL – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the PG Electroplast Limited Q1 FY24 Earnings Conference Call hosted by PhilipCapital India Private Limited. During this call, the company may make certain forward-looking statements based on the currently held beliefs of the management of the company, which are expressed in good faith and in the management's opinion are reasonable.

The forward-looking statements may involve risks, unknown risks, uncertainty and other factors which may cause the actual results, financial condition, performance or achievements of the company or industry to differ materially from those in forward-looking statements. These forward-looking statements represent only the company's current intentions, beliefs, or expectations, and any forward-looking statement speaks only as of the date of this call on which it was made. The company assumes no obligation to revise or update any forward-looking statements.

As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Deepak Agarwal from PhilipsCapital India Private Limited. Thank you and over to you, sir.

Deepak Agarwal: Thank you. Good morning, everyone. On behalf of PhilipsCapital India Private Limited, I welcome you all to PG Electro Plus Limited Q1 FY24 Earnings Call. Today we have with us management represented by Mr. Vishal Gupta, Managing Director, Finance, Mr. Vikas Gupta, Managing Director, Operations and Mr. Pramod Gupta, Chief Financial Officer. Without taking much of time, I will hand over the floor to the management for their remarks, post which will open up for Q&A. Thank you, and over to you, sir. Thanks.

Vishal Gupta: Thank you, Deepak. And thank you. Good morning, everyone. Thank you for spending your valuable time and joining this call today. Hope all of you are doing well. I'm joined on this call by Pramod Ji, our CFO, and Vikas Gupta, MD Operations. Hopefully you have gone through the results presentation. And the first quarter of FY24 has been actually another strong quarter for PG. With good growth over last financial year numbers, despite headwinds of weather and lower commodity prices.

Sales grew around 26% and they have crossed INR676 crores, with product business leading the show with a 65% share in the revenue. And EBITDA increased by 78% and stood at INR67 crores and net profits rose 106% with INR33.81 crores. Product business crossed INR441 crores this quarter, with room AC business contributing INR383 crores, which is a 53% growth on a Y-o-Y basis. The washing machine business was flat, mainly because of lower commodity prices. It was – we saw around 7% year-on-year decline in that.

Order book for product business remains robust, and the company is on track to scale the product business significantly in FY24. Our new product offerings in washing machines have received good response and companies continue its investments in new product platforms across different product categories. The company is focusing its efforts towards developing platforms that help

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it maintain cost leadership while also strategically investing to achieve product leadership for specific models.

Company continues to see increased interest for business from new and existing clients and we remain very confident on the future growth prospects of the business. For FY 24, we are reiterating our guidance, which stands as our sales guidance will be minimum INR2,800 crores, which is a growth of 30% over FY23 numbers and operating

profit guidance of at least INR210

crores, which is again around a growth of 28% over FY23 numbers. The growth in product business, which includes washing machine, room air conditioners and air coolers is expected to be around 43% from INR1,341 crores to around INR1,920 crores in this financial year.

Capex guidance for FY24 is in range of INR170 crores to INR180 crores, and company is further expanding room AC capacities by setting up a backward integrated AC manufacturing plant in state of Rajasthan. And we are also expanding our PCB assembly facilities for REC controllers in Supa, and we are setting up a similar facility in our Noida factory also. Our company has also entered into a 50-50 joint venture with Jena India to manufacture LED televisions. Now company has an access to Google OEM license and we will start manufacturing Google certified LED TVs and other products also in the future.

The JV company has already started setting up an integrated TV manufacturing facility in Uttar

Pradesh and which we are very hopeful will be operational by the end of this financial year. With this now I will hand over the call to my colleague, Pramodji, our CFO, to elaborate on the financials.

Pramod Gupta: Hello and good morning everyone. I'm sure you have seen the financials and details already. Just to touch upon them, we had a very solid quarter, first quarter in many aspects. The net sales grew 26% despite a sharp drop in commodity price and headwind due to unseasonal rains. Operating profit has grown at 84.3% to INR64.2 crores and net profit rose 106% to INR33.81 crores. During first quarter, operating margin improved due to lower commodity prices and operating leverage.

More importantly, on balance sheet, we have decreased the debt by INR54 crores in the first three months of this year. This was largely due to the good operating profit and also decrease in the working capital. We are, as promised, we are on track to control our working capital in FY24. And this is a working capital optimization is one of the major focus areas for the company this year.

Our focus on improving working capital efficiency and overall capital efficiency has started bearing fruit now and as you can see on trailing 12-month basis companies ROCE has improved to 22.8% and ROE has improved to 24.9% on a TTM basis. Net fixed asset turn for the consolidated entity today stands at almost 4.5x. I want to highlight here that we want to deliver industry-leading growth with best-in-class return ratios in coming years, and with our new partnerships that we have formed, we aim to be a significant player in the consumer electronics industry as well. With this, I'd like to open the floor for question and answers.

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Moderator: Thank you very much. The first question is from the line of Koushik Mohan from Ashika Group. Please go ahead.

Koushik Mohan: Hi, sir. Congratulations for the great set of numbers. Sir, I have a basic question on the gross margins. This time you have shown a very good set of gross margins and you have a great number of numbers. Sir, I have a basic question on the gross margins. This time you have shown a very good set of gross margins and you had a great number on the sales also. I just wanted to understand is it this margins are sustainable on the gross level?

Management: The gross level margins on a quarter to quarter basis depend up on the mix of the business. This quarter the product business did well and the contribution of electronics business which is typically a low margin was low at just 7.5% of the revenue. So if this mix continues like this, the revenue mix continues like this, then probably the margins are likely to sustain, but at the gross contribution level. But however, we see a seasonality in the business. Typically quarter two and quarter three have a high contribution in the electronics business. So,

and product business, especially the AC business has slightly lower contribution, especially in the quarter two. So the margins may vary depending upon the mix. Nonetheless, we are hopeful that we will be maintaining our gross contribution margin in a narrow range.

Koushik Mohan: Got it. So because of gross margin, you had an operating leverage and every other margin on the downstream has shown a growth improvement. So on a PAT level basis, what is the sustainable margin on a longer term basis?

Management: We don't actually track on the part level margin because they are outcome of actually track on the PAT level margin because they are outcome of things which are not in our control especially like other income and some of the money which we get from we will be getting in future we have yet not accounted in the form of PLI and the state government incentives etc which we have yet not taken into account but we think that 3.5% to 4% without the incentives is probably something which is sustainable over a long term period. If the mix of the business remains what it is today. If the mix changes, then obviously this margin will change.

Koushik Mohan: All right, sir. So then my next question is on, you have mentioned that there has been a debt reduction. So basically, the fund has flown through the internal accruals?

Management: Yes, all have come through internal accruals only. This quarter, if you will look at our balance sheet closely, you will realize there has been a significant reduction in the working capital, both in inventories as well as the receivables. We have reduced our payables also, but coupled with the solid operating performance and reduction in working capital, we have been able to reduce debt despite giving some advances for the expansions for the machineries and the plant, which we have ordered for all the three facilities in Supa, Bhiwadi as well as some joint venture investment which we have started making.

Koushik Mohan: Sure sir, thanks for that sir. Can I go with another one question sir?

Management: Sure, please go ahead.

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Koushik Mohan: Sir, my question is on any update on the TV business side sir, what we have in the last quarter that we have spoken about?

Management: The joint venture agreement actually got finalized just two, three weeks back, but nonetheless we have already finalized the place where we want to put up the capacity. We have leased close to 2 lakh square feet space in Greater Noida and we have started ordering the machinery. Most of the machine orders have been finalized and for some advances also have been given. We hope to start the facility by end of this year. And it will be one of the largest facility in North India, having more than a million TV manufacturing in a single location.

Koushik Mohan: So sir, this revenues for this division will start flowing from next year, is that my assumption correct?

Management: See, the revenues will not get consolidated with PG Electroplast because it's a 50-50 joint venture, but the profits will get consolidated at the bottom line, half of the share of the profits. But nonetheless, this business should scale up very significantly over the next couple of years in our opinion.

Koushik Mohan: Got it. Sir, how about another update on Rajasthan, one of the plant? So you are expanding there also, right?

Management: For Rajasthan, we finalized the leased facility about three months back. The advances for the facility were given that time itself, and now the construction is going on a full-fledged basis. A lot of progress has been made on the land. We are hopeful that by December we should be able to start production, but let's see how the progress goes on. The plant and machinery has been finalized and we have started issuing the purchase orders for the plant and machinery. Some advances

have been given and most of the advances will be released by next week.

Koushik Mohan: Got it. I'll come back in the queue, sir. Thanks for the help. Got it. I'll come back in the Q&A. Thanks.

Moderator: Thank you. The next question is from the line of Pranay Roop Chatterjee from BCMPL. Please go ahead.

Pranay Chatterjee: My first question is with regard to your AC volumes, vis-a-vis the secondary retail offtake from the months of May to July. So, on a yearly basis, the reason I'm asking this is because your growth, your volumes were quite stronger than the end market, which actually declined in Q1, as we have been hearing in other calls so should we expect a strong impact on our volumes over the next couple of quarters so is that a logical assumption?

Pramod Gupta: Well not really one thing that you have to appreciate is that we are still small, our base numbers are still small. Second thing is that we are a contract manufacturer and we work for several brands, so some of the brands which we work with have gained market share and they have done well and they have seen a decent growth. Third thing which I want to highlight here is that, you know, there is a narrative in the market that probably industry has done pretty badly.

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From whatever internal estimates we have, we think probably industry has not seen a very good growth as was envisaged probably in the month of February, March. But for sure, in our opinion, the industry has not seen a decline. There has been a lower growth probably because if you look at the industry closely, out of the top four players, three top players have seen very decent growth in the even in the month of April, May and June. And one of them is a public listed company which has already posted its result, the other two have made public a statement which is LG and Daikin.

And we know several other brands and some of the other e-commerce players and modern retail players with private labels, have seen a growth in the industry during this period. Nonetheless, we do know and we do understand that April and May were a slow month for the industry, but as per our understanding, June and July have been okay and industry has, in general, seen some reduction in the inventory levels.

Management: I will add to what Pramodji is saying. So secondary sales were a little better in the months of June and July and overall the trade channel inventory is quite normalized right now and we are not seeing any major drop in the volumes in next two quarters if we want to see on a Y-o-Y basis.

Pranay Chatterjee: Got it, got it. That is absolutely clear. Thanks for that. Secondly, I was looking at your, so I've heard your comments on the margins and you explained it by mix change. I want to ask a specific question with regard to your other expenses. So if I see last quarter it was around INR30 crores, last year same quarter INR26 crores and now it's INR21 crores.

So is this also explainable because of mix change or something else has happened, some cost

improvements and should we expect for example next quarter if you report the exact same revenue but let's say electronics was a higher share, would these other expenses have been a much higher number or is there a sustainable improvement?

Pramod Gupta: No in the other expenses there are there a couple of things obviously some part of it's a sustainable we have been working on cost control especially on the power side as we have been highlighting in the past that, today a lot of our power is actually being sourced either through the captive solar power generation or through the group solar power, which we have been investing in the last couple of years.

And that has led to power bill being almost flat year on year, which is the largest component of this other expenses. Apart from that, last year in the first quarter we had

a loss on the forex of

about INR2.5 crores, which is a part of that and which actually increased the other expenses.

This year actually we had a gain on the forex side of about INR2.5 crores so there's a INR5 crores swing from that side which has come from minus 2.5 to plus 2.5.

Pranay Chatterjee: Got it, understood, understood. And one last question from me with regards to your guidance. Obviously you have maintained your guidance. I just wanted to understand as we move over the next six months towards the end of FY '23, what are the risks you expect or what are the things or factors you are keeping a tab on which could pose a risk to your annual guidance?

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Pramod Gupta: We don't see any major risks into this. There might be, you know, general risks, but you know, the way government is trying to ban imports of a lot of things from other countries. So, we have a very high dependence on imports from countries like China. And it is true for the whole of the AC industry and the consumer electronics industry. So, we have to be very watchful on those things. But other than that, I don't see any very specific risks to the guidance, but we are shared with the people.

Moderator: Thank you. The next question is from the line of Gnyan Thakar from Ashika Group. Please go ahead.

Gnyan Thakar: Congratulations sir for a very good set of number. Sir, I would like to get an update on PLI benefits. When can we expect the PLI benefits will start flowing to the financials?

Pramod Gupta: So, what has happened is that we are eligible for the PLI benefits of the last year, but government has still not opened and finalized the formats and application for claiming that PLI. Once they open the forms and open the website where we have to claim, lodge our claim, and once our claim is lodged properly and we get an acknowledgement that is the time when we will start accruing or we will start taking the PLI into the accounts.

So we are hoping that to happen probably sometimes in the quarter 3 or quarter 4 this year and that is the time we will be booking the PLI benefit. We hope to get the PLI benefit probably in the fourth quarter but once the application is lodged and we get our confirmation that is the time we will start booking.

Gnyan Thakar: Sir, with respect to your investment in the JV company, how are we trying to fund the investment? Will it be through debt or maybe you are trying to raise fund or internal accruals?

Pramod Gupta: It will be largely through the internal accruals.

Gnyan Thakar: Sir, can you just give a color like how much will be the investment?

Pramod Gupta: In the first phase, we hope to do about INR10 crores to INR15 crores of investment. That will be largely going into the plant and machinery. Land and building as I told you has been leased. So we are not spending any money on that.

Gnyan Thakar: And it will be funded through PG EL's holding company if cash will be going direct?

Pramod Gupta: PGL own funds will be used which is going to come to the profitability this year.

Gnyan Thakar: Yes sir if you just allow me two more questions are there. Yes sir correct me if I'm wrong we have a TV business in the company right now, which is an assembly business, right? Yes. Will that business be shifted to this JV company or this TV business will be run independently?

Pramod Gupta: Vikas ji, can you take this question?

Vikas Gupta: Yes, so that the current TV business will be moving to a JV company. So that's the plan. So as we are targeting a much bigger volume of TV business going forward in a JV company, so that's how we'll be trying to focus and concentrate our resources there.

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Gnyan Thakar: And sir, the guidance which you have given of INR2,800 crores, no. Okay, okay, I will get back to queue now.

Moderator: Tha

nk you. The next question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.

Bhoomika Nair: Yes, sir. Good morning, sir, and congratulations on a good set of numbers. So just wanted to, you know, understand from this JV for the TV with, what is the status of client additions? Where are you seeing traction? And when do you think that the business will start off and we can start seeing the revenues etcetera coming through?

Pramod Gupta: Vikas Ji can you please take this one?

Vikas Gupta: Yes, so I'll take this question. So basically, as Pramod Ji has already updated, we have already taken a building on a long-term lease basis in Greater Noida and we have already ordered the equipment plant and machinery. So that machinery should start arriving into our facility by end of November or December. And we should be starting our trial production by month of January, February. So, we are already working on client addition.

So, as you know, we are already doing a TV business in our parent company. So that will also get shifted to that JV company. So there'll be a client coming from the existing parent company, and we are already in discussion with quite a few new clients and that should start ordering with us in next two, three months' time.

Bhoomika Nair: So what will be our capacity, sir, out here to start with, and what do we expect in FY '25, since that will be the first year of proper operations what kind of volumes can we expect there and this would be all on ODM right for TV?

Vikas Gupta: So Bhoomika I would say like we are targeting this business to be a ODM business only but we will not be shying away from the OEM category also in case we are able to get an opportunity or doing a OEM business also, we'll do that also. We are installing a capacity of almost around 1 to 1.2 million TVs per annum there. And in the first full year, we are targeting a volume around 300K to 400K.

Bhoomika Nair: Okay, got it. And you're, obviously, I mean, are we looking at any backward integration in terms of the PCBs or any other aspects of the business to drive a little better kind of margin profile?

Vikas Gupta: So we already have our SMT lines in a parent company, so we will be utilizing that to service our TV business in a JV company. Going forward definitely we will look at the steps of backward integration where we might go for localization of molded parts and the sheet metal parts which goes into televisions.

Bhoomika Nair: Okay, got it. So the other thing is in washing machines clearly because of the weak demand you know the first quarter was impacted. Now how are we seeing the kind of scale up as one moves ahead in terms of demand trajectory etcetera? And here if you could kind of just help break down how is you know the semi-automatic and the fully automatic kind of performed and the client additions within each of these segments, please?

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Vikas Gupta: So Bhoomika, in case of washing machine, definitely the first quarter was not that robust or as we expected, but now the kind of clients that we have with us, and there were certain hiccups in the first quarter for starting the mass production of one of our clients that have already been sorted and we already started doing the mass production. So the kind of forecast that we have from our clients, we are quite confident that we should be able to achieve a growth of almost around 35% to 40% in our washing machine category in this year also.

And regarding the breakup of semi-automatic and fully automatic, right now the fully automatic is still a very small part of our overall washing business. That should be around 10% of the overall volume and the value.

Bhoomika Nair: Okay. And when you're seeing the scale up from in the washing machine segment on the semi-automatic side, that is coming from like, in-house shifting to us or an

other EMS shifting to us

or just because market is obviously not growing at this rate, or is it some import substitution or exactly what is driving this kind of shift to us and growth for us?

Vikas Gupta: So for us Bhoomika basically it is a mix of both the things like we have been able to add quite a few clients in our washing machine business and secondly we are also seeing a increased volunteer from existing clients as well.

Bhoomika Nair: Okay. And just lastly, if I may just squeeze in a question on the AC part of the business. Now clearly, I mean, you know, we've done very well because we've scaled up a lot of in terms of the wallet share, etcetera. Despite the industry being weak. Where do you see this year kind of, there's a lot of talk that the festive season should be better off by some of the brands that they are looking at. Are you seeing that traction and momentum in terms of your client conversations as well that they're expecting this kind of improvement and what kind of annual industry growth are you anticipating here?

Vikas Gupta: Vishal, will you answer this?

Vishal Gupta: See, the festive season typically is a low season. So I don't think that it is going to change the needle much for AC. So it is not going to change the needle a lot. So our sense is that, you know,

first six months of the season, which starts typically from February, March and not till now, has seen a very low single digit growth or probably flat for the industry as a whole. And even if the industry does well in the second half, which will start sometime in January, February, March, which is the three months, four months, probably we will see very low single digit growth for the industry. This is the first part.

I have no clue of, actually I'm not an expert on the industry, but we hope that industry should see a growth given the penetration and all those things which are there. And more importantly now, even the new construction and new house construction is becoming good and a lot of launches are happening across the top cities. ACs are purchased, so hopefully that should also add to the demand in the coming years and coming months.

Coming to our volumes, we think we should be able to do on a revenue basis at least 40% to 45% growth this year also in the AC business on a full year basis.

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Bhoomika Nair: Okay. Great. I'll come back in the question queue. Thank you so much and all the best.

Management: Thank you.

Moderator: Thank you. The next question is from the line of Nikhil Agrawal from PhillipCapital India Private Limited. Please go ahead.

Nikhil Agrawal: Hello, sir. Sir, any plans on PCBA and semiconductor PLIs, IIT hardware PLIs?

Management: We have already, Vikas, Yes.

Vikas Gupta: So in our daily company that we have established for TV business, we have already under the process of filing our application for IT PLI 2.0. So that process is already on. So we are going to participate in that.

Nikhil Agrawal: Okay, sir got it. And sir, any key and anchor customer for Google TV plant?

Vikas Gupta: I don't want to talk about these specific lines there.

Nikhil Agrawal: Okay, sir. Any kind of volume or margin which we can expect from that plant?

Vikas Gupta: So as I told earlier also like, we are putting up a capacity of 1.2 million TVs and in the first year we are targeting a volume of around 400,000 TVs.

Nikhil Agrawal: Okay. Thank you very much. I'll come back in the queue.

Moderator: Thank you. The next question is from the line of Pulkit Singhal from Dalmus Capital Management. Please go ahead.

Pulkit Singhal: Thank you for the opportunity and congrats on a good set of numbers. Couple of questions. One is on the working capital itself. If you could help us understand what would be the individual receivable inventory and payable days, because I mean, we've had 55 days of

receivable last

year, and even FY '20 was similar. Where do you see this heading? And similarly, if you can help us understand for inventory and payday?

Management: See, this year our target is to actually improve the working capital and reduce the working capital days by at least 10 days to 12 days on an overall basis. See, this is typically a low season because the major working capital actually goes in AC, especially because of the imports and the client payments also are stuck because of the high season, which is there in the February, March month. We think, nonetheless, this year, on a full year basis, we will be able to control both the receivables as well as inventory better. Because on the receivable side, we are going to be taking a lot of steps to control the receivable days, we are doing, making sure that we do not give extra credit and also talking to our clients to give us some good credit terms so that we can control that.

On the inventory days, we are localizing a lot of our components from local sources and as we have been saying the ecosystem is developing in the country for a lot of components in the AC, which we were till now importing and this will be an incremental process and that will actually

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help us reduce the inventory significantly over the next two years to three years. This year is going to be our first major year where we should see improvement in the inventory days.

So that should lead to, on an overall basis, a bout 10 days to 12 days is what is our internal target.

And if we are successful on that, then our overall inventory and receivable days on a year basis should actually see a marginal decline or at best, in the worst case, they should actually be flattish from last year. So, despite a top line growth, good top line growth this year that we should see.

So, that is what is our target internally and we are very hopeful with the whatever progresses we are making in terms of choosing the suppliers and tying up the suppliers etcetera, and also whatever deals we are now doing with our clients where we are looking at solutions so that we

can get our money early. So those things we are very hopeful that this year we should be able to manage our working capital.

I can not pinpoint exactly right now, how many days of receivables or inventory will be there by year-end as of now, but this is a target internally and a lot of progress is being made on many aspects. More colour on this, I will give you probably sometime in October, November once the season starts. Once my terms get finalised and my sourcing also gets finalised to large extent, then how much I will be sourcing from China and how much I will be able to source from India. But a lot of progress has been made by the team this year on those things.

Pulkit Singhal: Understood. So the target of 10 days to 12 days, I mean, so 34 days of cash conversion cycle can come down to 24 even by the end of the year. That's what you're saying.

Management: Last year, I'm saying. From last year, not from current season. You see, today, right now, it is already a low season. See, typically, the...

Pulkit Singhal: No, I'm talking about FY '23 end. FY '23 end, you had 34 days cash conversion cycle average that you are targeting to be closer to 24. But the benefits, I mean, would should continue as you said because of localization. Is it largely giving you benefit this year or do you think next two years, three years also the inventory...

Management: Continue.

Pulkit Singhal: It will continue. Okay. And the PLI benefits, if you could state what the quantum could be annually like, this year and next year and is there anything which is factored in one key?

Management: We have not factored anything on the PLI or the state government benefits till now in this year or last year or even current quarter also, last quarter also. We will b

e taking the PLI benefits only

once we are able to successfully lodge our application. If government has not yet started the process only, for the last year's PLI benefit, government has to open the and actually decide on the forms and everything which is yet not finalized. Once it is finalized, we apply and our application is accepted. That is the time we will actually build in into the financials the PLI benefit. This year we are supposed to get INR15 crores, which is for the last year and for next year we will be getting INR30 crores of PLI benefit which will be for this year.

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Pulkit Singhal: Understood. And the benefits of this I mean, you would be partly passing to the customers is that already happening as a quarters or it will only happen once those benefits come to you? I mean how does it work?

Management: The pricing arrangements what we have with our customers are irrespective of the PLI benefits.

So whatever pricing arrangements we already have with them, it is already -- there is no PLI benefit which we have to. Once we get that money, then that will straight away flow into our balance sheet or profit and loss statement. We need not share any part of that with our customers.

Pulkit Singhal: Understood. Lastly, the quarterly, I mean other expenses, even if I adjust for those factors of forex, on a Y-o-Y basis, it's still flat, like INR23.5 crores, whereas your revenues have grown 27%. So I mean, I understand you mentioned about power costs being flat, but then this would suggest every other cost is flat. I'm just trying to understand what has changed because you are also investing in newer facilities, etcetera. Have you thought that this would have gone up?

Management: So, right now, whatever new investments are happening in new facilities for that manpower recruitment process has just started. So those things will start getting reflected in coming quarters. But as far as I will tell you that there has been a very strong focus internally from the management side to control overall expenses and in order to ensure that we have to try to attain or maintain our cost leadership across our different product categories. So there is a very strong focus from the company side to control our expenses. And it has been supported by all this, you know, forex, games, everything, as Pramod ji has already stated.

Pulkit Singhal: Got it. Thank you and all the best.

Management: Thank you.

Moderator: Thank you. The next question is from the line of Koushik Mohan from Ashika Group. Please go ahead.

Koushik Mohan: Sir, I got my answer. Thanks for the opportunity.

Management: Okay, Kaushik.

Moderator: Thank you. The next question is from the line of Sriram R, an individual investor. Please go ahead.

Sriram R: Thank you for the opportunity. I have three questions. One is, can you give the revenue breakup for your product division for FY '23 and Q1 and FY '24?

Management: Yes, I will just share that with you in a minute. You can in the meantime come up with the next question.

Sriram R: Okay, my second question is, what is your market share in terms of contract manufacturing for AC and washing machines? And like, five years from now, is it safe to assume that your product

division would still contribute majority of the revenues, as it perform today?
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Management: Sir, for contract manufacturing, it is very difficult to give you any number that what kind of market share we have. But I can assure you one thing from our side, that we are seeing a healthy growth across all our product categories in contract manufacturing. Some of the players are listed and some of them are not. And so it is very difficult to give you any accurate numbers on that. But we are seeing a healthy growth in this.
And to your second question that for next

five years, see, there is a very strong focus from a company on the product segment. Today, maybe ACs, washing machines, air coolers, and LED televisions is one area where we are focusing. And as Vikas has told you that we are applying for IT hardware PLI 2.0 also in our JV company. And we are trying to have some business in that category also and in next few years, whenever there are any new business opportunities coming up in product category, we will be looking at them also.

Sriram R: And sir in your earlier calls, you have mentioned that you are number two in terms of washing machines. So, I am coming from there. So, basically where is your third player and where is the first player in terms of revenue gap? How much is it? Just trying to understand where we are in the washing machine space?

Management: I think as per our understanding Dixon is a leader in the contract manufacturing for washing machines and we are a distant second. The gap is quite large. But in the next two years, three years, we are hopeful of closing that gap also.

Management: Thank you for your question. In the last year financial year, the AC business was 1,040, washing machine was 262 and 38 crores of coolers. This year, first quarter, the number is 383, 54 and about 4.8 crores in the coolers.

Sriram R: I'm just freezing in one more question. I think your earlier call, you mentioned that you're planning to launch front loads also. So, where is that, I mean, when can we expect you to do that?

Management: Now, sir, we are launching top-load fully automatic washing machines and we are studying the front-load washing machine category also. We are doing market research on that. Maybe next 2 months, 3 months we will be able to take a call on that and right now we are going ahead with adding more platforms. We already have two platforms in fully automatic top-load washing machines, but we are going to add two more platforms in full auto top-load machines.

Sriram R: Thank you so much. All the best.

Management: Thank you.

Moderator: Thank you. The next question is from the line of Mahesh Warje, an Individual Investor. Please go ahead. Yes.

Mahesh Warje: Hi, sir. I was listening to a call of one of your competitors, and he mentioned that it is the component business in AC where the real profitability is and the whole unit profitability or that business perhaps doesn't have as much future. So, could you comment on that?

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Management: See, we don't want to comment on the competition strategy. But our experience in the past on the component business has been that because of the low asset turn and high capital intensity, that business does not actually merit any capital investment. And there is no case for making a capital investment and on the standalone component business as of now, our working still remains the same. We keep on evaluating but it's very difficult to make money in RoCE terms or RoE terms in the component business in our opinion.

Mahesh Warje: Okay and the second thing that I came across in the same call was that the trend in the AC business is more insourcing than outsourcing and which is why the focus there has shifted to component side. So would you comment on that please?

Management: Sir, actually, some of the brands are going to have insourcing, given their commitment in PLI and they are going to put up their factories or expanding their factories. But to clarify, this PLI is on the components, not on the finished goods ACs. So, all those companies, whosoever are going to do insourcing, they will be making components also in-house.

But having said that, our company has a very different strategy to grow our AC business and we have a very large focus on the future growth drivers like large format retail and e-commerce guys and then there is a very long tail of brands in India there are more

than 40 brands in India

in the AC market and out of that maybe 25 to 30 of them don't have any manufacturing facilities and their numbers, annual numbers are maybe ranging from 50,000 to maybe 200,000 or 300,000 where it is not economically viable to set up their own manufacturing facilities. So, we are trying to target all those long tail of brands for growth for our company.

Mahesh Warje: Okay, thanks a lot. Thank you.

Moderator: Thank you. The next question is from the line of Amber Sighani from Nippon Mutual Fund. Please go ahead.

Amber Sighani: Hello, Yes, hi sir. Thanks for taking my question. Just two things from my side is one, you mentioned that you'll be applying for IT hardware PLI. So, if you can just elaborate a bit on for which products you would be planning to use this PLI as such and what are our plans there? Will it be a component or would it be a pure complete product per se like a laptop or tablet or anything as such, if you can give some color on that?

Management: So, we are just exploring the opportunities. We are in touch with some of the clients and as of now we are not able to provide any update on that. So as in, when we are able to form up something, we'll come back to you.

Amber Sighani: But for this we would be needing some partner or we have capability to go on our own?

Management: So as of now we are applying for this IT PLI 2.0 in our JV company, where our JV partner, Jaina India has some experience regarding the distribution of the IT hardware products. So, we will try to use that. Going forward, maybe we'll get into a partnership with one of our clients. So, right now it will not be prudent for us to disclose any information on that.

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Amber Sighani: Okay and secondly just to reiterate the previous questions on volume and PLI on the other brands per se. First part is on the room AC side when we are seeing the top brands are also setting up their own manufacturing facilities or expanding their facilities as such. I understand there is a long tail of brands, but those will always remain a fringe brand as such. The larger growth will only come from us 5 brands, 6 brands collaboration as such.

So in the event of those expanding capacities in-house, do you see that our strategy of focusing on the fully built unit itself will have any risk in future on that line, that is one. And secondly, on the TV side, as one of the participants asked that the industry is not growing much per se. So, on that account of this new capacity, which we are setting up, how are we seeing to this getting utilized? Do we have any firm commitment or any firm orders on the onboard business?

Management: Vikas, I will answer this, for TV, you take this question. For RAC, basically we have a very different take on this whole thing. You know, the top brands are adding capacities. I fully agree with you and I just give you an example if you see 4 years, 5 years back what was the market share of the top four brands in the TV market / LED TV business or LED TV industry and what is their market share right now.

We understand sir that whenever there is a product commoditization happening, then the consumers will stop paying premium to those brands and there will be mushrooming of new brands. And with this ease of distribution, with this LFR and e-commerce players coming in, so there is a lot of mushrooming of the small brands. And let me tell you, these brands are nothing, but these are the price points.

When the products are getting commoditized, we believe that there will be a very strong focus on the kind of cost leadership you can offer to your customers and let me tell you outsourcing is always in India. To start with, the focus is always on the entry-level products where at some time if you see the companies like many companies who are doing their own in-house mobile phone manufacturing,

g, LED TV manufacturing, washing machine manufacturing, are outsourcing entry-level products to the contract manufacturers.

So, this is not going to stop, sir. This is in fact going to increase with the increasing competition because the kind of cost structures what we can offer to the brands it will be very difficult for them to match those cost structures especially for the entry level products where the competition is very intense. Vikas about TV you can answer please.

Vikas Gupta: So, television I see like the market is like in case of televisions, almost 70% of the quantity that is being sold in India is outsourced. And if you see there are very few large contract manufacturers in TV category. I would say there are only two large contract manufacturers. So, we see a lot of scope for a third player especially in North India. So, we have certain clients, we are already in discussion with them and we are quite confident of the numbers that we are talking in television business. So, that is already there in pipeline. So, we will be exhibiting that.

Amber Sighani: Got it. And lastly, if you can just share volume numbers for room AC and wash machine in your product versus for FY23 and Q1 vis-a-vis last year?

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Management: Can we take it offline? I do not have those numbers in handy and we will share, get it -- we'll reach out to you and give it these numbers to you.

Amber Sighani: No problem. That's fine. Perfect. Thanks and all the best for the future.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you, sir.

Management: Yes, thank you everyone for participating in the call. I just want to highlight that we are focusing on capital efficiency and we are committed to have a leading industry growth with best -in-class return ratio in the sector and we as a team are working towards that. We hope to maintain the leadership, cost leadership, and we will be investing in the product leadership for the specific models and products in the coming years. With this thank you all.

Moderator: Thank you. On behalf of PhillipCapital (India) Private Limited that concludes this conference.

Thank you for joining us. You may now disconnect your lines.

Management: Thank you everyone.

Call: Feb 2024

February 16, 2024

Sub.: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 – Transcript of the Earnings Conference Call

Dear Sir,

Pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, please find enclosed Transcript of the Earnings Conference Call held on February 13, 2024.

This is for your information & Records.

For PG Electroplast Limited

(Sanchay Dubey)
Company Secretary
To,
The Manager (Listing)
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 533581 To,
The Manager (Listing)
National Stock Exchange of India Limited,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051

Scrip Symbol: PGEL
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"PG Electroplast Limited
Q3 FY'24 Earnings Conference Call "
February 13, 2024

MANAGEMENT : M R. VISHAL GUPTA - MANAGING DIRECTOR - FINANCE
PG ELECTROPLAST LIMITED
M R. VIKAS GUPTA - MANAGING DIRECTOR - OPERATIONS
PG ELECTROPLAST LIMITED
M R. PRAMOD GUPTA - CHIEF FINANCIAL OFFICER
PG ELECTROPLAST LIMITED

MODERATOR : M R. DEEPAK AGARWAL - JM FINANCIAL

Moderator: Ladies and gentlemen, good day and welcome to PG Electroplast Limited Q3 FY24 Earnings Conference Call hosted by JM Financial. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone.

Please note that this conference is being recorded. Certain statements in this release concerning our future growth prospects are forward-looking statements which involve a number of risks and uncertainties that could cause our actual results to differ materially from those in such forward-looking statements. We will now undertake to update any forward-looking statement that may be made from time to time by us or on our behalf.

I now hand the conference over to Mr. Deepak Agarwal from JM Financial. Thank you and over to you, sir.

Deepak Agarwal: Thanks. Good afternoon, all. On behalf of JM Financial, I welcome you all to PG Electroplast Q3 FY24 Earnings Conference.

Today, we have with us senior management, represented by Mr. Vishal Gupta, MD, Financial, Mr. Vikas Gupta, MD, Operations, and Mr. Pramod Gupta, Chief Financial Officer. Without taking much of time, I would like to hand over the floor to the management for their opening remarks, post which we open the floor for Q&A. Thanks and over to you, sir.

Moderator: The line for Vishal Gupta has been disconnected. We will please wait while we reconnect. The management line is very connected.

Vishal Gupta: Yes. Thank you, Deepak. Good evening, everyone. Thank you for your time and joining this call today. Hope all of you are doing well. Yes.

I'm joined on this call by Mr. Pramod Gupta, our Chief Financial Officer, and Mr.

Vikas Gupta, our MD, Operations. We have already shared our results presentation and press release; Hope you have had the opportunity to go through the same. Nine months of this financial year has been another strong period for our company with good growth over last financial year numbers.

There is a lot of noise in the background. Hello. There is a lot of noise in the background.

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Moderator: Yes, I'm just checking.

Vishal Gupta: We need to put all the people on the mute.

Moderator: Management can continue.

Vishal Gupta: Yes. Thank you. Yes.

So nine months of this financial year has been another strong period for PG with good growth over last financial year numbers. Sales have grown 26% in this period and have crossed INR1,665 crores with product business growing at 23%. EBITDA has also increased by 50% and stands at INR 155 crores while net profits have risen by 75% and stands at INR 65 crores.

Product business in these nine months have crossed INR888 crores in FY24 with room AC business contributing INR641 crores which is a 29% growth on a YOY basis. The washing machine business stands at INR 234 crores and has grown by 11% on YOY basis.

Electronic business which includes LED television business was at INR 277 crores and grew at 112%. Order book for product business remains robust and the company is on track to scale the product business significantly in FY24. Company is continuing its investment in new product platforms across all product segments and we are focusing our efforts towards developing products that help us maintain cost leadership while we also strive to attain product leadership.

The company continues to see increased interest for businesses from new and existing clients and we remain very confident on the future growth prospects of the business. For the ongoing quarter that is the fourth quarter of FY24, we are guiding for a strong 30% growth with a sales guidance for this quarter at INR1075 crores which

h is a growth of 30% over fourth quarter of FY23 and EBITDA guidance of INR100 crores which is a growth of 30% over the same quarter of FY23 which was at INR 77 crores. The growth in product business such as washing machines, room air conditioners and air coolers is expected to be around 40% at INR 870 crores. So overall sales for this quarter we are guiding at INR1,075 crores. And the capex guidance stands in the range of INR170 crores to INR180 crores for FY24 and the major capex has been completed with new room AC plants operational in Bhiwadi, in Rajasthan and expansion of creating a new building of 3,00,000 square feet in Supa Maharashtra has been also completed and our flagship manufacturing facility for LED TV under JV of Goodworth Electronics spread across 300,000 square feet area is also more or less ready and we are ready for mass production from next month.

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With this I will now hand over call to my colleague Mr. Pramod Gupta, our CFO. He will elaborate on the financials. Thank you.

Pramod Gupta: Hello and good evening everyone. I am sure you have seen the financials in detail already. I am just summing up here.

We had a good third quarter in many aspects. The net sales for the quarter grew by 16% YoY despite sharp drop in commodity prices on a full year basis. EBITDA grew 23.1% to INR 47 crores and net profit grew 40% to INR19.23 crores. During third quarter, operating margins moderated due to mix change. As lower margin, electronic business grew much faster than the overall sales growth. Coming to the balance sheet, we have utilized QIP proceeds to partly repay the debt both term as well as the working capital.

Also we have completed the capex and also we now have a gross debt of INR263 crores much reduced from the beginning of the year and cash and bank balance of INR164 crores. We are on track to control our working capital as promised and in 2024, working capital optimization remains one of the major focus areas for the company.

Our focus on improving capital efficiency is bearing fruit now and on trading 12-month basis, capital efficiency of the business has improved and our ROCE today stands at 19.8% and ROE was 16% post capital raise for the trailing 12 months. Net fixed asset turn for the consolidated entity is at 4.45x which we think we will improve further next year.

Our cash conversion cycle has lengthened in this quarter due to a strategic call by the management to pay around \$12 million as an advance to oversee vendors for better pricing for the coming AC season. We have recently signed a definitive agreement to acquire 100% stake in New Generation Manufacturing which is a private limited company and a 100% subsidiary of Amstrad Consumer India Private Limited.

We will be paying INR 15 crores and 1 lakh for the 100% equity and CCD to ACIPL. Further, we will invest INR50 crores in NGM in the form of equity and debt to pay the ICDs and long term loans in NGM. After that, the NGM will become free from all encumbrances.

The NGM has 12 acres of land which is just across our factory in PGTL and also it has over 200,000 square feet shed built with some assembly lines for room AC and LED TV. With this, now I will like to open the floor for Q&A. Thank you.

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Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Vipraw Srivastava from InCred Research. Please go ahead.

Vipraw Srivastava: Okay, so basically first question on your window AC facility. So, you are planning -- that facility is of around 300,000 units, right?

Management: Yes.

Vipraw Srivastava: And the total window AC sold has been constant for some time. That's around 1.1 million units.

Management: Right.

Vipraw Srivastava: So, this is like 30% of the existing market.

So, just want to understand that was this being an in-house and the company is outsourcing it to you, or will you be taking this market share from fellow EMS players?

Vishal Gupta: So, basically, see most of the brands who are selling window ACs in India, they outsource, they don't manufacture in-house barring one or two brands. And see, we are not claiming to sell 300,000 window ACs. I don't think we have forecasted that we will be selling that much.

We are targeting to sell window ACs and we have basically -- we are going to start manufacturing next week. So, this year, we may not be actually targeting a very significant market share in this product segment, but definitely maybe 10% to 15% of the market share we are hoping to get in the first year of operations. I don't think we have said 300,000 window ACs in any of the statements given by us.

Pramod Gupta: Also, please appreciate this capacity is on annual basis which you are talking about and being a seasonal business even in the best of the case, the capacity utilization never goes up more than 60%-65%.

Vishal Gupta: So, that's the capacity. That's not what we are targeting to have right now.

Vipraw Srivastava: Okay, noted. So, even if you let's say plan to take away let's say at 60% utilization and 300,000, 30% of the market. So, even if [inaudible] will that be easy?

Vishal Gupta: I am saying 10% to 15% of the market we are targeting for the first year.

Vipraw Srivastava: I just want to understand. Sir, will you be able to take that share from fellow EMS players? What will be your pitch to them? How will you differentiate yourself from, let's say, Ambler or EPACK?

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Pramod Gupta: We have shown and demonstrated that already in the split AC and we are already having a very sizable market share today and the players you named we are actually closing on in the market share with both of them in terms of split AC and we see no reason why we will not be able to repeat that in the window AC.

Vipraw Srivastava: But in the split AC it was more about import substitution, right? A lot of China -- issues from China were being imported. That has currently become almost close to 1% to 2%.

Pramod Gupta: That market was open for the competition also, right? They were the players who were already there in the market. Still we gained the market share, right?

Vishal Gupta: We are the latest. We are the last entrant in the RAC segment -- in the RAC industry. We are the last person to enter and still we have gained significant market share in the presence of all these competitions which were already there.

Vipraw Srivastava: Okay, noted. Last question on the TV part. So, Jaina currently has Karbonn and Sansui as brands and you also have got Amstrad. So, I mean your future as a TV manufacturer will be closely linked with the future of these brands, right? Let's say hypothetically if these brands lose market share in future, then it will lead to your TV utilization -- TV must be running at your utilization. Is this understanding correct?

Pramod Gupta: No. That understanding is not correct. The reason being is that we are not creating this facility only for these brands. They will be also our clients and we will be targeting other clients also. By the way, this year we are having a very high growth in the TV and there are many more other brands which are contributing to the growth apart from Sansui and Amstrad or whoever you named.

Vipraw Srivastava: Right. But then Dixon has the largest facility, right, around -- it has around 26% of the market as facility.

Pramod Gupta: You have to visit our facility please and then you please comment whether who has the highest or best or whatever facility. I will invite you maybe in the two weeks later or maybe in the first week of March, come and visit our facility and then you can ...

Vipraw Srivastava: No, I am

just talking about the plain numbers. 9.4 million units of TVs were sold last year. Dixon has a facility of 6.6 million units. I am just talking plain numbers. So Dixon has 66% of the market. So what I am saying is how will you differentiate from Dixon? And let's say saying that you guys have some value proposition which Dixon doesn't have so that people should come and get a TV manufactured from you.

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Vishal Gupta: Please understand we don't want to comment on the competition. We know about our capabilities and what kind of value proposition we can bring to our clients. Dixon has been there for long. And in the last one year we have grown our business in TV by more than 100% which has already been highlighted by Mr. Pramod Gupta while

sharing the numbers and we are still confident going forward. We are already adding quite a few new clients and we are confident of having a rapid growth in the FY'25 also for our TV business. We are already aligned with certain clients which we cannot disclose right now.

Vipraw Srivastava: Okay. Thank you.

Moderator: Thank you. And the next question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.

Deepak Krishnan: Hi, sir. So I hope you can hear me fine. I just wanted to check on ACs. Our top line for this quarter is down about 5%. We would have done about INR185 crores versus INR194 crores last year. Whereas brands have shown 30% plus growth. Any reason why ODMs are showing such low growth as compared to brands?

Pramod Gupta: Yes, there is a reason there. The reason is that some of -- most of the brands were carrying little inventory because there was an unseasonal rain in May and June and there was a lot of built up which happened during the January, February, March last year and that inventory was being carried by brands and they have just kind of got rid of their inventory because the off-season sales were very strong.

Also one more thing I want to highlight here. See, the capacity in the system has increased and because of that what has happened is that the seasonality in the business has increased further. So earlier the clients which used to get their manufacturing started sometime in November, December, now they have pushed it more and aligned with the sales that they do to their dealer and distributors. So right now if you see for most of the contract manufacturer, the sale is going to be much higher in January to April, May period than what it used to be in the past because everybody knows that there is no dearth of capacity so they don't need to make it -- they don't need to build the inventories from November itself. So that also is one of the reasons why because of which the sales have actually shifted in the AC side.

In our case also one of the reasons is -- I'll tell you, one of the reasons for decline is also the ASPs, average selling price for most of the consumer durable items at contract manufacturing site are down anywhere between 5% to 11% in the last one PG Electroplast Limited

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year or last two quarters at our end and that is also the reason why the overall sales look little lower because commodity prices have corrected.

Like, for example, plastic is down almost 12% on a year-on-year basis, copper is down 8%, aluminium is down about 10% percent. So because of those things, the prices of -- average selling prices of most of these consumer durable items are also down.

Deepak Krishnan: And any change in mix from components to finished goods? Is that also a big factor, because the capacity coming in...

Pramod Gupta: No. At our end, we have a balanced capacity. We are still focusing a lot more on the full product side and as we have been telling in the past, we are still going to be focusing lot more on the full product business. When I give you the numbers

of

product on the AC side or washing machine, they are the complete finished good products which we sell. We don't actually give the numbers on the component side and they are part of our plastic moulding and other segment. When the product side is only the finished good, final finished assembly which we are billing to the customer.

Moderator: Thank you. The next question is from the line of Pranay Roop Chatterjee from Burman Capital. Please go ahead.

Pranay Roop Chatterjee : Firstly a couple of data-related questions. Can you provide the volumes of RAC IDU ODU and washing machines that you did in Q3?

Pramod Gupta: That data we have stopped giving and we don't share for the competitive reason actually and we are sharing only the AC, washing machine and product business revenues only right now.

Pranay Roop Chatterjee : So actually why I am asking because like you said, one, there was some sort of inventory correction and then the ASP also went down and hence the revenue is down. So it is difficult to assess whether on volume terms we have grown. And hence in your Q4 guidance you have built around 40% growth Y-o-Y in Q4 for the product business. If there is an ASP decline of around 8%, 10% that means you need upwards of 50% of volume growth in Q4, right, on the last year Q4 base.

Pramod Gupta: No.

Pranay Roop Chatterjee : Okay.

Pramod Gupta: The reason is this that there is a new product line also which we are starting which is the window AC. And apart from that we are also starting to manufacture the -- having a manufacturing facility which is going to start production this month may be
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in the second half and from next month there will be a ramp up. So there will be volume growth coming from the Bhiwadi facility also which will be contributing for us. So the volume growth will be there no doubt probably what you are saying about may be 35%-40% in the existing product line and some business will be also being contributed by the window AC.

Pranay Roop Chatterjee : Perfect, sir.

Pramod Gupta: And these numbers I am saying are after what we are seeing already in the terms of run rate in the month of January, February based on that numbers only we are giving you a guidance.

Pranay Roop Chatterjee : Got it. Understood. Yes, that is all clear. Next, sir, quickly again a detailed question. In your Q4 guidance you have guided for INR 100 crores of. I think in December or late last year, audits were going on in plants for the white goods PLI. So that INR 15 crores PLI is this part of this INR 100 crores EBITDA? And if not, when do you expect it?

Pramod Gupta: See, we have submitted our application. Audits are completed at our end. There are some queries and those are getting addressed by our team, accounting team and we hope to get the PLI maybe in next 15 days to a month's time. And INR 15 crores of that PLI is a part of this INR 100 crores.

Pranay Roop Chatterjee : Got it. Next some more high level strategic questions. Now when I look at your -- when I look at PG's AC business, obviously it's scaled up quite brilliantly over the last three years but there seem to be quite a few factors that play when I look at it from a next two-year perspective. So let's say the RAC is growing at about 8%-10% at an industry level. What will happen in next two to three years, a chunk of the outsourced portion will sort of go in-house purely because they have invested -- the OEMs have invested in capacity.

Now the numbers that I have heard is 40% outsourced portion going to sub 30 already and then it will further reduce as the remaining OEMs actually move it in-house. While this is at play you are also expanding your market share quite rapidly, historically at least and you are focusing on CBUs and also targeting the long tail of OEMs in the RAC industry, like 40 plus brands who sell. So given this context and

that you have also expanded your RAC in Bhiwadi, Rajasthan, what kind of visibility do you have in FY'25?

Can we -- because there is a lot of dust and it's not clear. Can we expect a growth on FY'24 base for your AC business or should we think of it more as a flattish year

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where we are trying to figure out what happens in terms of insourcing versus outsourcing?

Pramod Gupta: Coming to your question, I do agree there is a capacity coming in the brands themselves and there is a capacity which is coming in the competition also. We are quite optimistic first of all on the medium term growth on the AC business segment. Yes I don't dispute the fact that next one year or one and a half year could be a little challenging as some of the outsourcing work may be shifting to in-house. But at the same time I just want to highlight that stabilizing the operation and rapidly scaling up the operation is also not easy for all the brands which have not been in the manufacturing business themselves.

So let us see how the scaling up actually happens that will decide the pace of outsourcing versus insourcing in the next one and a half year. I am not saying it is not possible to scale up but it is just that the hurdles will be there and how the companies are able to tackle that will decide what happens next year and year after. Also another thing which I want to highlight here is that given the fact that we are seeing opportunities in the side of government push and so many policies, we are very hopeful that probably there will be a period in the next five years where the growth in the AC segment will surprise.

And we will see a continuous growth of 20%-25% or maybe five-six years because

the penetration levels remain so low. And affordability is increasing especially I am very hopeful that once the electricity prices are relatively lower these things will start picking up the penetration levels will start picking up very significantly. Also I want to highlight that our cost competitiveness cost leadership makes us a preferable partner for most of the companies who are looking to outsource.

And we have been gaining market share and if the market remains even stable then we are hopeful that we will be able to show some growth even in 25.

Pranay Chatterjee: Got it sir and lastly anything you would like to disclose on IT hardware PLI in terms of investments that you are planning to do the orders that you might have got or in the pipeline any disclosure on that picture?

Pramod Gupta: We will disclose those things as and when we have any announcements to make. The efforts are on and the team is working towards it, that's all I have to say.

Pranay Chatterjee: Thank you sir I will get back in the queue.

Moderator: The next question is from the line of Praful Siddharth from Shravas Capital. Please go ahead.

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Praful Siddharth: Hi, sir. Congrats on good set of numbers I just wanted to understand how much revenue did we generate from the plastic moulding segment during the quarter?

Management: Just hold on for a minute I will just give you this figure. This quarter plastic moulding and others were just -- it was INR151.7 crores.

Praful Siddharth: Got it, sir. Got it. Sure and how much is it from the electronics and moulds segment?

Management: Electronics was totally about INR103.09 crores.

Praful Siddharth: And the moulds?

Management: Pardon?

Praful Siddharth: Molds.

Management: Molds was about INR1.72 crores.

Praful Siddharth: Got it. Great sir. Thank you so much. That's it for me.

Moderator: Thank you and the next question is from the line of Koushik Mohan from Ashika Group. Please go ahead.

Koushik Mohan: Hi, sir. Sir in the starting you mentioned that about the cash flows that you have made some international payments and that's the reason there

has been a stretch in

your cash flows. Sir can I get some more clarity how much discount are we getting because of this or what kind of thought process we have that we have extended our cash flows?

Farokh Pandole: This is just. Yes.

Pramod Gupta: Yes there was this cash flow that excess cash which we are having was lying in the fixed deposit and we are getting just about 7% interest on that. What we have done is there was a particular vendor with whom we were able to negotiate for about 3% kind of a discount. And on an advance payment basis rather than giving him a payment afterwards and that's why ...

Vishal Gupta: Our payment terms with that vendor was 45 days. So for 45 days we have paid them before shipment and we were able to take cost advantage of 3%. So we saw it as a very significant saving. So that's why we went for that.

Koushik Mohan: Okay. And my sir, second follow-up question is on, sir how are we looking the growth on RAC segment over next year. Any comment or any thought process that we have it?

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Pramod Gupta: See, I will be able to give lot more colour on it once we actually are meeting after the fourth quarter. By that time we will have much more clarity on the outsourcing plans of some of our clients. However the order book that we have as of now till May, June looks pretty promising and at least in the first half of the next year which is till June we see a decent growth accruing to us if the season doesn't play a spoilsport again this year.

Koushik Mohan: Got it. Sir, and you also mentioned that we are going to get in INR100 crores, INR 15 crores as a PLI amount. That means that this quarter margins and everything were all in line. Just because of the PLI we will be getting a spike on the EBITDA and the PAT level. Is my assumption right?

Pramod Gupta: Yes you are right on that. But see we don't actually take the PLI benefit till the time it actually comes to us or our application was accepted. So this quarter our application has been accepted and we are hoping the payout to come this quarter. So that's why we are actually delaying this accruing of PLI to the quarter, this fourth quarter.

Koushik Mohan: Got it. That means that we are in a run rate of net profit of INR100 crores this year?

Pramod Gupta: You cannot say run rate ours is a seasonal business and you know typically fourth and the first quarter of any financial year are the strongest period for us and second and third quarter are typically little weaker.

Koushik Mohan: Thanks.

Moderator: Thank you. And the next question is from the line of Mahesh an Individual Investor. Please go ahead.

Mahesh: Yes. Hi, sir super numbers. Just wanted to understand this PLI side, I heard somewhere that of the 25 companies that applied for AC-PLI and this was a few years ago. Now just eight or nine companies are actually in a place to claim any incentive at all because they have not been able to meet the objectives. So what has been our PLI experience and what do you see, is the competition also going to get incentives or not meaning obviously you can't know exactly but what is your sense on this?

Pramod Gupta: I think one is that the targets are getting challenging for everyone on an incremental basis because there is a growth which is required year-on-year to meet the PLI targets. And next year the challenges are going to be bigger because the size or the amount of targets are almost 50% higher than what they are this year on an incremental basis. Obviously some of the companies or the competition or people who had a larger revenues in the base year they are at a little disadvantage because of

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the fact that they have to not only first of all do the numbers which they did in the base year. And now they have to actually meet these incremental targets also. I do

not

have the number of how many people are likely to get or not. I think there was 21- 22 companies which were totally there in the first phase when they applied. And some of those must have fallen through because the targets are stretched and one thing was always that investment and sales both needed to be done to meet the targets. And some of the companies are probably not done the investment targets also in the first phase. And they have fallen apart. And now the sales will be obviously some challenging for some of the companies.

Vishal Gupta: Mahesh ji I agree I will further add to what Pramod ji has said so when this PLI scheme was announced and when we set up this company by name of PG Technoplast which is a wholly owned subsidiary of PG Electroplast the basic structure and timing has been such that we are in one of the best positions to avail the benefits and take benefit of this PLI. The way this thing has been structured and since in our case the baseline is virtually zero.

So whatever sales we do is an incremental sale and we are able to get benefits, PLI benefits on those sales, whereas in case of the competition who have been in this business for last many years so they already have some legacy or some baseline numbers which they have to cross every year. And on the top of that they have to do incremental sales every year. And that also is increasing every year.

So the challenges for them is very high and that our customers also do understand. So they always prefer giving business to us because they know that some of that benefit maybe we can share with them.

Mahesh: Yes, thanks. Are there any state benefits due this financial year or next financial year over and above PLI?

Vishal Gupta: See, in case of PG Technoplast our super factory in Maharashtra so we as -- we already have a I think you are aware of that or not that we already have a mega project status from the government of Maharashtra. And we are hopeful to file our application in next two-three months. And in next financial year we are targeting to get those benefits also from the state government of Maharashtra.

Mahesh: And one last question clearly meaning we have seen some of the larger competition results where the revenues have declined whereas in our case both the revenues have grown for first nine months as well as for the fourth quarter we are giving guidance of growth again. So we are gaining market share over competition. And as Pramod mentioned some time ago that there seems cost leadership is one of the drivers.

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What I want to understand broadly without giving any competitive information whether the fact that we are concentrated as in most of our AC manufacturing has been happening in Supa. Only now we'll have another facility. Has that played a role in our cost competitiveness.

Vishal Gupta: See definitely if you don't spread out anything in our case, our facility is one location till now and now we have one more location. Whereas in case of competition they have factories maybe spread across 20 plus locations. And they have to meet similar numbers, we are doing similar numbers from 20 plus factories and we are trying to achieve similar numbers from one or maybe now second unit. So definitely the cost overhead and all those, that can be an edge or an advantage but we are always trying to achieve.

Mahesh: Okay, thanks a lot. So basically it seems like structurally PG has a cost advantage which cannot easily go away that's my conclusion from what you have said.

Pramod Gupta: Also I want to highlight that ours is a mostly organic growth. We do not have any legacy which is coming to us because of inorganic growth or maybe other companies which have been acquired. And so we do not have those challenges or efficiency issues which some of our competition may be having because they have gone for many acquisitions

in the past etcetera. And we have a very focused team and a very small team even in the middle and the top management which drives their whole business.

So I mean the kind of revenues we are doing from AC I mean not many companies will be having this smaller team which can actually drive this kind of revenues in the AC business.

Mahesh: Okay, thanks a lot sir. All the best.

Moderator: The next question is from the line of Pranay Roop Chatterjee from Burman Capital. Please go ahead.

Pranay Chatterjee: Two more quick questions. Firstly on your acquisition of Amstrad's contract manufacturer NextGen. I was looking at Amstrad India's annual report and they seem to have about INR 255 crores of revenue in FY23 and INR 217 crores of purchase of stock in trade in their COGS. So, is it fair to say that if they, if this INR 200 crores is entirely outsourced then that is what you can address. Is that the right way to think about it and how quickly can we service this because this is like captive or semi-captive sort of consumption right?

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Vishal Gupta: There are two things basically the first part is with this facility what we have acquired, which was a 100% owned subsidiary of Amstrad Consumer India Private Limited, which has a brand name by the name of Amstrad. They had a manufacturing facility which was just across the road. It's a very new manufacturing facility, which very well aligned and fit with our current operations in Supa with the new factory building being made, now we don't have any more land available for future expansion.

So we thought that this being just across the road makes a lot of sense that we should acquire a 12-acre facility. That was one part. In addition to that, just to sweeten the whole deal, the basic idea is they are already branding of room air conditioners, washing machines, and TV. So as a part of the deal, we will have a preferential treatment and a first sign of refusal for any outsourcing opportunity for these products from this brand.

Pranay Chatterjee: So, sir, any sense if they're outsourcing part of that INR200 crores as of today?

Vishal Gupta: So we are already doing maybe some part of that, around 50% to 60% of that is already doing, but we are targeting to make it 100%. And go back further.

Pranay Chatterjee: And lastly, on the state incentive, could you just help us understand, I think you mentioned the INR15 crores number in one of the past earnings calls this year, that you will probably recognize next year after you file the application. Is the INR 15 crores number accurate and is that a constant figure every year and how long will you get that for? Just some of those fall-back numbers.

Vishal Gupta: No, no, no. INR15 crores is not the right number. The number in the first year is going to be much higher because when we file for an application typically we get the

past whatever numbers you have done, you are also able to claim that for the past 2- 3 years from the time you have started the commercial production.

So that number is going to be more like INR 20 crores to INR22 crores per year eligibility that is what we are expecting. So in the first year we will be probably having eligibility we will be accruing the two years numbers or maybe slightly more than two years numbers. In the first year the number is more likely to be more than INR40 crores to INR45 crores or maybe slightly higher than that.

Pranay Chatterjee: And basis, reasonable assumptions and your plans of filing in two months from now, how does the timeline usually look like? When can we reasonably accrue it to our P&L?

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Vishal Gupta: Yes, you know, we have been in state of Maharashtra for last more than 12 years. So typically when you have your audit balance sheets and get your audit, GST audit done, which norm

ally happens by September of, you know, next financial year. So suppose by 31st March 2024, we are able to close our balance sheet, get the audit done by April, complete our GST audit in next two, three months, and file our application. So before closure of next financial year, we should target to get this money from the state government of Maharashtra.

Pranay Chatterjee: So, but isn't this like 6% to 7% of sales? That's the formula, right?

Vishal Gupta: No, no, it's not like that. You know, the amount of capex you have done, the eligible capex, and it is divided by 12 years. So that becomes your maximum amount eligible, what you can get. But in case, because we have a mega project status, we can avail a gross SGST reimbursement from the state government of Maharashtra.

So in case of RAC, the gross SGST for room air condition is 14%. But you know, then there is a maximum cap. So, you know, we will get maximum cap only because we will meet that cap very easily.

Moderator: Thank you. And the next question is from the line of Pulavarthi Sai Kiran an individual investor please go ahead.

Pulavarthi Sai Kiran: Yes, so just taking a step back, if you have to look at the last three years or four years, finally the growth has been driven by the room AC for the -- company, and it has given fantastic set of results. And if we look forward for the next maybe three to five years, how do you see PG Electroplast shaping up, maybe both in terms of the product breakups and what are the initiatives which you guys are looking at, and probably with these initiatives how the numbers might look like?. Just your thoughts, that will really help us. Thank you.

Vishal Gupta: See, please understand there is a clear focus on the government of India for Make in India. And government is giving all kinds of tariff and non-tariff support to promote manufacturing in India. And they want to really restrict imports into India. So all these are playing out as a very strong tailwinds for our business.

In addition to that, there is a good economic growth what India is experiencing, which is actually improving the purchasing power and the disposable income in the hands of the consumers, which will actually propel the growth of the consumption of consumer deliverables and consumer electronics in India.

So when you ask for a number for three to five years, I can give you a very general statement. We cannot give you any specific numbers on that, but we are very

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confident that kind of policy environment that we have in India, that kind of economic environment we have in India, we have a good future for our selves and for the country.

Pulavarthi Sai Kiran: And in terms of any specific product initiatives which you might want to enter, and probably some progress would have already gone in either in terms of thinking internally or maybe discussing with a few other potential partners or something of that sort?

Vishal Gupta: We are always looking at all possible business opportunities. IT hardware PLI is one of them. That is what we are trying. We have re-entered the LED television business, where we can see that we can offer a long-term and viable value proposition for our customers and where we think that we can acquire required capabilities and skill sets

to sustain that business on a long-term basis, we will definitely go into any kind of product business.

So as of now we cannot give you any specific inputs on that but as and when we will have something to share we'll definitely share with all of our stakeholders.

Pulavarthi Sai Kiran: Got it. One last question from my side. Just like what you have seen on the [AC] that's an exponential growth for this company any segments you foresee for the next few years which can drive such a substantial growth for this organization? That's it. Thank you.

Vishal Gupta: Sorry you were not v

ery clear audible to me. Pramodji did you get this question?

Pramod Gupta: So this, right now, the hardware PLI and television business is surely one thing which we are expecting to show some decent growth. Also post-election we are very hopeful that there will be lot of opportunities coming for export and also some of the companies, some of our clients which are looking at Make in India initiatives and shifting out of China.

So there will be opportunities in them. Those opportunities I cannot detail right now because they're in initial stages of decision. But we are very hopeful that there will be some large opportunities for outsourcing coming with existing and new clients, which we are in the process of discussion. And once something formulates, we will get to it.

Moderator: The next question is from the line of Farokh Pandole from Avestha Fund Management LLP. Please go ahead.

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Farokh Pandole: Hi. My first question was relating to the component infrastructure in India and you know to what extent over the last couple of years has there been any change and from everything that you know speaking with government etcetera, what do you how do you see the development of this infrastructure over the next couple of years, specifically with relation to depending on China?

Vishal Gupta: What is happening Mr. Pandole is that government is very clear that they have to promote local manufacturing in India but as usual you know now what government has done, they have put up a lot of quality control orders and they have mandated whatever goods are being imported into India, they need to have BIS certification. And most of the Chinese companies are not able to get BIS certification for the finished products or components which they want to sell to India market. So those imports are getting restricted and all the Indian companies are kind of being compelled to either go for local manufacturing or have vendor development, tie up with vendors who are ready to invest and grow and make those components in India. I will just give you an example. In case of room air conditioner, the copper tube plant is coming up in India and I think next two, three months the commercial production will start. The aluminium foil also, which was not available in India, that manufacturing will also start in next one or two quarters. Same, the motor guys are already expanding their facility in India. Compressor guys are expanding their facilities in India.

So there is a lot of action happening as far as consumer developers are concerned. And in case of consumer electronics, you also must be seeing a lot of media articles that a lot of action is happening at the semiconductor side, OFET side, PCB side. So a lot of things are happening. But it will take another two, three years for us to really evaluate the performance and the achievements of Indian companies, how well they take up this opportunity, take up this challenge, and how they really make them ready to compete with these Chinese companies.

Management: In the last three years, just want to sum up, a lot of development has happened, at least in the consumer appliances side. you know, the capacities have come in for different segments like motors, compressors, and now controllers are all getting assembled largely in India. So, a lot of assembly capacity as well as components capacity is coming up and is in the process of getting rammed up. We think that this will further accelerate in coming years.

Farokh Pandole: Great, just related to that question, would anything at all in the component space provide opportunities for you in the future as a company to exploit? And my second

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question was just if you could give some clarity, because I think two of the previous participants asked a question about AC growth over

the next year to which I got the sense that the answer was sort of opposite to those two questions.

I guess I misunderstood. So if you could just clarify as we look forward to the next year, you know, I know you can't be very specific with numbers, but if qualitatively you could address what is the opportunity for the next year as far as air conditioners are concerned?

Pramod Gupta: See, surely on your first question on the component side, there are opportunities which are going to be there and we will participate in some of them for local manufacturing as well as if possible export opportunities. And we are seeing interest from both the clients as well as some of the vendors, existing vendors of ours as well as industry vendors who are looking for partnership in India for manufacturing those components or assembling those components in India.

However, you know, we have actually put up a very stringent safeguard in terms of the asset terms that we require to do any business along with the margins. So we are actually slightly cautious in taking up those opportunities, because we don't want to get into the business where we do not make adequate return on capital.

So we think which will fit our model or return expectation, we will surely pursue those opportunities and we are in discussion with some of the partners for the same. Coming to the other thing about the clarity on the business, see I have a very significant visibility of the next six months which is still the June quarter and because they are the firm orders which companies have given to us and if the rain, as I was saying, doesn't play a spoiled sport, we are very hopeful that even in the first half of next year the growth should be pretty decent for us.

Now there are capacities coming and there is a lot of noise about the capacities and expectations of some large clients who are putting up their capacity and how that capacity ramps up and what decisions they take, with whom they take to, take the work out and shift to their own capacity is going to be actually deciding the fate of each individual company. Fortunately for us, we do not have a very high dependence on any single large client. That is point number one.

Point number two is we have been all the time trying to get more and more new clients added and also expanding our relationship in each of the existing clients and that has been driving our growth.

We want to continue with that strategy, and we do know that business is going to get difficult maybe but because the brands also are facing a pricing challenge, they will PG Electroplast Limited

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have to find out and they will have to work with the vendors who can give them a very price competitive solution and we actually stand the best chance among the competition.

So we are very hopeful that given our cost structure, given our positioning in the market and the PLI advantage that we have, we are and the quality that we give and the solutions we are giving and now we are working towards product leadership. We are the best placed company in the AC segment for partnering and if there will be an opportunity in India, then we will be having a very good chance to continue to outsource, to become an outsourcing partner. So I cannot actually...

Vishal Gupta: Yes, I will add to what Pramodji has said right now, Mr. Pandole. See, we got into AC business only maybe two years back, and in last two years, two things have happened, very significant things have happened that we have grown this business very rapidly and at the same time, we have been able to establish ourselves as a credible and a quality supplier and a quality partner to all our customers. So their comfort level is at a very, at a very different level now.

They are much more comfortable working with PG. They are very well aware of the capabilities of PG. So we don't see much challenge

now. `See, two years back, we

were totally new. That was very challenging times for us.

But if we talk about today, if we keep our heads down and we focus on the things that we are doing right now and we keep our focus there, we keep ourselves grounded, we don't see any challenge in growing this business further in spite of all the challenges that we have shared with you.

Management: Just to add to what Mr. Pramod and Mr. Vishal has said, please understand, definitely air conditioning has played a very large role in the growth of our company for last three years. But nonetheless, there are other product categories also like washing machines, electronics, plastic molding, which are also growing.

So we feel that our revenue is much better diversified as compared to other competitive players.

And we feel there will be a significant growth in other product categories as well. So which will be able to help us in growing the company going forward. Thank you.

Farokh Pandole: Excellent. That's great to hear. Thanks very much and wish you all the very best for the coming quarters.

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Moderator: Thank you. And the next question is from the line of Nikhil Kanodia from Philips. Please go ahead.

Nikhil Kanodia: Sir, I just wanted to know what is the cost difference between Indian manufacturing and versus China in comparison to China?

Pramod Gupta: In what? In what products?

Nikhil Kanodia: AC manufacturing.

Pramod Gupta: Actually, it's difficult to say right now. See, the cost of manufacturing may not be very different. Maybe they may have an advantage of maybe 1% or 2%, 3%.

But actually what happens is right now, the component ecosystem was largely the reverse in China, and they had a huge advantage of economies of scale. And they were not paying any money to, get on the logistic side to get the components from China to India, which we have to pay. And also there is a long lead time and then financing costs also adds up on those things.

So that advantage they are probably enjoying. But that advantage is slowly going away because there is a manpower cost which is increasing very rapidly in China. And also the finding the availability of labor to work in the shop floor is becoming challenges in the large cities, at least in China.

So those kind of challenges they are facing. But still, I believe they may be having an overall advantage of about 5% to 10% vis-a-vis Indian manufacturers because of the availability of components, local availability of components and also the scale benefit that they have.

Nikhil Kanodia: So, sir, this 5% to 10% benefit is post the labor arbitrage which you have said just now, right?

Pramod Gupta: Yes. About 5% or so is the cost on logistic itself that we may be paying in major of the major components that we are still importing from China and some of the raw material like copper we import, copper tubing. That's also quite bulky.

A lot of it is air actually. Similarly, the compressors, the motors, these things and the scale is very different in China. They are like making 10 times of what we sell right now in India.

Nikhil Kanodia: Got it. So the next question I think is that any plans to increase the R AC component business? I know you answered this previously, but I would like to I would like to elaborate more on whether you are planning to increase your component business and any plan for that?

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Vishal Gupta: Definitely, we are planning to increase our company, any business, any business where we are able to have certain our own internal benchmarks we have created for any capital allocation. If any business meets those requirements, those benchmarks will be very aggressive on those businesses, and we'll try to grow that business.

So we see by the grace of God, we have a large team of people available

with us. So

we are able to have focused approach in all product segments. And that is why we are able to grow all products segment for last three years.

So, yes, for components also, there is a very clear focus and there is a clear team available whenever any viable business opportunities will be there will be definitely be very aggressive for that.

Nikhil Kanodia: And one last question. How many customers are we having currently R AC and

washing machines?

Pramod Gupta: In RAC, we will be probably servicing more than 25 brands this year. Similarly, in washing machine, we will be having close to 25 brands which we will be servicing this year.

Nikhil Kanodia: And this will increase to any rough idea?

Pramod Gupta: Increase to we will be able to tell you only next year once we add and start getting order. But this is as of this financial year, I'm talking '24 financial year.

Vishal Gupta: So as like we have added quite a few clients in both in our air conditioners and washing machine business in last one or two quarters.

Nikhil Kanodia: Okay. Understood. Thank you so much.

Moderator: Thank you. As there are no further questions from participants, I now hand the conference over to management for closing comments.

Pramod Gupta: I'd like to thank all of you for taking and sparing your valuable time to come and participate in the call. We would like to also invite you to visit us both in Noida, Bhivadi now and also in Supa and see our facilities. You can call me, or you can contact, you know, send the email to our investor relations and we'll try to accommodate you. Thank you very much.

Moderator: On behalf of JM Financial, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Management: Thank you, everyone. Thank you.

Call: May 2024

May 27 , 202 4

Sub.: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 – Transcript of the Earnings Conference Call

Dear Sir /Madam ,

Pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, please find enclosed Transcript of the Earnings Conference Call held on May 23, 2024.

This is for your information & Records.

For PG Electroplast Limited

(Sanchay Dubey)
Company Secretary
To,
The Manager (Listing)
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 533581 To,
The Manager (Listing)
National Stock Exchange of India Limited,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051

Scrip Symbol: PGEL
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Q4 FY'24 Results Conference Call"
May 23, 202 4

MANAGEMENT : MR. VISHAL GUPTA – MANAGING DIRECTOR ,
FINANCE – PG ELECTROPLAST LIMITED
MR. PRAMOD GUPTA – CHIEF FINANCIAL OFFICER –
PG ELECTROPLAST LIMITED

MODERATOR : MR. DEEPAK AGARWAL - JM FINANCIALS

PG Electroplast Limited
May 23, 2024

Moderator: Ladies and gentlemen, good day and welcome to PG Electro Class Limited's Q4 FY24 Results Conference Call, hosted by JM Financials. Ladies and gentlemen, certain statements in the release concerning our future growth prospects are forward-looking statements, which involves a number of risks and uncertainties that could cause our actual results to differ materially from those in such forward-looking statements. We will now undertake to update any forward-looking statements that may be made from time to time by us on our behalf.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need an assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Deepak Agarwal from JM Financials. Thank you, and over to you, Mr. Agarwal.

Deepak Agarwal: Thanks. Good evening, everyone. On behalf of JM Financials, I welcome you all to PG Electro Class Q4 FY24 Earnings Conference Call.

Today, we have with us Senior Management, represented by Mr. Vishal Gupta, Managing Director of Finance, and Mr. Pramod Gupta, Chief Financial Officer. So, without taking much of time, I would like to hand over the floor to the Management for their opening remarks, post which we open the floor for Q&A. Thank you, and over to you, sir.

Vishal Gupta: Thank you, Deepak. Thank you, everyone. Good evening, everyone. Thank you for spending your valuable time and joining this call today. Hope all of you are doing well. I am joined on this call by Mr. Pramod Gupta, our Chief Financial Officer. We have already shared our results presentation earlier, and hope you must have gone through that. Financial year 2024 has been another remarkable year in the growth journey of PG, with many milestones. The company has been able to de-leverage its balance sheet and raise funds via QIP for the next phase of growth. The company has also forged a new JV partnership for the TV and hardware business, and the JV company, Goodworth Electronics, was selected for IT hardware PLI 2.0. Operating revenues for the company grew 27% and crossed INR2,746 crores, with product business contributing around 61% share in the operating revenues. EBITDA also increased by around 52.3%, and stands at around INR275 crores, and net profits rose by around 77% to INR137 crores. Company has posted industry-leading growth in the product business, and operating revenues for product business crossed INR1,668 crores in FY24, with 24% growth. This is despite the fact that average selling price, that is ASP, in certain categories is down by up to 8% on a year-by-year basis. The room AC business contributed INR1,317 crores, which is a 26% growth on a year-by-year basis. The washing machine business had a growth of 20% on a year-by-year basis, and coolest operating revenues were flat, largely because of steep fall in ASP. Order book and visibility for product business remains robust, and the company is on track to accelerate product business growth significantly in current financial year also.

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PG's new product offerings in washing machines and room ACs have been received very well, and we have got very good response from our clients. The company is focusing its efforts towards developing cost leadership, while striving for product leadership too.

Vishal Gupta: The company continues to see increased interest for business from new and existing clients, and we remain very confident on the future growth prospects of the business. For FY25, our operating revenue guidance starts at least INR3,400 crores in PGEA, and another INR1,600 crores in our GB

company, Goodworth Electronics, employing INR4,000 crores of group operating revenue, which is a growth of 46% over FY24 numbers. We are also guiding for consolidated net profit of at least INR200 crores in PG Electroplast, which is a growth of 46% over FY24 net profit of INR137 crores.

The growth in product business, i.e., washing machines, room air conditioners, and air coolers is expected to be around 44% from INR1,668 crores in FY24 to INR2,400 crores in FY25. capex guidance for FY25 is in the range of INR370 to INR380 crores, and the company has planned to further expand room AC capacity by setting up a new integrated unit in Rajasthan. The company is also expanding their washing machine capacity from 1.2 million units to 2 million units with a new greenfield facility being planned in Greater Noida.

The SUPA facilities will be expanded further with new buildings and further capacity enhancement for room AC business.

As suggested by several investors to improve the liquidity in the credit shares, the Board of Directors has approved the stock split in the ratio of 1: 10, implying that each INR10 paid-up share will be subdivided into 10 shares of INR1 each. Also, the Board of Directors has approved

the final dividend of INR20 paid -up on each split share of INR1 each face value.

I would like to reiterate that the company remains committed to improving capital efficiency by improving asset terms through product business growth, and we aim to deliver industry -leading growth with best -in-class return ratios in coming years. With this , now, I will hand over the call to my colleague, Mr. Pramod Gupta, our CFO, to elaborate on the financials. Thank you.

Pramod Gupta: Hello and good afternoon, everyone. I am sure you have seen the financials in detail already. We have had a good scale -up during FY24 from operations point of view in a very challenging environment.

The ASPs in the RAC washing machine and coolers were down significantly due to low commodity prices during the year and especially in the fourth quarter. Also, the business in the first half of FY24 suffered due to unseasonal rains, and despite these challenges, we have posted industry -leading growth in RAC revenues of 25% for the full year. The company's operating margins and operating revenues for fourth quarter were up 30% in revenues at INR1,077 crores. EBITDA grew 56% at INR120 crores, and net profit rose 78% to INR71.6 crores.

During the year and fourth quarter, we saw improvement in the margin largely due to cost control, low commodity price, and operating leverage. On balance sheet, net debt has declined

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by almost INR325 crores in the fourth quarter on a full -year Y -o-Y basis. During the year, the company has done significant capex in commissioning a new greenfield plant in B hiwadi, new building in Supa in the PGTL premise, and we have also acquired NGM for INR65 crores, thus assuring land and building availability for future growth in Supa.

As stated by Vishalji, we have guided for INR370 to INR380 crores of capex in the coming financial year. This will be funded largely by internal approvals. Again, reiterating that improving capital efficiency by sweating existing and new assets will be the key focus area for the company in the coming years and quarters. We remain very optimistic on the growth opportunity in our area of focus, and we believe company is well placed to expand its market share further in the coming years.

With this, I would like to open the floor for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. Ladies and gentlemen, we have a first question from the line of Nikhil Kale from Invesco. Please go ahead.

Nikhil Kale: Yes. Thank you for taking the question. Firstly, congratulations on a very good set of numbers. Sir, can you just repeat the AC rev

enues? Sorry, I missed that, for the year.

Vishal Gupta: AC revenues for this year was INR1,317 crores for FY'24. Yes.

Nikhil Kale: Got it. And what is the outlook for AC revenues? Obviously, the year has started on a very strong note. But at the same time, we also have new facilities coming in for some of the larger brands.

So, what is the outlook there and how are you seeing the growth in RAC for FY'25?

Vishal Gupta: Sir, still, for this current financial year, we are again targeting at least 25% -30% growth in our RAC revenue also.

Nikhil Kale: Got it.

Vishal Gupta: Minimum 30% -35% Yes.

Nikhil Kale: Okay. And again, that will be coming in from some of the larger brands or again looking at multiple smaller brands giving you?

Vishal Gupta: It's a mix of large and small brands. We will not be able to give you exact break -up of that because of the obvious reason. But we are targeting at least 35% -40% growth in our RAC numbers for FY'25.

Nikhil Kale: Got it. And, sir, can you just help us with the incentive numbers? So, both on PLI and whatever state incentive that you might have received, if you could just help me with that number?

Vishal Gupta: So, we have already received PLI of INR15 crores in FY'24, which has been recognized in our last balance sheet and the P&L. Coming back to your question, See, I will tell you that demand is looking very good in AC business. And, in fact, the industry itself is very pleasantly surprised

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with the kind of end -consumer demand. And we are seeing that channel inventories are at a very low level now. So, we see this year going to remain very healthy for AC business.

Nikhil Kale: Okay. And, sir, the PLI incentive you mentioned, the state, the capex that we have done, we will also get some incentives on that, right? That will start from next year?

Vishal Gupta: Yes. We are targeting that we should start getting these benefits from current financial years.

Nikhil Kale: What could be that amount, sir?

Vishal Gupta: It should be around INR40 crores -INR50 crores, Pramod Ji?

Pramod Gupta: Yes. It should be something around that, INR40 crores -INR50 crores.

Nikhil Kale: Got it. And, sir, just on the margin profile, obviously the margins have been very strong. But with the new facility coming in, how are we looking at margins? Do you think that in the near term there could be some dent given that the initial part of the year you might have limited costs?

Pramod Gupta: You have seen our.

Nikhil Kale: No, no, no.

Pramod Gupta: Let me just -- let me take this question. First of all, coming on the incentive, this year the incentive was about INR15 crores from PLI and about INR4.7 crores net from the previous capex that we did in PGEL. Next year onward, in the first year we will get something like INR35 crores -INR40 crores minimum for the for the state government benefit and INR30 crores PLI. And coming to the operating margins, actually next year in the company PG Electroplast, operating margins, we are having a slight upwards bias for the full year. And one of the main reasons for that is that TV business, which is a low margin business, is no more a part of PG Electroplast. So, on a full year basis, actually we are hoping that we will see some improvement in the margins at the operating level.

Nikhil Kale: Got it. So Q4 it was part, right? Or Q4 also it was not a part of the business?

Pramod Gupta: No, no. Q4 it was a part of PGEL, TV business was very much a part of the PG Electroplast. In fact, even in Q1 we will see some contribution from the TV business because what happened was that there was some inventory of the kits which was lying in the PG Electroplast. They are getting sold out and cleaned out in PG Electroplast. So maybe about INR30 crores -INR40 crores of turnover will come from TV business and PGEL in the first quarter and then

that will be it. After

that, TV business contribution will not be coming in the PG Electroplast.

Nikhil Kale: Got it. Thank you, sir. I'll get back in the queue.

Moderator: Thank you. We have our next question from the line of Vipraw Srivastava from Incred Research. Please go ahead.

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Vipraw Srivastava: Hi, I'm audible, right?

Pramod Gupta: Yes, yes, very much.

Vipraw Srivastava: Yes, just a couple of questions. So this incentive of INR20 crores which you have towards from PLI and from capex, how has it been accounted for?

Pramod Gupta: There was a cash incentive which has come so it has come as a part of the revenue. So it is a part of the operating revenue.

Vipraw Srivastava: So, this whole INR20 crores, right?

Pramod Gupta: INR19.7 crores, yes.

Vipraw Srivastava: Noted. And secondly sir you have also told that next year also you'll be getting some incentives, right? I missed that. Please repeat that. And secondly, the accounting will be same, right? It will be part of the revenue, right?

Pramod Gupta: Yes, yes. There will be a PLI of INR30 crores and INR35 crores -INR40 crores of state government incentive.

Vipraw Srivastava: Okay. So total INR65 crores will get incentive next year, right?

Vishal Gupta: Yes, yes.

Vipraw Srivastava: And last question, so you have also told that you have seen some improvement in margins due to lower commodity prices. So if you can quantify it roughly, how much would that be? Because, I mean, that because copper price is going up now so that might not repeat. So a quantum for that, if possible.

Pramod Gupta: In our business, although your quantum is given in the presentation also, if you look at the raw material cost on a full year basis, for us it is actually down by almost 2% or so. I'll just read out the exact number. On a full year basis, it is a 1.35% improvement in the cost of raw material as a percentage of revenue versus the same percent last year. But if the copper prices go up, then our sales also goes up.

Actually in our business as I have been explaining, it is the fixed amount per unit which I get to make a product. I don't get a percentage. So raw material is a pass-through and optically the margins look better if the cost of raw material goes down and they look a little worse if the cost of raw material goes up. But nonetheless, because my mix is going to change for better because our TV was almost 10% of the revenue this year, slightly more than 10% of the revenue, I am expecting still some bump-up in the margins at the operating level in the overall business.

Vipraw Srivastava: Okay. Thanks a lot sir. Thank you.

Moderator: Thank you. We have a next question from the line of Pranay Roop Chatterjee from Burman Capital. Please go ahead.

Pranay Roop Chatterjee: Sir, next year you mentioned the number of INR65 crores to INR70 crores of total incentives. My question is how much of these incentives are you building into the INR200 crores package?

Pramod Gupta: So they are built in about the same amount, INR65 crores to INR70 crores versus INR20 crores this year. So there's an incremental INR45 crores and you have to look at PBT on that basis because there will be a tax, full tax, which we will be paying about 20 % on these incentives also.

Pranay Roop Chatterjee: So that implies ex -PLI actually, there would be a very marginal bottom line expansion. Is that a fair statement and any specific reason why that is so, despite strong revenue growth?

Pramod Gupta: No, no. We have given that as a minimum this thing. So if you see INR60 crores is what you are saying is going to be the total incentive versus INR20 crores this year. So there's an incremental of INR40 crores. But out of that INR40 crores also 20% tax is going to be there. So effectively INR32 crores is the inc

remental number which is probably likely to hit the bottom line. INR32 crores versus my profit after tax is going to go up from INR137 crores to at least INR200 crores. Which is like about INR65 crores -INR70 crores, INR70 crores almost. You can assume out of that INR32 crores is coming from the incentive and rest of it is from operational. And this is a minimum that we are expecting right now and as the year passes we will update you if we are seeing better numbers than what we have guided. In fact April and May month have been very, very strong for the AC sales this year.

And if that continues we'll probably see how we have to talk about the guidance in the coming days.

Pranay Roop Chatterjee: Thanks for that sir but I am slightly confused. So, just going through the numbers again and 45%-46% top line growth EBITDA will obviously, margin will see an improvement because TV is going below PBT and this is the explanation you gave INR135 crores of PAT going to INR200 crores then jump and you explained part of that is PLI. So if you take out the PLI it comes to only like 20% to 25% growth which is the organic portion. So I am just trying to understand 40 plus top line versus 20 % bottom line?

Pramod Gupta: No, you are getting it. See in the company PG Electroplast the growth in the business is going to be 23% or 24% from INR2,700 crores to something like INR3,400 crores. So that is about 24% growth and I have assumed that margins are likely to be flattish to slight positive. I have not assumed a huge margin expansion although there will be upward bias because of TV business not being there and I am saying then a part from that there will be incentive which will be there and overall INR200 crores minimum profit is going to be there.

Pranay Roop Chatterjee: That is clear. Next question is on Goodworth Electronics I just wanted to understand I think it has been discussed previously as well. How exactly is Jaina Group going to add value to this? Both in terms of TV and Hardware Will they be able to bring in substantial new business? Is

there any other benefit they will bring to the business? Because the TV business has been shifted to the JV right and attributable PAT will be lesser for PG minority shareholders.

So I am just trying to get a sense there because I did a bit of digging in Jaina. They seem to be mainly a distribution business. They probably have some manufacturing footprint as well. They have some connections with Chinese manufacturers in other equipment. If you could just help us from your perspective from minority shareholders perspective, what is the value added from Jaina in this JV?

Pramod Gupta: As we said initially Jaina first of all had a Google ODM license which only two other people have in India Dixon and one more company. So that comes into the JV because of the JV with Jaina. Second thing is that they have very good sourcing capability because they have been the promoters earlier of Karbon brand and they still own the Karbon brand. So they have very good sourcing capabilities in China and good relationship with the large ODM and OEM suppliers in China, especially in the TV and mobile handset and even laptop etc., which we are going to do in this company/

On the forward side also because they themselves are a good decent brand which they do about 7 lakh, 8 lakh TVs every year so large part of it is going to come to this JV for manufacturing and because of the scale that we gain immediately in this company in the TV business we are

able to attract lot of brands. And I can tell you I mean within next one year you will be seeing tremendous growth happening in this business.

Last year we did totally 3.5 lakh TV's in our own company in this company within very first year we are targeting at least 7 lakh to 8 lakh TV's and I am very hopeful that in next 1 -2 years this number will look

even bigger than that, much bigger than that

Pranay Roop Chatterjee: Got it sir I am sure I will be stopped soon. So I will be quick In terms of the JV which is 50 -50 currently how much has PG invested or is going to invest both on the TV and IT hardware side and is the 50 -50 split going to remain so even in the visible future?

Pramod Gupta: Yes 50 -50 will remain so in the visible future although they have an option after second year to convert one third of their shareholding into the PG Electroplast shares at the same valuation price to earning multiple as the PG is trading and then it can become a majority shareholding of PG in that case.

That is the option that they have after second year. Right now we have invested close to just about INR6 -odd crores in this but we may invest another INR5 crores, INR6 crores in the JV for the TV business. Also by the way they bring lot of their sourcing capabilities, so in this company we are getting open credit from some of the Chinese vendors for TV kits which on our own we would not have been able to procure. So that sourcing capability is the advantage that Jaina brings to us in this JV

Pranay Roop Chatterjee: Got it sir. And last question any update on IT hardware PLI orders?

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Pramod Gupta: I will be updating you may be after this election and things are over. Because we are in talk with several clients but none of the clients are making any decision. They are all waiting for the policy and political clarity to happen and hopefully in the next 2-3 months we will be updating you more on that. We have had made some small successes, but nothing to in a very big way all are still in the stages of discussion and some due diligence etc.

Moderator: Thank you. The next question is from the line of Yash from Stallion Assets Please go ahead

Yash: Hi, thank you for the opportunity My first question is that could you broadly give us an idea of your EBITDA margins across the three main segments of electronics, plastic molding and products

Pramod Gupta: So this year you can say plastic molding is about 7.5% margin business electronics is about 2% and then rest of the margin whichever way you look is coming from the product business

Yash: I see And next year sir, how do you see the mix evolving given the strong growth that you are seeing in your product segment Do you think your majority like 70% of the revenue would still be on products

Pramod Gupta: Product business will continue to drive the growth. We don't expect the plastic component to have much growth and electronics will actually decline because of the TV business going away and the plastic molding and components is likely to see probably about 10% -15% growth. So overall growth is going to be driven largely by the product business where we are expecting and we have given an explicit guidance that at least INR2400 crores kind of a turnover we see in the product business next year versus 1668 crores this year.

Yash: And so last question would be given the strong demand we have seen on RACs in Q1 FY '25 How should we look at the seasonality this year?

Pramod Gupta: The seasonality still remains very much. It's just that seasonality has shifted forward, earlier business used to start in early December and then it used to end last till April end or mid May. Now this year the business has started late January and is probably continuing into the late June as it looks like.

Moderator: The next question is from the line of Bala Murali Krishna from Oman Investments. Please go ahead.

Bala Murali Krishna: Regarding any new products we are planning to add like air conditions for railways or any other products we would like to add in the near future in addition to the RAC washing machine

Pramod Gupta: Actually there are several discussions with certain clients which are going on we are in active stage o

f discussion and there are several other opportunities which are also on the doorstep of the company where we are still evaluating some of them and in some of them we are negotiating with some clients.

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As and when some of these materialize we will update you but I can tell you the kind of enquiries RFQ and RFPs that are there is very, very high and we will be updating you once some decisions happen on such enquiries and opportunities which we are seeing but we are in active discussion on many other new segments as present.

Bala Murali Krishna: Just to follow up on that, is the railway AC also in the discussion or it is not under discussion
Pramod Gupta: Which is?

Bala Murali Krishna: Air condition supply to railways for the bogies.

Pramod Gupta: No we are not looking at railways as of now. That is a little different segment we are mostly going to concentrate on the consumer segments largely and we are going to be focusing on business to business segments not business to government yet. So we are little choosy on that segment that we will be probably continuing in this area.

Bala Murali Krishna: Yes that's a good one So regarding this hardware section when we can get some contribution, I don't know whether we are already producing laptop kind of things or not when we can get some contribution from that when we are expecting and what could be the margins in this laptop?

Pramod Gupta: We will be surely updating you on those numbers We will see some contribution in the hardware PLI this year We have made a small success in one of the client where our unit has succeeded in getting the clearance and we have got a final go through but they have to still place their first order and we are hoping that in coming months we will see something in the hardware PLI from that client but in other clients it is only the discussions which are happening and there is nothing materialized as of yet, everybody is waiting for probably the Election to get over and then take some decisions on manufacturing it in India or continue to source from other countries as of today.

Bala Murali Krishna: Yes and lastly on margins side so on an overall basis we are around 10% and but in Q4 we are around 11.1% so in the FY '25 which one we can see that we can do beyond 11.1% or it will be between 10 to 11 in a broad idea as not known in the ballpark number?

Pramod Gupta: I just want to highlight here and caution everybody that you know ours is a seasonal business so when you look at on a particular quarter and extrapolate it probably it is not the right way because we have a little higher exposure to the summer products which is AC and coolers and fans and maybe refrigerator components on the component side so Q1 and Q4 are typically very heavy and then operating leverage kicks in them in these quarters and Q2 and Q3 typically there is a slightly lower margin because the operating leverage works other way so please keep that in mind and always keep the full year margin as a benchmark and we hope to do better than that in the coming years surely on operating level on a full year basis

Bala Murali Krishna: Thanks a lot That's all from my side Thank you sir

Moderator: The next question will be from the line of Darshil Jhaveri from Crown Capital Please go ahead

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Darshil Jhaveri: A lot of my questions have already been answered I just wanted to know our capex we're planning around INR370, INR380 crores what kind of assets and could we expect and will this capex be completed itself in FY '25 some color on that would be very helpful?

Pramod Gupta: So as we have been saying that we will require we want our fixed asset terms to improve and we think that at least 4 -4.5 is minimum that we want in any new project which we are looking at This year incidentally the fixed asset t

erms are looking slightly lower than last year the reason being is that most of the capex got capitalized in the 4th quarter and there was hardly any contribution from Bhiwadi as well as the new NGM factory which we acquired in the 4th quarter. So assets have come in and there has been no revenue contribution from them. So that should actually see an improvement going forward as these assets start contributing towards the revenues.

Next year's capex we hope to complete significant part of it in the next year itself. One of the major expansion which is happening is actually in the infra buildup, specifically the land and building for future growth area. This year probably we are going to be building almost close to a 1 million square feet to take care of the future growth opportunities that we see on the horizon. And therefore that is eating away lot of the capex in the coming year out of the INR380 crores that I talked about, almost INR180 crores will be or INR170 crores will be going in the land and building. And we hope that we should be able to complete significant portion of the building in the next year itself

Darshil Jhaveri: Fair enough sir That was very helpful sir. Just one maybe on a broad base, we have been doing fantastic numbers in the last 3 years. So just wanted to get a sense that now also we are striving for a great growth so over a long-term period maybe 3 years 5 years what kind of a run rate could

we look at -- are we looking at what kind of a CAGR growth are we looking at?

Pramod Gupta: I mean with that kind of visibility we do not have but we can draw some inferences from the segmental growth in which we operate how they have panned out in other countries and the macroeconomic changes have happened like they are happening in India and we remain very optimistic on both AC, washing machine TVs as well as the new categories which we are pursuing and we think that penetration levels are still very low.

We think that we could be seeing even from here few times revenues in the coming 5 to 7 years because the penetration levels of AC just remains about 7% -8%, washing machine 12% -13%.

So that kind of numbers will eventually go up as the spending power goes up. So the CAGR revenue should be very healthy in the medium to long term in our opinion which is like 3 to 5 years or 5 to 7 years we think we should see very healthy growth

Darshil Jhaveri: So in FY '26 also we would be able to do FY '25 type of growth, in terms of maybe next 2 -3 years we would have substantial growth and then we would maybe come to a normalized rate would that be a fair way to look at it? Or maybe for the next 5 -6 years we will go all conservative?

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Pramod Gupta: I think our growth is going to be tied up to the industry growth, if industry does well we do typically better than the industry always because we have been gaining market share and we think that if the industry grows at about 15% -20% which we are very optimistic it should then we should be doing better than that in the medium term, in the existing product lines

Darshil Jhaveri: Okay . Fair enough. That's it from my side. Thank you. All the best.

Pramod Gupta: Thank you.

Moderator: Thank you, sir. We have our next question from the line of Kaushik Mohan from Ashika Stock Broking. Please go ahead

Kaushik Mohan: Hi, sir. Congratulations for the good set of numbers. It's a simple question. I just wanted to understand this year we have done around INR137 crores. So we have also received a PLI of INR15 crores that means that post taxes it will be somewhere around INR 11.8 crores that means we have done exactly business wise it is 125.4. So we are guiding next year to be around 200 that means that we have a PLI benefit of INR40 crores , INR40 crores minus 21% leaves out to be as INR168.4 crores that means that we are talking about 35% growth am I r

ight?

Pramod Gupta: Roughly to that extent maybe little -- the number is like INR30 crores is a PLI and another INR30 -INR35 crores minimum should be the government incentive, state government incentive.

So on that you take out something like 20% 21% tax out and then whatever remains is the growth you can assume if you want to look at that way. Also I want to highlight there that we are assuming not very high margin expansion next year although we think that margin will be expanding because TV business contribution is going to be lower.

So overall we hope that we should be able to surpass this INR200 crores guidance at least that what we have given and we will be updating you more after the first quarter numbers on both top line and on the margins. Right now whatever business plan we have we are doing slightly better than what we expected in the month of April and May

Kaushik Mohan: Got it. And ROCE can I get if possible can get the volume growth as per our understanding we came to know that AC prices per unit has been gone down drastically. So just we wanted to understand because our margins is intact and we have a fixed cost pass over for the client. So we will be having an fixed EBITDA per unit. So can I understand what is the volume growth from last year to this year on AC and washing machine and other?

Pramod Gupta: Yes. Just give me 2 minutes -- just give me a second I will do that. In the meantime if you have any other question we can take that?

Kaushik Mohan: I have another question. Sir I just wanted to understand like how much are we in our entire total revenue on the AC part and the washing machine part and also on the air cooler how much is going for the branded players and how much is going for the private level players if it is possible to be?

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Pramod Gupta: Yes almost 80% to 85% is going in the AC to the brands and about 15% to 17% is going to the private levels. In the washing machine it is slightly on the higher side probably the private levels are close to about 35% and brands are about 65%. Now coming to your volume growth in

washing machine the volume growth was about 24% -- the volume growth was about 12% for indoor units and volume growth was about 51% for outdoor units.

Kaushik Mohan: Sir if possible can I get the unit number also if possible?

Pramod Gupta: Unit number we have stopped giving actually but we can take it offline.

Kaushik Mohan: Sir last and final question I just wanted to understand the branded and white good players where do we get the higher margin do we get it from the branded player or do we get it from the white good players private level?

Pramod Gupta: No margins are very similar the pricing or the conversion cost that they give is actually similar in both the brands and white good players. It is just that white good players most of them do not intend to have their capacity and they are slightly better because they are doing sourcing from imports or they may be totally outsourcing locally, they are dependent on outsourcing and therefore there is no risk of seeing any business going away because of their capacity coming or those things, but margins wise there is hardly any difference.

Kaushik Mohan: And sir which is the best company that I can assume for us to be in the comparison ?

Pramod Gupta: We actually have a slightly different mix , In washing machines and TV we are competing with Dixon and in AC we are competing with Amber and therefore it is a slight mix of that now Amber has also got into washing machines now let's see what happens next year because they have invested in Resojet , we can be actually compared to Amber in some of the bigger overall things because for us AC is still the largest segment as of today

Kaushik Mohan: Got it. And sir Amber when we compare with the peers our employee cost is slightly being higher I underst

and that I have seen the practice so I understand what is happening, but can I understand do we have because currently we have expanded so much capex and all, so on ope x side, on the employee side how much it will be increasing going further?

Pramod Gupta: See employee cost should grow in line with the revenues , In the last 1 years, 2 years there has been significant portion in employee cost almost 10% to 12% in the last 2 years which is coming from the hit on account of ESOPs. So we have given quite decent ESOPs , almost 200 people in our company are covered under ESOP and we have taken INR15.5 crores hit this year which is a part of our employee cost because of the ESOP and therefore our employee cost looks slightly higher.

And also we are in the expansion phase continuously for the last 3 years we have been expanding very rapidly in some of the facilities where we create new capacities we are not able to utilize them fully in that particular year and therefore those employee costs look slightly higher which is the case this year Bhiwadi has actually not contributed, but we have the full team which was employed in the month of in the fourth quarter and their costs have come in

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Kaushik Mohan: Got it. Thanks sir I will get back in the line.

Moderator: Thank you. We have a follow up question from Nikhil Kale from Invesco. Please go ahead.

Nikhil Kale: Yes. Thanks for taking my follow up question. Sir just going back to the incentive I think all of us are kind of trying to look at the core profitability excluding incentives, but would it be fair to assume that when you are now quoting prices to customer s you are in a way quoting lower prices given you are the leader of PLI incentive.

So to that extent you would have passed on some of that benefit to customers in the form of lower prices would that be a fair understanding?

Pramod Gupta: No it is not exactly a fair understanding actually there is nothing like that. Our pricing is almost same as the competition or slightly in some cases slightly better than competition and we are not compromising on the pricing because we have some cost advantage or we have some PLI benefits as of now.

Nikhil Kale: But is it a lever that you could potentially use in the future going forward or no that is something that you are not thinking?

Pramod Gupta: Future I don't know, but as of now we have not done any such. There was no such requirement to go and undercut for the pricing for because we have a PLI benefit or because we have benefits,

Nikhil Kale: Got it. And sir just lastly I think you mentioned some of the companies that kind of [inaudible 46:00] the same example Dixon is now also talking about getting into say PCB assembly you obviously are expanding into new product segments, any thoughts on looking at that segment or nothing?

Pramod Gupta: We are already doing PCB assembly and we are supplying the kits basically the controllers we were supplying. For AC this year we have started. So we are doing PCB assembly and controllers and now we have started doing PCB assembly we were earlier also doing for the TV motherboards so that continues and we will be looking at other opportunities which will come our way in coming years.

Nikhil Kale: Got it. Thank you.

Moderator: Thank you. We have our next question from the line of Aditya Gupta from Tara Capital Partners. Please go ahead.

Aditya Gupta: Hi good evening and thanks for taking my question sorry I think I am a little confused with the bad guidance and sorry to keep coming back on this I tried to answer it in the past. So again looking at core 120 crores is what we have done this year excluding the PLI and if you add the INR70 crores of PLI on top of this for next year 30 plus 40 from states that itself takes you from 200 if I knock that off that itself takes us down to 130, so what part am I not under

standing
correctly over here?

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Pramod Gupta: First of all this year numbers out of the whatever INR137 crores there is already incentive which we take and we are not following any different practice than anybody else. Everybody in our industry is getting some sort of incentives from the state and central government. So these numbers are very much comparable like on like that is one. Second thing is this that you are getting it all wrong because the incremental incentive next year is going to be probably close to INR40 to INR45 crores only and then on that you have to pay tax also

Aditya Gupta: Let's knock off the PLI benefit for this year and let's assume the INR120 crores is the core PAT for this year right ballpark speaking?

Pramod Gupta: No it is not going to be INR120 crores it will be probably something like INR118 crores, INR119 crores is going to be the profit after tax X of PLI and the other benefits.

Aditya Gupta: Okay and this should at least grow by the 45% odd revenue growth even if you assume the margins to be flat at the PAT level plus whatever added benefit that you get right next year, is that the correct way to look at it alright thank you. And the second part is on the state benefit and on the PLI what is the timeline and how long are we expecting these benefits for?

Pramod Gupta: See the state benefits are going to continue for 10 years maybe 12 years from next year starting this year and PLI is going to come for next 4 more years?

Aditya Gupta: And the run rate will be?

Pramod Gupta: Pardon

Aditya Gupta: The run rate for these will be annual run rate?

Pramod Gupta: The PLI is actually not a fixed run rate it is amount which has been decided depending upon the targets getting met. So if we meet all the targets then next year the number is in FY25 we should get INR30 crores after that INR36.5 crores then year after that INR51 crores and year after that last year number is INR60 crores. In case of state government benefits first year is going to be little bump up maybe INR35, INR40 crores and then year after that every year about INR20 to INR25 crores.

Aditya Gupta: Got it for the another 10 years, 11 years and both of these you will be reporting in a revenue line?

Pramod Gupta: Yes everybody does that practice we were actually following earlier a different practice.

Aditya Gupta: No I am just clarifying it for myself I am not saying you are doing something different. Thank you for clarifying this again and sorry to hop again.

Moderator: Thank you we have our next question from the line of Debashish Mazumdar from Svan Investment.

Debashish Mazumdar: Hi sir. Good evening. Thank you very much for taking my question am I audible clearly?

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Pramod Gupta: Yes very much.

Debashish Mazumdar: Sir only one question I need to understand currently we have a ROC E of around 17%, 18%. So when you get into a new project what is the kind of target? Do we target EBITDA margin of 10 - 11% or we look at ROC of 17%, 18% and is there any target that is there in the management's mind of pre PLI or post PLI ROC that we have?

Pramod Gupta: So typically right now first of all I want to correct according to our calculation ROC E is about 21.6% on a last year basis and I have given the calculations in my presentation you can go through it this is one. Second thing is this that whenever we take any new project X of PLI and on a conservative basis we are looking at least 15% to 16% ROC E pre-tax. ROC E the way I have calculated. and that is the basic benchmark for us before taking up any new business or any new project in our company

Debashish : The second question is , do we have any plan to getting into high margin low volume businesses like aerospace and industrial and stuff like that ?

Pramod Gupta: As of now , we are not

having any such opportunities which are coming our way if there are any opportunities which we will surely consider , provided they meet our return ratio criteria .

Debashish : Okay. So it's like even the higher margin businesses despite having higher margin , you think the ROC is lower there ?

Pramod Gupta: In some of the cases if the asset terms are not adequate then margins may not be sufficient to take care of the return ratio .

Debashish : Okay. Understood . One last thing as a repeat of the first question so any target ROC E that you have in your mind for FY '25 and FY '26 as capex has already been done . Although you are still doing some amount of capex in next year , but any targeted ROC that is there in your mind ?

Pramod Gupta: We will like to have a slight improvement in the ROC E which we report and we think we are on track to achieve that we are hopeful that we will be able to maintain this ROC E of about 20% pre-tax ROC E which we are continuing to do right now .

Debashish : So is it fair to assume that with the kind of growth and some amount of margin improvement by FY '26 or '27 will be able to achieve 25 %-26% kind of ROC E?

Pramod Gupta: It will actually depend on the growth and how the seasonality plays out , see seasonality plays a very important role in our business . If the seasonality is not very stark and we are able to utilize our assets there better than the number you are saying is very much possible .

Debashish : Sure, thank you very much for answering my question, sir . Thank you

Moderator: Thank you. We have our next question from the line of Farokh Pandole from Avestha Fund Management . Please go ahead .

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Farokh Pandole: Yes, hi. Pramod , congratulations on the great results . My first question was , what's our current net cash position and in relation to that clearly once we navigate the next year the capex should from what you have said , fall substantially in the year after ?

Pramod Gupta: So right now , we have cash and balance cash balance of about close to INR180 crores . But right now, we also have a gross debt of about INR360 crores , now this cash and cash balance will be getting utilized because some of it is earmarked totally for the purpose for which we raise the QIP, so we cannot utilize for any other purpose . So this year that thing should get over maybe by second or third quarter and I am very hopeful that out of the INR370 crores to INR380 crore s capex , which we are pl anning this year significant part almost 90% should be internally generated . So we will not be seeing any increase in the gross debt level , hopefully , despite the higher turnover and higher capex in this coming year .

Farokh Pandole: And the capex in the year after ?

Pramod Gupta: Year after things should actually depend upon , how the business pans out . I will tell you , what is the reason , why we are doing such a heavy capex , as I told you last year this year we are doing a huge capex on creating an infrastructure which is land and building for future growth . We are seeing some very exciting huge opportunities coming at our doorstep , which we are in the active stage of discussion with significant clients which are looking to shift their work to India from China and some clients which are looking to actually expand their relationship with us . Now because of that , we think that we are getting into a phase where the growth could be accelerating in the coming year and we may be short of infrastructure for growth , because ready sheds are not available typically for leasing out and therefore we need to create some of those optionality for us and that money is going into creating those optionality and that , we should be able to utilize most of it in the next 2 -3 years in our opinion .

So we have purchased a land in Bhiwadi 8.5 acres , we have purchased another land in Noida and in

NGM which we acquired where 12 acres land was there we are building almost 450,000 square feet of construction for taking care of any of these new opportunities materializing. So that we have the ready shed and where we can actually host any new business which comes .

Farokh Pandole: So again , the following year clearly capex should be a significantly lower number than , what it will be for the current year ?

Pramod Gupta: It will actually depend upon the growth , if we get growth , we are not going to say no to growth because we are not wanting to we are looking at , say for example , this year as I am saying like the product business is going to see probably 40% plus growth versus about 20 %-23% this year .

So we are preparing ourselves for any opportunities which we get in the coming year .

Farokh Pandole: And my second question was about 6 months ago , there was a lot of talk about the volume sort of augmenting by lot of the large players in the air conditioner space and in that connection given

the fact , that this year the season is much longer , it's very sort of hot . You mentioned that the inventory levels were very low , so where do we stand on both of these contrasting forces and I

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know that obviously you guided strongly for the next year but given that , now you have some better color and you have seen some of these capacities going live , how are some of these clients behaving ?

ramod Gupta: We are seeing industry overall being slightly short of the capacity right now on the monthly demand which we saw in month of April, May and June probably . April, May , also there was a little bit of planning shortfall , nobody actually anticipated such strong growth in the demand and therefore people were probably not ready to take care of such a huge , I'll say demand and therefore probably in the coming weeks or we will see some stock outs in some of the major brands , probably because the material is just not there.

And I think another very important sign on demand which we hear from our clients , we are not selling to end consumer but what we hear from our clients , is that we are seeing , lot of first time buyer in the AC especially from tier 3, tier 4 cities and even villages. And which is a very good and important sign because that means that probably , AC is going to see a good secular growth. And the I'll say the trend which we all were waiting for , that that there will be a time , like which has happened in other geographies , where continuous growth of 20 % , 25% growth has been seen, for a decade or so in China , for example in the period 95 to 2000 till 2010 that number , we could see for the industry in India . So that could be a possibility if this trend continues and surely affordability is increasing and we think that industry will be probably short of capacity if this trend continues for a year or two.

Farokh Pandole: Ok great thanks very much Pramod and wish you all the best for the coming year thank you

Moderator: Thank you. Ladies and gentlemen we'll take our last question from the line of Shrinidhi from HSBC please go ahead .

Shrinidhi: Yes, hi thank you for the opportunity and congratulations on a great set of numbers , just on growth guidance a very strong 45% growth guidance , in product business will it be possible to share more colour on this growth guidance , I think you allude a lot to AC business but if you can share some colour on the washing machine business growth guidance what is really driving that?

Pramod Gupta: We have been telling you all that we have added some very strong clients in the last two years the AC. And that ramp up has started happening we are seeing on a monthly , basis some very strong pickup , and we think that both AC and washing machine should grow , at about 40 % to 45% this year.

Washing machine , is because of the client addition that

we had and the ramp up which we are seeing in case of AC the first half is going to be very strong for us largely because of the fact that last year , because of the unseasonal rains we saw , lot of demand destruction in the first and the second quarter .

And then the demand actually recovered only in the fourth quarter. So that base is actually playing out well and we are seeing some very strong ramp up , and some very strong demand , in

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the month of April and May , which we will likely to see continuing in month of June , as well. So therefore we are very hopeful that the number which we have guided we should be able to easily achieve.

Shrinidhi: Right , amazing and also washer sir , how much is the scale of business , and it 's entirely ODM business is it?

Pramod Gupta: washer is 100% ODM business we are right now as we have sent INR313 crores, turnover last year. We think that number should scale up significantly in coming years .

Shrinidhi : okay thank you for answering my questions and all the best.

Moderator: Thank you . Ladies and gentlemen , that would be the last question for today and I would now like to hand the conference over to the management for the closing

Pramod Gupta: Thank you everyone for joining the call and I just want to highlight and assure reassure that management is committed to having , industry leading growth with best in class return ratios , in the areas of focus for the company. And we think that we are very well placed , now with our capacities our capabilities , and the infrastructure investment which we have made in the last few

years. And thank you all

Management: And one more thing if you have any unanswered questions they can be taken up separately over a call or over an email you can connect us to Deepak from JM okay

Moderator: Thank you on behalf of JM financials that concludes this conference thank you for joining us and yo u may now disconnect your lines.

Call: Jul 2024

July 29, 2024

Sub.: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 – Transcript of the Earnings Conference Call

Dear Sir /Madam ,

Pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, please find enclosed Transcript of the Earnings Conference Call held on July 25, 2024.

This is for your information & Records.

For PG Electroplast Limited

(Sanchay Dubey)
Company Secretary
To,
The Manager (Listing)
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 533581 To,
The Manager (Listing)
National Stock Exchange of India Limited,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051

Scrip Symbol: PGEL

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“PG Electroplast Limited Q1 FY 25 Earnings
Conference Call ”

July 25, 2024

MANAGEMENT : MR. VISHAL GUPTA – MANAGING DIRECTOR
(FINANCE), PG ELECTROPLAST LIMITED
MR. PRAMOD GUPTA – CHIEF FINANCIAL OFFICER ,
PG ELECTROPLAST LIMITED
MODERATOR: MS. NATASHA JAIN - NIRMAL BANG EQUITIES
PRIVATE LIMITED

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Moderator : Ladies and gentlemen , good day and welcome to Q1 FY '25 Earnings Conference Call of PG Electroplast Limited hosted by Nirmal Bang Equities Private Limited .

This Presentation contains forward -looking statements based on the currently held beliefs of the management of the Company , which are expressed in good faith and in management's opinion are reasonable. The forward -looking statements may involve known and unknown risks , uncertainty and other factors , which may cause the actual results, financial condition, performance or achievements of the Company or industry to differ materially from those in forward -looking statements. These forward -looking statements re present only the Company's current intentions, beliefs and expectations, and any forward -looking statement speaks only as of the date on which it was made. The Company assumes no obligation to revise or update any forward -looking statements.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to M s. Natasha Jain from Nirmal Bang Equities . Thank you, and over to you, ma'am .

Natasha Jain: Thank you , Shlok , and good morning , everyone. Nirmal Ban g Institutional Equities welcomes you all to the first quarter FY '2 5 Results Conference Call of PG Electroplast .

I would like to thank the management of PG Electroplast for giving us the opportunity to host the call. Management is represented by Mr. Vishal Gupta, Managing Director (Finance) , and Mr. Pramod Gupta, the CFO.

I now hand over the call to the Management for their Opening Remarks , post which we will take questions from participants. Thank you , and over to you , sir.

Vishal Gupta: Thank you, Natasha , and good morning , everyone. Thank you for sparing your valuable time and joining this call today. We hope all of you are doing well. Mr. Pramod Gupta, our Chief Financial Officer, joins me on this call.

We have already shared the presentation of our results earlier and hope you have gone through that. Quarter 1 of FY '2 5 has been another landmark quarter in the growth journey of PG with several milestones. The Company was able to del everage its balance sheet further through strong cash generation .

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The Company posted all -time high quarterly profits and sales in this quarter. Operating revenue of the Company grew by 95% and crossed Rs. 1,320 crore with the product business contributing 75%.

EBITDA increased by 100% and stood at Rs. 134.5 crore and net profits rose by 151% to Rs. 85 crore.

The Company has posted industry -leading growth in the product business. Operating revenues for the product business were at Rs. 994 crore with 124% growth. This is despite the fact that the ASPs in certain categories are down by up to 8% on Y -o-Y basis.

The room AC business contributed Rs. 882 crore , which is a 130% growth on a Y-o-Y basis.

The washing machine business had a growth of 72% on Y-o-Y basis and cooler operating revenues also grew by 287%.

Orderbook and visibility for product business remains robust and the Company is on track to accelerate product business growth significantly in this financial year.

PG's new product offerings in washing machines and room ACs have been well received and the Company is focusing its efforts towards developing products that helps it in maintaining cost leadership while striving for product leadership too. The Company continues to see increased interest in the business from new and existing clients and we remain very confi

dent about the

future growth prospects of the business.

For FY '2 5, our revised operating revenue guidance stands at, at least Rs. 3,650 crores in PGEL and another Rs. 600 crore in our J V Company Goodworth Electronics implying Rs. 4,250 crore of group operating revenue , which is a growth of 55% over FY '2 5 numbers.

We are also revising our guidance of net profit of at least Rs. 216 crore in FY '2 5 which is a growth of 58% over FY '2 4 net profit of Rs. 137 crore. The growth in product business that is washing machine, room air conditioners and air coolers is expected to be around 60% from Rs. 1,668 crore in FY '2 4 to around Rs. 2,650 crore in this financial year.

CAPEX guidance stands at Rs. 370 crore to Rs. 380 crore. The Company has planned to further expand room AC capacity by setting up a new integrated unit in Rajasthan and also a new

greenfield capacity is being set up in Greater Noida for washing machine. The super facility will be expanded further with a new building and capacity enhancement for the room AC business. I would like to reiterate that the Company remains committed to improving capital efficiency by improving asset terms through product business growth, and we aim to deliver industry-leading growth with best-in-class return ratios in coming years.

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With this now, I will hand over the call to my colleague, Mr. Pramod Gupta – our CFO, who will elaborate on the financials.

Pramod Gupta: Hello, and good morning, everyone. I am sure all of you have seen the Financials in detail already.

We had a great scale-up during first quarter '25 from an operational point of view. This is a very challenging supply chain environment due to QCOs and quality control orders that the government has put, and also because of the commodity prices being lower on a year-on-year basis, the ASPs are down, and still we have shown a very strong growth in the volumes. And we have posted industry-leading growth in RAC at 130%, 287% in coolers, and 72% in washing machines.

Company's operating revenues grew 95% at 1,320 crores, and EBITDA was up 100% at 134.5 crores. During the quarter, operating margins have improved due to cost control, low commodity prices, and operating leverage.

On the balance sheet side, net debt has declined 103 crores due to inventory run-down in the AC business. As stated by Vishalji, we have guided for 370 crores to 380 crores of CAPEX in FY '25. This will be funded largely by internal accruals.

Reiterating that improving capital efficiency by sweating existing and new assets will be the key focus area for the Company in the coming years. We remain very optimistic on the growth opportunities in our area of focus, and we believe the Company is well poised to expand its market presence further in the coming years.

With this, I will open the floor for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Ms. Natasha Jain from Nirmal Bang Equities. Please go ahead.

Natasha Jain: Firstly, congratulations on good set of numbers. So, while the top-line growth has been very healthy, EBITDA margins have been flat. Now a business like yours is such that one should see benefits of op leverage at such high top-line growth. Also given the fact that this was one of the best quarters in many years in terms of RAC, so I was wondering if not now, then when?

And on a related note, while we understand that your customers may have exercised their bargaining power on back of high orders, but at such acute level shortages in the channel, were we as an RAC OEM player not in a position to dictate terms and therefore take some benefit in terms of margin growth? Or is this purely attributed to commodity costs rising? If so, then should we expect ma

rgins to improve in second quarter FY '25? If you could just share your thoughts on these two.

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Pramod Gupta: First of all, I want to highlight that we have seen a margin improvement on a like-to-like basis. If you see the previous quarter, we had a 15-crore income from PLI, which was not there in this quarter. So, operating levels at operating margins in both, all the product businesses were better than the last quarter. However, because of the absence of PLI was not reflected.

By the way, I just want to highlight here, once the prices are settled with a customer for conversion or a season, they don't change in the mid-season irrespective of the season being strong or weak. So, it is not that we can actually renegotiate in the season, go back to the customers. We only get margin improvement because of the operating leverage, because in the same line, if we are able to utilize it better, we can have slightly better productivity and slightly lower cost. But this business does not allow you to renegotiate the contracts in between the seasons.

Natasha Jain: Sir, in terms of RAC, can you throw some light as to what was the split between RAC component business growth in 1Q versus your RAC assembly? And in the future, what kind of margin growth can we see in our RAC portfolio on the back of RAC component share increases?

Pramod Gupta: So, RAC component is a very small business for us. The number that we talk about in the product business of 882 crores, that's a purely fully built units, indoor, outdoor, or fully built CBUs that we supply to the customers. Now for us, the component business is very small in the whole scheme of things. For the quarter, maybe that is a part of the plastic components and others, and that will probably not be even 25 crores, 30 crores. There are some small business which we

have started in the controller side of the components. Last quarter it had a very small number . 13 crores is what we sold externally and it is a part of electronics business in the AC controller side.

Moderator: Thank you. The next question is from the line of Koushik Mohan from Ashika Institutional Equities. Please go ahead.

Koushik Mohan: Sir, I just wanted to understand when we look at more deeper into the numbers , our gross margins have fallen down from 19.9% in the Q4 , is currently 18.1%. When I even compare this with the Q1, it is sustaining at the same level . It is 18.1 in the Q1 in the last year and this year , the Q1 is also 18.1%. But in the middle of the year , I am seeing that our margins is slightly improving to 20.7%. So, can I understand , are we contracting with the client ? Are we talking about per unit give me this much price or is it something like that or are we on to the entire contract value basis or unit level basis?

Pramod Gupta: So, I just want to highlight here a few things. If you look at our product business , the AC business has lower contribution margins because the bought -out parts, especially the compressor, the controller chip set and even motors et cetera are being bought from the vendors directly. So, that is why the gross contribution is lower. So, whenever the proportion in a quarter is higher of an AC business , the gross contribution comes down.

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Yes, you are right . We do have per unit conversion price fixed, and bill of material is a pass through to the customer for the whole season. So, that amount is initially agreed by the customer for different models and then that remains the same for the whole season . That is the conversion cost.

Koushik Mohan: What is the normal conversion cost for AC per unit level on EBITDA ?

Pramod Gupta: It actually varies, and we don't disclose that number . But it varies from model to model.

Koushik Mohan: And

second thing , sir, in the current guidelines , we have told that it is 216 crores on our bottom line. Is that also including the PAT of the JV that what we are doing , 600 crore ?

Pramod Gupta: No, there is nothing included in that . That 216 crores is only for the standalone entity.

Koushik Mohan: 216 crores is only for standalone. And on the JV side, what can be our PAT margins, if it is possible, you have worked out anything?

Pramod Gupta: On a full year basis, that should be in the range of about 1.5% to 2%. That is what we are targeting internally . In the first quarter, we had a small loss . On a turnover of 75 crores, we did a small loss of about 1.9 crores because they were startup costs and also, initially, for the first two months, the production was just getting stabilized. From June onwards, the things have started picking up and now for this month and next month, our plans are very good. So, this next quarter onward, we should see turnaround in the profitability in the JV also.

Koushik Mohan: And if I am allowed to understand if our PAT will be coming from th is JV somewhere around 6 crores to 9 crores?

Pramod Gupta: About 6 crores is the right number, the share of our PAT and even if we assume 2% margin on the 600 crores, that will be about Rs. 12 crore of profit and then our share will be 6 crores in that 50%.

Koushik Mohan: So, then we are talking about 216 plus 6 crores, that is 220 crores and this is inclusive of all the PLI scheme and everything.

Pramod Gupta: Yes, it is inclusive of the PLI. Yes, it is inclusive.

Moderator: Thank you. The next question is from the line of Prateek Shah, which is an individual investor. Please go ahead.

Prateek Shah: Couple of questions. Given that we are entering into the future of washing machines, how is the order book looking like?

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Pramod Gupta: Order book looks very strong, and we have guided that overall our product business will see a growth of almost close to 59% and we are building in very strong growth for the rest of the year also. In the first quarter, we clocked 72% growth in the washing machine. We hope for a full year, we should be able to do about 40 % to 45% growth in the washing machine business.

Prateek Shah: Secondly , sir, we saw sharp rise in the employee cost as well as the other expenses for this quarter. Can you throw some light on that?

Pramod Gupta: So, employee cost has increased because the production and the level of activity in the Company has seen a sharp rise. In fact, in all the product businesses, we have seen very strong growth, and obviously, when the product business grows, the assembly manpower requirement goes up very significantly, and that is what has resulted in the manpower expenses going up. Similarly, the other expenses which constitute largely of electricity, factory overheads, etc., have

also gone up, because the economic activity or the activity on the assembly side, etc., has increased significantly in this quarter.

Prateek Shah: And third on the new PLI being rolled out, so are we looking to onboard more players in the IT and the laptop segment?

Pramod Gupta: Laptop and IT, we are still a work in progress. This new PLI which has come for RAC, we will be applying in that through one of our companies.

Moderator: Thank you. The next question is from the line of Yash from Stallion Asset. Please go ahead.

Yash: Growing 95% Y-on-Y is really commendable, given the environment that we are in. So, my question was broadly, you know, I wanted to understand what are the new products that you can sort of pivot into going, if you take a four-to-five-year view? I mean, for example, you started with cooler. Then you went to AC. Then you went to washing machine.

So, what are the new areas that you think the Company can sort of go to? A

nd what would be

your goal for the Company or a vision for the Company over the next four to five years in terms of, you know, do you want to be a very large player across consumer electronics? Or what is the sort of the vision that you have for the Company?

Vishal Gupta: See, definitely, we are looking at growth. Everybody looks at growth, and we feel that our Company, our economy, our country, with the kind of support we are getting from the government policies, I feel that the journey has just started. We believe that we can actually look at least 25% to 30% kind of CAGR growth for us for next four or five years. I don't see any challenges in that. We will always be exploring different product categories, and at the same time, keep concentrating on our existing product categories also, to see which can be our growth drivers for future.

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Pramod Gupta: As a further -to-add here, actually, we have a set of skills in the Company, like we can do plastic components. We can do sheet metal components. We have a design capability, making the moulds in-house. We can do electronic assembly.

Now, if any product which comes to us or the opportunity where we see if they are in the domestic or export market which can utilize any or all of these capabilities, we will explore those opportunities if they meet our internal capital allocation guidelines and then we are ready to commit capital and we are ready to take those projects.

Yash: And sir, my second question would be how are you able to consistently win market share from the market leader that currently exists in some of your product categories? I mean, what is your strategy that you sort of go to with the customers?

Pramod Gupta: So, we actually have in this business only three aspects which leads to business win or business loss. One is quality, cost and delivery and now quality and cost has become a hygiene factor. It is similar for almost everybody and that has to be given.

The differentiation comes mainly from delivery, and we take pride in that and we have been able to add new customers, also increase our share of business in most of the existing customers because our delivery has been allowing us to differentiate from the competition and we have been able to stand out slightly better in the season according to the requirements of the clients.

So, that has actually led and helped us to gain market share.

Moderator: Thank you. The next question is from the line of Mythili Balakrishnan from Alchemy Capital Management Private Limited. Please go ahead.

Mythili Balakrishnan: I wanted to check with you couple of points. One is, in this 215 odd crores of PAT guidance that we have given, what is the quantum of PLI that we are assuming from center and state?

Pramod Gupta: Total PLI assumption is 30 crores, which we will be getting from the central government this year.

Mythili Balakrishnan: And any state government incentive that is also there in this number?

Pramod Gupta: No, which is the same number which we received last year about Rs. 6 crore. We actually account for the incentives on not on a accrual basis but when they are actually received. So, we have yet not made our claim to the state government because we are still in the process of completion of our CAPEX for the state government incentives. Once that is completed and we start getting money, then we will start recognizing that.

Mythili Balakrishnan: So, roughly around 36 crores of incentives is?

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Pramod Gupta: Yes, last year the same figure was about 21 crores.

Mythili Balakrishnan: Also wanted to check with you on the fridge. I understand that we were earlier more also keen on starting contact manufacturing for the refrigerator part of the business. But any upd

ate on the same?

Pramod Gupta: So, refrigerator, we are still in the evaluation phase. We were not convinced that we were able to, at least on the exercise that we did, we were not hitting the internal ROC guidance guidelines that we have for ourselves in the refrigerator business, given the current conversion margins, which we are seeing in the industry. So, we just wanted to wait and see how the industry evolves. We have evaluated the project in great detail, but we are just taking slight time to see if the operating dynamics improve, and we can make a good ROC in that business. Then we will probably be entering that business.

Mythili Balakrishnan: In terms of the CAPEX, can you just give us a broad contours of where exactly is this CAPEX going into?

Pramod Gupta: Yes, so this year we are actually going to build close to about 1.1 million square feet of building across three places, which is in Supa, in Bhivadi and Gurgaon, sorry, Noida. So, in these three places, that amount is going to be close to 180 crores in the land and building that we are going to put up. Apart from that, there will be amount of money which will go in the plant and machinery.

I will just give you the vertical wise numbers so that you know. Just give me a second. So, there will be about 125 to 130 crores will go for the plant and machinery in the RAC business, about 35 to 40 crores in the washing machines, about Rs. 3 crore for the coolers, and rest about 20 crores for, I will say, the maintenance CAPEX, and sanitary wear, and other businesses. So, that is the breakup of 380 crores that I have talked about.

Mythili Balakrishnan: And the plastic molding business does not get much CAPEX in this?

Pramod Gupta: Yes, so that business we are not, there is only one part of the segment where we are actually still investing, which is the sanitary wear business, the plastic component. Otherwise, we are not actually investing or allocating capital to the standalone plastic component business.

Mythili Balakrishnan: It would be also useful if you could just expand a little bit about the room AC business. Clearly, there is a lot of structural tailwinds which is there into the business, but we are also seeing OEMs insource, etc. So, just your own views on how are you seeing growth in this business, especially because it's a large part of the CAPEX that you are allocating?

Pramod Gupta: So, obviously, the industry is seeing a very strong tailwind, very strong growth in this business, and we have been participating in that growth. Domestically, new capacities have come from PG Electroplast Limited

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the brands themselves, and they continue to expand their capacity. But I think the outsourcing requirement will continue, and we have a view that outsourcing will eventually increase, actually.

Because till the time this business remains seasonal, just putting up the own factories actually is not very cost-effective from the brand point of view, in our opinion. And our internal exercise makes us believe that it is more beneficial for the brands to outsource at least the bottom of the pyramid products rather than doing in-house manufacturing in those products because there, the contract manufacturers typically are much more competitive than the in-house manufacturing.

Moderator: Thank you. The next question is from the line of Vipraw Srivastava from InCred Capital. Please go ahead.

Vipraw Srivastava: Just two questions. So, regarding the IT PLI thing in the Q4 call, management was saying that there was some issue with the elections and some OEM was actually investigating whether to invest or not. So, how is that progressing? How is the IT PLI thing applying to environments for that going ahead? Any thoughts on that?

Pramod Gupta: We never said anything like election or something. The only issue is the

customers have to take

a decision. Most of the customers were waiting for the elections to get over. Now, I think we have still not seen much movement on the IT PLI side yet. Most of the customers are still slow in decision making. We are in touch with many of them and as and when some development is there, we will update you on that same.

Vipraw Srivastava: Noted. So, the target, the sales target for ITPLI is, I guess, 750 crores for the first year. So, by when will PG need to achieve that? And how optimistic is the management of achieving that sales target?

Pramod Gupta: See, the issue is like the target is very much there that you said, but the issue is that customers have to make a decision of outsourcing versus importing. Once we see some activity on that side, then only we can actually start talking about the numbers. Right now, customers have been pretty slow. We have not seen much activity on that side in this business.

Vipraw Srivastava: Noted. And in the Q4 call also, the incentive number was around 60 crores. Right? There was also some state incentive. Right? My old saying is 35 crores. I mean, am I missing something?

I mean, please clear that part.

Pramod Gupta: No, so, the state incentive is when we file for the state incentive application is approved and then we start receiving money. We have yet not completed our CAPEX fully, the committed CAPEX.

Once we do that and when we file our application, then only we will start , once we start receiving, then only we will start accruing. So, we are taking ...

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Vipraw Srivastava: That is not a part of this 216 crores of guidance or is it a part?

Pramod Gupta: No, it is not a part right now.

Vipraw Srivastava: Last quarter it was a part, right? Or was it not?

Pramod Gupta: No, it was not.

Vipraw Srivastava: No issues. And last question. So, MD sir was saying that they expect this business to have a 30, 85% CAGR over next 3 to 5 years. Just want to understand what is your implicit assumption for the AC investor in this? I mean, how much we expect the AC industry to grow for you to achieve this revenue target? Last question.

Pramod Gupta: Basically , we think industry should grow at about 15 % to 20% in the coming years, given the climate change and also the increased affordability of A C and that will help us to achieve those numbers. Also, we are having a good opportunity across other business segments as well.

Washing machine continues to see good opportunities for growth as well as we are seeing a lot of interest in new products and new kind of , I will say , projects which we are still in the discussion phase with some of the clients , may not necessarily be in the AC or washing machine.

So, those things will also help us to achieve that kind of numbers.

Vipraw Srivastava: This 15%-20% is volume growth or the nominal growth? Last question.

Pramod Gupta: 15%-20% is the volume growth which I think should be .

Moderator: Thank you. The next question is from the line of Vivek Gautam from GS Investment. Please go ahead.

Vivek Gautam: Sir, just wanted to know about our dependency on the Chinese import kits and are we taking any steps to mitigate that and any risk because of the China dependency for us, sir?

Vishal Gupta: See, this is a really hard fact that most of the industry in India, in R AC especially is very dependent upon China. But having said that, you know , with this PLI and now last 2 years, we understand that some investments have happened in the copper tube also and the aluminum foil also and compressor guys have also started ramping up their capacities in India and motor guys. So, if you see, largely if you see 4 , 5 years back, if we say that domestic value addition was around 20 % , 25%, today we can very easily say that we have reached a level of around 40 %-45%

. But with these capacities coming up and in next 2 , 3 years, I think we will be very easily touching around 70 % , 75% domestic value addition in India. But yes, any component ecosystem to be created, it takes lot of time and effort from everyone. So , we are moving in that direction, in the right direction. Hopefully , we should be around 70 % , 75% in next 2 , 3 years.

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Vivek Gautam: And word on the opportunity size for our sector and the Company and are the current excellent earnings sustainable or is there any one -off due to hot summer this quarter , sir?

Vishal Gupta: Can you just repeat the question ? We could not understand it fully?

Vivek Gautam: One second , sir. The question was basically , how is the opportunity size and the growth expected for our Company and the sector ? And behind the excellent performance of our Company in this quarter, was there any one -off like hot summer, especially hot summer this time , sir? And what about the competition intensity also for us in the sector , sir?

Pramod Gupta: So, this quarter, the whole industry has done extremely well. I think the industry growth in this quarter for the AC sales should be 40%, 50% at least, even on the retail side, I think from the brand's point of view. And the reason has been obviously hot summer .

But I think it is not only hot summer, there is something more also which is happening, which we are trying to figure out and talking to all our customers because the highest growth actually happened in the west and the southern part of the country and by the time the northern region picked up ,the industry was actually short of material already and the kind of growth which we saw in southern markets was not because of climate or any very extreme weather conditions. In fact, weather conditions were much more extreme in North India this year where the temperature in some of the countries, some of the northern part of the country was consistently above 45 degrees for a very long period.

In some southern states we didn't hear that , but the growth was very high . In some of the southern states, the growth was in triple digits on a Y-o-Y basis. Something seems to be happening. We are also trying to figure out what is the reason. We have no exact one single reason , which we can point out that because of this reason that a growth has happened.

Yes, industry dynamics are competitive . Their competitive intensity has increased. We have to compete with both the internal manufacturing capacities of our companies or our clients and also

the other people in this industry, other contract manufacturers in the country and we think we have to work on our product offerings . We have to work on our cost competitiveness to remain competitive and to improve our market share consistently.

Vivek Gautam: Any plans of moving into higher value -added products, sir? Room ACs and washing machines we are doing very well . And what about the other products , sir?

Pramod Gupta: For contract manufacturing , the basic thing is that the product should become mass market product . Then only it makes sense for doing an outsourcing in that business for the brands. So, as and when we see more opportunities , we will be actually trying to participate in them with our clients.

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We are working on some of the higher added products in the washing machine and AC only. We are expanding our product portfolio. We are investing very aggressively in the new models and new product offerings and which is also helping us to improve our product portfolio and also helping us to gain market share with these products.

So, right now as I am saying we are focusing more on the existing business lines because we have our hands full here , but we are prepared for new opportunities as w

ell. And as and when

they come and they meet our capital allocation targets, we will be deploying capital and taking up those projects.

Vivek Gautam: Opportunity size for our products remains very huge . I was reading somewhere that the penetration level of AC is still 7% in India versus 62% in China and much more in western world. Same story too must be for washing machines. So, opportunity size for us in India remains quite huge, especially in rural and Eastern India and where in the growth can be assured for next number of years , sir?

Pramod Gupta: Yes, you are right, the opportunities are huge . The penetration levels still remain extremely low. To best of our knowledge, AC penetration is just about 7 %, 8% in the household in India and in washing machine that number is about 12 %, 14%.

Vivek Gautam: Yes, and with the availability of more electricity through solar and the financing also, I believe the opportunity size remains huge , sir. And one more thing sir , was about our Company sir, because I have recently started checking the Company . Our Company was a very old listed Company and what has changed for better in the recent times , sir, if you can highlight something ?

Moderator: Sorry to interrupt . Can you please join the queue again?

Vivek Gautam: I'll do that .

Moderator: The next question is from the line of Ashish Jain from Macquarie India. Please go ahead.

Ashish Jain: Sir, my first question is on pricing. You know, you earlier said that pricing is typically set for a particular season, and it cannot be renegotiated with the customer. But given the demand momentum you are speaking about and all, should we think that we have a bit more pricing power for the next season ? How do you think about that?

Vishal Gupta: Sorry, can you just repeat your question please?

Ashish Jain: No, I am saying on the conversion margin, earlier on the call we said that conversion margin is typically fixed for a season and based upon demand it cannot be changed, right? But given the

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strong demand momentum that we are talking about, more structural in nature, shall we think that going ahead we will have lot more bargaining power on the conversion margin?

Vishal Gupta: Sir, please understand that we are, actually you are right that we are in a, maybe in a structural shift in the RAC industry. But please understand there are lot of capacities which are coming up as everyone is saying right now and we have to not only compete with our competition. We have to compete with their internal in -house manufacturing cost also of most of the brand. So, there is always a benchmark available to us and we cannot charge more than that. So, we have to be always very conscious about that and we have to move in tandem with that.

Ashish Jain: Sir, can you share the customer concentration in AC today in terms of what is top five customers now as your total AC share?

Vishal Gupta: The top five should be around 60 %.

Ashish Jain: And what was this number , let's say , in fiscal '23?

Pramod Gupta: Maybe about almost about 85 %.

Moderator: Thank you. The next question is from the line of Pranay Roop Chatterjee . Please go ahead.

Pranay Roop Chatterjee: Pramod sir, there is some confusion. Last call I had asked you this question and I checked the transcript as well. The question I had asked you was that and what you had answered also that the incentive last year was about 20 crores . Including PLI and state incentive this year , it would

be about 65 to 70 crores , which was part of the 200 crore PAT guidance. Now , has that changed because some of the numbers we have given out are the 30 crore PLI plus only 6 crore for the state incentive and you have increased your guidance as well ? So, we are slightly confused as to your new PAT guidance , how is the split between orga

nic business and from the incentive?

Pramod Gupta: So, as I said , I am again clarifying this year , we are building in this 216 crores only this 36 crores of government incentive and PLI. We are not building in any other state government incentive and largely because of the change in mix because the TV business , which was almost 11 % , 12% of the total revenue shifting out of the Company , we should see on a like -to-like operating basis some improvement in the standalone margins. So , that should help us and therefore , we should be able to show good performance despite lower percentage of incentive as a percentage of sales this year from the government sup port.

Pranay Roop Chatterjee: Sir, t hen my question is , so this year only 6 crores you will recognize . So, how much of the total CAPEX for this Maharashtra state incentive has been done? How much is left ? And by when do you think you can get the incentive released ? And hence , should be expect that this chunk of about 30 crores that we were expecting earlier this year would come next year then? So, how should we think about the state incentives?

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Pramod Gupta: See, w e have yet not completed our CAPEX for the state government incentive. This year, by this year's end or sometimes in this year, we should be able to complete that and post that, then there is a process . They give you a completion certificate and eligibility certificate and then after that, about once your all formalities are cleared, then the money actually comes. So, we think that money we will be able to receive only in the next year. So, then we will start recognizing that amount.

Pranay Roop Chatterjee: So, sir, then the last year you recognized about 4 -5 Cr as state incentives, you had mentioned in the call. What was that then?

Pramod Gupta: That was actually for the old CAPEX which was done in PG Electroplast in 2018 -19 in Supa when we actually put up our first AC assembly shop in Supa, indoor unit assembly shop when we put in Supa. That time we had done a CAPEX . For that we are getting some 6 .5 crores.

Vishal Gupta: So, I will clarify . I will add to what Pramod is saying . There are two applications . There are two entities in Maharashtra . One is PG Electroplast, and the other one is PG Technoplast. In PG Electroplast , we are already getting around Rs. 6 crore every year from the government of Maharashtra which we are already recording in our revenues also.

This PG Technoplast application , which was supposed to be made this year , will be making by end of this year and we are hopeful of getting state government benefits in PG Technoplast from next year onwards. That figure is already there . That is getting accumulated now . By next year we will get those benefits.

Pranay Roop Chatterjee: Sir, one last question . Again , this is a data clarification . In your press release , there is a line you have mentioned around the TV and electronics business. Now , the primary confusion is because obviously part of the TV business entirely has switched to Goodworth. So, if you could just clarify, how much of electronics and TV revenue has been recognized above your EBITDA line and if you could split that between TV and what electronics item you would have done and then how much has a ctually shifted below your PBT ?

Pramod Gupta: No, let me just answer this question for the clarification of everyone. See, this quarter we had an electronics business, total electronics business of 102.8 crores. Just a minute . Just let me just get the numbers . Just give me a second. So, electronic business was 100.8 crores, to be exact number, out of which 17 crores was the TV sales, which was done to the other parties.

Then there was a business which was in electronic sales, which was 83.6 crores, out of which 13, 14 crores was the business, w

hich was the controller sale, AC controller sale to the third

party. Apart from that, most of the sales were to the Goodworth , where we have sold the existing electronic components, which we were doing, and also some of the PCB assemblies for the TVs, which they are going to make in this year, and they have made in the last quarter and the coming quarters.

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Now, I want to highlight that the total revenues assumed from the electronics business for the full year is about 200 crores, out of which 100 crores has already come in the first quarter. And TV business has shifted fully to the Goodworth , and now there will be no more TV sales from the main Company , PG Electroplast .

Moderator: Thank you. The next question is from the line of Manan Vandur from Wallfort PMS . Please go ahead.

Manan Vandur: I joined the call a little late . So, please, if I am asking the same question again, please bear with me. I just wanted to know the guidance for the coming three or four years, if you could highlight that. And also I wanted to understand, in the data center side of the opportunity, even as we have one of our clients as Daikin, so Daikin also provides a data center cooling. So, are we looking into data center cooling kind of opportunity or products or something like that? Are we getting any inquiries? Please, can you answer these two questions?

Vishal Gupta: So, please understand that data center business is very different. We are into room air conditioning business and that is actual business, you know, light commercial business. We are looking at those possibilities, but right now for the next two, three years, one or two years, I don't see that possibility as a business generator for us. And what was your first question? Can you come back?

Pramod Gupta: Two, three years later, we think the existing product lines and the existing business line should help us to achieve at least 20% to 25% growth in the revenues. Apart from that, we hope that we will be able to start some of the new opportunities where we think we can scale up some of them. These opportunities could be both for domestic market as well as export market.

Manan Vandur: And are we planning to become debt -free by '27-'28 or something like that?

Pramod Gupta: Actually, I don't want to comment on the debt side. The reason is this that if we get good large opportunities to scale up, we are not averse to taking debt if these opportunities meet our return ratio targets. And internally , we are open to scale up the business with debt as well, where we will keep the risks in the mind, obviously.

Manan Vandur: And EBITDA margins would be 10 % to 12% sustainable over the coming years?

Pramod Gupta: I have never said 12%. 10% itself is a very good margin in my sense. And operationally, if we can do this 10%, that is excellent. By the way, I just want to highlight that in this business of this full year 10%, if we do, there will be almost 1% contribution from the PLI and the state government benefits, et cetera, in the main Company .

Moderator: Thank you. The next question is from the line of Neet Shah from Finovate. Please go ahead.

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Neet Shah: Sir, my first question is about our installed capacity. What is our installed capacity across all the categories and by how much do we plan to increase this year? Additionally, as a follow -up question, could you just shed some light on industry -wide installation capacity and the expected increase in these capacities this year?

Pramod Gupta: Industry -wide capacity, I don't have the data and I don't even have the estimates. Our own capacity I can give you. On a monthly basis, we can do currently about 250,000 indoor units and about 200,000 outdoor units and 25,000 window AC currently. This capacity we want

to take to

about 350,000 indoor units and 300,000 outdoor units by this year and maybe about 50,000 window AC. In the washing machine, our current capacity is about 115,000 per month, both semi -automatic and fully automatic put together. This we want to take to 200,000 per month by yearend.

Neet Shah: And, sir, what would be our current capacity utilization rate?

Pramod Gupta: Typically, in the season, the capacity utilization remains in the range of about 80 % to 90 %. In AC, the season starts somewhere from January, February, and it lasts till May, June. In the washing machine, typically , and in the off -season, this capacity utilization comes down to below 20%. And for the rest of the month, it is typically off -season from June till December, you can say in AC . In washing machine, the capacity utilization is similar , 80% to 90 % percent in the season, but in the off -season, this drops to something like 40 %. And in washing machines, the high season starts somewhere from May, and it lasts till December.

Neet Shah: Sir, my next question is, what is driving our confidence in future demand, despite the capacity expansions by other players and in -house manufacturing unit by major brands? Is this confidence primarily due to strong end consumer demand, or is it because of our cost structure, which allows us?

Moderator: Please, can you join the question queue for the follow -up question? Thank you. The next question is from the line of Pranav Shrima from PINC Wealth Advisory . Please go ahead.

Pranav Shrima: Sir, I had a question regarding our working capital. So, going forward, can we see any improvement in our working capital?

Pramod Gupta: Working capital on a quarter -to-quarter varies, and we are all the time striving hard to improve our working capital. But typically, in AC season, in the end of the year, the working capital cycle actually expands very significantly because of two reasons. The peak production months actually also coincide with the year -ending period, and that is a season -high time also for us. And therefore, on a full -year basis, when you do the averages, you seem to be getting an impression that our working capital intensity is high, which is not the case, actually.

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Second thing also, which actually today prohibits us from shrinking the working capital very significantly, is a very high dependence on some of the key components and raw materials getting imported from China, and also Chinese New Year coming in the fourth quarter of the year. So, therefore, to take care of the season and any uncertainty we have to take pre-build the inventory before that Chinese New Year.

These things are likely to change in coming years as the capacity for components and raw materials ramp up in India, and we are hopeful that going forward in a couple of years, the working capital cycle will shrink from what it is today.

Pranav Shrimal: So, going forward, we can expect our working capital to go down significantly, like a few of our competitors have shown good working capital, almost negative working capital, one of them has shown.

Pramod Gupta: One of them shows negative working capital because they are in a slightly different business where they get a good amount of credit from their vendors and also they must be getting good payment terms from the customers. Right now, immediately for the next one year or so, I don't see a very huge change happening in the working capital cycle, although we keep on all the time trying to improve the working capital by taking different measures.

Moderator: The next question is from the line of CA Pinkesh Thakrani from ProfitGate Capital Services LLP. Please go ahead.

CA Pinkesh Thakrani: Actually, I just missed out, like you were guiding about 216 crores of profit. Is this including the PLI? I just missed out like what is that?

Pramod Gupta: Yes, it is including the PLI. The PLI this year should be 30 crores and 6 crores should be the state government benefit.

CA Pinkesh Thakrani: So, you account for this on the receipt basis.

Pramod Gupta: Yes.

CA Pinkesh Thakrani: So, are these amounts short to receive?

Pramod Gupta: This PLI is actually for the last year's numbers which we have achieved, and we will be filing the claim now because you need audited numbers and GST audit et cetera to be done. That we should get it completed maybe in next one month or so and post that whatever time government takes to process that, then we will get the PLI money.

CA Pinkesh Thakrani: So, this 216 crores includes 30 crores of the central government PLI incentive and 6 crores state government, am I right?

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Pramod Gupta: Yes.

Moderator: Thank you. The next question is from the line of Vipraw Srivastava from InCred Capital. Please go ahead.

Vipraw Srivastava: Thanks for allowing me a follow-up question. Just wanted to understand about this reopening of PLI by the Government of India. So, do you think that do you anticipate that this could lead to many more brands actually setting up in-house capacities and on the supply side, it could lead to a sort of over-capacity because brands might further put up Capital due to this PLI incentive?

Vishal Gupta: See, there are already brands who have already participated in PLI. They will also, they can, this is open for everyone, but please understand that what we have been telling every time, what we are trying to offer is a cost leadership and it is a seasonal business. So, brands are always looking at outsourcing. Most of the brands are looking at outsourcing for some part of, some component of their total sales, they like to do outsourcing.

And we have a very strong belief in India growth story, the consumption story, where the India penetration levels of AC is around 7%, 8%. Today India market is around 13, 14 million, which is actually minuscule as compared to the other countries and India is much hotter country as compared to other countries.

So, we believe in a very secular and a macro way that this market is going to grow, and we are aligning our resources accordingly. Last three years, last four years, every year we have more than doubled our capacity and we have been always short of our capacity in season time.

Moderator: Thank you. The next question is from the line of Mukesh Agarwala, who is an individual investor. Please go ahead.

Mukesh Agarwala: Actually, my questions got answered.

Moderator: Thank you. The next question is from the line of Praful Siddharth from Chavez Capital. Please go ahead.

Praful Siddharth: So, what was the revenue growth in the plastic molding segment for the quarter?

Pramod Gupta: Just give me a second. I'll list it. It is about 19.8%.

Praful Siddharth: And our coolers would be around 20 crores revenue run rate this quarter?

Pramod Gupta: Yes, 19.02 crores, but that is not the run rate it is for this quarter. Please don't. It's a seasonal business, highly seasonal business, and it lasts only from January till typically May or June at max.

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Praful Siddharth: And what would be a total PLI inflow for the next financial year?

Pramod Gupta: I mean, current financial year we hope to get PLI of 30 crores, which will be for the achievement which we have done in the period of 2024. For this period, we are eligible to get maximum up to 37.5 crores and we have to meet those targets. We are very hopeful, and we are very confident that we will meet those targets. So, next year we should be able to get 37.5 crores.

Moderator: Thank you. The next question, the last question is from the line of Mr. Vineet h Lamb

u from

HSBC Asset Management. Please go ahead.

Vineet h Lambu: Is it for FY '25, 4,100 crores, right, revenue guidance? So, you have guided a revenue guidance of 4,100 crores. That's correct, right?

Pramod Gupta: No, no, we have guided for 3,650 crores in the PG Electroplast and 600 crores in the JV. So, total guidance is 4,250 crores for the group.

Vineet h Lambu: So, if you, I know it would be difficult given the seasonality. If you can give a rough idea of FY '25 within a band of pl us 2% or 3%, that would be helpful.

Pramod Gupta: That is for FY '25 only, that guidance which I have given.

Vineet h Lambu: FY '26.

Pramod Gupta: '26, I can't tell you right now. We will do our business plan sometimes in April and then only we can actually give you a guidance which will be good because right now whatever number I will be telling you, it will be very speculative.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Ms. Natasha Jain for closing comments.

Natasha Jain: Thank you. I would now request the management to give their closing remarks.

Vishal Gupta: I just like to thank all of you for participating in the conference call and thank you all. See you in the next quarter.

Natasha Jain: Thank you so much, sir. This concludes the conference. All of you may now conclude and disconnect.

Vishal Gupta: Thank you.

Moderator: On behalf of Nirmal Bang Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

November 18, 2024

Sub.: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 – Transcript of the Earnings Conference Call

Dear Sir /Madam ,

Pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, please find enclosed Transcript of the Earnings Conference Call held on November 11 , 2024.

This is for your information & Records.

For PG Electroplast Limited

(Sanchay Dubey)
Company Secretary
To,
The Manager (Listing)
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 533581 To,
The Manager (Listing)
National Stock Exchange of India Limited,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051

Scrip Symbol: PGEL

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“PG Electroplast Limited Q2 FY-25 Earnings
Conference Call”

November 11, 2024

MANAGEMENT : MR. VISHAL GUPTA – MANAGING DIRECTOR ,
(FINANCE), PG ELECTROPLAST LIMITED .
MR. PRAMOD GUPTA – CHIEF FINANCIAL OFFICER ,

PG ELECTROPLAST LIMITED

MODERATOR : MR. DEEPAK AGARWAL - JM FINANCIAL .

PG Electroplast Limited

November 11, 2024

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Moderator: Ladies and gentlemen, good day and welcome to the PG Electroplast Limited Q2 FY25 Conference Call hosted by JM Financial.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.

This presentation contains forward -looking statements based on the currently held beliefs of the management of the company which are expressed in good faith and in the Management's opinion are reasonable. The forward -looking statement may involve known and unknown risk uncertainties and other factors which may cause the actual results, financial condition, performance or achievements of the company or industry to differ materially from those in forward -looking statements. These forward -looking statements represent only the company's current intentions, beliefs and expectations and any forward -looking statement speaks only as of the date on which it was made. The company assumes no obligation to revise or update any forward -looking statements.

Should you need assistance during the conference call , please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr . Deepak Agarwal. Thank you and over to you, Mr . Deepak Agarwal .
Deepak Agarwal: Thank you Seema . Good afternoon, everyone on behalf of JM Financial. I welcome you all to PG Electroplast Q2 FY25 Earnings Conference Call.

Today we have with us Senior Management represented by Mr. Vishal Gupta – Managing Director (Finance), and Mr. Pramod Gupta – Chief Financial Officer .

So, without taking much of your time, I would like to hand over the floor to the Management for the “opening remarks ,” post which we can open the floor for Q&A Thank you and over to you sir.

Vishal Gupta : Thank you Deepak . Good evening everyone . Thank you for sparing your valuable time and joining this call today. Hope all of you are doing well. I am accompanied by Mr . Vishal Gupta , MD Operation and Mr. Pramod Gupta our CFO on this call . We have already shared the presentation of our results earlier in the day and hope you have gone through that .

The 2nd Quarter of FY25 has been another strong quarter in the growth journey of PG. The company has got a good traction in its product business and other segments also have ramped up very well. The company has posted robust quarterly profits and sold sales growth in this quarter. Operating revenues for the company grew by 46% and cross Rs.670 crore with the product business contributing a 54% share in the operating revenue. EBITDA also increased by around 55% and stood at Rs.60.5 crore and net profits rose by 57% to stand at Rs.19.5 crore .

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In first half of FY25 the company has posted industry leading growth in the product businesses and operating revenues for the product businesses worth Rs. 1355 crore with 119% growth. The room AC business contributed Rs.1118 crore which is a 143% growth on Y-o-Y basis. The washing machine business also has grown by 41% on a Y-o-Y basis and air cooler business has also grown by 267% on Y-o-Y basis.

Order, book and visibility for product business remains very robust and the company is on the track to accelerate product business growth significantly in FY25 . Our new product offerings in washing machines and room ACs and air coolers have received very good response. The company is focusing its efforts towards developing products that helps it maintain cost leadership while striving for product leadership too.

The company continues to see increased interest in the business from new and existing clients and we remain very confident about the future growth prospects of our business. For FY 25 our revised operating revenue

guidance is at least Rs.4250 crore in PG Electroplast and another Rs.600 crore in our JV company, Goodworth Electronics implying Rs.4850 crore of operating revenue as a growth, which is a growth of around 77% growth on FY24 numbers . We are also revising our guidance for net profit to at least Rs.250 crore which is a growth of around 83% over FY24 net profit of Rs.137 crore . The growth in product businesses that is washing machine, room air conditioners and air coolers is expected to be around 78% from Rs.1668 crore to around Rs.2,975 crore. CAPEX guidance stands at around Rs.370 to Rs.380 crore and the progress on all infra and capacity expansion is going on as planned. The company is on track to meet the capacity expansion guidance for the current year.

I would like to reiterate that the company remains committed to improving capital efficiency by improving asset turns through product business growth. And we aim to deliver industry leading growth with best in class return ratios in the coming years .

With this now, I would like to hand over the call to my colleague, Mr . Pramod Gupta – our CFO to elaborate on the financials. Thank you.

Pramod Gupta: Hello and good evening everyone. I am sure all of you have seen the Financials in detail already. We have had great scale up during the first half of FY25 from an operation point of view in a very challenging supply chain environment. The company has done excellently well. The ASPs in RAC, washing machine and coolers were down due to lower commodity price during the period and availability of critical component was also a challenge due to import supply chain becoming more onerous.

We have posted industry -leading growth in R AC in revenues of 143% in the first half and 41% in washing machines. The company's operating revenue for the first half are up 75% Y-o-Y at 1992 crore . EBITDA grew 80.7% at 195 crores and net profit was up 126% to Rs.104.4 crore.

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During the first half, operating margins improved due to cost control, low commodity prices and operating leverage . On the balance sheet side , the net debt stands at 238 crores at the end of first half due to inventory stocking up for upcoming AC season.

As stated by Vishalji , we have guidance of Rs.370 to Rs.380 crores of CAPEX in FY25. And again, I want to reiterate that improving capital efficiency by sweating our existing and new assets will be the key focus area of the company in the coming years. And all our existing expansion plan are on track and the infrastructure and plant & machinery which is being planned for this year is likely to come on time for the capacity expansion that we have planned this year.

We remain very optimistic on the growth opp ortunities in our areas of focus, and we believe the company is well-placed to expand its market presence and market share further in the coming years.

With this. I would now like to open the floor for Q&A.

Moderator: Thank you very much. We will now begin with the questi on-and-answer session. We take the first question from the line of Vipraw Srivastava from PhillipC apital. Please go ahead.

Vipraw Srivastava: First question is on the IT tailor what's the progress there , the management was stating that, quarter back that they would be sharing some news , but again, any updates because, there as some news articles also that , they are just struggling to meet the target. So , any thoughts on the IT?

Vikas Gupta : So, please understand regarding the IT hardware PLI Scheme, the government is still trying to figure out how to restrict the import of IT hardware products into the country. Once that is aligned and in place, then we should see some kind of traction for moving of manufacturing from overseas locations to India. And we are not able to see much of a movement in the industry right now. There are more than 26 , 28 co

mpanies under this IT Hardware PLI 2.0 and most of

those companies have not been able to tie up any business. So, we are working with the government to see how to regulate and restrict the import of IT hardware product so that the local manufacturing can gain some momentum.

Vipraw Srivastava: Right . And sir, secondly on the TV business obviously, this year you are bound for a very good healthy growth, 600 crore target , but going ahead, how do you see the TV business progressing .

Do you see competition , because one of the peer is saying that the TV, outsourcing market is almost over. What are your thoughts on that , do you see a good opportunity in the TV outsourcing market any thoughts on that?

Vikas Gupta : Sir please understand, we are seeing a very strong momentum. Please note that we have a very small base as compared to other competitors and we are seeing a very strong growth in our numbers for television business. We are confident of maintaining that moment um going forward as well in F Y26 as well. And we are already working on certain new platforms in television and

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we are in process of acquiring more clients. So, we are confident about the numbers for TV. Definitely the business is very competitive , so we need to maintain a very tight and lean cost structure for that.

Vipraw Srivastava: Fair enough. And so finally, last question on the AC business, obviously last year was very good with the summer around 20% volume growth was there. But this year, what kind of volume growth anticipating for the industry in next summer cycle, which is in 2025 and any thoughts on that?

Pramod Gupta : We see a strong momentum continuing at least till March and after that actually, how the

monsoon season pans out and how things happen will decide the course of growth. But at least till March, the order book is very, very strong, and based on that order book only, we have been able to revise our guidance upwards. So, if you see, we have revised our revenue guidance and bottom line guidance very significantly by almost more than 15% and that is largely due to very strong product business, overall product business momentum that we see in coming months gives good visibility.

Moderator: Thank you sir. The next question is from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.

Achal Lohade: The first question I had, if you could give a, while you have given for the first half growth, if you could spell out for the 2nd Quarter, specifically what has been the growth across the key categories?

Pramod Gupta: I will just give you those. So, in AC we had a growth of 212% on a Y-o-Y basis for the quarter. For the washing machine, the growth stood at 23% and for the coolers the growth was 191%.

Achal Lohade: Understood. Sir, if you could also give us the mix from molds, plastic molding and tool s?

Management: The plastic molding business was about Rs.229 crore and the electronics business was about 80 crores.

Achal Lohade: Understood. So, if I look at 229 crore, that's an extremely strong number. So, if you could guide us what has driven this and how do you see this particular segment for the full year because I see that part of the upward division is also driven by molds, a plastic molding business.

Management: So, this quarter we had good growth, it is not only plastic molding, it is plastic molding and other. So, we had some new client addition in some of the other segments, including some sheet metal components, et cetera and in the off-season we have a capacity which we try to utilize for supplying components to industry. This business, we are seeing a good growth but please don't extrapolate 44% kind of a growth, it will be more like 20 %-ish growth on a full year basis on this business.

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Achal Lohade

: Understood. And, in terms of the incentives if you have booked anything in the 2nd Quarter and if yes, what is the quantum?

Management: No, there was no incentive which has been booked in the 2nd Quarter, we will book the incentive as and when we receive it and we will inform when we actually book the incentives.

Achal Lohade: Understood. And in terms of the R AC growth, you mentioned 212%, what would be the industry number according to your estimate sir for the 2nd Quarter?

Management: Typically, the 2nd Quarter maybe probably close to 35% to 40% for the industry. But for us last year, 2nd Quarter had a very low base because of the early monsoons and there was a channel inventory which was there in the last year, last season. So, the absolute numbers are not large in fact, if you see last full year, like in the full quarter, in the 2nd Quarter we just had 75 crores of sale, this year we had about 236 crores of sales in the RAC, in this quarter. So, basically, the numbers are not very large. In first quarter we had 882 crores of sales in the RAC business.

Achal Lohade: So, ideally, one should look at first half or in fact, ideally trailing 12 months is that right?

Management: Yes. Ideally, trailing 12 months is a better metrics to look at, at any point in time.

Achal Lohade: Perfect. Sir, in the same context, if you could give for us versus the industry, what would that number be?

Management: I don't have the full numbers of the industry. I am just putting a best guess that probably the industry has seen a growth of about 40 -45%. I am saying the overall market in the sense, the retail sales, et cetera, Maybe outsourcing industry would have seen a higher growth because last year, as I was telling you that there was a very low inventory. So, this year, some amount might have gone in inventory and channel filling, et cetera also.

Achal Lohade: Right, understood. And any new client addition across the segments apart from the plastic molding and any other segment we have seen client edition.

Management: So, we continue to add clients and we have seen some good client addition. But we don't make announcements on the client-addition during the quarter.

Achal Lohade: Understood. And just last question, if I may how do we see the margins, for FY25 you have given the guidance, I appreciate that in terms of that. But if one were to look at from a margin perspective basis what growth expectations, what we have across categories, do you see margins, improving margins remaining stable or any impact on the margins. We think margin as a two to three year perspective?

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Management: Margin should be in the similar range as they are today. And as I have been explaining actually, for us the percentage margin is not the key driver. Typically, it is the per unit margin in absolute

amount that we actually get. And that is what we look into when we are doing the business and that remains the key focus because commodities are a pass through and there's always, up and down prices are happening in the sense the movement is happening with the commodity. So, on those basis, we think that the margin should remain largely stable for us in absolute amount per unit.

Achal Lohade: Understood . And any comment you would like to add in the electronics segment in terms of how do you see it growing ?

Management: Yes. So, the electronics business also we are seeing very strong growth. In fact, this quarter, if you see our electronic business grew almost 700% on a year-on-year basis apart from TV. So, TV, business has actually gone into Goodworth , the 50% JV and the ex of TV business, we are seeing a very strong traction. And some of the revision which we have done on the sales is also an account of the high growth which we are experiencing in our non-TV electronics business. We continue to see and

scout for new businesses there and we are seeing some early success in that side of the business.

Achal Lohade: Great. And this margin in this segment would be similar to the company level margins or could be higher ?

Management: No, the electronics business margins are typically very low in the range at the EBITDA about 2% to 4% at best.

Moderator: Thank you. We take the next question from the line of Arafat from InCred Research. Please go ahead.

Arafat Saiyed: A couple of questions , sir. Can you just give me the breakup of CAPEX of 370, 380 crore which we discussed and how much we already did and the balance where and how we are going to spend and also how are you going to fund the CAPEX ?

Management: So, out of 370, 380 crore CAPEX we are putting up about close to 165 crores in the product business for expanding the capacities and this will be for the plant and machinery in the product side of the business. About 185 crores will be going into the acquisition of land and making of buildings, which is the infrastructure side, and the rest will be about 20 odd crore which we will be expecting to invest in some basically maintenance CAPEX as well as some small CAPEX on the plastic component side, especially on the sanitary wear. Now , this is the breakup. So, some amount has already been spent . Rest is, we are on track and as and when we kind of reach the milestones those payments will be made to the vendors and the suppliers which are supplying this CAPEX for making the infrastructure.

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Arafat Saiyed: Got it, sir. And sir, my next question on JV China for laptop . So, how is the progress over there , and what kind of growth you are looking for the next couple of years and where do you reach in that segment ?

Management: So, please understand as I told to the earlier caller also , regarding IT hardware on the laptop manufacturing. As of now, we are not seeing any kind of movement happening among all the players of IT hardware and that is mainly because the government is still not able to figure out the way to , how to restrict the import of IT hardware into India. Once that mechanism is in place, then we can see some kind of traction and momentum towards shifting of manufacturing from overseas countries to India. So, till now we are not seeing much of that, but in the meantime we are preparing our infrastructure, and we are trying to see how we can leverage that opportunity as and when it comes.

Arafat Saiyed: Got it, sir. And sir, as you discussed that looking for PAT of Rs. 250 crore . So, what is the PLI included in that?

Management: So, that will be just 30 crores.

Moderator: Thank you. The next question is from the line of Yash from Stallion Asset. Please go ahead , sir.

Yash: My first question was on the fundraise that you announced , it's about up to 1,500 crores , in the board meeting so it's a significant amount and I just want to understand , how will this money be deployed?

Management: So, this is the total offering limit of about 1500 crores basically that's the amount that we have taken the upper limit from the Board and even from the shareholders we are seeking the permission for that QIP. We are seeing some very significant growth opportunities coming our way. And if as and when they kind of materialize, we will be utilizing that money for CAPEX and working capital. In fact, this year itself the growth has been much higher than what we initially anticipated. And in fact, significant amount of last year's QIP amount that we raised has gone into the , the working capital side there. So, now when as these new growth opportunities which we are focusing on materialize , we will require money for both CAPEX as well as the working capital. And so for that we have actually , taken the permission and we are hopeful that if some of them are going to materialize i

n coming months, then we will be able to raise the QIP and utilize that money for those opportunities.

Yash: Okay. So, will you be planning any inorganic acquisition in that amount ?

Management: No, we are actually looking at largely only organic growth opportunities , we are not looking at any inorganic initiative.

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Moderator: Thank you. We take the next question from the line of Ashish Kumar Singh from VyomWealth Advisors . Please go ahead.

Ashish Kumar Singh: Sir, my question is on this fund base. Sir you talked about having those funds disposed hand and getting into the new growth opportunities. Can you tell us about the industry that you are looking in the product line, any guidance on the product line which you are looking in the future?

Management: The product lines will be similar to what we are doing . They will actually be some of the expansion will be maybe some backward integration in some of the categories where we are working. We are also evaluating one or two new categories in the consumer durable side of the industry only.

Ashish Kumar Singh: Okay. And sir, as earlier you also mentioned that the government is not as of yet for the IT hardware part, but do you expect that the government to be ready with something in the future. And do you have any plans to expand into that if there is some opportunity there?

Management: So, please understand, we are also closely following up with the government and we are hoping that there will be some kind of policy guidelines, and we are putting up a infra in place to see if as and when the opportunity is there, we are able to harness that.

Moderator: Thank you sir. We take the next question from the line of Nilesh Patil from ICICI Securities. Please go ahead, sir.

Nilesh Patil: Sir my question is on the possibilities of entering into other segments as you mentioned in the previous question , that you may consider entering into some other consumer durable segments. So, any specific kind of guidance over there , what kind of opportunities we may look for ?

Management: We are in the evaluation phrase itself. As and when we decide to go ahead, we will make an announcement.

Nilesh Patil: Sure, okay. And so hope I expect these segments to kind of have a similar return ratios and asset returns to the existing business ?

Management: Yes, we have a very strong guidance in our company. We don't actually take up any new projects unless the project meets our internal R OCE targets. So, be rest assured that any new capital allocation will be done only if we see the opportunity to make a significant ROC E which is significantly higher than the cost of capital. And basically, we will maintain those capital efficiency norms that we have put in our company.

Nilesh Patil: Thank you. Sir my second question is that you have guided on the revenue visibility and profitability. So, and you have indicated that you will be sweating the assets. So, any guidance from, if you can share any band on asset turns that you are looking for?

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Management: I am sure you will appreciate that by the end of the year a lot of the CAPEX that we are doing right now is going to get capitalize and we are going to see a n increase in the overall Net and gross fixed asset base. And therefore, we think that given the guidance that we have given and the kind of capitalization we are going to see . Overall, a similar number as it is today, which is about 4.5 x to 5x on the net asset side. That should be the range which we should be able to maintain for the net fixed asset turn in our company.

Moderator: Thank you . The next question is from the line of Komal Iyer from NBG Investments. Please go ahead.

Komal Iyer: Could you help me understand what is the reason for the drop in the revenue on a quarter -on-quarter basis ?

Management: Ma'am , this is actually a seasonal business. The AC revenues are typically high in the first and the 4th Quarter of a year and second and the 3rd Quarter are typically low season for us for manufacturing of A C and AC is almost right now, about 48 %, 50% of our revenues on a yearly basis. So, therefore, because of that seasonality, we see a drop every year in the second and the 3rd Quarter vis-à-vis the first and the 4th Quarter .

Komal Iyer: So, we are so optimistic about business despite the 50% drop in the Q-on-Q, you have to revise your guidance upwards?

Management: So, ma'am the season seasonality play out every year, it doesn't matter quarter -on-quarter, how you see, we look at the business on a year-on-year basis only. So, every year in quarter two and quarter three the utilization of the plant and the production drops, we don't have control over that. Obviously, ACs are not selling in that season, so nothing can be done.

Moderator: Thank you. The next question is from the line of Vipraw Srivastava from Philip Capital. Please go ahead.

Vipraw Srivastava: Obviously, you are into PCB assembly also, but the Government of India is now coming up with PLI on components, which will be a backward integration for EMS players. So, any thoughts on that, any sort of backward integration we will be doing, let's say your number is doing bear boats also, so something on those lines, is there thought process about that or it's still a long way?

Management: Please understand, we are also keenly waiting for the announcement of the electronic components PLI scheme. Once we have that, we will try to go through that and we will be looking at what are the opportunities that we can look at. Definitely, we have certain set of guidelines or guardrails for our investments. We will try to see if we can fit into some kind of investments in those guardrails we will definitely like to pursue that.

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Vipraw Srivastava: Okay. Thank you and sir secondly, this year you are having 30 crore PLI in your financials in FY26 roughly if you can give an idea, what would be your PLI number it's only an idea?

Management: That will be about 37.5 crores.

Vipraw Srivastava: FY26 right?

Management: Yes, this year FY25 it is 30 crores and next year it will be 37.5 crore.

Moderator: Thank you. We take the next question from the line of Jalaj from Svan Investments. Please go ahead.

Jalaj: Sir, I have one question with regards to the margins for the balance of the year that is the H2.

So, if I do a backward, back calculation onto the residual part from the already achieved margin in the currently in the PAT. So, I come up with for the balance H1 it should be around 6.5%. So, could you just give directionally where and what sort of margin accretion would we be seeing coming from or from which place, is it coming from PV, JV or someplace else?

Management: No. This business that the numbers are on the bottom line and the guidance that we have given for the number is EX of TV. And the 250 crores is also EX of TV. So, this 250 crore out of that, in the first half we have done roughly 105 crores you can assume in the second half we are talking about doing 145 crores of profit. So, out of that about 24 or 25 crore, 24 crore at the bottom line will be coming from the PLI. So, roughly, you can say we are talking of 120 crore of net profit on the top line of 2260 roughly. So, that way, the margins that I am talking about are very similar to the first half margins on a company basis.

Jalaj: Understood and that makes sense, thanks for that. And with regards to QIP, I understand you allude to some view to incrementally growth coming from consumer goods or consumer vertical. But directionally are we seeing specifically on the IT hardware also, are we looking opportunities via t

his QIP or there is something else also in the book keeping?

Management: No, there is nothing in the IT hardware, a very specific to IT hardware that we are planning from the QIP. This QIP is going to be largely utilized for the growth opportunities in PG Electroplast. The IT hardware is actually a part of 50% joint venture company which is called Goodworth Electronics. So, if there will be opportunities on that side, we will be infusing capital to take care of that. But right now, this QIP we are budgeting largely the opportunities that we are looking for growth in PG Electroplast Limited only.

Jalaj: Got it. And one last question if I may, is more from an industry perspective, how is the competitive landscape specifically in the RAC or your washing machine changing or there's a lot of competition because all the cross verticals in the contract manufacturers, we are seeing good traction from business. So, could you talk a little about the competitive intensity there?

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Management: Competitive intensity has always been high, and we continue to see the high competitive intensity. In fact, some new players are entering the washing machine business. In AC business competitive intensity is high but because of the problems of the supply chain this year, the situation is getting a little bit more complicated because in the second half especially and next year first half we think that supply chain management could be playing a very important role in the AC business growth outlook for different players. And that side we think is going to determine the growth rates of different companies and how they tackle the supply chain challenges.

Moderator: Thank you. The next question is from the line of Basant Bansal an Individual Investor. Please go ahead.

Basant Bansal: While answering one of the earlier participant question, you said that second and 3rd Quarter is generally lower than the first quarter. And in the first half, we have achieved around 2000 crore and full year guidance is 4,250 crore. That means we will have to generate revenue of around

2200 to 2300 crore and given the fact that 3rd Quarter is low. So, the majority of the sales or revenue will come in the 4th Quarter is my understanding correct?

Management: Yes, it has been the trend in the company's numbers even if you see in the historical numbers. Last year for example, we did 1068 crores in the 4th Quarter, full year number was 2750 odd crores. Similarly year before that, the 4th Quarter had 828 crores of turnover while the full year numbers were 2100 crores. So, typically 4th Quarter is typically a very large quarter for us every year.

Moderator: Thank you. The next question is from the line of Jeewan Garg an Individual Investor. Please go ahead, sir.

Jeewan Garg: Sir in ACs normally compressor and other equipment were getting imported. Now we are manufacturing it here or how it is working?

Management: So, on the compressor are typically import only and almost all large companies in India, all companies in India today are actually dependent on import of compressor. There are some companies which are going to put up the compressor lines this year, but still most of the companies, almost all, almost 90% of the capacity is still today dependent on imports only.

Jeewan Garg: So, are we any if the plants get to manufacture compressor in future, maybe one to two years down the line?

Management: So, we keep on evaluating the opportunities. As of now, we do not have any kind of announcement to make on that, but as and when we have something, we can disclose it.

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Moderator: Thank you. The next question is from the line of Parth Shah from Tara Capital Partners. Please go ahead.

Parth Shah: I just needed one clarification, the revised guidance for

revenue and the profitability, is it after considering the PL I or is it before considering the PLI?

Management: No, after considering the PLI, as I said in one of the earlier question that we are expecting about 30 crores of PLI that is before tax and typically we have 20%, 21% kind of a tax rate, post-tax impact of that will be about 23 to 24 crores. So, that 250 crores include that 23 to 24 crores of the PLI.

Moderator: Thank you. The next question is from the line of Bhagyavanth Reddy, an Individual Investor. Please go ahead.

Bhagyavanth Reddy: Sir, at the start of your result document, you have published a standalone number. Is this related entirely to our product business or how should we look at it?

Management: No. In the standalone company right now, the businesses that are housed are actually some part of the plastic components, full washing machine business and the electronics business, full electronics business, EX of TV and also the mold making business where we make the tooling and molds for ourselves as well as for others. So, those businesses are a part of the standalone business. The 100% subsidiary PG Electroplast has a full AC business. It has a cooler business and some part of the component plastic and the sheet metal component business as well as some controller business which we have started providing, some of the electronics business also is in PG Electroplast. So, that is the way that today the division is there among the two companies.

Bhagyavanth Reddy: Okay. Thank you for the detailed explanation and the other one was on our debt, we have about 240 crores of debt. How are we, or by when are we planning to repay this?

Management: We don't actually have a plan to repay debt as of today. And given the strong growth phase that company is in, if some part of that growth journey is kind of financed by debt, it's not a problem for us. And we think if it is in control, the debt to the EBITDA and debt to equity ratios are within the limit, that we have set for ourselves, then we don't think there is any issue or any problem or any hurry to actually repay the debt or become debt free.

Moderator: Thank you sir. The next question is from the line of Pratap Maliwal from Mount Intra Finance. Please go ahead.

Pratap Maliwal: I just wanted some more clarity on that point you raised that the import supply chain is getting maybe an area of concern. So, which areas are affected for us in terms of, and does this pose any risk to the guidance that we have given going forward in terms of the supply chain management is going to become a key monitorable, going ahead?

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Management: As of now, first of all, I want to highlight that for us till March, there is no challenge we have actually secured all our supplies for almost all critical components, and we are very sure of achieving these targets. In fact, one of the reasons why because of which some inventory increase has happened this year is that we have been extra careful, and we have been planning for the supply chain issues and therefore we are confident that we will be fine with the guidance which

we have given. That's point number one, point number two is that, the government of India of late has been actually putting quality control orders, basically making the BIS certification mandatory for component factories also, which supply the components to India. And some of the key component factories have been had their BIS certification getting over and they are not getting renewed easily. And that is leading to some supply chain challenges this year and is likely to actually aggravate further next year. And that is why I am saying that supply chain issues are becoming challenging in the sector.

Pratap Maliwal: Okay, understood sir. Thank you for the detailed clarification and just one more question. Now, you also

said that the ASPs are coming down for product. So, I am just trying to understand our revenue model, how does it affect our top line and margins when the average selling price for commodities, for the products comes down as commodities are a pass through. So, how does the revenue model work here?

Management: So, typically the bill of material is a pass through. We get a conversion cost or basically the contract, basically the making charges for the product. So, commodity prices are reset every two months or a month or three-month basis. And we therefore do not take the risk of commodity prices. So, if the commodity prices go up the margins optically look low and in percentage terms and vice versa and they happened other way like in a sense and when the commodity prices go down, we see our margins optically looking better in percentage terms.

Pratap Maliwal: But that resets in a quarter's time when the prices are reset again and margins come back to kind of a steady state level. Is that it?

Management: See it's a kind of moving thing every quarter there are different kind of contracts. Some clients actually have a contract for the full season, some clients have a contract for two months the price revision or three-month price revision. So, based on that, the overall pricing actually gets set. And we also according to the contracts that we have try to hedge our commodity risk.

Moderator: Thank you. The next question is from the line of Mythili Balakrishnan from Alchemy Capital Management Private Limited. Please go ahead.

Mythili Balakrishnan: I just had a question on the AC, you mentioned that the growth in the AC segment was 212% right?

Management: Right.

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Mythili Balakrishnan: And this is in terms of revenues which you are talking about?

Management: Yes, for the quarter.

Mythili Balakrishnan: Volumes would have been even higher because ASP you mentioned has come down.

Management: Yes, volumes were even higher than that.

Mythili Balakrishnan: This is like significantly higher than what the industry has been doing. So, just wanted to get a sense from you as how are we gaining share, are we gaining share from other players, are we gaining share from their insourcing, what exactly are the drivers for this kind of significantly ahead of industry growth?

Management: So, this 212% is obviously an aberration especially because see this quarter, the last year base was extremely low. As I clarified in the subsequent question that last, the better way is to probably look at first half or on a trailing 12-month basis. But nonetheless, the growth there also has been pretty high in the first half. Our growth is probably close to 143% in the AC business and we have obviously been gaining a little bit of market share in some of the company's existing clients. Also, we have seen our share of business increase, and we have been able to add a lot of new clients in the last 1.5 - 2 years, which have ramped up well with us. So, all those things have actually helped us to gain market share and show this kind of volume growth in the AC business.

Mythili Balakrishnan: Got it. And when you look into the next year, in terms of the visibility that you are seeing, obviously it will depend a little bit on what happens in monsoon, etc. But is there a sense that some of the larger companies are looking to insource because we hear at least the market leader has some large factories which will come online et cetera. So, just wanted to get a sense on that?

Management: We also keep on hearing what you are saying, but as of today the outlook on the business remains extremely robust in fact, we are seeing to put things in perspective, we have increased the capacity even this year by almost 50% on a base of last year. And we think in the season given the kind of order book that we have, we

will be probably out of capacity even on the increased capacity this year.

Mythili Balakrishnan: Got it. And plans for looking at export or is that not exactly on our agenda right now?

Management: No, it is very much on the agenda. We have started planning for that, so we have a separate team of both sales marketing as well as the product development and R&D which we have set up in the company and in next one, two year, export is something which we will be looking at. So, we have started developing products for the Middle East and African market on the AC side and we

are working towards it. So, we hope that in next one, two year we should see some start or beginning in the export side as well.

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Moderator: Thank you. Ladies and gentlemen we take that as the last question for the day. I would now like to hand the conference over to the management for closing comments.

Management: Thank you all of you for participating in the conference and taking your time out. I again want to reiterate , we remain very bullish on the product business at our end, we have shown a very strong first half and even in the second half, we see significant growth opportunities. Thank you everyone.

Management: Thank you everyone.

Moderator: Thank you . On behalf of JM Financial , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

February 10, 2025

Sub.: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 – Transcript of the Earnings Conference Call

Dear Sir /Madam ,

Pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, please find enclosed Transcript of the Earnings Conference Call held on February 07, 2025.

This is for your information & Records.

For PG Electroplast Limited

(Sanchay Dubey)
Company Secretary
To,
The Manager (Listing)
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 533581 To,
The Manager (Listing)
National Stock Exchange of India Limited,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051

Scrip Symbol: PGEL
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"PG Electroplast Limited
Q3 FY 25 Earnings Conference Call "
February 07, 2025

MANAGEMENT : MR. VISHAL GUPTA – MANAGING DIRECTOR ,
FINANCE – PG ELECTROPLAST LIMITED
MR. PRAMOD GUPTA – CHIEF FINANCIAL OFFICER –
PG ELECTROPLAST LIMITED

MODERATOR : MR. DEEPAK AGARWAL – AXIS CAPITAL LIMITED

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Moderator: Ladies and gentlemen, good morning, and welcome to the PG Electroplast Q3 FY '25 Earnings Conference Call , hosted by Axis Capital Limited. This presentation has been prepared for informational purposes only. This presentation does not constitute a prospectus offering

circular or offering memorandum and is not an offer or initiation to buy or sell any securities nor shall part or all of this presentation from the basis of or to be relied on in connection with any contract or investment decision in relation to any securities.

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These forward -looking statements represent only the company's current intentions, beliefs, or expectations, and any forward -looking statement speaks only as of the date on which it was made. The company assumes no obligation to revise or update any forward -looking statements.

As a reminder, all participant lines will remain in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star , then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Deepak Agarwal from Axis Capital Limited. Thank you, and over to you, sir.

Deepak Agarwal : Thanks. Good morning, everyone. On behalf of Axis Capital, I welcome you all to PG Electroplast Q3 FY '25 Earnings Call. Today, we have with us senior management represented by Mr. Vishal Gupta, Managing Director of Finance; and Mr. Pramod Gupta, Chief Financial Officer.

Without taking much of time, I would like to hand over the floor to management for their opening remarks, post which we'll open the floor for Q&A. Thanks, and over to you, sir.

Vishal Gupta: Thank you, Deepak, and good morning, everyone. Thank you for joining this call today, and hope all of you are doing well. I'm joined in this call by Mr. Pramod Gupta, our Chief Financial Officer. And we have already shared our presentation yesterday evening, and hope you have gone through that.

The third quarter of FY '25 has marked a significant milestone in the growth trajectory of PG. The company experienced substantial momentum in its product business, while other segments also demonstrated considerable improvement.

PG has reported impressive quarterly profits alongside notable sales growth for the third quarter of this financial year. The company's operating revenues increased by around 82% to PG Electroplast Limited

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surpass INR967 crores with the products business accounting for around 69% of these revenues.

Additionally, EBITDA increased by around 97% to INR92 crores, while net profit surged by around 110% to INR40.14 crores. In the first 9 months of this financial year, the company achieved exceptional growth in its product division. The revenues generated from this division reached INR2,017 crores, reflecting a remarkable growth rate of 126%.

The room air conditioner segment alone contributed INR1,636 crores, marking a Y -o-Y increase of 154%. Additionally, the washing machine segment also experienced a growth of 49% on a Y -o-Y basis, while revenues from coolers surged by 127% as compared to last year. The order book and overall visibility for the product division remain s very strong, positioning this company towards significant

ly enhancing its growth trajectory in the product business throughout this financial year.

Our latest product launches in washing machines and room air conditions have garnered a very positive reception from our clients. The company is concentrating on creating products that enable it to maintain cost leadership while also pursuing product leadership. Interest from both new and existing clients has risen noticeably, and we maintain a strong confidence in the business, and future growth potential for this business.

For FY '25, we have updated our guidance for operating revenues to a minimum of INR4,550 crores for PG Electroplast and an additional INR550 crores from our joint venture, Goodworth Electronics , employing a total group revenue of around INR5,100 crores, which reflects an impressive growth rate of around 86% compared to FY '24 numbers.

Furthermore, we are also adjusting our net profit guidance for PG Electroplast to at least INR280 crores, which represents a substantial increase of around 105% over FY '24 net profit of INR137 crores. The anticipated growth in our product segment, which includes washing machines, room air conditioners, and air coolers is expected to grow by 98%, rising from INR1,668 crores in FY '24 to INR3,300 crores.

Capital expenditure guidance is set between INR370 crores and INR380 crores with satisfactory progress observed in all infrastructure and capacity expansion initiatives. The company is on course to achieve its expansion targets within this year.

The company wishes to emphasize its dedication to enhancing capital efficiency by increasing asset turnover through the growth of its product business. Our objective is to achieve industry - leading growth while also maintaining best -in-class return ratios in the coming years.

With this , now I will hand over the call to my colleague, Mr. Pramod Gupta, who is our CFO. He will elaborate on the financials.

Pramod Gupta: Hi. Good morning, everyone. I'm sure you have gone through the financials already. We have experienced significant growth during the first 9 months of financial year '25 from an operational perspective. This is despite we navigating a highly challenging supply chain

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environment. Also, during this period, the average selling price for most of our products is slightly reduced in comparison to last year, largely due to reduced commodity prices during this period.

Also, I want to highlight that the availability of imported raw materials has posed significant challenges during the first 9 months. And despite that, the company has been able to show significant growth.

In the third quarter of financial year '25, the company achieved remarkable growth in room AC revenues, recording an impressive 180% growth , washing machine grew almost 65% during the same period.

For the 9 months, the company's operating revenue reached INR2,960 crores, reflecting a Y -o- Y growth of 77%. EBITDA surged by 85.5% to INR287 crores, while net profit has seen a significant improvement to INR144 crores and growing 121%. In this period of 9 months, we have seen a slight improvement in the margin largely because of cost management, reduced commodity price, and benefits of operating leverage.

Coming to the balance sheet. At the conclusion of the 9 months, the balance sheet reflects a net cash position of INR793 crores. Additionally, inventory levels are elevated, exceeding INR1,025 crores. This is actually as a result of preparation for the forthcoming air conditioning season, which we anticipate to be very robust.

As stated by Vishal G, we have guided for INR370 crores to INR380 crores of capex that stays, and we are on track to achieve this. I want to again highlight the company will be prioritizing enhancing capital efficiency by maximizing the potential of both existing and new assets in the upcoming years.

We maintain a stron

g optimism regarding the growth prospects within our targeted sector, and we are confident that after the recent fundraising and with a strengthened balance sheet, the company is positioned to further increase its market presence in the coming years ahead.

With this, I will like to open the floor for Q&A.

Moderator: The first question comes from the line of Dhananjai Bagrodia from ASK Investment Managers.

Dhananjai Bagrodia : Congratulations on a fantastic set of results. I wanted to ask you, sir, how are we looking now for the compressor assembly, and which are the next few growth drivers we're looking at?

Because the current businesses obviously have done really well. Any new areas we're looking at?

Pramod Gupta: We have been actually disclosing whatever growth opportunities we have finalized and we will continue to do so. So we don't have right now any new updates on any other new opportunities . As and when they finalize, we will be updating you.

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But we are pursuing several opportunities, and there are interesting opportunities which are coming our way, and we are hopeful that we should be able to maintain a robust sales and profit growth momentum in the coming years as well.

Vishal Gupta: In fact, I will further add to that. We are trying to further deepen our backward integration in some products, and we are looking at those opportunities. We are in an advanced level of discussions for compressors, but those things will be declared once we formalize the agreement, and those things will be disclosed to everyone.

Dhananjai Bagrodia : And sir, secondly, in terms of now market share in all these products, do you have any idea of how much market share we would have gained because our numbers are coming way stronger

and comparatively? So this quarter or maybe for the year? Or how are you looking at market share now going ahead also? Would it continue growing like this?

Pramod Gupta: So the market share numbers are actually a little difficult to fathom because the volume numbers are not disclosed by most of people. And in fact, some of the other companies do not actually also give the numbers by finished goods and basically the component sales. So it becomes a little difficult to actually gather that how much exactly is the market share. But we think that we are gaining market share because our growth rates are much faster than the industry as well as some of our peers. But I don't have the figures or any ballpark numbers also on the market share.

Dhananjai Bagrodia : And lastly, how much capex are we looking for '25, '26?

Pramod Gupta: We will be finalizing our business plan in the coming months, and then we will disclose those numbers in the fourth quarter results.

Moderator: The next question comes from the line of Natasha Jain from PhillipCapital .

Natasha Jain : First of all, congratulations on a fantastic set of numbers. Sir, my first question is on the challenges that you mentioned on the supply side. We understand that there is a shortage for compressors. So just wanting to understand how are you placed for the season till June?

Vishal Gupta: As Pramod ji has earlier disclosed in the call that we have elevated levels of inventory. This has been done in anticipation of the shortage of compressors. So as far as we are concerned, we don't see major -- see, there is a challenge for the industry. That is there. Definitely, it is there. But we believe that we are a little better prepared and we are amply covered till the end of June to take care of the season. And in fact, whatever additional businesses are being allocated by our clients, if we are giving them a positive response on that also.

Natasha Jain : Sir, you just mentioned to the previous participant that you are in advanced -level discussion for compressors. When I see the latest PLI outroll, your company has got PLI, but for non

-

compressors. So are we in discussion outside of the PLI for compressor setups?

Pramod Gupta: In compressors, given the fact that we were already in the INR300 crore s category earlier in PGTL to get into the compressor manufacturing, we had only 2 choices, either to actually up

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our existing PLI to INR600 crores, which would not have made sense because we are already through for 3 years in that, and we would not have been able to meet the sales and basically asset creation or the investment targets in that. Or we could have applied for a new PLI with at least INR250 crores only for compressors, which is also very onerous because, in the second year of operations, we were required to reach INR1,000 crores of sales for compressors only. So it was not making sense for us to go for a PLI for a compressor. And that's why we have not actually included it in the PLI application for compressors. So, we will be doing compressors if we do outside of it.

Natasha Jain : And sir, lastly, if I may, I've seen your top -line growth, obviously, is very, very strong. But on a Q-o-Q, there's a gross margin decline. So just want to understand, has our product mix changed? Or is it mainly because of the cost escalation on raw mat?

Pramod Gupta: No, it is actually the product mix change because Q2 typically is slightly better for the washing machines and the proportion of washing machine sales is higher there. And in the Q3 and in the rest of the other quarters, the AC washing sales are as a proportion are typically higher. And gross contribution in the AC business is slightly lower than the gross contribution in washing machines. So, therefore, the mix change actually leads to the gross contribution being lower in the third quarter versus the second.

Moderator: The next question comes from the line of Bala Murali Krishna from Oman Investment Advisors. Since there is no response, we will move on to our next question, which is from the line of CA Garvit Goyal from Nvest Analytics Advisory.

CA Garvit Goyal : Congrats on a decent set of numbers. I just want to know like in the first 9 months, Good worth Electronics is contributing losses to our bottom line. So I just want to understand when this JV business will get profitable. And how much revenue it did in the first 9 months? So that's my first question.

Pramod Gupta: Can you please just repeat? I just missed your question.

CA Garvit Goyal : I just want to understand when we can expect the JV business to be profitable. And in the first 9 months, how much revenue we got from that particular segment?

Pramod Gupta: Basically, I think INR436 crores was the revenue in the in the first 9 months. We have actually on the EBITDA done decently, but it's just that the profit or the net is low because of interest and depreciation costs. We are working towards it. And we think that next year, we should be profitable in that business.

CA Garvit Goyal : And what kind of PAT margins do we expect on this JV?

Pramod Gupta: In the range of about 1% to 2% is going to be the PAT margin in that business.

CA Garvit Goyal : And what is the outlook for next year as a whole and as well as the segment?

Pramod Gupta: We will actually give a guidance for the whole business and for this segment probably after the fourth quarter. The business plan is getting formalized, and we will have a much exact and

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better understanding post this quarter. Basically, in the fourth quarter, we will finalize then we will share with you.

CA Garvit Goyal : No, sir, I'm not asking the numbers. Actually, I just want to understand on the demand outlook, like can we expect FY '26 to be more in line with FY '25 because this year was very much exceptional to us. So do you see this kind of growth coming in the FY '26 as well? Like I don't want the exa

ct number. I just want to get a glimpse of the demand outlook.

Pramod Gupta: The company historically has been maintaining a growth CAGR for the last 8, or 9 years at about 30%, 35%. We think that we right now have enough opportunities to continue to see that kind of growth, and we will be making all the efforts to probably achieve those kinds of numbers in the coming years as well. And we are doing the planning for infra and capacities accordingly.

Obviously, how the business season pans out depends on many factors which are not in our control. So that I cannot guide you right now. But as whatever the outlook or the business we have right now, it looks like next year should also be a good year for us. And the momentum seems to be continuing at our end with the good client addition and also market share gains in the existing clients.

Vishal Gupta: See, I will further add to what Pramod is saying. We are always striving to have industry - leading growth and at the same time, to protect our margin profile and have one of the best-in-class return ratios. So that will be always the focus of the company. Whatever is the industry growth rate, we'll be trying to grow much better than that. That is what we have been doing for the last 9 years.

Moderator: The next question comes from the line of Achal Lohade from Nuvama Institutional Equities.

Achal Lohade : Congratulations for fantastic earnings. Sir, a couple of questions. First, of the AC growth, if you could, is it possible to get a sense of how much is driven by the new client addition? And how much is on account of the wallet share gain with the existing clients? Any ballpark sense on that on a 9 -month basis?

Pramod Gupta: Yes. That number, we don't have right now. That analysis we have not done at our end. But this year, it's actually more of a market share gain in the existing customers, which we have seen new client addition because we had already a very large client base last year.

So mining those existing businesses, and existing clients was a major focus area rather than actually adding the new names. So I can say probably on a ballpark, almost 90% plus revenue growth is coming from mining the existing clients only.

Achal Lohade: And in terms of the electronics business, if you could give more sense of where are we, and what our plans are over the next 3, 4, 5 years? What kind of adjacencies we can look at in this particular sub -segment?

Pramod Gupta: As I have been telling most of people the electronics business at our end is a relatively large operation, which we manage. We actually do all the controllers in -house. We do the

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motherboards for all the TVs in -house. And now we have started offering these services outside also, and we are seeing good traction in them.

Also, we have started doing certain other products in the electronics side like security camera as well as some sound boxes, etcetera, and where we're seeing good traction. So that business has seen acts of TV, the electronic business in the first 9 months has seen a very good traction. We think we can scale up significantly for outside sales also in that business. And we are very hopeful that in coming years, that business will become very sizable for us. We will guide on specific numbers at the time of the fourth quarter results.

Achal Lohade: Sir, any sense with respect to margins in each of these categories like electronics, would it be 7%, 8%, machine, would it be 3%, 4%?

Pramod Gupta: Yes. So the margins on the electronics side are relatively very low, close to 2% to 4%, depending upon the products. Right now, it is more of an EMS business only, and we are not even a design house. So we do not have our own design. So we are actually just assembling these electronic components onto a motherboard and then we supply to the customers. So the margins are relatively low

, but asset turns are very high here. So that way the business works.

And as of now, the margins are going to be in that range only.

Achal Lohade: And just last question, if I may, sir, with respect to the EBITDA margin improvement on a Y - o-Y basis, so I presume there is no seasonality in that sense it will be the same what it was in 3Q FY '24. Of the 90 basis points -- sorry, yes.

Pramod Gupta: There was a seasonality. This year, the AC season actually has started a little early for us. Last year, if you remember, the third quarter was a little painful quarter for us. We had actually Y - o-Y decline actually in the third quarter last year because the season started late and it started only in January.

So this year, the season was a little early, and it was a healthy quarter for us. In fact, last year, third quarter, the utilization levels in the AC business was relatively low. This quarter, at least for the months of November and December, we were seeing good ramp -ups. So utilization levels were satisfactory.

Achal Lohade: So is it fair to say that in the fourth quarter, we could see a similar margin improvement? Is that a fair way of looking at it?

Pramod Gupta: Operational margin should be in the similar range as the third quarter, but there will be an additional bump up coming into the margin because, in the fourth quarter, we will be recognizing the PLI, we will receive the money from the government, and that is actually built into the guidance.

We have built in about INR30 crores of money, which we will be getting from PLI for our last year's performance, which is FY '24 year performance. So the way we account is that we account PLI only when we receive it. So that we will be getting in the fourth quarter, and that will bump up the margins.

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Moderator: The next question comes from the line of Farokh Pandole from Avestha Fund Management.

Farokh Pandole : Congratulations on the stellar numbers. Good to see the progress that we are making. My question was on what was described earlier as new opportunities in the backward integration and the components, et cetera, including, I think compressor was mentioned a few times.

So my question is around that, that typically, what sort of payback timing are we looking at for these if we have to enter into this space, including for compressor? And the capex between our cash and between the internal generation, would that be suitable to take care of our aspirations in this space? And also, will margins be at the company level or better or worse for this as and when these plans sort of see the light of day?

Pramod Gupta: In case of ACs and washing machines, we have already achieved a very decent backward integration. In case of AC, we see a major opportunity coming out in compressors and motors also. Right now, we are at a very advanced level of finalizing a tie -up for compressors.

For compressors, we look at, at least 17% to 16% or 18% around 17% of ROC for this number.

And at a company level, it will be actually margin accretive because largely it will be for our own in -house only. As far as capex is concerned, we don't see a major challenge, the kind of funds we have internally available with us, and the internal cash generation also in the recent QIP, we don't see a major challenge as far as the funds is concerned.

We are very well placed. Our balance sheet is liquid, and we will be generating significant cash in this year and next year and all the capex requirements will be taken care of from the balance sheet and the cash we gate.

Farokh Pandole : In terms of timing, if, say, you had to greenlight any initiative, typically, how long would it take you to sort of get up to a reasonable level of output, which can sort of service the in -house requirement?

Pramod Gupta: Sorry, can you just repeat your question, please?

Farokh Pandole : So my ques

tion is if, say, for instance, compressors, for example, if we had to greenlight that, how long would it take for us to sort of be in a position to actually start rolling out compressors in a meaningful quantity to be able to sort of positively impact our operations? How long would it take to set up the capacity?

Vishal Gupta: See, the building is already under construction. We expect to start initial production in next 9 months once we finalize from the moment we finalize, 9 months is, I think, is a good period that we'll be able to start the initial production and another 3 months to fully ramp up that production.

Moderator: The next question comes from the line of Ayush from Shravas Capital .

Ayush : Congratulations on a great set of numbers. I just have a few bookkeeping questions. In general, I just wanted to know what is the segment -wise revenue for plastic molding and electronics and molds? Can you just give me that number for this quarter alone?

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Pramod Gupta: This quarter, the plastic business, plastic and other components was about INR233 crores. And which is the other segment you wanted?

Ayush: Electronics and molds.

Pramod Gupta: Yes, electronics is about INR68.5 crores.

Moderator: The next question comes from the line of Onkar Ghugardare from Shree Investments.

Onkar Ghugardare : My question was regarding this kind of growth you have sustained for a couple of years. So what would be the next figure of growth? That would be the existing RAC business or like you are looking at some other categories to propel the growth in the coming years, of say, 30%, 35%, which you have mentioned? That's the first one.

Pramod Gupta: See, I think we think still we have some headway and continue to see good growth in both room AC as well as washing machine. Apart from that, we are contemplating some of the new products as well. We will be sharing with you as and when we start some of those product lines. We are working on certain other initiatives. And we think that those, along with these existing product lines will help us to achieve these aspirations which we have.

Onkar Ghugardare: So for, let's say, a year or so, this existing business would be the growth triggers for you, right?

Pramod Gupta: Yes.

Onkar Ghugardare: And the other sectors which you mentioned, those would be driving along with the existing ones in the next 2, 3 years, you would say?

Pramod Gupta: Yes, yes.

Onkar Ghugardare: Is it safe to assume that you would be looking at categories like laptops, notebooks, or, say, mobiles as a category?

Pramod Gupta: No, no. That is a different segment. That is actually not a part of the main company. It is actually a part of the JV. So laptops, tablets, et cetera, will be coming in good work electronics.

There, we have not had any major breakthrough yet.

Here, we are talking of the other consumer durable businesses as well as some components, critical components where we are looking at backward integration and also some of the other new initiatives which we have already announced and some more are in the pipeline, which we are working towards to basically enhance the growth rate.

Onkar Ghugardare: When can we hear about this in the last quarter or say, in the next financial year?

Pramod Gupta: In the fourth quarter and when any new initiative starts to mature, we'll share with you. We have been proactive in sharing everything as and when we have any breakthrough in any new businesses, we typically share, and we will continue to be proactive.

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Onkar Ghugardare: Just the last thing, you mentioned that INR280 crores is the new guidance, but that includes the PLI benefits, right? Otherwise, the older guidance stays, right? I mean.

Pramod Gupta: No, no. The older guidance also had INR30 crores of PLI. So we hav

e actually increased the

sales guidance, and we have also improved the profit guidance. So in earlier INR250 crores also, there was an INR30 crores of PLI, which we had budgeted. And in this INR280 crores also, we have budgeted INR30 crores.

Moderator: The next question comes from the line of Koushik Mohan from Ashika Group.

Koushik Mohan : Sir, I just wanted to understand this. I have 3 questions basically. One is this, currently, we are telling that we are doing INR280 crores. Last time we guided for INR250 crores. I understand from the previous question that we have INR30 crores in the PLI benefits from here. What exactly made us to improve our margins? When we look at from the last year, FY '24 and this year's full year, if I calculate with INR280 crores, we are moving around 0.6centage on the PAT margin. So, what is the major contributor for this?

Pramod Gupta: There are a couple of contribution items. First is, obviously, as I have been highlighting, that commodity prices, at least in the first 9 months were lower. So because of that, optically, the percentage margin looks better because raw material cost and that is a pass -through. So on a similar or slightly lower top line, you made the same amount of gross contribution in absolute amount. So percentages look better. That is one.

The second thing is we'll be having some gain as a percentage of sales in terms of probably all the 3, which is basically depreciation, other income, and finance cost. And then finally, tax rate also, we hope that in the fourth quarter, we should be having some gain. So all those things will actually help us to show better net margins.

Koushik Mohan : So is this considerable for the future also? Can we sustainably, we can do around 5.4% PAT margin? Is it sustainable?

Pramod Gupta: I cannot actually guide you for the future. But, yes, we hope that a 5% kind of range should be

possible.

Koushik Mohan : And sir, the second question is on, sir, the recent Q IP what we did, like where are we utilizing those funds? And inclusive of the same thing, this year, I think so there will be BSL star ratings for all our ACs, right? So the older ACs will be becoming 5 star will become 4 star and 4 star will become 3 star. So by that, I think the price of wallet share price will be increased by INR1,000 or INR2,000. So, am I right with what I'm understanding?

Vishal Gupta: As far as these upgraded products are there for the next star rating. As per our internal estimates, for 3 -star models, there will not be any major price increase. In the case of 5 -star models, there will be an increase of maybe INR700 to INR800. Let me tell you very clearly, these are very initial numbers. I cannot give you any definite numbers. The models are under finalization and approval with the clients. Once we have those models' approval, then only we will have a very clear picture at the bond level.

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And as far as QIP funds are there, so the QIP, the way money has been raised is that the objects are very clear the way we have raised this money. Partly, this money is being used for working capital because the working capital intensity has gone up. Partially is being for these new growth opportunities, what we are looking at, and this money will be used for those capex only.

Pramod Gupta: Capex, working capital, and some money for creating the infrastructure for growth for the coming years. We have run out of land and are building for new growth and new growth initiatives. So we will be constructing those also in the coming years. So for those things, we will be utilizing part of the money.

Moderator: The next question comes from the line of Bala Murali Krishna from Oman Investment Advisors.

Bala Murali Krishna : Sir, regarding this new plant commissioning. So what is the timeline for that could you please repeat if you already shared that one?

Pra

mod Gupta: Which plant are you talking about? We are commissioning a plant in Bhiwadi for making AC, which has actually been almost commissioned, and we are right now doing trial production and also we are waiting for BIS certification. So that will go into final production from next month, or probably most likely towards the end of this month.

Apart from that, we are also constructing a plant in Greater Noida for expanding the capacity of washing machines, which we think we should be able to start production probably from the end April or early May. Apart from that, we have an ongoing kind of a plant expansion, which we did in Supa, which has already got into production.

Vishal Gupta: I think in AC category, so whatever the capacity enhancement we are taking, it's already on stream. So there is no --

Pramod Gupta: Yes. So right now, the total capacity that we have is close to about 3.5 lakh ACs that we can do in both the places put together on a monthly basis.

Bala Murali Krishna : And this hardware PLI, sir, I think still the policy is not favorable to us and we are not moving forward in that one. Is that right? Or any plans for that?

Pramod Gupta: Basically, in IT hardware PLI, we have not had any major success yet. So we are still scouting for clients and we're still looking for a business there. We have not yet been able to make any big breakthroughs there.

Bala Murali Krishna : Lastly, on new products, sir, which we are talking a few quarters before, which you have some big RFQs coming from the customer. So that product is still on or whether we are discussing about any other new products, which we can start making in a few, maybe next 1 or 2 years, sir?

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Pramod Gupta: So there are some opportunities which are always coming. We are evaluating some of the other opportunities all the time. But as I have been saying earlier we are a little conscious about capital allocation and making the right kind of margins in those products.

So based on those only, we take up the opportunities. So there are opportunities in the pipeline, which we are evaluating even right now. So as and when any of those will materialize, we will be talking about them, and we will be giving more details.

Bala Murali Krishna : But just a follow -up on that to continue this growth, maybe we should need some new products like you were talking about the compressor, which may come on stream maybe in the next 1 year. In addition to maybe some white goods we should --

Pramod Gupta: Yes, we are looking at those opportunities, and we are in the final stages of finalizing some of those things. And we will make an announcement as and when those things are finalized.

Moderator: The next question comes from the line of Pranay Roop Chatterjee from Burman Capital Management.

Pranay Roop Chatterjee : Sir, my question is on the new segment that you announced recently, which is the electric vehicle assembly business. Broadly, can you provide some color on the total opportunity size you are seeing here with this client and beyond? And what sort of economics we can expect from this business?

Pramod Gupta: So, right now we are yet to commit any significant capex to it. We are still waiting for some approvals on the client side. And we hope that by the second year, we should be reaching about INR500 crores kind of sales in that business with this client only. Right now, we do not have any other client in mind. We are going to be working with them only. This business will have both the assembly of the electric vehicle as well as the battery.

We hope to start this business probably in the next 2, 3 months or 4 months, we should start the assembly part of the vehicle and battery and then we can actually share more details. Right now, it's still in the final stages of ordering, et cetera. And once we commission the plant and we ramp up that time

e we'll share the results or more details on this.

Pranay Roop Chatterjee : Sir, my last question is on, you had mentioned PLI, that is fine. Somehow I mentioned in some previous call, there was some INR6 crores of state incentive as well. That's why I thought INR36 crores was the total number.

Pramod Gupta: That continues to get kind of accrued every quarter, about INR1.5 crores every quarter. That is there as a part of the state benefit, which we continue to accrue every quarter.

Moderator: The next question comes from the line of Jalaj from Svan Investments.

Jalaj Manocha : Congrats on a great set of numbers. So I had a few questions. So first, could you talk a little about the unit economics of compressors and the minimum scale which is required project to be viable or profitable because I've read a few reports which talk about that the minimum PG Electroplast Limited

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quantum should be around 10 million, 15 million pieces is what it says. So could you talk a little about it?

Pramod Gupta: I think once we finalize the agreement, we will have more details to share, that is the right time we will actually talk about this. But I can tell you the numbers you're telling are probably not right. Whatever math we have done, we think the numbers are much lower to get the right return, et cetera, on that. But we will be able to kind of share the details with you once we have the final agreement.

Jalaj Manocha : And sir, in the recent budget, there was a talk about the custom duty on open cells, which has been cut to nil from 2.5. And I guess since we are in the PV manufacturing part, so does it have a sizable impact on us? Or per se, are we seeing anything there or not?

Pramod Gupta: No, it doesn't actually change the unit dynamics at all for us because bill of material is a pass-through for us. And even if the duty is there or not, it is actually passed on to the respective client for whom we are doing the manufacturing.

Jalaj Manocha : And one last quick question. So could you talk a little about the industry, what structure is there in terms of the RAC as in, let's assume of the 100 units that are being sold, what is right now outsourced, and what is being manufactured by OEMs? Because there were a lot of concerns around that. Could you talk a little about the landscape there?

Pramod Gupta: This is just our internal estimates that till 2020, almost close to 40% to 45% of the RACs were getting outsourced. And a large part of it, almost 35% was actually getting outsourced from the foreign imports.

Basically, the companies were directly importing from foreign players. And after that, when the PLI came and the subsequent ban on gas-charged ACs came, that market started shifting. But also what happened was because a lot of companies and the clients put up their own capacities that 45% actually started reducing and probably came down to something like 38%, 37% as of last year.

And this is the year when this has started rebounding and then I am making assertion because on the basis of the fact that in the first 9 months, all the 3 large outsourcing companies in the AC have shown much higher growth than the industry growth. Therefore, this year, probably that number is probably inching back above 40% in our estimate.

Jalaj Manocha : And what would be driving that thing basically that shift as per you or your understanding?

Pramod Gupta: There are many reasons, but supply chain challenge this year is one. The second thing is basically also the economic rationale because I think the in-house cost of manufacturing typically is higher than the pricing at which the product is available to the brands from the outsourcing companies.

So there are several of those reasons. And then obviously, some of the other things also, which is basically the changes which are happening in the marketplace where the end consumer is PG Electro

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actually switching to the brands or those market share gains are happening for the brands which are doing more outsourcing.

So those kinds of things are also leading to slightly higher outsourcing versus the in-sourcing, which is there. And that debate, I think, probably has been put to rest if this trend continues next year also. So it's a single data point, but let's hope to see if this trend of outsourcing continues, then we will probably be over with that in-sourcing versus outsourcing debate.

Moderator: The next question comes from the line of Natasha Jain from PhillipCapital.

Natasha Jain : I wanted to understand on the components for RAC side. Now we've again got PLI for expanding on our component side. Sir, firstly, I wanted to understand how does the margin move here in terms of -- do you get more margin when you supply components versus a fully assembled unit? And in continuation to that, how has your component scale up been for RAC?

Pramod Gupta: So actually, component business is not a focus area for us. We are actually more keen to give the full solution to our clients, and that is what we continue to do. In fact, the component business has actually seen a much lesser scale up for us in comparison to the finished good product business, which is what we say product business actually in our case. So that is going to remain the focus.

The PLI we have taken is for components, no doubt, but those components, you can actually also use captively for your own consumption or your own products and sell the final product.

And still, you can get the PLI. So that is what we are going to do in the next-generation manufacturing also for which we have got the PLI right now.

Natasha Jain : And sir, one last question. I know that you've mentioned in your opening remarks that the season looks very strong. But just wanted to understand, we're sitting at very high basis compared to last year for both quarter 4 and quarter 1. So are there any kind of challenges or any kind of caution that you are building in your numbers?

Pramod Gupta: Basically, I said it's looking great for us because this year, at least the industry, again, seems to be facing some kind of supply chain challenges on some critical components. And we are slightly better placed in the industry than some of our peers and even some of our clients. So from that point of view, we think that our positioning right now is very strong, and we continue to see very strong demand at our end for the coming season.

Natasha Jain : So just a follow-up on that. So given that there is a shortage of compressors, sir, any new clients that you may have onboarded, particularly for the upcoming season as a result of this?

Pramod Gupta: No. We have onboarded many clients. But typically, in the very first year, you don't see a very large scale-up from any of the new clients. It is only in the second and the third season, typically the scale-up happens.

But this year, yes, we are seeing a very huge scale-up from the clients, which we added in the last 2 years, and we are gaining market share in most of them vis-a-vis the competition.

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Moderator: The next question comes from the line of Uttam Purohit from Monarch Network Capital.

Uttam Purohit : So my question was on the client side. If you could provide the concentration figures of Top 1, Top 5 and Top 10 clients of us.

Pramod Gupta: That number we don't share, but I can tell you that the Top 5 clients in both AC and washing machine will be probably contributing close to 50% to 60% of the revenue.

Uttam Purohit : So is it fair to assume no client exceeds 15%?

Pramod Gupta: In AC, yes. In washing machine, no. washing machine, there is a client which is more than 15%.

Uttam Purohit : And going forward, are we aiming for more granularity or more concentration?

Pramod Gupta: We are going to prefer more granularity. We would like to have as diverse a client base as possible and not a large dependence on a single client. But then that is not in our hands only. Actually, it also depends on the market structure finally and how the market behaves.

So we don't say no to business it is even from a single client. But yes, we, at our end, try all the time to manage the risk and have a client concentration risk in control so that we do not suffer unduly because of anything happening to the client.

Moderator: The next question comes from the line of Koushik Mohan from Ashika Group.

Koushik Mohan : Just a follow -up question, one thing I have. Sir, I just wanted to understand which of our product is actually seeing fabulous growth.

Pramod Gupta: I mean, obviously, we have been telling every quarter, room AC has seen a very big growth. Even the washing machine has started inching up, but AC has actually seen a very, very high growth this year for us.

Koushik Mohan : But sir, this year, so I think it is because of our Q1 numbers and that Q1, it was a very heat wave that was happening and South India was majorly picking it up. But I just wanted to understand, is it the same kind of a scenario that you're feeling for the Q4 also?

Pramod Gupta: See Q4 ordering remains very strong, and we have given actually explicit guidance for Q4. Now we are talking of at least 48% growth in the overall sales. And that will largely be driven by actually AC because in this season now we are entering an off -season for washing machine. But nonetheless, washing machine, we also should see a very strong growth in the fourth quarter because of the last year's base. So overall, we are expecting a very significant growth on a full -year basis of almost close to more than 100% probably in AC this year.

Vishal Gupta: See, if you see in addition to what Pramod is saying, if we can say that the industry has grown around 30%, 35%. And in 9 months, our RAC business growth has been around 150%. Quarter 4 is also looking very robust and the guidance has been already given.

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I think you can decipher those numbers and you can calculate yourself what will be the Q4 numbers for all product categories. And see, business is looking good. And again, the only thing which we'd like to reiterate is one thing that we are trying to do in the last 4, 5 years, you have seen that there has been a narrative of that in -sourcing happening.

There is a narrative of that bad season happening, component business growing, but we have been very consistent with our narrative, with our commentary on this business, and we have been able to deliver on those numbers whatever we have been promising. We are very hopeful to continue this growth journey for another 2, or 3 years. We don't see the major challenge in this.

Moderator: The next question comes from the line of Kalash from AlfAccurate Advisors .

Kalash : So sir, my first question is, I just wanted to know the IDU-ODU mix.

Pramod Gupta: We actually have stopped providing those numbers, the IDU-ODU . But now actually, in absolute terms, the differential between the 2 has come down much less, like the differential between the volumes of IDU-ODU is much less than it used to be. We are selling CBUs now -- largely, we are selling CBUs and we are giving the full solution to most of the clients.

Kalash: And sir, what is the kind of capacity that is coming up in ACs and the capex that we are going to do?

Pramod Gupta: That we will share in the fourth quarter. Right now, our capacity is about 3.5 lakh per month of CBU. And from both the places put together, we are actually going to take stock of what kind of capacity expansion we need to do for the next year. So that we will share with you in the fourth quarter.

Kalash: And last question. So sir, what would

be the margin differential? In AC, so if you just supply

the components or you make the assembly as a whole. So what would the margins look like?

Pramod Gupta: We do largely plastic components for most of the consumer durable industry and some sanitaryware and maybe auto components also. So the margins are about 0.5% differential is there between the AC and those components. So components are slightly higher, maybe about 8%, 8.5% is the component margin business, while AC is about 7%, 7.5%.

Moderator: We take the next question from the line of Bala Murali Krishna from Oman Investment Advisors.

Bala Murali Krishna : Regarding PLI, I think this year, we are getting INR30 crores. But going forward, I think next 2, 3 years from PLI, we may get INR60 crores. And state consistently, we may get INR20 crores to INR25 crores for the next maybe 5, 10 years. Is it right, sir?

Pramod Gupta: Yes. So the way it will work is the second year for us for PLI, which we are going to get for the last year, which was the second year of execution of sales for us. Now there are 3 more years, which will be this year's INR37.5 crores, which we will book in the next year. And after

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that, there will be INR52 crores and INR60 crores, which we will book in actually financial year '27 and the financial year '28.

This is on the PLI. On the state government benefits, we hope to get about INR25 crores each year for the next 12 years once we make an application and our application is accepted, so which we intend to do maybe next year.

Moderator: The next question comes from the line of Koushik Mohan from Ashika Group.

Koushik Mohan : Sir, for every 10 ACs that we sold in the market, how many ACs are being sold?

Pramod Gupta: Right now, that figure should be, in our opinion, close to about 1.2 ACs being manufactured by PG for the 10 ACs getting sold in India.

Koushik Mohan : And we are targeting that to go to 2 or 3 in the future?

Pramod Gupta: That is difficult to say, but it depends on how the outsourcing market plans and what brands actually see what kind of growth. But we will be preparing ourselves for good growth and high market share in the outsourcing segment.

Koushik Mohan : And in washing machines for every 10 washing machines, how many do we sell?

Pramod Gupta: It will be about 1 washing machine this year is getting made by PG.

Koushik Mohan : For every 10 months?

Pramod Gupta: Yes.

Moderator: Ladies and gentlemen, we take that as the last question. I now hand the conference over to the management for their closing comments.

Vishal Gupta: Business has been doing very well for us. We will reiterate only one thing that as an organization, the way we have structured our business at all product segments and at all locations also is such a way that we are able to maintain cost leadership also and focus on product leadership also and at the same time, give such value propositions to our clients that we are able to increase our wallet share with them and again, keep on growing at an industry - leading growth rate and at the same time, maybe improve on our margins also.

Pramod Gupta : And I'd like to thank all of you for attending this conference, and please feel free if you have any more questions to call me or ask me or send a mail to us. Thank you.

Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

May 16, 2025

Sub.: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 – Transcript of the Earnings Conference Call

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, please find enclosed Transcript of the Earnings Conference Call held on May 12, 2025.

This is for your information & Records.

For PG Electroplast Limited

Deepesh Kedia
Company Secretary To,
The Manager (Listing)
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 533581 To,
The Manager (Listing)
National Stock Exchange of India Limited,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051

Scrip Symbol: PGEL

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“PG Electroplast Limited Q4 FY-25 Earnings
Conference Call”

May 12, 2025

MANAGEMENT : MR. VISHAL GUPTA – MANAGING DIRECTOR
(FINANCE), PG ELECTROPLAST LIMITED
MR. PRAMOD GUPTA – CHIEF FINANCIAL OFFICER,

PG ELECTROPLAST LIMITED
MODERATORS : MR. SHALIN CHOKSY – JM FINANCIAL INSTITUTIONAL
SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good afternoon, everyone and welcome to the PG Electroplast Limited Q4 FY25 earnings conference call hosted by JM Financial Institutional Securities Limited. As a reminder all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference has been recorded.

This presentation has been prepared for informational purposes only. This presentation does not constitute a prospectus, offering, circular or offering memorandum and is not an offer or initiation to buy or sell any security. Nor shall part or all of this presentation form the basis of or to be relied on in connection with any contract or investment decision in relation to any securities. This presentation contains forward-looking statements based on the currently held beliefs of the management of the Company which are expressed in good faith and in the management's opinion are reasonable. The forward-looking statements may involve known and unknown risks, uncertainty and other factors which may cause the actual results, financial condition, performance or achievements of the Company or industry to differ materially from those in forward-looking statements. Those forward-looking statements represent only the Company's current intentions, beliefs or expectations. And any forward-looking statement speaks only as of the date on which it was made. The Company assumes no obligation to revise or update any forward-looking statements.

I now hand the conference over to Shalin. Thank you. And over to you sir.

Shalin Choksy: Thank you, Anushka. Good afternoon, everyone and on behalf of JM Financial, I welcome you all to the Q4 FY25 Earnings Call of PG Electroplast Limited.

We have with us the Management represented by Mr. Vishal Gupta – Managing Director, Finance and Mr. Pramod Gupta – Chief Financial Officer.

I will now hand over the call to the management for their opening remarks, post which we can open up the floor for question and answers. Thank you and over to you, Mr. Gupta.

Vishal Gupta: Thank you, Shalin. Good evening, everyone. Thank you for sparing your valuable time and joining this call today. Hope you all are doing well. I am being joined on this call by Mr. Pramod Gupta – our CFO. We have already shared our Results Presentation and hope you have gone through that.

Financial Year 2025 has been another remarkable year in the growth journey of PG with several milestones. The Company has done capacity enhancements and scaled up its product business significantly in FY25. Now the Company is leveraging its size and partnerships to drive innovation, reduce cost and elevate quality standards and as client expectations for faster turnarounds and greater customization continue to grow, scale has become a defining PG Electroplast Limited

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competitive advantage enabling PGEL to optimize sourcing, streamline production and deliver exceptional value.

For this financial year our operating revenues for the Company has grown by 77% and crossed Rs. 4,869 crores with the product business contributing around 72.4% of the total operating revenue. EBITDA increased by 81% and stood at Rs. 519 crores and net profit rose by 112% to Rs. 291 crores.

The Company has posted an industry leading growth in product businesses and operating revenues for the product businesses cross Rs. 3,525 crores in FY25 with 111% growth. This is even though when ASPs in certain categories are down by up to 5% on a YOY basis.

The room AC business contributed Rs. 3,009 crores which is a 128% growth on a YOY basis.

The washing machine business had growth of 43% on a YOY basis and air cooler business has also

grown by 80%.

Order book and visibility for the product business remains robust and the Company is on track to grow the product business significantly again in FY26. Our new product offerings in washing machines and room ACs have received a very good response, and the Company continues to see increased interest in its product offerings from new and existing clients and we remain very confident in the future growth prospects of our business.

Business momentum is underpinned by our disciplined approach to efficient capital allocation

with a strong focus on enhancing asset turnover through sustained growth in product business. This strategy has been the foundation of our success, fueling industry leading expansion while ensuring best in class return ratios. As we accelerate forward, we remain committed to achieving market leadership, leveraging our strengths to set new benchmarks in operational excellence and financial performance.

For FY26 our operating revenue guidance stands at Rs. 6,355 crores in PG Electroplast which is a 30% growth over FY25 numbers and at Rs. 855 crores in our JV Company Goodworth Electronics which is a 57% growth over FY25 numbers. This implies an operating revenue of Rs. 7,200 crores at a group level which is a growth of around 33% over our FY25 numbers. We are also guiding for a net profit of Rs. 405 crores in PG Electroplast which is a growth of 39% over FY25 net profit of Rs. 291 crores. The growth in product business is expected to be around 35% from Rs. 3,526 crores to Rs. 4,770 crores in FY26. The CAPEX guidance for FY26 is in the range of Rs. 800 to 900 crores. The Company has planned to further expand the RAC capacity with a new Greenfield plant in Bhiwadi. Also, a new Greenfield facility is being planned in Greater Noida for washing machines. The Company is on the verge of finalizing a land parcel for its refrigerator plant in South India. The SUPA facilities will be expanded further with a new building and further capacity enhancement for the RAC business.

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Also, our Board of directors today have approved the final dividend of Rs. 0.25, that is 25 paise per share. With this now I will hand over the call to my colleague Mr. Pramod Gupta – our CFO to elaborate on the financials.

Pramod Gupta: Hi, good evening, everyone and I welcome you all to this conference call. I am sure all of you have seen the financials in detail already.

We had a very good scale up during FY25. From operational point of view, all our businesses have reported very significant growth over the last financial year. The Company's operating revenues for 4th Quarter FY25 were up 77% to Rs. 1910 crores. EBITDA grew 93% to Rs. 232 crores and net profit rose 105% to Rs. 146.4 crores. During Q4 and Financial Year '25 operating margins have seen slight improvement due to cost control, lower commodity prices and operating leverage.

On the balance sheet side, if you look, we are now net cash Company with almost Rs. 980 crores of cash. During the year the Company has done significant CAPEX of almost Rs. 488 crores in commissioning new Greenfield plant in Bhiwadi, CAPEX in Supa for RAC manufacturing and also the Company has issued capital advances for land and building in Greater Noida for new washing machine facilities. As stated by Vishalji, we have guided for Rs. 800 to 900 crores of further CAPEX in FY26. This will be funded largely by the operating by the cash that we have on the balance sheet today.

Also, we hope that going forward the growth momentum will be good. And again, I am reiterating here that the capital efficiency by sweating existing and new assets will be the key focus area for the Company in the coming years.

Our net fixed asset turn has crossed 5 this year and we hope to sustain that in coming years as our CAPEX get commissioned and we are able to fully sweat them. We remain very optimistic on the growth opport

unities in our focus area and we believe the Company is well placed to expand its market presence further in coming years.

With this I would like to open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP. Please proceed.

Garvit Goyal: Good evening, sir. Congrats for a good set of numbers. My first question is on industry demand. Basically, our customers like Blue Star and Voltas are a bit cautious regarding the near-term demand particularly due to early monsoon or we can say delayed summer, and they are facing some rising inventory levels at the channel. So, but we are on the other side pretty much confident which is reflected in our numbers as well for FY26. So, sir, please help us to

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understand what is giving us this level of confidence. Is it because we are further looking for increasing our market share or what is this exact growth driver for us for FY25?

Vishal Gupta: So basically, as we told that we are serving (+35) brands so it is the market situation is always very dynamic. Sometimes some brands are doing well, sometimes some brands may not have their own issues. So, for us this business is looking very strong as of now also, in spite of the fact that overall industry is facing certain inventory issues because of the early arrival of the rains. But for us as a Company we are not seeing a major challenge as far as the June quarter is

concerned and going forward also, we have the guidance that we have given, we are very confident that we will be able to meet those guidance. The only reason is because we are serving (+35) brands, so we are able to diversify the risk and diversify those issues with us that normally some customers face.

Garvit Goyal: Understood sir. And so secondly on our segment side, you mentioned product business is going to do well and electronic also. But looking at your plastic division, so you are estimating a growth of around 10% for next year. So why this slower growth we are targeting for next year in this particular segment sir?

Vishal Gupta: Basically, the issue is petroleum prices are on a lower trend right now. And all plastic businesses the prices are driven by a petroleum crude price. So, we are seeing that the drop in the raw material prices and this business being a straight passed to business to our clients. So, what we see the ASPs will drop, overall volume growth will be good but at a value level growth we are targeting around 5% to 10% only.

Garvit Goyal: Got it sir. And lastly on the CAPEX side, any new product that we are going to launch via this CAPEX that we are going to do next year?

Vishal Gupta: The only product that we are talking about right now is refrigerator that is already guided. That is what I have told in the call also right now. So, we are planning to put up a refrigerator plant in South India.

Garvit Goyal: Understood sir. Thank you very much sir. All the best for the future.

Vishal Gupta: Thank you.

Moderator: Thank you. The next question is from the line of Achal Lohade from Nuvama Institutional Equities. Please proceed.

Achal Lohade: Good afternoon, sir. Thank you for the opportunity. Congratulation for fabulous set of numbers. Just two questions sir. First with respect to the 35% revenue growth guidance for product, is it fair to say that in washing machine given the Whirlpool tie up now, this can grow in triple digit in the current year given the capacity, addition etc.?

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Vishal Gupta: We will stick to the guidance what we have given to you. We will not go into those details. So, at a product business level we are guided for 35% growth, and we will stick to those numbers as of now sir and we don't go for customer specific numbers.

Achal Lohade: Sure. The

second question I had, with respect to the PLI and the state incentives if you could help us, what has been the quantum which is booked in the 4th Quarter? For the 4th Quarter sir, what is the state and central government incentives we have booked?

Pramod Gupta: Rs. 31.5 crores. Rs. 30 crores is a PLI and Rs. 1.5 crores is the state government incentive which we have booked.

Achal Lohade: Okay, so Rs. 30 crores for FY25 and which is accounted for in 4th Quarter. Have I understood right?

Vishal Gupta: It is FY24 number which we received in '25. So, in our case in PLI we book this on the basis of the cash only. On the basis once we get the sanction and the money is just about to receive, we book in our books of course.

Achal Lohade: Understood. And one last question with respect to the compressors, any update on the status for the compressor manufacturing perspective?

Vishal Gupta: The building is already being made, and the contract is on the verge of finalization right now.

Achal Lohade: Okay, understood. All right sir. Great. I will fall back in the queue for follow ups. Thank you so much.

Vishal Gupta: Thank you so much.

Moderator: Thank you. The next question is from the line of Dhananjai Bagrodia from ASK. Please proceed.

Dhananjai Bagrodia: Hi, sir. Most of my questions are answered. Just wanted to ask you now when we are looking ahead are we seeing that now competitive barriers for other EMS players because of now PLI now becoming more and more advanced? So, the players who have gone through now we are in a very strong position to continue with that growth.

Pramod Gupta: I mean the PLI was just an enabler to gain scale and now I think PLI is over in a sense that in next 2-3 years PLI will be over. Now obviously the companies which have been able to take advantage of the PLI and grow and make, scale up their business will surely have a leadership position in the segment. And as you know the scale itself becomes a good competitive edge if it can be rightly harnessed by leveraging your strengths of customer relationships, sourcing relationship and doing the right product development. So, we think that now for any new player to come and enter and scale up to the scale is going to be relatively difficult, much more difficult.

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And given the fact that the players are now already established, at least for the foreseeable future we don't see any big threat from any new player to emerge in this segment.

Dhananjai Bagrodia: Sir now in EVs we have already got a foot into the door. Are we seeing more growth in that along coming or how are we seeing that?

Vishal Gupta: The EV partner has still to get some clearances from Government of India and AIRIA for launching their products. So, once they get that go ahead then only, we will be putting up the plant for them to start doing the assembly and manufacturing. We are still awaiting that those clearances for that our client partner.

Dhananjai Bagrodia: And so, what's the CAPEX you are looking for next year?

Pramod Gupta: The total CAPEX is going to be in the range of Rs. 800 to 900 crores. We are actually going to put up a refrigerator plant, Rs. 300 crores is earmarked for that. We are going to be spending a significant amount in compressor, and we are going to start a new Greenfield facility for washing machines in Greater Noida and we are also looking for a Greenfield plant near Bhiwadi in Rajasthan for components, coolers and maybe at some stage doing the tool room there. So, these are the plans there. In the next year we are going to have a very heavy CAPEX, and we think that in the next 2 years we will be actually doubling our gross block from currently about Rs. 1,200 odd crores to something like Rs. 2,200 crores odd.

Dhananjai Bagrodia: But the majority of that is coming in FY26 and because if you are saying 900 will be.

Pramod Gupta: Yes, large part of it is going

to be coming in '26.

Dhananjai Bagrodia: Okay, fantastic. Actually, this is very good. Congratulations again on a very strong set of numbers. Kudos to you all.

Vishal Gupta: Thank you.

Moderator: Thank you. The next question is from the line of Ashish Kumar from Ampersand Capital Investment Advisors. Please proceed.

Ashish Kumar: Thanks for the opportunity. My first question is on PLI again. What kind of PLI incentive can we expect next year for FY26? And my second question is on the Goodworth business; how do we see it in FY26? Do we expect breakeven and what kind of profit margin can we expect from this? Thanks.

Pramod Gupta: Yes, so next year we expect to have a PLI of Rs. 37.5 crores which is what is going to be our share for meeting the targets in 2025 financial year. Coming to Goodworth this year we did Rs.

544 crores turnover and we had a small loss there. At EBITDA level though we profit about 1%

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margin, next year we hope to improve that. We are budgeting in about 1.5% to 2% kind of the EBITDA margin in that business and you can assume that next year we should see some profitability. Going forward about 2% kind of a margin at EBITDA is what is sustainable in that business.

Ashish Kumar: Thank you.

Moderator: Thank you. The next question is from the line of Arshia Khosla from Nirmal Bang Institutional Equities. Please proceed.

Arshia Khosla: Thanks for taking my question and congratulations on a strong performance, sir. Most of my questions have been answered. I actually just want to understand the Rs. 800-900 CAPEX guidance. Is it including the backward indication that we are looking for RAC or it's just the refrigerator and washing machine part?

Pramod Gupta: No, no, it includes everything, RAC, washing machine, refrigerator and the new plant for basically coolers as well and new tool room which we are looking at, everything. And compressors also.

Arshia Khosla: Okay, understood. And sir, how the demand, obviously because of the delayed summer the demand of April has been a complete washout. So how is the demand, how are we looking forward to like May and June for this quarter?

Pramod Gupta: April has been a good month for us. We were on track of our budgeted numbers; In May also we have not seen any significant cancellation as of yet. June, month we will see, we will watch out how things pan out. But from whatever kind of inputs we have, we think at our end we have yet to see some very significant impact. But nonetheless we have been hearing the stories of South being very slow and also because of some intermittent rains in the last two weeks there has been slower sales. But on the other hand, I will just say that the summer in North India lasts till July. So, we are still in May-mid, and I think there is still some room to go. More importantly, we think that because of several other changes which are happening including this tax reduction, etc., which happened in the budget and also AC being a secular product, this seasonality will probably impact this or next month. But it is surely not going to kind of derail the long-term story. And we do not actually put up the capacity for business only for one year. In our opinion we still remain very optimistic and very bullish on the long-term growth prospects of AC business.

Arshia Khosla: Great. Thanks for that. Understood. And quickly on the margin side, would you like to guide something on the EBITDA margin side as well?

Pramod Gupta: I think you can assume them to be remaining flattish this year. We think the sustainable margins that we have are sustainable.

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Arshia Khosla: Okay. Thank you, sir and congratulations, once again.

Moderator: Thank you. The next question is from the line of Koushik Mohan from Ashika Group. Please proceed.

Koushik Mohan: Congratulations on this great set of numbers. S

ir, I just wanted to understand, you mentioned

now that you are going to get Rs. 37.5 crores on the PLI for FY26 and in the last year you got Rs. 31.5 crores on the PLI. That means on Rs. 405 crores we are expecting 42% growth on the full year, right?

Pramod Gupta: Rs. 31.5 crores what we got in the last quarter, out of that Rs. 30 crores was a PLI which was accrued to us in FY24. But since we received the sanction and the money in FY25 that's why it has been booked in that way. In FY25 the sales, what we have done, the PLI, what has accrued to us is Rs. 37.5 crores which will be accounted for in FY26. We expect to receive that money in FY26. I hope this clears this. There is also One more thing, out of the Rs. 31.5 crores, Rs. 1.5 crores was a state government incentive in the 4th Quarter. For the full year that state government incentive was Rs. 6 crores. It is going to continue at Rs. 6 crores even next year.

Koushik Mohan: That was very clear sir. And sir we can see that we are going for Greenfield. So how much in this Rs. 800-900 crores is allocated for land acquisition and how much is for machinery acquisitions? Any calculated numbers do you have?

Vishal Gupta: I think almost close to Rs. 600 crores over the next 2 years are going to actually go for land building across all the four locations in India. Like Supa in the West, in South, in basically North India and in Bhiwadi basically, Bhiwadi, Greater Noida.

Vishal Gupta: So out of Rs. 800 to 900 crores the land and building CAPEX is around Rs. 350-400 crores.

Koushik Mohan: Sorry sir, I can't hear you.

Vishal Gupta: See I will tell you exactly. As I was telling you over the next 2 years, we think that we will be almost doubling our gross block. Today our gross block stands at something like Rs. 1,200 crores. Now next 2 years we think that is the kind of CAPEX we will be doing. And we are starting four Greenfield facilities as I told you and the total amount of money which we will be spending in land and building across these four places is going to be in the region of about Rs. 600 crores. A large part of this money is going to be accounted for in the first year. Those lands you have to purchased initially and buildings also you have to do construction initially and then plants and machinery follows. I am not going to actually be able to give you exact number of how much land and building out of this Rs. 800 to 900 crores which I expect to be spent this year, is going to be land and building but I think it will be significant portion. But over the next 2 years almost Rs. (+600) crores is going to be in land and building.

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Koushik Mohan: Got it. The push 2 years down the line, the current year CAPEX and the next year CAPEX will be started giving us revenue. That means that if we maintain asset turns to be 5 then we are talking about Rs. 1,000 crores on the sales, is my understanding right?

Pramod Gupta: No, your understanding is right. But this 5 is what we have achieved, this internally We target 4 to 4.5. That is a good number, and we think that once we actually scale up all the facilities that is what we should be able to achieve.

Vishal Gupta: See we are targeting a growth of around 30% to 35% for next 3 years and this CAPEX has been planned on for that.

Koushik Mohan: Got it. Great. Thanks sir. I will get back in the queue.

Moderator: Thank you. The next question is from the line of Navneet Singh, an individual investor. Please proceed.

Navneet Singh: Can you please give us some color on some forecast on the margin expansion or the products we have higher margin?

Pramod Gupta: No, see we are in the business of contract manufacturing. Please appreciate, margins are not likely to see a major increase. Whatever gains we will get are likely to come only because of the productivity and efficiency gains. And I think as from an investor point of view I will sug

gest

strongly that you should focus more on the scaling up of business in terms of volume and value and not on margins specifically. Margins if happen is added bonus and I will refrain from guiding

for margin expansion in the long to medium term.

Navneet Singh: All right. On research and development side, so on the R&D side do we have any moat on that front, any unique product that we are planning to launch?

Pramod Gupta: We have been actually augmenting our R&D team very significantly over the last 3-4 years. In fact, the products which we have launched all in the last 3 years have been becoming industry benchmark. In fact, some of the brands have copied our products. In fact, the innovations which we have done, some of the innovations which we have done in our products have been very well appreciated by some of our clients and we continue to invest very aggressively in the product side and product development and R&D side. We have been actually increasing and strengthening our team on R&D in both AC and washing machine very significantly over the last 2 years.

Navneet Singh: So, what is the expenditure over R&D in terms of sales?

Vishal Gupta: Right now, that number will be pretty small because see our sales comes largely from doing the contract manufacturing. So right now, that number on an overall basis including maybe whatever

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expenditure we are doing on other than manpower maybe just about 0.5% to 0.75% of our turnover but it is likely to see increase in terms of absolute amount. See you also have to appreciate that we have grown very rapidly over the last 4 years, from Rs. 700 crores turnover going to Rs. 4,800 crores turnover, 4,800 crores. It's not a small number and out of that today what we are spending is a decent amount of the budget for the kind of business which we do in our opinion. Now obviously it will scale up going forward.

Navneet Singh: Understood. That is all from my end and congrats for the great numbers and hope we see even greater heights in future.

Vishal Gupta: Thank you.

Moderator: Thank you. The next question is from the line of Pranay Roop Chatterjee from Burman Capital Management. Please proceed.

Pranay Roop Chatterjee: Hello sir. Good evening. Firstly, on the RAC business, obviously plenty of questions have already been asked. So, I will try to ask in some other way. So obviously both the Q4 numbers that PG has shown, obviously it was a positive surprise any way. But what was more surprising is the commentary on the growth in upcoming year. So, what I wanted to understand it's actually it might help us track your business better in case you can disclose it. In terms of secondary sales, obviously you are giving the primary offtake to your clients. In terms of secondary sale can you like to throw some more color on your RAC business as to how it is split geographically? So South, West, East, North, if you can give some color on that. And on the same lines are these big guys who we investors keep listening to like Voltas and Blue Star. Voltas, I know is not as big for you as it was before, but Voltas, Blue Star, Havells, Johnson, Hitachi and all these guys, are these really good proxies to track your AC business?

Pramod Gupta: Well, first of all I will tell you I do not have any numbers on North, South, West and East even for my own products. The reason is that when I supply from my factory in the West or a factory in North, I don't know which model is going to which destination because it depends upon the brand which where are they sending. That is point number one. Point number two is, my business actually doesn't depend only on the growth of particular brand or Industry in particular year. We are servicing more than 35 brands. And also, you have to understand, there are multiple drivers in our business. It's not only the industry growth; it is also how much outsource

ing is happening

versus how much insourcing is happening. That also is a very important driver for us in terms of the growth and the business to us. So, in the last 3 years or previous to FY25 actually the industry was doing lot more insourcing. This year I think the outsourcing trend has reversed. And we think and we still believe that economic sense is actually, or economic rationale is to do more outsourcing till the time this business in India remains highly seasonal. It doesn't make sense for brands to put up large capacities in such a high seasonal business. It makes much more sense to outsourcing especially given the fact that none of the Indian brands and some of the large foreign brands are still local players. They are not still global players who are exporting

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and having huge round-the-year demand. That is point number one. Point number two is also that every 2 to 3 years there's BE rating change which also puts a lot of development and product R&D cost, I will say investment onus on the brands because every 3 years they have to come up with new models and new categories to take care of the BEE rating. So, taking all this into account, I think still outsourcing makes much more sense. Yes, but because of the PLI and the other reasons, some of the brands actually decided to put up their own facilities and they were

doing lot more insourcing. In our case we are working with also e-commerce, modern retail and other players and some of the other brands which are focusing only on these channels which are gaining huge market share and they have started to become sizable. They are also one of the key reasons for our growth being slightly better than the industry and we think that momentum or that advantage that we provide them because of our cost effectiveness, our scale, our sourcing, our product development, R&D is actually sizable and actually helps our client partners to gain market share in the marketplace. And that is one of the key reasons that we are remaining still very confident of the growth even in the next year. Thank you.

Pranay Roop Chatterjee: That makes a whole lot of sense. That is well accepted. With regards to your product business revenue growth, which is around 35% for FY26, the refrigerator segment for which you have earmarked about Rs. 300 crores CAPEX. I am assuming that will be taken, that will be reported as a part of the product business as and when it starts generating revenue.

Pramod Gupta: But in '26 there is no revenue, in '26 I have not budgeted any revenues from that.

Pranay Roop Chatterjee: Got it. That is clear. Can you throw some color on the business as to when you expect ideally production to start and on the Rs. 300 crores CAPEX what would be the peak revenue and EBITDA margin?

Pramod Gupta: These numbers I will take probably in the next conference call because we have still just hired the team and we are just working on them. There are some internal numbers but I don't want to share them. We are in the final stage of finalizing the plant, machinery and land and that budgeting is going on. But in the next conference call I promise I will actually be able to shed much more light on it. But we are very hopeful that we should be able to meet our internal ROCE target on that business from the second year of operations.

Pranay Roop Chatterjee: Excellent, sir. Sir, one follows up cross check. You gave a detailed answer on the CAPEX to a previous participant. I just wanted to confirm that. So, doubling of gross block, almost doubling of gross block over the next 2 years, Rs. 800 to 900 crores in FY26 and remaining, which is a smaller amount next year. In the first year and the reason I am asking this sir, is to gauge how much the depreciation cost would go up because the implied life of land and building is very different from plant and machinery. So, in the first year out of Rs.

800 to 900 crores, I heard you

say Rs. 350 crores would be land and building. Is that the correct number?

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Pramod Gupta: Yes, it could be actually slightly more also. Basically, we are still scouting for land in certain places that has not been finalized yet. So that number should be actually maybe Rs. 400 crores or so. But I don't know that number. Once the land parcels are finalized then I will be able to actually give you a definitive number. But I will like to highlight here that the land typically, if it is taken on lease from any of the development authorities typically has a life of, if you are taking for the first time of like leases for 100 years or so. So, whatever you write-off also in case of land or depreciate itself also is very small amount. That is point number one. Point number two is and even in the building and plant and machinery till the time you capitalize them, you don't actually start depreciating any of those things.

Pranay Roop Chatterjee: Got it. Thanks a lot sir for answering my question. Excellent quarter and I wish you all the best.

Vishal Gupta: Thank you.

Moderator: Thank you. The next question is from the line of Jalaj from Swan Investments. Please proceed.

Jalaj: Thanks for the opportunity. Wanted to understand, where do we stand on the compressor business right now or the compressor plant we were trying to put in? And one more point on is I believe that majority of it would be for internal consumption. So should we assume as and when it comes online should lead to better margins. How should we understand that?

Vishal Gupta: See, as I told earlier in the call, the construction of the building has already started. The contract is under finalization. The plant and machinery is also being finalized and as earlier mentioned, that majority of the capacity which is being put will be used for in-house consumption and some part of that will be sold to external parties. And since it is for in-house consumption, it will be margin accretive.

Jalaj: Understood. So tentatively when are we assuming or building in that they should get for a commercial operationalization should start from this plant? Any tentative time.

Vishal Gupta: Q4 of FY26.

Jalaj: Q4 of F26. So, nothing is built in the assumption in the F26 guidance.

Vishal Gupta: Nothing in this guidance.

Jalaj: Got it. And then sir, what sort of margin expansion can we expect from this if it comes in house?

Vishal Gupta: I don't think this. Maybe by the time we are able to sign off the agreement and everything is in place, I think we will be in a better position to hear something on that, not right now.

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Jalaj: Got it. And sir, I see that the cash flows for at least the closing for the full year are standing at a CFO standing at (-70) crores to (-80) crores. So, could you help us understand what exactly it is, is it that we are preparing well for the coming quarters that the inventory buildup has been done or what is exactly the reason behind it?

Pramod Gupta: Yes, so if you look at our cash flow this year, basically we are carrying a very large amount of inventory and we had a close to about Rs. 1,300 crores of inventory closing inventory at the end of the quarter. Obviously, some of it is going to get, a significant part of it is going to get shed in the April-May-June quarter because we are not seeing any big challenge as of yet in the AC business. But one of the reasons also which we were carrying some of this inventory was because there was an uncertainty on account of compressor BIS related uncertainty because BIS was getting over for some of the Chinese players and we consciously kept higher inventory of compressor and we are carrying that yet. So that is okay with us and we think that during the year we will be able to utilize it in the normal course of the business.

Jalaj:

Got it. Got it. Thank you and best luck.

Vishal Gupta: Thank you.

Moderator: Thank you. The next question is from the line of Arpit Shah from Stallion Asset. Please go ahead.

Arpit Shah: Just wanted to understand whether the PLI incentive Rs. 37.5 crores which are accounted for, is it part of the guidance or that would be on top of this?

Vishal Gupta: No, no, it is a part of the guidance.

Arpit Shah: It is part of the Rs. 405 guidance, right?

Vishal Gupta: Yes.

Arpit Shah: Okay, sure. And all the three new CAPEXs which you all are planning, is there none of the revenues or anything is part of the current guidance everything shall come in FY26?

Pramod Gupta: No. None of those CAPEX, only the CAPEX on the brownfield expansion of the capacity for AC which will be very small amount will be contributing to the revenues in FY26. A large part of this Greenfield CAPEX is going to be actually starting to contribute only from Financial Year '27.

Arpit Shah: Got it. And you highlighted the amounts which you have allocated. I think Rs. 300 crores was for the refrigeration. What was the amount for the RAC and the washing machine, Bhiwadi and Noida?

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Pramod Gupta: Washing machine is going to be about Rs. 90 crores and AC is going to be another Rs. 200 to 250 crores this year which will also include some part of compressor.

Arpit Shah: This Rs. 200 to 250 crores, it is going to include the compressor as well?

Pramod Gupta: Yes. Some part of it has already been done in FY25, because we have constructed a building. So, building augmentation will continue in the coming year. Some part of the building will come and then there's a compressor plant and machinery and some augmentation to the resting plant and machinery for capacities in AC we will be doing at Bhiwadi as well as in Supa.

Arpit Shah: Got it. If you can just walk down the compressor in terms of margins, like how much can it add to our margins since you'll be using a lot of it captive and maybe you'll be selling it outside. So, what the margin work would look like if we are adding capacity?

Pramod Gupta: Once we are able to finalize, we will be finalizing and signing the contract manufacturing agreement with the partner that time we will actually detail the numbers on the margins and the impact they will have on the margins of the Company.

Arpit Shah: And currently what percentage is imported for India, what percentage of compressors are imported in India and what percentage are manufactured domestically?

Pramod Gupta: Only about 10% to 15% is getting domestically manufactured, almost 85% to 90% was getting imported. But in the next 2 years I think all the companies are planning with the existing companies as well as some new players are planning capacity expansion in compressors.

Arpit Shah: And that is with PLI incentives which you all would be getting?

Pramod Gupta: In compressor we have not availed PLI incentives.

Arpit Shah: Got it. Fair enough. Thank you so much. Best of luck.

Pramod Gupta: Thank you.

Moderator: Thank you. The next question is from the line of Vipraw Srivastava from PhillipCapital. Please proceed.

Vipraw Srivastava: Quickly on the other current assets, why has it gone up resulted in CFO becoming negative?

Pramod Gupta: No, I didn't get it. Can you just please reply and be a little clear?

Vipraw Srivastava: What I was asking was the other current assets of the Company has gone up for FY25 and that has resulted in the cash flow from operations becoming negative. So, what's the reason for that?

Just wanted to know that.

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Vishal Gupta: In other current assets there are two segments, two things which are actually leading to expansion in other current assets. See we are having a good amount of GST credit which goes into other current assets because of the decent inventory which we are carryin

g. So that is one part which

we will be utilizing in the coming months. Some part of it we have already utilized in April. That is one. And the second thing is we have also paid some of the capital advances to some of the vendors for plant and machinery, etc., So those things are there right now which are part of the other current assets which we will be actually able to utilize once the commissioning of the plants, etc., happens.

Vipraw Srivastava: So, by the end of FY26 it will be back to normal level, is the understanding correct?

Vishal Gupta: Yes.

Vipraw Srivastava: Okay sir. And just one more question. So, on the guidance which you have given for FY26, I am sorry if I missed this but how much of the revenue is coming from PLI?

Vishal Gupta: FY26. The revenues that will come from PLI is Rs. 37.5 crores.

Vipraw Srivastava: Okay sir. And lastly on the refrigerator side, since you are doing a significantly large CAPEX, what are the asset terms we can expect?

Pramod Gupta: We think this number we will be able to detail to you in the next call once we will have a full number in place. Right now, we are still in the works because a lot of calculations and things are going on in the Company. Some basic estimates are there but numbers will get finalized by end of this quarter and then I will be able to share with you the exact estimates for the asset terms and the return ratios and margins that business.

Vipraw Srivastava: Sure. Thanks a lot.

Vishal Gupta: Thank you.

Moderator: Thank you. The next question is from the line of Kush from Ananta Capital. Please proceed.

Kush: Good afternoon, sir. Congratulations on always beating your guidance. Sir, one question on refrigeration, refrigerator business. I think this is a new product for us. Is it a more technical product? Do we anticipate any technical, know-how issues or is it very different from ACs in terms of the product being able to be manufactured efficiently in India.

Vishal Gupta: Kushji good evening. So, the team is already in place. The product team, the R&D team and the operations team and the project team, they are already hired. They are already working on the project. So, we don't see any issue in the successful implementation of this project, launching of the products, getting approval from our customers. So, the template but we have for our other

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product businesses where we aspire to have cost leadership and going forward targeting product leadership also. So, this is a template we have adopted for refrigerator business also. So, we don't see any major challenges there and we are very confident on going on this project.

Kush: And I am sure sir, there must be already some talk with some anchor customers who would probably anchor the facility as of now. We don't own the names. But sir, any commitments from any customers that for offtake as of now?

Vishal Gupta: It won't be right for us to say this thing right now. But the project is being put only on the basis of once we have visibility on the business.

Kush: Okay. Understood sir. About just one technical question. Is PLI incentive part of other income or is it part of revenue of our operations?

Pramod Gupta: It is part of revenue from operations.

Kush: Okay. And one more bookkeeping question, if you are saying Rs. 405 crores of PAT next year. So, if I just do a rough calculation, are you talking of around Rs. 750 crores of EBITDA and Rs. 150 crores of depreciation plus interest plus other income and PBT of Rs. 600 crores. Is that a ballpark number rough math, right?

Pramod Gupta: No, Rs. 405 crores, the PBT is not going to be Rs. 600 crores. The PBT is going to be more like Rs. 520 or 510 crores. So, we have a 20% tax rate roughly. And I mean from there you can back work backward. Most of the CAPEX which we are doing this year is not going to hit us immediately. It is going to actually come and

hit us only probably in FY27.

Kush: FY27. So, depreciation will go up in FY27 is what you are saying largely?

Vishal Gupta: Yes.

Kush: I see significant cash on the books. So, what will be our overall average debt for the year or year ending debt given that there is scale up in the business? But still, we have a lot of cash. So, sir, will we require a lot of debt in this financial year?

Pramod Gupta: No, we don't intend to take lot of debt. In fact, a lot of the CAPEX is initially going to be funded through the cash lying on the balance sheet and whatever, even if we require some debt, maybe even that will be only for working capital and that will be probably very temporary because we have a high seasonality. So typically, that debt even if it goes up it also comes down very significantly after June. So, I don't think but that will be the case because they will be having very healthy internal accruals also next year and even now this year, we had close to Rs. 500 crores of EBITDA. So next year we think we should be able to even if you assume the margins remain stable which is what is our guidance, also then we will be having over close to Rs. 650

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crores of EBITDA. So that should take care of our working capital requirement which we may have. So, I don't foresee a huge increase in the debt even next year after the CAPEX of Rs. 800 to 900 crores.

Kush: Understood sir. Thank you and all the best sir. I am sure as always you have always beaten the guidance. So, I was assuming Rs. 450 crores pat when I said Rs. 600 crores of PBT. So, sir, all the best for the next year and beyond sir.

Vishal Gupta: Thank you, Kush ji.

Moderator: Thank you. The next question is from the line of Akhil Shah from Yes Securities. Please proceed.

Akhil Shah: Sir my question is regarding other income. It has gone substantially up from Rs. 13 crores in FY24 to Rs. 35 crores in FY25, so any reason behind it?

Pramod Gupta: I will give you the reason exactly. The interest has gone up significantly, one is obviously on account of the business. Business has seen a very sharp growth especially the AC business, room AC business even in the 4th Quarter actually had over 100% growth. So that is, or one of the reasons because it's very working capital intensive. Also, if you closely you will see that we have seen some improvement in the number of working days especially on the receivable side. And one of the reasons because of that is that we have been able to get the use the vendor programs of some of our clients where we can actually discount our receivables and get our money early by giving some factoring kind of arrangement, reverse factoring kind of arrangement where the interest we have to bear. So, because of that also the interest cost has gone up during this quarter. The reason in why we have utilized those is that we have done some of the FDs which are at very attractive rate and it made more sense to actually do and utilize these vendor program factoring, reverse factoring vendor programs of the clients and which were at a competitive rate in comparison to the FDs which we have right now.

Akhil Shah: Got it, sir. Thank you.

Moderator: The next question is from the line of cost of Kaustav Ray, an individual investor, please.

Kaustav Ray: Congratulations on a great set of numbers. I would like to understand that you are projecting 35% growth in the product business. Now we know there is some compressor issues. So how do you tackle the compressor issue? Do you think the BIS issue will be settled or how will you really address the compressor issue to achieve this growth? And the related question in the projections. Oh, sorry. Maybe you carry on. I will ask later.

Vishal Gupta: Government of India has recently issued a notification where they have allowed the import of compressors for one more year. So, you can import compressors up to the 15th A

pril 2026. So,

compressor availability which was seeming to be an issue till two or three weeks back is largely

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resolved for at least one year. And hopefully by that time our compressor factory should be online.

Kaustav Ray: Okay. And on this compressor, are you planning to import all components and then assembly or there is plan of manufacturing some of the components also?

Vishal Gupta: Some parts will be localized Kaustav and some parts will be importing from overseas. Details cannot be given as of now till the time we sign off our agreement.

Kaustav Ray: Okay. Thank you, sir. And the other part in the projections which you are giving on the revenue numbers, is there EV business also part of that projections or the projection is only of the rack and washing machine and refrigerator?

Vishal Gupta: So, the guidance numbers what we have shared is for PGEL separately and for Goodworth Electronics which is a JV Company where we make PVs has been given separately. So, for Goodworth the projection is around Rs. 855 crores and for the PG Electroplast which combines product business, molding business, tooling business or other electronic business which is around Rs. 6,400 crores. So total is coming around Rs. 7,200 at a group level.

Kaustav Ray: Okay, thank you sir.

Vishal Gupta: Thank you.

Moderator: Thank you. The next Question is from the line of Neeraj Agarwal, an individual investor. Please proceed.

Neeraj Agarwal: Congrats on the great set of numbers. I would just like to check on the inventory. So, there is a very high rise on the inventory much more than our revenue growth. So, any specific reason for that? Is there a due to some kind of product mix change? So would like to your guidance on that. And secondly, like the 30%-35% growth that you forecast is going to be for the next 3 years and what could be the growth beyond that area? If you can give some guidance on that. Thanks.

Vishal Gupta: The inventory numbers are on a higher side as I just told earlier. Because of the uncertainty on the compressor availability, we at a Company level have taken a strategic decision of stocking the compressors. So, in order to secure our AC business. That is why we are seeing some elevated levels of inventory. Coming back to the second question. See we have already guided for 30%-35% growth for FY26. And we hope to maintain this momentum for the next 2 to 3 years. Anything beyond that will be very difficult to share right now.

Neeraj Agarwal: All right. Thanks sir.

Vishal Gupta: Thank you.

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Moderator: Thank you. The next question is from the line of Chavali Sharma, an individual investor. Please proceed.

Chavali Sharma: good afternoon, sir. Congratulations on achieving a good set of number. I would like to know regarding the refrigerator, actually are you going to produce the latest models or existing models only? My second question is are you having any plan to produce front loading washing machines in future?

Vishal Gupta: We as a Company level we are always looking at new product categories in order to increase our wallet share with our clients. And the way the market trends are changing where consumer behavior is also changing. And there is a subtle shift from the semi-automatic to top load and top load to front load. So, we are at a Company level already developing such platforms in order to meet those evolving demands from our clients and customers. And as far as refrigerator is concerned, the capacity what we are putting up will be capable of making both DC and FF category of refrigerator. And the supplies and the production will happen as per the customer demands.

Chavali Sharma: Thank you very much, sir.

Vishal Gupta: Thank you.

Moderator: Thank you. The next question is from the line of Achal Lohade some Nuvama institutional equities. Please proceed.

Achal Lohade: Thank you for the follow up opportunity sir. Any update on the laptop opportunity?

Vishal Gupta: Nothing as of now, sir.

Achal Lohade: Okay. Second question I had was with respect to the components PLI anything we would look at any opportunity we would consider in this and is it part of...?

Vishal Gupta: Definitely. So, this is not part of the CAPEX what we have guided as of now, but we are always exploring business opportunities. We are looking at this also, we are talking to some of the probable partners in China and Taiwan. If something comes up, we will be definitely participating in this electronic component scheme.

Achal Lohade: Understood. And just last question if I may. I don't know if you would be able to answer sir. Just wanted to get a sense given the significant outperformance to the industry growth, is it possible to get some number in terms of CBUs? What would be the industry's outsourced CBU mix and what would be our market share, any ballpark number for FY25?

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Vishal Gupta: Normally we don't share these numbers and, but I can very well tell you that we might be in kind of a leadership position in the outsourcing category now.

Achal Lohade: Right. Fair point sir. And respect to the EV business, I think there was one question. So, the electric vehicle that the client partner is yet to get the approval. So, there is no CAPEX, there is no revenue or anything of that sort and let's say theoretically if this was to come through in this month this approval, how much time would it take to set up and what kind of asset turn would we look at?

Vishal Gupta: It will take 3 to 4 months for us to put up the capacity. The CAPEX will not be very large and the asset turns will be very good.

Pramod Gupta: It will be a low margin, high asset turn business because initially it will be largely assembly and as the localization speeds up in India then the margins will start seeing some improvement but also with increased investment. Initially it will be largely assembly kind of a job which we will

start.

Achal Lohade: Understood. And this last question if I may with respect to the electronics segment, I think we have had about Rs. 350 crores of revenue. How do you see that shaping up over next 2-3 years?

What kind of revenue size we can look at and what categories we could probably look at?

Pramod Gupta: We have already guided for next year in that we think we will be in the ballpark of Rs. 500 crores in that segment and we are working towards it. We are probably going to talk more about it once we have some more clarity. But we think that 25%-30% growth should be easily possible in that segment. It is a very small segment for us as of now and things can actually evolve quite significantly if we work towards it and that's a focus area in the Company.

Achal Lohade: Got it. Sorry. I am again saying last sir, in terms of from an EMS perspective. Just I need to answer from an industry perspective. In terms of the margins, how do they rank in terms of RAC, ref and washing machines?

Pramod Gupta: The washing machine has the highest and then ref will be there and then probably RAC will be at par or slightly lower than that.

Achal Lohade: Understood. Perfect sir. This is very helpful sir, thank you and wish you all the best.

Pramod Gupta: Thank you.

Moderator: Thank you. The next question is from the line of Vipraw Srivastava from PhillipCapital. Please proceed.

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Vipraw Srivastava: Thanks for allowing your follow up. Sir quickly on the room AC demand side of the story. So obviously the commentary from other players and southern India has not been very positive. So, what's your take on the demand side and how do you see it evolving over the next fiscal year?

Pramod Gupta: I think I have answered this question but just repeating I can answer it for myself,

at our end we

continue to foresee good demand environment, and I have taken into account all the basically forecast, etc., while we are giving guidance. So, we remain pretty confident that we should be able to meet our guidance for next year.

Achal Lohade: Sure sir. Thanks a lot.

Vishal Gupta: Thank you.

Moderator: Thank you. Ladies and gentlemen, I take this as the last question and would now like to hand the conference over to the management for closing comments.

Vishal Gupta: I will thank all of you to participate in the conference and please feel free to contact me or the Company for any further questions or any clarification. Thank you very much.

Moderator: On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2025

August 11, 2025

Sub.: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 – Transcript of the Earnings Conference Call

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, please find enclosed Transcript of the Earnings Conference Call held on August 08, 2025.

This is for your information & Records.

For PG Electroplast Limited

Deepesh Kedia
Company Secretary To,
The Manager (Listing)
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 533581 To,
The Manager (Listing)
National Stock Exchange of India Limited,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051

Scrip Symbol: PGEL

"PG Electroplast Limited Q1 FY'26 Earnings Conference Call"

August 08, 2025

MANAGEMENT : MR. VISHAL GUPTA – MANAGING DIRECTOR (FINANCE),
PG ELECTROPLAST LIMITED
MR. VIKAS GUPTA – MANAGING DIRECTOR,
(OPERATIONS), PG ELECTROPLAST LIMITED
MR. PRAMOD GUPTA – CHIEF FINANCIAL OFFICER, PG
ELECTROPLAST LIMITED
MODERATOR : MR. DEEPAK AGARWAL – AXIS CAPITAL

PG Electroplast Limited
August 08, 2025

Moderator: Ladies and Gentlemen, Good Day and Welcome to the PG Electroplast Q1 FY26 Earnings Conference Call hosted by Axis Capital Limited.

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This presentation contains forward-looking statements about the company which are expressed in good faith and in the management's opinion are reasonable. The forward-looking statements may involve known and unknown risks, uncertainty and other factors which may cause the actual results, financial condition, performance or achievements of the company or industry to differ materially from those in forward-looking statements. Those forward-looking statements represent only the company's current beliefs, intentions or expectations.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Deepak Agarwal. Thank you and over to you, sir.

Deepak Agarwal: Thanks. Good afternoon, everyone. On behalf of Axis Capital, I welcome you all to PG Electroplast Q1 FY26 Earnings Concall.

Today we have with us the Management, represented by Mr. Vishal Gupta – Managing Director (Finance), Mr. Vikas Gupta – Managing Director, (Operations) and Mr. Pramod Gupta – Chief Financial Officer.

So, without taking much of time, I will hand over the floor to the management for the opening remarks, post which we will open the floor for Q&A. Thanks and over to you, sir.

Vishal Gupta: Thank you. Thank you, Deepak. Good afternoon, everyone. Thank you for sparing your valuable time and joining this call today. Hope all of you are doing well.

Let me start by saying that this quarter was softer than what we expected. We have just come off a year of very strong growth, strong demand and strong execution and naturally we were confident heading into FY26, and our guidance reflected that optimism. But what changed quite quickly and unexpectedly was the weather. The monsoon arrived earlier than usual, and the room AC season

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ended abruptly. Sellout in the trade channel was lower than forecasted and inventory levels stayed higher for longer. In hindsight, we were not fully prepared for that kind of shift in this quarter.

Given this and the visibility we now have for the next couple of months, we have recalibrated our guidance for the full year. We believe this is a responsible thing to do to stay transparent and align with where the market is today. That said, it is also important to look at what did not change.

Our room AC business still grew 15% YoY basis in this quarter despite the season cutting short.

Washing machines grew by 36% with strong volume growth from new platforms.

Our new plant in Bhiwadi is already ramped up now. Our order book is healthy. We are expanding capacities in RACs, washing machines and coolers and client engagement across large and emerging brands remain strong.

FY26 will now likely shape up to be a more measured year and that is fine. We will use this time to consolidate, focus on operational levers and execute our platform and capacity investments with more discipline. These are the foundations we need to get in place for the next phase of growth.

We remain confident in the long-term opportunity in India's consumer durable market and in PGEL's positioning to be a key

enabler in that space. Our focus remains on staying to scale

profitability, to stay capital efficient and deliver consistent value to our stakeholders.

With this now, I will hand over the call to my colleague, "Mr. Pramod Gupta, our CFO, to Elaborate on the Financials."

Pramod Gupta: Hi, good afternoon, everyone. I am sure all of you have seen the financials in detail already. Thank you, Vishal ji, for giving the introduction.

Let me take you through the numbers for Quarter 1:

Consolidated quarterly revenue stood at Rs.1,504 crores, which is a 14% increase over Q1 last year.

Of this, the product business contributed Rs.1,159 crores or 77% of the total revenue.

AC business contributed Rs.1,015 crores, a growth of nearly 15% and accounted for around 68% of the total revenue.

Washing machines were up 36%.

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Air Cooler sales were slightly lower on account of the shortened season.

Our 100% subsidiary, PG Technoplast reported revenues of Rs.1,211 crores during the quarter.

Coming to profitability:

EBITDA for the current quarter stood at Rs.139 crores and it was up 3.5% year-on-year.

Net profit was at Rs.66.7 crores compared to Rs.84.9 crores in Q1 2025. The drop in net profit is mostly due to negative operating leverage from AC volumes or planned AC volumes and some input cost pressures. Due to the abrupt end of the season, we were left with high inventory level this quarter. To manage our cash flows, we had to get a lot of our receivables discounted, which led to an additional outflow of almost Rs.20 crores of financing costs.

Our overhead remain high during the quarter as we got caught off guard. We are working on optimizing our overhead costs.

From a balance sheet standpoint, the company remains on a strong footing. We have cash and equivalents of around Rs.911 crores and return on capital stands at 25.2% on trailing 12-month basis. Our fixed asset turn remains healthy at over 5x.

Now coming to the revised guidance for FY26:

We expect PGEL standalone revenues to be in the range of Rs.5,700 crores to Rs.5,800 crores. Net profit is expected to be between Rs.300 crores to Rs.310 crores. At the group level, including our joint venture, Goodworth Electronics, we expect consolidated revenues of Rs.6,550 crores to Rs.6,650 crores in sales.

We have also pushed some of our CAPEX plans to next year. We are continuing with our investment in Greater Noida, Supa, Rajasthan, and South India with FY26 CAPEX to be between Rs.700 crores to Rs.750 crores, down from Rs.800 crores to Rs.900 crores planned earlier.

As always, we are watching market trends closely and we will adapt if needed. But our long-term investment, operating model, and growth priorities remain unchanged.

With this, I will be happy to take any questions. Please open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. We take the first question from the line of Saumil Mehta from Kotak AMC. Please proceed.

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Saumil Mehta: Thanks for the opportunity, sir. Two questions from my side. Now, obviously this season is going to be weak, but in terms of our discussion with the larger clients, what sort of pricing actions are being taken – have they asked for a better pricing for us given they themselves are under stress?

And in that backdrop, how should the overall margin profile look for the upcoming season for us?

That is my first question.

Vishal Gupta: I will tell you. Right now, pricing is not being discussed. Right now, there are so many other issues which are being discussed with the clients because of the kind of inventory what we have accumulated for our clients and those materials have not been taken by them. So, we are discussing those things right now. Pricing things are not in discussion right now because even if you are able to offer some discount, there is no demand for the material, bec

ause the channel is totally choked

up with the inventory. So, that is something which is not being discussed right now. Margin profile will remain under pressure. That is why the guidance has been revised because we believe that there might be some pressure on the pricing. That is why we have factored those things in our guidance.

Saumil Mehta: And is there any early indication of cancellation of orders? And if yes, will it come from the larger clients or mid-size clients? Any rough indication or estimates of what we are projecting for this year?

Vishal Gupta: What happened was, a lot of cancellations happened for the month of June, July and August. In fact, all the plans which were there, they were cancelled to the tune of 50%-70% across most of the clients for the month of June, July and August. And the situation for the next year or the next season, we will get to know only post-September or maybe sometime in mid-October, because by that time, whole industry is expecting that there will be some moderation in the channel inventory and then they will be able to plan for the next season. Right now, most of the brands as well as contract manufacturers are actually slowing down production to probably get rid of the inventory in the channel and the inventory that they have for the finished goods. Because this year, there is a rating cycle change. And the current inventory which people will be having, especially the brands and the contract manufacturers, will be difficult to sell post-January 1st.

Saumil Mehta: Sure. And my last question. Any update on the compressor tie-up? We were going to announce that very soon. At what stage of negotiation that is? And ballpark, any change in economics from where we were earlier looking for that JV? That is my last question. Thank you.

Vishal Gupta: So, as far as the economics is there, there is no change. But there is some delay in getting some clearance from the governments on this, especially from the China government on this project. So, we are just waiting for that. There has been a delay, but in the next one or two months, we will have some more clarity on this.

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Saumil Mehta: Sure. Sure, sir. Thank you so much.

Vishal Gupta: Yes.

Moderator: We take the next question from the line of Vishal Dudhwala from Trinetra Asset Managers. Please proceed.

Vishal Dudhwala: Thank you for the opportunity. So, can you throw some light on your refrigerator business in the upcoming days here, like installed capacity or utilization or the expected revenue contribution plus, any signed clientele for this?

Vikas Gupta: We are in an advanced discussion with our clients. And we are in process of acquiring a land parcel in southern India. We should be able to finalize that within this month. And we have already onboarded a team for development of the complete project. So, the timeline for that project will be tentative. It will take almost around 12 months to 14 months from now to start mass production. So, the revenue will start kicking in and it will have numbers that will accrue in the FY27 only. We are in active discussion with the clients, which are already our common clients in our air-conditioner business as well as in washing machine business. So, we have an overlap of clients there. And we are confident that we should be able to tie with one significant client in the coming days and weeks.

Vishal Dudhwala: Okay. And the second thing, can you just tell us how much expectation and expansion of the RAC, air cooler and washing machine capacity?

Vishal Gupta: RAC, the capacity expansion has been a little bit curtailed. But the land and building, where we have already started the CAPEX, we are not holding back. But some plant and machinery orders have been held back. And we will closely watch the season, how this 2020 season will pan out.

After that, we will decide whether we have to further expand the capac

ities or not.

Vikas Gupta: In case of washing machines, we are seeing a robust growth, and we are further expanding our capacity in washing machines. And so, we will make our capacity... we will take it to the level of more than 2 million washing machines in the current financial year.

Vishal Dudhwala: Okay. And what about your air cooler?

Vishal Gupta: Air cooler also, sir, this year season has been quite muted. So, we already have enough capacity for that. And creating capacity for air coolers, the lead time is very less. So, I do not see major challenge. Whenever there is demand, we can ramp up the capacity very fast in air cooler.

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Vishal Dudhwala: Okay. And one last question on the costing side. Like, AC costing and how much they have inventory in the costing of inventory?

Vishal Gupta: Sorry, I did not get your question. Can you repeat?

Vishal Dudhwala: So, question is like about the AC costing.

Vishal Gupta: Can you repeat your question please?

Vishal Dudhwala: Okay. Like unit economics of your inventory about your AC?

Pramod Gupta: So, we do not have any finished goods inventory. Large part of the inventory, almost 97%-98% of the inventory is actually the raw material for making AC. Actually, everything is built to order.

Basically, depending upon the order from the brands we make, and we do not keep inventory of more than a week or so. So, right now, we do not have much finished goods inventory. It is largely the raw material inventory which we have.

Vishal Dudhwala: Okay. That is it from my side as of now. I will join back the queue.

Pramod Gupta: Thank you.

Moderator: The next question is from the line of Ashish Jain from Macquarie India. Please proceed.

Ashish Jain: Hi, sir. Good afternoon. So, my first question is, sir, some of the comments you made in terms of your AC capacity expansion, we are putting on hold and all. This seem like quite serious comments, right, because we are building business for the next three, five, 10 years and one bad season and we are revisiting or even pushing out our expansion. Can you just talk a bit more about that? And secondly, I think earlier we made a comment that we had to do some debtor discounting for cash management and I hope I heard it right. But can you just elaborate a bit more on that as well?

Vishal Gupta: So, first question I will take. Second question, Pramod, you will answer. So, as I told earlier in the call, we are not holding back our creation of extra land parcels and creation of buildings where the lead time is much higher. Plant and machinery lead time is four to six months. So, whenever there is a requirement that can be always taken in four to six months lead time, you can manage that capacity. The longer lead time is the land and the building, which we are not holding back those investments. So, in order to conserve also, cash flows, we have tried to hold back some CAPEX in order to conserve cash flows also.

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Pramod Gupta: Coming to management of cash flow, see, we had already ordered inventory for the season, which was based on the ordering from the clients. But, as in the month of May, June, July, we saw basically orders were getting cancelled and we were not able to convert that, but we had to pay the

payables basically to the vendors. So, what we did was, basically, whatever sales we had, and we started getting those discounted from the bank to pay basically our vendors. And that has actually led to some additional cost because we are having a lot of raw material inventory. If you see the balance sheet, which has been given on the presentation, this year, we are carrying close to Rs.1,300 crores of inventory vis-à-vis last year, Rs.1,356 crores, out of which almost close to Rs.1,200 crores inventory is in AC business, and last year, the same number was only Rs.368 crores, so, Rs.1,000 crores of additional inven

tory we are carrying. And that actually led to our cash

flow getting a bit strained because we have cash, but that cash is for a very specific purpose because of the CAPEX plan which we have and the objective of the QIP issue which we had taken.

Ashish Jain: Sir, this inventory number is as of June you are saying is Rs.1,350 crores inventory or March you are saying?

Pramod Gupta: No, I am saying June this year.

Moderator: We take the next question from the line of Aman Soni from Nvest Analytics Advisory LLP. Please proceed.

Aman Soni: Good afternoon, sir. Sir, continuing with the previous participant, we are pushing our investment plan to next year, but what I am not understanding is because you mentioned it is mainly because of the monsoon season, right, so it should be a temporary thing kind of. So, in this case, if we are shifting our CAPEX, there must be some strong reason for it. So, are you people witnessing any kind of change in the customer sentiments which are getting affected as a cascading effect of the global headwind which we are witnessing right now – is that the course which is resulting in the shifting of the CAPEX? So, that is my first question.

Vishal Gupta: So, first of all, let me tell you, as I told earlier in the call, we are very confident about the long-term and medium-term potential of consumer durables business in India. There is no issue in that.

Coming back to your point, as I explained, we are already going with CAPEX. The earlier CAPEX guidance was around Rs.900 crores, which has been scaled to Rs.700 crores to Rs.750 crores. So, there is not a very big cutback in CAPEX. CAPEX is happening. Some plant and machinery orders are being delayed to next year and the compressor project which was planned was supposed to happen this year, we are estimating it might slip into the next year, right? So, that is why there is some revision in the CAPEX guidance. We are very confident about the long-term and the medium-term potential of this business, because the penetration of the products where we are operating is very low in India. And second point, the next two, three quarters will be very soft, but PG Electroplast Limited

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going after that we see very strong growth happening again in this business. At least two quarters, maybe up to November we might see some softness. After that, I think we are going to see a very strong pickup. I will just explain to you one thing. We saw 70% growth on a YoY basis for the month of April. In May, we saw a growth of around 18%. But June and July has been down by 70% YoY degrowth. So, see how volatile is the behavior right now. We are carrying very large inventory. So, we have to be careful now. But let me assure everyone, we are fully geared up and fully prepared for any growth. We are very much focused on that. The idea is to keep our focus on capital efficiency also. We are already carrying a lot of inventory, so we have to be very careful now.

Aman Soni: Understood. And you also mentioned about the price erosion thing and that is why we are estimating it in our margins as well. So, I want to understand more towards it like is it mainly because we have to clear our inventory or is it like we are seeing more of raw material kind of inflation and like you mentioned after November there will be pickup in demand. So, do you see like margins will also start picking up from then?

Pramod Gupta: See, the margin picture will become clear as the new season negotiations start. Right now, the new season negotiations have still not begun. Most of the people and brands are still busy with the last season inventory in the channel. So, we as a cautious sense are saying that pricing is likely to be under little pressure but we do not know exactly how the situation is going to pan out. That will totally depend on the channel inventory and the inventory with the brands till the new season negotiations begin.

Vishal Gupta

a: I will further add to one more point. So, as we told that June, July has been very soft. So, AC being a seasonal business, the only thing which matter is which months you make money and which months you try to bleed very less. So, what we feel this year those months where we will have little soft financials, those months will be little more. That is why that guidance has been revised accordingly for that.

Aman Soni: Got it, sir. Thank you very much, sir. I will join back the queue.

Moderator: We take the next question from the line of Achal from Nuvama Institutional Equities. Please proceed.

Achal: Yes. Good afternoon, sir. Thank you for the opportunity. Sorry, I am just harping on this industry

part. If you could give us a broad sense about the industry from Jan to June... because what is happening is the March quarter was phenomenal and the June quarter has been bit weak, so if you could help us understand Jan to June how the industry volume would have been how much would PG Electroplast Limited
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have been the outsourcing percentage and how have we done on a Jan to June period in terms of volume growth, if you could help us understand that part first?

Vishal Gupta: See, industry did very well up till April actually. Although there was a bit of a weakness in the southern market because this year southern market never picked up, but as per our understanding industry was still growing very well till April and overall the sales to the channel were very good, in the sense probably industry basically brands sold almost close to 20% to 25% growth they posted in the month of January, February, March and April, but then from April-mid or April-end things started becoming slower, and May was a bit of a very bad damper month because towards the end of the May only the monsoon covered the whole country. See till actually May 20th also the sales in North India were pretty decent and North and West were doing okay, then South and East never picked up this year so there was a bit of a slow response on those markets, but post-May I think everything has just collapsed because the channel inventory is high and out sale from the channel were very slow in the month of June and July and that started reflecting on the sales from contract manufacturers to the brands and it is now getting reflected in the numbers also. Although I will say still that the contract manufacturers have still now posted better numbers, probably the growth for the fully built AC or as we call finished goods ACs still in the quarter of April, May, June is positive to the tune of 10%-15% by the contract manufacturing industry, but the brands have mostly posted a negative or a decline from last year anywhere between 10%, 12% to 30% till now and I think we will have to watch out for the quarter ending September and maybe December how the inventory actually is reduced is going to be important.

Achal: Sir, again, going back to the question, for the six months if you could give a holistic number how much would have been growth for us like 103% YoY in the fourth quarter for RAC and it is 15% for the first quarter, does that mean that our volume growth is 50%, 60% or 70% type?

Vishal Gupta: Our growth will be to the tune of about 65% or so in the first half this year. But as I am saying for the last three months, for the month of June, July and now even August, we are seeing a decline which is to the tune of 50% to 60%, largely because most of the orders have been canceled because there is the inventory with the channel as well as the brands.

Achal: If you could help us understand in terms of the channel inventory, because we get to hear that channel inventory for a particular brand is very, very negligible or probably just a month extra considering the monsoon season, any color if you could provide in terms of the channel inventory, and also with the brands, any ballpark number at the industry level if you have?

Pramod Gupta: I think industry level are probably close to 2-2.5 million which at this point of time should have been less than a million. That is all I can say. But then there is an additional inventory of finished goods with the brands also which in our estimate is to the tune of about 2 million.

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Achal: Oh, you are saying it is as large as what is with the channel is with the brands. Have I understood right?

Pramod Gupta: Yes.

Achal: Right. Does that mean, sir, is there a downside risk to your numbers in that case given the brands are stuffed with so much inventory that you could have a further downside risk to the profit number what you are guiding for?

Pramod Gupta: We have taken these numbers on a very realistic basis actually and they are based on some estimations and some calculations. And we are very confident of achieving these numbers. We think that these numbers are base minimum, which we should be able to do.

Achal: Got it, sir. Thank you and wish you all the best. I will fall back in the queue.

Moderator: We take the next question from the line of Koushik Mohan from Ashika Group. Please proceed.

Koushik Mohan: Hi, sir. Sir, I just wanted to understand from the last guidance to this guidance, we have reduced it around Rs.90 crores almost. So, how much in that Rs.90 crores has been perturbed to inventory costing that we are taking? And how much is for the financing costing that we are taking, because it is both the side that is affecting us, right?

Pramod Gupta: So, almost close to Rs.40 to 50 crores will be because of the additional inventory which we are carrying. We have about Rs.1,000 crores of additional inventory, which we think we will be able to reduce only in a meaningful way post-October-November. So, for six to seven months, you can imagine the cost of carrying almost Rs.1,000 crores of inventory, which we are carrying.

Koushik Mohan: Okay. And remaining around Rs.40 to 50 crores will go for the costing side?

Pramod Gupta: Not costing, there is an operating leverage. See, in our business, the way it works is that AC business is highly seasonal. So, you make good money in the season when your plants are running

at a good utilization level, and you actually lose money in the off-season because you are never able to cover your fixed costs. In a good season, typically these bad months or the lost months are lower number, and good months where you are running your plant at optimal utilization are high. That situation has changed and we are seeing probably a higher number of lost months because of the very high inventory and very low off-take from, say, June till November, maybe, and therefore, we are taking that negative operating leverage into account, we are guiding for a new set of revised profit numbers.

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Koushik Mohan: Got it. On the CAPEX side, we are doing around Rs.700 to 750 crores this year. How much is going for the existing business, and how much is going for the new businesses that we are going to cater for?

Pramod Gupta: Almost Rs.400 to 450 crores is for the existing business, and Rs.300 crores is going for the new business, which is refrigerator.

Koushik Mohan: Got it. And sir, with the new business coming into line, how much kind of mix in the revenue are we expecting in next year so the contribution of the AC in the overall pie comes down, do we have anything in that side?

Pramod Gupta: Overall contribution of AC will be probably coming down because we are hoping other businesses to expand faster. But nonetheless, for the next couple of years, maybe this year and next year, you should assume that the change that will happen is not going to be very significant. Next year is going to be the first year. It is going to be a ramp up year and I do not think we should assume more than a few hundred crores of contribution from the refrigerator. 2028 should

be a year when we will

see probably a full year for refrigerator and full ramp up capacity utilization in the refrigerator business.

Koushik Mohan: Got it. Sir, with the current balance sheet and with the new CAPEX what we are going to do, what is the optimum top line that we can expect, sir, if we are keeping still at a 5x of the fixed assets, what kind of a top line that we can visualize?

Pramod Gupta: You should assume about 4.5x to 5x on a fully ramped up basis on a net block. That is typically the asset turn we try to achieve in our business. So, to begin with, it should be at least about 4.5x and then as the ramp up happens and these capacities get optimally utilized, we should be probably close to 5x on the fully ramped up basis.

Koushik Mohan: Got it. Got it. I will come back in the queue.

Moderator: The next question is from the line of Neel Mehta from Equirus Securities. Please proceed.

Neel Mehta: Sir, thank you for the opportunity. Sir, I just wanted to understand one thing that our current inventory levels are at almost Rs.1,400 crores. How much generally will it take time to liquidate those inventories? Because I am assuming in third quarter, because of the star rating, new kind of orders will be assigned, right -?

Pramod Gupta: No. That assumption is wrong. I just want to correct you here. That assumption is wrong. There will be good amount of orders for 5 Star ACs of the old rating. And most of the components are

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going to be anyhow used even in the new star rating ACs. So, that obsolescence risk is very minimal, maybe very, very small, maybe not even 0.2% or 0.3% at best of this Rs.1,200 crores of inventory in the AC business which we have.

Neel Mehta: Okay. So, I assume no incremental capital we have to deploy for those orders, right?

Pramod Gupta: Yes. Also, I want to highlight one thing that in the month of April and May, we were running at almost close to Rs.400 crores plus run rate in AC business. So, for both months, when the season was going on, we can actually do a production of more than Rs.500 crores of AC with our existing capacity. So, this inventory levels which are looking high right now are there because there has been order cancellations for the months of June and July and August and especially the month of May and June would have been normal, then the inventory levels would have been much lower.

Neel Mehta: Okay, sir. Got it. And sir, just one last question from my side. Is there any change in unit economics of the compressor plan as of now or is it the same?

Vishal Gupta: No, there has been no change in the unit economics. It is just that the partner is taking some time to get some clearance from their government.

Neel Mehta: Okay. Got it. That is it from my side. Thank you so much, sir.

Moderator: We take the next question from the line of Tanish Vhora from Purnartha Investment Advisors Private Limited please proceed

Tanish Vhora: Hello sir, good afternoon. Actually, I wanted to ask two questions. One is how long will it take for you to actually work with maximum utilization after the CAPEX is done so that we can achieve the ratio of five which you mentioned earlier? And the second question is we have seen inconsistently promoter holding going down. Is there any particular reason for that?

Pramod Gupta: I will take the first question. Typically, whenever you start a new business or new capacity, it is

typically one to one and a half years before the optimal capacity utilization levels are reached, because the new product it takes time for getting the product validated and product approved with all the customers and then finally to ramp up the capacity. Coming to the second question, as you were saying the promoter holding has come down, promoters in the last five, seven years have only sold only once, that was in the month of May this year. Before that we have raised capital thrice in this

company, once in '21 and then '23 and then '24 December. So, because of those capital raises and QIP, money raised in the company there has been a promoter holding which got diluted.

Tanish Vhora: Okay. Thank you. I wanted to know what is the guidance which you will give in the next year?

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Pramod Gupta: It is too early to talk about the next year right now, because even the next season has to start and that will start from November, December. So, let us see how things pan out this year and how the second half goes, we will be talking about the next year sometime in April.

Tanish Vhora: Okay. Thank you. All the best

Moderator: We take the next question from the line of Vipraw Srivastava from PhillipCapital. Please proceed.

Vipraw Srivastava: Thanks for allowing me. How much is the ESOP cost for Q1 FY26?

Pramod Gupta: Just give me two minutes I will tell you. You can in the meantime ask me any other questions if you have.

Vipraw Srivastava: Sure, sir. Quickly on Q2 sir I mean August has been weak, but are you expecting revival in September and October?

Pramod Gupta: I think we will have revival probably from the month of November. October is going to be a festival month. Typically, in a festival month we do not see much uptick. What has been our experience is that if the season is good, typically then the uptick happens in the month of October, November and if season is little slow, then it happens in November, December. Share-based expense this quarter was Rs.3.27 crores.

Vipraw Srivastava: Okay, sir. Thanks a lot.

Moderator: Thank you. We take the next question from the line of Keyur Pandya from ICICI Prudential Life Insurance Limited. Please proceed.

Keyur Pandya: Thank you. Sir, I just want to understand first on the non-RAC side. So, how do you see any impact on the ref, washing machine business and if not so what are the expansion plans? That is first. And second, what growth do you expect in the washing machine business? That is first. And second on the compressor side. I mean it has got delayed for quite some time. So, if you can just let us know what kind of capital has already been deployed and what timeline do you expect or do you think is there any risk to our sunk cost? That is the second question. Thank you and all the best

Pramod Gupta: Vikas ji, can you take the first question, second question I will take.

Vikas Gupta: So, regarding washing machines business, fortunately, we are seeing a very robust demand like as shown in our Quarter 1 number, the growth is more than 35% in that and we are very hopeful that we should be able to have a growth of almost from 40% to 45% percent in our washing machine

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business for FY26. So, we are expanding our capacity. We are launching new platforms. We are adding new clients. So, we are very confident on the washing machine business.

Pramod Gupta: Coming to compressor, we are seeing certain delays, but we are very hopeful and we are very confident that this business we will be able to do the CAPEX part will slip to the next year some part of it. We have already done a CAPEX of close to Rs.1.2 billion in constructing the building, building is almost completed. In the coming months we will be utilizing it for our other purposes maybe for keeping some of the inventory and maybe in the season. But as soon as our partner gets go ahead, we will be ordering the plant and equipment and then probably within six months we will start installing that. So, we are not seeing any issue for the building that we have constructed. And by the way that building can also be repurposed for other things if we need.

Vishal Gupta: This building is part of our existing campus of AC manufacturing. So, this building is being used currently for AC products only right now.

Keyur Pandya: Understood. Got it. Absolutely clear. So, tentatively what timeline we sho

uld work with for

compressor business?

Vishal Gupta: You know we have been always very transparently sharing feedback. I was in China three weeks back and had a discussion with them. So, it is held up at their end right now. Everything is ready.

All plants, machinery, technicals, all commercials are closed. We are just waiting for that approval.

Once we have that approval, I think then we will put the ball rolling

Keyur Pandya: Noted sir. Thanks a lot and all the best

Moderator: We take the next question from the line of Vipraw Srivastava from PhillipCapital. Please proceed.

Vipraw Srivastava: Thank you for allowing me a follow-up. Quickly sir, any other categories you plan to enter apart

from refrigerator and compressors?

Pramod Gupta: We keep on evaluating several proposals and several opportunities, but then as we have been highlighting we have very strict capital allocation criteria and guard rail and based on those guard rails only if we approve the new capacities or then new category. We are in the process of evaluating certain categories and as and when we decide to go ahead in any of them, we will be able to give you the information.

Vipraw Srivastava: Right, sir. And sir, lastly one more on the TV segment where PGEL has a JV with China. So, obviously large players in the industry has had a weak commentary, but what is your view on this how is it ramping up as far as TV is concerned?

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Vikas Gupta: So, for us the television business is looking very strong, and we have given a guidance of almost around Rs.850 crores to Rs.900 crores of revenue as compared to last year revenue of Rs.540 crores. So, we are maintaining that, and we are currently having a very strong order book and the current festival season is looking very robust in that.

Vipraw Srivastava: Noted sir, noted. Thank you.

Moderator: We take the next question from the line of Mahesh Kaushal from MN Investment. Please proceed

Mahesh Kaushal: Hi, sir, thanks for the opportunity. Sir, just wanted to check, in May end we offloaded a substantial stake. That was a promoter entity. And then from June, July onwards we get such numbers. So, just wanted to understand what was the thought process then and is there something that is being missed, I mean everything fell off a cliff post that. So, just wanted to get your sense on that what happened and what was the thought process then?

Vishal Gupta: See, actually as I have stated earlier also, in the month of April we saw 70% growth. So, we were seeing very strong traction in this business. As I have already stated earlier also in this call that it was looking very great, but suddenly there has been a drop in the demand and it is kind of fallen off the cliff... it has just evaporated.

Mahesh Kaushal: You were not aware of anything in May end, that is the question, sir.

Vishal Gupta: Yes, sir. That is why we are caught up with so much inventory. The cost and all those things have gone for a ride. I will tell you what was happening. Till end of April or middle of May, clients were hoping that season will open up and people were still continuing the manufacturing and then suddenly by end of May they took a call that they have to control their inventories. It was very sudden, sir.

Mahesh Kaushal: The reason -

Pramod Gupta: I will just tell you the reason. See, this year even in May end the north and west were doing fine. There was high temperatures. See, typically May is the highest selling month in any year for the AC business. This year as the monsoon started getting earlier, first, the southern market closed and then abruptly in a very short period of time in May end itself the whole of the cooling business actually saw end, because the monsoon covered whole of India by May end, and that led to lot of cancellations in June. So, we had budgeted when we were giving a guidance, even the 12th May was our result, we had budgeted

that there will be a slow down because there was a slow southern markets in the first half of the season, but we did not expect the season to get abruptly end in month of June itself and over that July and August have also seen very, very low offtake. In fact, I can tell

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you in month of April we had a 70% growth YoY, even in month of May we had a 19% growth, in month of June we had a 70% decline, and in the month of July also we had a 70% decline on a YoY basis in AC business.

Mahesh Kaushal: Okay. Fair enough, sir. Thanks.

Moderator: We take the next question from the line of Archit Singhal from Barclays. Please proceed.

Archit Singhal: Yes, hi. Thanks for the opportunity. So, two questions from my side. Firstly, I mean hypothetically if we were to believe that next year the season would be strong, then would we be able to more than make up for the loss in expired earnings, I mean loss in terms of guidance?

Pramod Gupta: Next year, yes, if the season will be strong, we will be able to make more than make up. See, if you look at our track record, in the last four years we have shown exceptional growth rate in our AC business. We have had an exceptional execution track record. In fact in a category like AC, we have been growing at 100%-plus. Last year in fact our AC finished goods grew 120%-plus. In fact fourth quarter also we grew 100%-plus in the AC business, because there was an opportunity and we could see. Now the environment is such that there is an inventory in the channel right now, inventory with the brands also, market is very slow right now. So, till the time this inventory gets cleared, we cannot comment or commit on the numbers. But yes, if there will be an opportunity, be rest assured we will be the first one to bounce back and the bounce back will be very sharp, point number one. Point number two is, long term we still remain very bullish and very optimistic in this business. We continue to make significant investments, and we are planning very significant I will

say ramp up of the capacities or building up of capacities in the coming years. We are expanding our capacities in both north as well as western area. We are looking at building a new very large campus for AC manufacturing in Western India, and in North, Bhiwadi, we are already going ahead with the CAPEX in the existing plant. So, we have had not any change on our long-term view of the sector of the company. It is just that this year we have got off-guard, caught on the wrong side with huge inventory in the channel and with us also. So, we want to be little cautious for this year. Archit Singhal: Understood. And second question, I mean like you mentioned about the long-term thoughts. So, second question is I think in the last call you mentioned the gross block should increase from Rs.1,200 crores to Rs.2,200 crores in the next two years and you also mentioned asset turn of all 4.5x or so. So, fair to understand FY28, if everything remains we should clock a revenue of Rs.9,000 crores, is my understanding right?

Pramod Gupta: That is what is the internal target that we have for ourselves, and we are doing all our CAPEX and whatever working we are doing internally we are doing based on those assumptions only. So, our long-term assumptions do not change because one season has gone wrong

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Archit Singhal: Understood. And if that happens, I mean to achieve that revenue guidance, the margins which we can achieve in FY28 should be better than the FY25 margin because of operating levels, right?

Pramod Gupta: Not FY25, but yes, we should be able to match or should be near to FY25 margins. Let us see how it pans out. But yes, we should be able to reach at least FY25 margins.

Archit Singhal: Thank you. That is it from my side.

Pramod Gupta: Thank you.

Moderator: We take the next question from the line of Ruchita Patke from iWe

alth. Please proceed.

Ruchita Patke: Hello, sir. Very good afternoon. So, sir mainly my question was on the other expenses side, right? So, we have seen like a huge bump up from the last two quarters in the other expenses side. So, how do we see this panning across for the remaining quarters of this year?

Pramod Gupta: See, what happened was, as I was telling you, that we were caught off guard and we did not actually control the cost and we were still having good commitments and orders which were cancelled at the last moment. So, some of those costs are on the higher side. In the coming quarters you will see good control on some of these costs. We remain very confident that we will be able to control some of these costs in the coming quarters.

Ruchita Patke: So, sir, if you could just broadly tell me as a percentage of revenue, how do you see this other expenses for the whole year?

Pramod Gupta: See, in the past they have been in the range of about 4-4.5% and in the long term that is what we should be seeing in a normalized year, that is what should be the number this other expense number.

Ruchita Patke: This year you are not guiding anything?

Pramod Gupta: I am saying in the medium term that should be the number. On a full year basis that 4-4.5% should be the other expense number which should prevail.

Ruchita Patke: Okay. And what about the employee cost, sir? How do you see that growing? Should this kind of reflect our revenue growth like in terms of that?

Pramod Gupta: This year the employee cost is looking higher, and it will remain probably slightly on the higher side, because of the lower growth and the kind of expenses which we are having because of the

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increases as well as the people which we have added. But it will also get normalized in a normal season which we hope will happen probably from next year.

Ruchita Patke: Okay. Okay. Okay. So, on the EBITDA margin side, like we will see around the 200 bps decline, right, this year?

Pramod Gupta: Well, we have not built in that steep decline, but yes, there will be a decline on a full year basis. Actually, if you see this year from the initial guidance, additional expenses of close to Rs.50 crores-odd will be there on the interest cost because of the inventory which we are carrying, and then there is some cost which will be there additionally, but still we think we should be able to control the margins in the range of about 1.25% to 1.5% from the last year at the EBITDA level.

Ruchita Patke: Okay. Okay, sir. Understood. That is it. Thank you so much.

Pramod Gupta: Thank you.

Moderator : The next question is from the line of Kartik Soni from Soni & Associates, please proceed.

Kartik Soni: Namaste, sir. Sir, I have two questions. First, as you said, suddenly in March and June, the demand collapsed due to early monsoon demand for room air-conditioners ended. That is all fine. There is a downturn in the market. But there are similar effects in the other companies like Blue Star, Voltas and Amber Enterprise. Do you have any guidance on how they are facing such a big headwind?

Pramod Gupta: Sir, I would like to give an answer. Look at all the numbers carefully. I think except for Blue Star and I think Hitachi, everybody posted more than 20% decline in their sales in this quarter. And

second thing is even in these companies they have some other businesses also which have been able to probably help them withstand such a huge decline. Voltas also, they have also shown a good decline in the unitary cooling product business here. And I think overall the brands have seen in our opinion at least 20% to 25% decline in the month of April, May, and June in the sales to the channels. June was a total washout for most of the brands in our opinion.

Kartik Soni: Okay. Sir, a follow-up question. We are dependent on AC brand. Is there any diversification? Have you planned to diversify more?

e?

Pramod Gupta: Yes, we are planning a lot of diversifications and the results of those will be visible to you in the coming years.

Kartik Soni: Okay. One last question, sir. You said that your Rs. 300 crores inventory is become Rs. 1300 crores so our Rs. 1000 crores of cash is stuck inventory.

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Pramod Gupta: Yes.

Kartik Soni: Sir, as I can see in the balance sheet of March 31st, the cash position is around Rs. 980 crores.

Pramod Gupta: The cash position is still Rs. 900 crores. We have Rs.910 crores of cash in the balance sheet. But short-term debt has increased for us from March to now.

Kartik Soni: Sir, how much has that increased?

Pramod Gupta: About Rs. 200 crores.

Kartik Soni: Okay. Sir, so the CAPEX plan is still about Rs.750-800 crores?

Pramod Gupta: Yes, earlier we were planning Rs.800-900 crores, now it is about Rs.700-750 crores.

Kartik Soni: And the entire is from internal accruals, no additional debt?

Pramod Gupta: No. We do not require debt. We have cash in the balance sheet, and we will have internal accrual. This inventory will surely get over by the month of December or January in our Opinion.

Kartik Soni: So, that is a long time to hold up, sir. That is why I was asking for the working capital, I hope you don't need to borrow the additional debt.

Pramod Gupta: We are aware of that, sir. It is a long time and that is why we have cut on the guidance, sir.

Kartik Soni: Okay. Thank you, sir. All the very best.

Pramod Gupta: Thank you.

Moderator : The next question is from the line of Arshia Khosla from Nirmal Bang Institutional Equities. Please proceed.

Arshia Khosla: Hi, sir. I am sorry for repeating the question. The call just dropped in between. Have you given any guidance for FY27 on the top line as well as some margin guidance?

Pramod Gupta: No, nothing, we have not talked about FY27.

Arshia Khosla: So, any CAGR that you would like to give from FY25 to FY27, I mean, what kind of growth are you seeing?

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Pramod Gupta: No. No. FY27 is too far-fetched right now. We will be still focusing a lot on FY26.

Arshia Khosla: Understood, sir. Yes. That is it.

Moderator : Due to no questions from the participants, I would now like to hand the conference to the management for closing comments.

Pramod Gupta: Thank you all for joining the conference. Please feel free to contact me or the company for any further questions you may have. Thank you all.

Moderator : On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

November 17, 2025

Sub.: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 – Transcript of the Earnings Conference Call

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015 and in reference to our submission dated November 10, 2025, please find enclosed Transcript of the Earnings Conference Call held on November 13, 2025.

This is for your information & Records.

For PG Electroplast Limited

Deepesh Kedia
Company Secretary To,
The Manager (Listing)
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 533581 To,
The Manager (Listing)
National Stock Exchange of India Limited,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051

Scrip Symbol: PGEL

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Conference Call”

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MANAGEMENT : MR. VISHAL GUPTA – MANAGING DIRECTOR ,
FINANCE, PG ELECTROPLAST LIMITED
MR. VIKAS GUPTA – MANAGING DIRECTOR,
OPERATIONS , PG ELECTROPLAST LIMITED
MR. PRAMOD GUPTA – CHIEF FINANCIAL OFFICER,
PG ELECTROPLAST LIMITED
MODERATORS : MR. DEEPAK AGARWAL – AXIS CAPITAL

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I now hand the conference over to Mr. Deepak Agarwal from Axis Capital. Thank you and over to you, sir.

Deepak Agarwal: Thanks. Good afternoon, everyone. On behalf of Axis Capital, I welcome you all to PG Electroplast Q2 FY '26 Earnings Conference Call.

Today, we have with us Senior Management represented by Mr. Vishal Gupta - Managing Director, Finance; Mr. Vikas Gupta - Managing Director, Operations and Mr. Pramod Gupta - Chief Financial Officer.

Without taking much of time, I will hand over the floor to management for the opening remarks post which we open the floor for Q&A. Thanks and over to you, sir.

Vishal Gupta: Thank you, Deepak. Good evening, everyone. Thank you for joining this call today. Hope all of you are doing well. I am sorry because there was a little delay in uploading the results because the board meeting got over at 4.40 only. So we didn't get much of the time to upload the results earlier. It has been done. I think you people can have a look at that.

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So let me start by saying this that this quarter and first half of FY '26 has been softer than what we have expected. The room AC business was impacted due to early monsoons and then GST cut announcement which was done on 15th of August. Nonetheless, we have been able to grow our RAC business by around 2.5% in first half despite the industry posting almost 25% decline. The washing machine business has done extremely well and we have seen a very good growth. Compared to last year, washing machines were up by 55% in this quarter. The JV, our Goodworth Electronics has also ramped up well and has posted sales of Rs. 483 crores with Rs. 10.33 crores of EBITDA in first half of FY '26. We remain optimistic that room AC business will see increased penetration-led growth with the recent rationalization of GST and we believe that in medium term, growth in room AC business will remain robust. We are expanding capacities in RACs, washing machines and Coolers. Client engagement across large and emerging brands remains strong.

As we have guided in our previous call, FY '26 will now likely shape up to be a more measured year and that is fine. We are maintaining the guidance we had shared last quarter. We will be using this

year to consolidate, focus on operational levers and execute our platform and capacity investments with discipline. These are the foundations we need to get in place for the next phase of growth. We remain confident in the long-term opportunity in India's consumer durable market and in PGEL's positioning to be a key enabler in that space. Our focus remains unchanged to scale profitably, stay capital efficient and deliver consistent value to our stakeholders. With this, now, I will hand over the call to my colleague, Mr. Pramod Gupta, our CFO, to elaborate on the financials.

Pramod Gupta: Hello and good evening, everyone. I am sure all of you have seen the financials. I also apologize for putting up the data and financials and presentation with slight delay. Now, I would like you to go through the numbers for Q2.

Consolidated revenue stood at Rs. 655 crores, which was a 2% decline over Q2 last year. Of this, product revenues contributed almost Rs. 319 crores or 49% of the total revenue. The AC

business contributed Rs. 131 crores and it declined almost close to 45% versus last year. The AC business accounted for around 20% of total revenue. Washing machines business was up 55% during the quarter and it contributed about Rs. 188 crores to the sales during the quarter. Our 100% subsidiary PG Technoplast reported revenues of Rs. 295 crores during the quarter. Coming to the profitability:

EBITDA for the quarter stood at Rs. 45 crores and net profit was at Rs. 2.4 crores. The net profit drop is almost due to lower operating leverage. Also, we had a FOREX loss of Rs. 8.4 crores during the quarter versus the gain of Rs. 1.2 crores during the same quarter last year. We have worked on all our costs during the quarter and optimized wherever possible. From a balance sheet standpoint, the company remains on a strong footing. Cash and equivalents at the end of PG Electroplast Limited
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quarter 2 are Rs. 630 crores and we are net cash still. Return on capital employed stands at 20.8% and our fixed asset turnover remains healthy at over 5x on a trailing 12-month basis.

Now, coming to guidance:

We are maintaining our guidance shared in 1Q 2026 i.e., FY '26, we expect PGEL to be having revenues in the range of Rs. 5,700-Rs. 5,800 crores and net profit is expected to be between Rs. 300-Rs. 310 crores. At the group level, including our joint venture, Goodworth Electronics, we expect consolidated sales to cross Rs. 6,550-Rs. 6,650 crores. We are continuing with our investment in Greater Noida, Supa, Rajasthan and South India and our FY '26 CAPEX will be in between Rs. 700-Rs. 750 crores, again reiterating that our long-term investment, operational model and growth priorities remain unchanged.

With that, we are happy to take your questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Bala Murali Krishna from Oman Investment Advisors. Please go ahead.

Bala Murali Krishna: Hi, good evening, sir. The first question is regarding the POS device you have received the order. So what is the revenue potential of this order and what is the market potential of this order?

Secondly, on the capex side, we have a MoU with the Maharashtra government program and also the AP government also has a program. So how are you planning and how many years you can capitalize it, sir?

Vishal Gupta: Mr. Bala Murali, can you just repeat the whole question because the first part was not very clear. It was not audible. Can you be a little clear, please and louder, please?

Bala Murali Krishna: Yes. The first question is regarding the POS have issued the customer. So what is the revenue potential of this order and how many units they are planning and how it should scale up? And also, any other potential customers also there in this sector? Secondly, on the CAPEX you have MoU with Maharashtra and Andhra Pradesh

, around Rs. 1,000 crores, how we are going to require CAPEX and when we can?

Vishal Gupta: So first of all, Vikas, can you take up this question on the POS, that point of sale, that agreement that we are signing with PAX Global? What kind of revenue we can look at? What is the outlook for that revenue on that POS machine business?

Vikas Gupta: Good evening to all. Regarding the POS machine, that agreement that we have entered into with the tax technologists and we are expecting to start some pilot production within the quarter 3 of FY '26, which is the current quarter. And it is too early for me to comment on the revenue potential of this, but we are hopeful that it should become a sizable business in coming months, PG Electroplast Limited
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in coming quarters. We will keep the stakeholders updated on the exact revenue potential of this. Maybe by next quarter, we should have much more clarity on that.

Vishal Gupta: And as far as that Rs. 1,000 crores MoU, what we have signed with the state government of Maharashtra, actually, we are in the process of acquiring one large piece of land in Maharashtra and we have entered into this MoU agreement. And we intend to start CAPEX on that piece of land from FY '27 onwards. We intend to start doing CAPEX. This Rs. 1,000 crores CAPEX, we are supposed to do in next 4-5 years. So we will be doing that. And once we have more clarity, we can share details on that, maybe in next 2-3 quarters on that. But that is a long-term plan. But we are trying to create a bigger land piece and bigger infrastructure for our future growth potential. We are trying to create future growth potential with these investments.

Bala Murali Krishna: Andhra Pradesh, Rs. 1,000 crores MoU refrigerators ?

Vikas Gupta: We have a plan. We have an intention to set up a refrigerator plant in the state of Andhra Pradesh. And so for that, we have already acquired the land parcel of almost around 54 acres there and we are starting construction. And we hope to start the refrigerator production by quarter 4 of FY '27.

Bala Murali Krishna: What will be the investment CAPEX amount for FY '27?

Vikas Gupta: The CAPEX will be in the range of almost around Rs. 350 crores in the first phase of the refrigerator plan. But as we go forward, we will be expanding further into other product categories like air conditioners and washing machines as well going forward. So the CAPEX plan of Rs. 1,000 crores is spread over a period of 4 years to 5 years in Andhra Pradesh.

Bala Murali Krishna: Lastly, on the inventory part. So last call, we had discussed that the inventory, available inventory is created most probably by November. So there is some traction also due to the GST rates. So what is the status of inventory and how do you see the demand shaping up? I think by November, December, you would have getting some estimation from the customers that demand for the coming quarter and next quarter also. Could you please share some light on that?

Vishal Gupta: So as per our estimate, the quarter 3 and quarter 4 should see improved inventory at our end. Right now, we are carrying a very similar inventory as we were carrying at the end of quarter 1. Channel inventories also remain on the higher side as of today. But we are hopeful that given the GST cut and the buildup which happens during the pre-summer should help us and the industry to get rid of the inventory. And we think that coming month will be good from the point of view of production at our end. And we are hoping that by November end, we will be normalizing our inventory given the plans that we have. And we have actually maintained our guidance and we are hoping that second half will be much better for AC and other businesses as well.

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Bala Murali Krishna: If I may squeeze one last question, so any update on this compressor part? I think we are waiting

for information from China government. Any update on that?

Vikas Gupta: No, sir. It is still pending. Nothing is getting resolved. As per the latest updates that we have from our partner, they are still waiting for the go-ahead from the Chinese government side on this.

Bala Murali Krishna: If it cannot be put forward, then there are some restrictions on the import of copper. There will be a lot of disruption that will happen?

Vikas Gupta: Your voice is quite muffled, boss. It is not clear.

Bala Murali Krishna: Fine. I will get back in queue. Thanks a lot.

Vikas Gupta: Thanks.

Moderator: Thank you. The next question comes from the line of Vipraw Srivastava from Phillip Capital. Please go ahead.

Vipraw Srivastava: Hi, sir. Good afternoon. So quickly on the cash flow side, where do you see end for full year because we have seen a significant cash flow in H1. So where do you see for full year?

Pramod Gupta: Cash flow for us in the first half has been okay. We are having higher inventory and that is probably showing a negative cash flow at the operating level as well as at a free cash flow level. Second half should be much better, largely because of two reasons. One is obviously we are hoping to normalize the inventory. And second thing is that because of this GST rationalization, this should help a better working capital cycle at the manufacturing end because we were paying GST at 28% while the input credit on most of the raw material was at 18%. And we were able to recover the 10% additional GST only at the time of collections, which is to be about 60-70 days post the sales. So now that will be also going to be better in the second half. So all these things put together, we are hopeful that second half will show a good operating cash flow and also a decent free cash flow should be there because in the first half, almost Rs. 377 crores of CAPEX has already been done. And second half remaining CAPEX we hope, should be coming out of the inventory rationalization, which we will have.

Vipraw Srivastava: Sure, sir. Sir secondly, on the guidance part, you are maintaining your guidance for full year. How much of that is due to the BE rating change is happening next year?

Pramod Gupta: BE rating was actually known at the time of the guidance when we gave after the first quarter also. So there is nothing new in that. So we have built in a decent amount of growth, which should come from December onwards because of the BE rating and overall business also. And that has been accounted for.

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Vipraw Srivastava: Right. Thank you, sir. Thanks a lot.

Vishal Gupta: Thank you.

Moderator: Thank you. The next question comes from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.

Achal Lohade: Good evening, sir. Thank you for the opportunity. The first question I have, if you could talk a little bit about, you did make a comment with respect to the industry decline. But just to be clear,

in the first half what has been the decline for the industry, in terms of the primary sales and secondary sales volumes, according to your estimate? And also, if you could touch upon the inventory situation for the companies plus the channel put together as of September and as of now in your estimate?

Vishal Gupta: So see, primary sales have de-grown by around 20%-25%, but secondary sales have seen a deeper decline. That is why we are seeing an elevated level of inventory in the channel. And as per see, we don't have very accurate data on the channel inventory. But our estimate is still, I think, as of 1st November, it should be anything between at least 1.5-2 million, sir, at least. That is the number our estimates are there.

Achal Lohade: And this would be usually what number?

Vishal Gupta: Normally what happens, every year during this time of the year, in the month of November, December, normally all the

brands do a lot of schemes and give a lot of discounts and a lot of selling, primary selling is done. Channel filling is done. Maybe we might see a little slowdown or maybe a little late pickup in this channel filling because of that overhang of the last 1 or 2 quarters. Having said that, because of the change in the energy rating, so that opens up some opportunity for this channel filling happening. So we have two things, one energy rating change, which will push up the channel filling and there might be something because of the channel is already choked up, there might be some pushback from the channel from taking energy further inventory. So that we have to keep evolving. But as far as we are concerned, sir, the kind of forecast we have got from our clients, so we are quite confident that, see, December, we are seeing a good production. The dispatches are also started, but they will start pickup by the end of this month or December first week. And then Jan, Feb, March also, the outlook what we have received from our clients looks quite healthy. That is why we are able to maintain the guidance what we are given in the first quarter.

Achal Lohade: Got it. The second question I have is with respect to the pricing, given we will be now in discussion with the customers with respect to the pricing. If you could talk a little bit about even the cost has seen increase, what is the extent of first of all increase in the BOM and B, how does the pricing will work out according to you, given the inventory situation?

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Vishal Gupta: The competitive intensity is very high right now, at a manufacturing level also, at a brand level also, because everybody is stuck up with inventories and everybody is trying to clear off their inventory. So competitive intensity will be very high, at least, I believe, maybe till end of January or February.

Achal Lohade: Right. But if you could talk, what is the extent of cost increase and how do you see that pricing playing out or margin playing out?

Vishal Gupta: So I think I have answered this question. Why? Because, let me tell you, I can't give you such numbers because pricing depends on the commodity and the exchange rate. Having said that, having said that, since competitive intensity is very high right now, so you may not have a very high bargaining or leverage on the pricing with your clients and branch may not also have with the channel and channel may not have with the consumer. So it is a whole value chain which is under pressure right now.

Achal Lohade: Got it. Just one clarification on the CAPEX. If you could just lay out the plan in terms of 26, 27, 28. See, 26, you have said Rs. 700-Rs. 750 crores. If you could spell out which location, how much is going? And similar details, if you could talk about 27-28, that would be very helpful given the number of locations we are looking at and number of things happening. I think that would help?

Pramod Gupta: 26, we have spelled out very clearly. Rs. 700-Rs. 750 crores of CAPEX is going to be there. Out of which, as Vikas ji mentioned, almost half of it, which is Rs. 300-Rs. 350 crores, will be for refrigerator, which will be happening in Sri City. And then there is Rs. 100 odd crores which we are going to be spending, which we have already almost spent in washing machine business in Greater Noida. There is Rs. 200 crores which is getting spent in RAC business in Supa as well as Bhiwadi. So you can assume about equal Rs. 100 crores each. And rest will be actually spent in Bhiwadi only in the new plant which we are creating for tooling as well as coolers and some specialized plastic moulding. So that is the breakup that we have.

Achal Lohade: And sir, how about next year?

Pramod Gupta: Next year, we will be able to update you at the end of the quarter 4. But I can assure you it will be much lower than this year. And it will also depend on the

business plan and the opportunities

which we foresee. But as of today, we think it will be probably much lower than what we are doing right now.

Achal Lohade: Sounds good, sir. Just last question, if I may. With respect to the applications, how many

applications have you filed under ECMS? And in what aspects, if you could clarify them as well?

Pramod Gupta: Vikas ji, can you please take this question?

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Vikas Gupta: Yes. So we have filed the ECMS applications in 4-5 different component categories through our JV Entity Goodworth Electronics. So that is under camera modules, display modules, mechanical enclosures. I think on the PCB side also, we have put up the ECMS application. So that is still under review. It has not been approved as of now. So we are keeping a close watch on it.

Achal Lohade: Did you say, sir, PCB?

Vikas Gupta: Yes, I did say PCB. Yes, PCB.

Achal Lohade: PCB. Understood, sir. Thank you so much. I will fall back in the queue. Thank you.

Moderator: Thank you. The next question comes from the line of Keyur Pandya from ICICI Prudential Life Insurance Company Limited. Please go ahead.

Keyur Pandya: Thank you. Hi, team. First question is on the AC part. So you have maintained the revenue and profitability guidance. From Q1 to when we stand today, probably everyone's estimate has got cut of the primary and secondary sales because of the extended monsoon and its ripple effect.

So what gives confidence because when back of the analysts calculation suggests that the asset for H2 would be much higher with pressure on channel and brand to clear their inventory and we have higher base for Q4 as well. So is it visibility from the brand? If so, is it for Q3 or Q4? Just you can give more or bridge to how confident you are or what gives you confidence that would be helpful?

Pramod Gupta: So we actually were the first one and we actually in the last quarter itself had anticipated a very weak second quarter. And things have more or less been in our expectation, at least for us from the second quarter point of view. And given the kind of inventory levels, etc., which were there and the way things have played out, things are actually going in line with what we expected. Now, the visibility that we have is based on the order book that we have from our clients. And we are quite confident of achieving the numbers which we have guided for in the second half based on the firm and committed orders from the clients which we are working with.

Keyur Pandya: Sir, second question on both AC and washing machine. In washing machine, we have a little lower base, but it can just share any specific wallet share addition or new client addition, which will drive us growth, which is higher than industry growth, both for AC and washing machine?

Pramod Gupta: In AC, the same brands continue with whom we were working. We have added a couple of more names, but they will not be contributing so hugely in the very first year. So it is mainly the wallet share gain, which we continue to see at our end. Similarly, in the washing machine also, it is largely the existing client where we are seeing the wallet share gain and also some share gain from insourcing to outsourcing, which is helping us to post robust growth in washing machine. And we hope to continue to do the same in the second half also.

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Keyur Pandya: Noted, sir. Thanks a lot. All the best.

Moderator: Thank you. The next question comes from the line of Kaushik Mohan from Ashika Group. Please go ahead.

Kaushik Mohan: Hi, sir. Sorry, my call got disconnected last time. Sir, I just wanted to understand how are we seeing in the volume terms, the growth in the ACs and like from it has been like, currently we are in the Q3, right? In the Q3, one month is completed and now 10 days is completed. So can I understand, are we g

auging that the growth is coming back to us and how about the branded players and what their inventory levels are currently with them?

Pramod Gupta: So there are two parts to the question. One is what do we see the volume growth for the industry, first and second is how do we see the volume growth for us? See, probably the industry on a full year basis is likely to remain flattish in our opinion. But in our case, in the first half, we had a very small growth despite the industry being a decline. And in the second half, we hope to have about 15% or so growth in the overall volume, largely due to two or three factors. One is obviously we are gaining some wallet share. Also, we continue to see some of the brands with whom we work, they are gaining market share in the marketplace and they are going faster than the industry and that is leading to better volume growth at our end. So these two factors are actually helping us to hope for about 15% kind of overall growth for the full year in this AC business.

Kaushik Mohan: Got it. And sir, my second question is on the CAPEX part. So currently this year, our CAPEX is ranging in Rs. 700 to I think Rs. 750 crores. So like majorly this CAPEX is going for the

refrigeration part in the South India. But other part of the CAPEX, where is exactly is this going? What exactly the components which is going on?

Pramod Gupta: I told you about it. We have actually started almost Rs. 100 crores have gone for washing machine business in Greater Noida. Then Rs. 200 crores is probably equally split between Supa and Bhiwadi for AC business. And then we are also actually putting up a new plant for coolers, tooling, basically and some specialized plastic injection moulding in Bhiwadi again. In Salarpur, this is a different new plant which we are setting up. So there we are making some CAPEX. So that is the way it is broken up.

Kaushik Mohan: Perfect. So now majorly our concentration was coming from AC. Now, we are more diversifying into our more products. So the growth will be on the normal side. Is my understanding right?

Pramod Gupta: Yes. The diversification is a part of the strategy. We are looking to reduce our percentage dependence on AC, which will actually start becoming much more visible from Financial Year 28, 27 only 4th quarter, the refrigerator will start actually contributing maybe to some extent.

But we are trying to get into and grow faster the existing non-AC business. And also, we are

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focusing on new segments, which can actually help us take care of the seasonality in the off season, especially for the room AC business.

Kaushik Mohan: Thank you, sir. Thanks for this.

Moderator: Thank you. The next question comes from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.

Achal Lohade: Sir, thank you for the follow up opportunity. If you could talk a little bit about the plastic moulding business, that has seen fairly strong growth for the last 3-4 quarters. So if you could elaborate a little bit in terms of what is driving, what is the outlook, what kind of margins, and what is the capital deployment here, please?

Pramod Gupta: So as we have been highlighting that the plastic injection moulding business, we have not been pursuing very aggressively. Although I must highlight that this quarter, there was not much growth. There was, in fact, a small decline in the Y-o-Y basis, not because of volumes, but because the pricing is down there, because the raw material prices have come down, especially the plastic there. And that has led to about some decline. Although on a full year, on the first half basis, we have seen very small, about 10% kind of a growth in that business. That is the component business for us, including plastic and other components. So there we are not trying to pursue or go after that business on a dedicated basis. We are not putting up

any capacities or

any new capital allocation is being done there. Only in very specific certain areas where we have focused, where we think the capital allocation makes sense and it meets our basically criteria of ROIC and ROCE, we are putting in or allocating capital there. But to take care of the off-season business, and when we have excess capacity, there some of the businesses are being pursued, so that if we have to make some small CAPEX to take and supply some components, which we can do from the facilities where we have off-season excess capacity, we are trying to gain those businesses. But as such, we are not allocating much new capital to the plastic component business on a standalone basis.

Achal Lohade: Got it. If you could just clarify, what is the number for the plastic moulding business for the second quarter and the first half?

Pramod Gupta: Second quarter, the number is about Rs. 211 crores and for the first half, it is Rs. 485 crores.

Achal Lohade: Understood. And the second question I wanted to understand, is there any opportunity from exports perspective which we are pursuing in any of our product categories and any visibility you could provide on that?

Pramod Gupta: Right now, we do not have any large opportunities. There are some small opportunities which we are pursuing, but they are nothing to talk about and they are unlikely to contribute anything significant in the short term.

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Achal Lohade: Got it. Wonderful. Sir, just last question, with respect to the following up on the ECMS applications, any thought if this was to go through, what kind of capital it would require to be deployed?

Pramod Gupta: Vikas ji, can you please take?

Vikas Gupta: Please understand. The capital allocation will depend upon once our applications are approved and once we are able to tie up with the technology partners. So that is too early for us to give any kind of a color on that, what will be the amount of investment that we go into that. So once we are able to get the approval of the applications done, second, whenever we are able to get the technology partners, so then we will be able to update you on that.

Achal Lohade: Got it. This is helpful, sir. Thank you so much.

Moderator: Thank you. The next question comes from the line of Kuvam Chugh from Point72. Please go ahead.

Kuvam Chugh: Hi. Good evening and thank you for taking my question. My question is around demand after the GST cut. It has been about a month and a half and we also have the festive season, then how is demand for the end user-shaped up since the GST cut?

Pramod Gupta: See, at our end, we do not have a first-hand experience, but from whatever we have been hearing from the brands is that the off-season has nothing spectacular or unusual has happened because of the GST cut yet. Probably, it will help a bit when the season starts. See, in India, largely AC still remains largely an impulse purchase product. It is not a planned purchase and therefore, even when the prices have come down, the spurt is probably not seen yet. But we are very hopeful that given the fact that GST has been cut, the penetration-led growth will start to see good improvement, especially in the second half of this year and probably in the first half of next year when the season starts. So right now, I can say there is nothing much which has changed.

Kuvam Chugh: So in that context where consumer demand hasn't picked up and channel inventory is still somewhat elevated, would the pickup in our group be more back-ended more towards the summer season and less in the winter?

Pramod Gupta: In our case, there are two other things which are playing out as we were elaborating. One is that there is a BE rating change and there is an inventory which is going to be built up for that in the month of November-December. And also as I was telling earlier that we are working with cer

tain

brands which have been gaining market share and we are seeing a wallet share increase in certain of them. So these two are helping us to show a decent volume pickup, hopefully in the second half. I think yes, it will be more back-ended maybe, but not solely in the month of February-
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March. It will be, some spurt should come in the month of, towards the end of December and then probably February-March, we will see a spurt.

Kuvam Chugh: That is very helpful. Thank you.

Vishal Gupta: Thank you.

Moderator: Thank you. Our next question comes from the line of Shreyansh Jain from 3A Financial Services. Please go ahead.

Shreyansh Jain: Good evening. I have a couple of questions. First, could you please throw some light on brand strategy, RAC brand strategy? Are they focusing more on manufacturing in-house or outsourcing?

Pramod Gupta: This is an endless debate and there is a view certain people have and certain analysts believe that it is going to be more in-house and certain analysts are of the view that outsourcing will continue.

We are a little biased. I will make it a front because we are dependent on outsourcing of the brands. But we continue to believe that in a highly seasonal business where exports are not so much there for the Indian brands. Actually, it doesn't make a lot of economic sense to do their own plant and do the manufacturing in-house because capital efficiencies are low for most of them, for any single brand. And given the fact that if you want to put up backward integrated plants, they are capital intensive. The value accretion or value creation from going into heavy CAPEX is actually not visible even in most of the brands which have put up their own capacities in our opinion.

Shreyansh Jain: Got it. And sir, on the washing machine side, are the margins better than RAC and where do you see the product shaping up going forward in future?

Vishal Gupta: Margins are, yes, slightly better than RAC. And what was the second question? How do we see the volume catching up there, right?

Shreyansh Jain: Yes, how do you see the demand growing up in washing machines?

Pramod Gupta: See, right now we are gaining wallet share in certain clients and also we are seeing increased.

We are actually beneficiary of increased outsourcing in that space and we are gaining some market share from a shift happening from insourcing to outsourcing. So we continue to see good volume growth at least in the foreseeable future in the medium term. And we have therefore expanded our capacity, invested significant money in expanding the capacity and new plant has been constructed in Greater Noida for that. And we remain fairly optimistic going forward on the washing machine business.

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Shreyansh Jain: So sir, any percentage of total revenue you are targeting that should come from washing machine?

Pramod Gupta: We will like washing machine to contribute about something like 15% or so in the medium term and we are working towards it. Right now, it is this year probably just about going to be 11%-12% and we are hopeful that in next 2-3 years, it should reach at about 15% on a much higher number for the overall company's revenues.

Shreyansh Jain: Great, sir. And one last question, sir, on the new energy norms, what would be the effect on the older inventory and the realization per unit of the new inventory that would be manufacturing?

Pramod Gupta: From manufacturing point of view, it is not going to have much impact. The inventory which we are carrying right now is largely for raw material, finished good inventory is very minimal.

And most of it, almost 99.9% can be actually used in the new energy rating as well. So we don't see any impact on the inventory that we are carrying. That is point number one. Point number two is that in general we have seen the prices of some

of the raw material have gone up largely

because copper and aluminum prices have gone up and also the currency has depreciated. So from that point of view, there is going to be a pressure on most of the brands to actually increase the pricing of the existing and new models because there is a cost inflation which is there in the key raw material.

Shreyansh Jain: Understood. Thank you so much. It was helpful, sir.

Vishal Gupta: Thank you.

Moderator: Thank you. The next question comes from the line of Dhaval Jain from Sequent Investments. Please go ahead.

Dhaval Jain: Sir, just a question on bookkeeping. I was going through our half year balance sheet. Our debt has increased from Rs. 301 crores to Rs. 482 crores, short term and long term both. I was just checking on the Q1 numbers. Q1, our finance cost was around Rs. 34 crores and right now it is Rs. 16 crores. So can I have an understanding how our finance cost has almost gone down by 50% whereas our debts have increased?

Pramod Gupta: Yes, actually we explained this very well in the last quarter itself when we had given an outlook for the full year and this quarter. See, last quarter we had some liquidity challenges because on one hand we had a high inventory and on other hand, we were also facing some challenges on our receivables because receivables got delayed because of the lower sales of some of the brands.

So we resorted to two aspects to take care of that. One was to basically discount some of the receivables and also on the payable front, we extended the payables by extending our LCs while resorting to buyer's credit and that led to some of the finance charges getting upfronted and that actually was almost close to Rs. 20 crores as I explained last quarter. And that was the one-time

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thing which happened and if you knock off that then you will come to the conclusion what the numbers are showing actually.

Dhaval Jain: Understood sir and just a question if you can let me understand what are the other expenses consist of?

Pramod Gupta: See, the other expenses have several heads but key out of them are basically things like transportation, logistics, inwards and outwards logistics, some of the other admin fees etc. I will just read out for you what all we take into the other expenses and also FOREX loss and gain is also one of the components in other expenses. So the key things are, just give me a second, basically rent, rates and taxes, subcontracting expenses, power and fuel, repair and maintenance, travel and conveyance, vehicle running and maintenance, communication costs, printing and stationery, security expenses, legal and professional fees, director sitting fees, this year the big swing has happened largely because of the FOREX. Almost there has been Rs. 9.4 crore kind of a swing, this year we had a FOREX loss of Rs. 8.4 crore versus gain of Rs. 1.2 crore last year

Dhaval Jain: Then just one last question on our margins on the call that we have had that we could possibly do the revenues that we have guided for, is there going to be a margin pressure in terms of if we have to fulfill our targets?

Pramod Gupta: See, the margin guidance is actually built in the numbers that we have guided for and we are aware of what we need to do and after doing all the consideration only we have given the net profit and sales guidance, but yes right now, as Vishal ji had explained the whole value chain and the AC business is under pressure because of the high inventory and last year or the last season not going well, but we are hoping that from January-February onward things will start easing as the season starts.

Dhaval Jain: Thank you so much.

Vishal Gupta: Thank you.

Moderator: Thank you. The next question comes from the line of Nikhat Koor from Dolat Capital Please go ahead

Nikhat Koor: Hello, thank you for taking my question. So what is our current capacity

y in RAC, washing

machine and coolers and after the new lines are commissioned what will be the new capacity in these categories like for FY '27 and FY '28?

Pramod Gupta: Right now, our capacity in AC is almost close to 3.5 lakh ACs per month on the split side and about 50,000 ACs on the window side and once by December, we are hoping to increase it to about 4.25 lakh in the split side and 50,000 in the window side. And in washing machine the

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capacity is already expanded and we have about close to 2 lakh washing machines per month capacity today. In coolers, it is about 50,000 coolers per month.

Nikhat Koor: And after the CAPEX is incurred, what would be the new capacity which we are planning?

Vishal Gupta: CAPEX in washing machine is almost completed. AC as I told you it will go from 3.5 to 4.25 and coolers right now, the capacity is about 50,000 per month but we are not going to see an increased capacity benefit in this year. That will be probably visible much more in the next year and we will be putting a one line probably of 25,000 per month in the new plant.

Nikhat Koor: Thank you.

Vishal Gupta: Thank you.

Moderator: Thank you. The next question comes from the line of Ayush who is an Individual Investor. Please go ahead.

Ayush: Hi, good evening. So I have two questions. One is about a couple of months back, we have announced to foray into the EV bike manufacturing space with Spiro Mobility. So any update on that? Are we still pursuing this or not? The second question is on the AC compressor manufacturing with the Chinese partner. So any update on that?

Vishal Gupta: So that EV thing is getting delayed and our partner for whom we were supposed to start manufacturing in India, they are not able to get their motorcycle approved from ARAI and at the same time, they have shifted some of their focus to Africa market. They are trying to grow that business in Africa market. They already have a strong presence in Africa and at the same time they are maybe, but I can feel that they have shifted their focus to Africa market and coming back to your compressor thing, we have stated in this call earlier also, we are still waiting for the approval that our partner is waiting for approval from the China government for this compressor thing. So we are still waiting for that only right now.

Ayush: Alright. Thank you.

Moderator: Thank you. As there are no further questions from the line of participants, I now hand the conference over to the management for closing comments.

Pramod Gupta: I would like to thank you all for sparing your time and we are available to answer any further questions you may have. Thank you. Thank you all.

Moderator: On behalf of Axis Capital Limit, that concludes this conference. Thank you for joining us and you may now disconnect your lines Thank you.

Call: Feb 2026

February 05, 2026

Sub.: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 – Transcript of the Earnings Conference Call

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015 and in reference to our submission dated January 30, 2026, please find enclosed Transcript of the Earnings Conference Call held on February 03, 2026.

This is for your information & Records.

For PG Electroplast Limited

Deepesh Kedia
Company Secretary To,
The Manager (Listing)
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 533581 To,
The Manager (Listing)
National Stock Exchange of India Limited,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051

Scrip Symbol: PGEL
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“PG Electroplast Limited
Q3 FY '26 Earnings Conference Call”
February 03, 2026

MANAGEMENT : MR. VIKAS GUPTA – MANAGING DIRECTOR
OPERATIONS – PG ELECTROPLAST LIMITED
M R. PRAMOD GUPTA – CHIEF FINANCIAL OFFICER –
PG ELECTROPLAST LIMITED

MODERATOR : MR. SHALIN CHOKSY – JM FINANCIAL INSTITUTIONAL
SECURITIES LIMITED

PG Electroplast Limited
February 03, 2026

Moderator: Ladies and gentlemen, good day, and welcome to PG Electroplast Q3 FY '26 Earnings Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded. This call may contain forward-looking statements based on the currently held beliefs of the management of the company, which are expressed in good faith and in management's opinion, are reasonable.

These forward-looking statements may involve known and unknown risks, uncertainties and other factors, which may cause the actual results, financial condition, performance or achievements of the company or industry to differ materially from those in forward-looking statements.

These forward-looking statements represent only the company's current intentions, beliefs or expectations, and any forward-looking statements speaks only as of the date on which it was made. The company assumes no obligation to revise or update any forward-looking statements.

I now hand the conference over to Mr. Shalin Choksy from JM Financial. Thank you, and over to you, sir.

Shalin Choksy: Thank you, Iqra. Good morning, everyone. On behalf of JM Financial Institutional Securities, I welcome you all to the Q3 FY '26 Earnings Call of PG Electroplast Limited. We have with us the management represented by Mr. Vikas Gupta, Managing Director; and Mr. Pramod Gupta, Chief Financial Officer.

With this, I will hand over the call to the management for the opening remarks, post which we can open up the floor for questions and answers. Thank you, and over to you, Mr. Gupta.

Vikas Gupta: Thank you, Shalin. Good morning to everyone. And thank you for sparing your valuable time and joining this call today. Hope all of you are doing well. Let me start by saying that we had a good quarter in both room ACs and the washing machine sales. The room AC business picked up in terms of sales. We had a 80% plus Y-o-Y growth in our -- and in our washers, we grew our business by 45%.

With this quarterly performance, we have been able to grow our RAC business by 27% in 9 months of FY '26 despite the industry posting an almost 15% to 20% decline in the same period. Our washing machine business also has shown a robust growth of 46% in the 9 months of FY '26. Our television joint venture, Goodworth Electronics has also ramped up well and posted a revenue of INR670 crores in the 9 months of FY '26 with the EBITDA of almost around INR16.7 crores.

We remain optimistic that the room AC business will see an increased, penetration-led growth with the recent rationalization of GST, and we believe that in the medium term, growth in room PG Electroplast Limited

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AC business will be robust. We are expanding our capacities in room air conditioners, washing machines and air coolers and the client engagement across large and emerging brands remains strong.

We are maintaining the guidance we had shared last quarter. We will be using this year to consolidate, focus on operational levers and execute our platform and capacity investments with discipline. These are the foundations we need get in place for the next phase of growth.

We remain confident in the long-term opportunity in the India's consumer durable market and in PGEL's position as to be our key enabler in that space. Our focus remains unchanged to scale profitably, stay capital efficient and deliver consistent value to all our stakeholders.

With this now, I hand over the call to my colleague, Mr. Pramod Gupta, our CFO, to elaborate on the financials. Thank you.

Pramod Gupta: Thank

you, Vikasji. Hello, and good morning, everyone. I'm sure all of you have seen the financials in detail already, but let me take you through the quarter 3 numbers. Consolidated revenues were at INR1,412 crores, which was a growth of 46% over Q3 last year. Of this, the product business contributed INR1,140 crores or 80.7% of the total revenue.

The AC business contributed INR932.5 crores, which was a growth of 80.5% over the same period last year. We had also -- and this AC business accounted 66% of the total revenue.

Washing machine business was up 45% at INR194 crores during the quarter.

Our 100% subsidiary, PG Technoplast reported revenues of INR1,067 crores during the quarter.

Now coming to the profitability. EBITDA for the quarter stood INR126 crores and net profit was at INR60.3 crores. Now in this EBITDA, we had a forex loss of INR8.2 crores versus the same quarter last year, a loss of INR1.4 crores. We have also made a provision of INR1.35 crores for the impact of New Labour Code, which is a part of employee expense in the quarter.

Looking from the balance sheet point of view, we remain quite liquid and our balance sheet is healthy. We have currently cash and equivalents of INR483 crores. Return on capital employed stands at 18.6% and our net fixed asset turnover remains healthy over 6x. We are maintaining our guidance, which we have given in the first quarter '26 of INR5,700 crores to INR5,800 crores of sales, about INR300 crores of profit.

We are continuing with our investments in Greater Noida, Supa, Rajasthan and Sricity facilities and the capex will be around INR700 crores to INR750 crores. Again, reiterating that our long-term investment, operational model and growth priorities remain unchanged.

With that, I would like to open the floor for questions.

Moderator: The first question is from the line of Koushik Mohan from Ashika Group.

Koushik Mohan: Congratulations for the good set of numbers. Sir, I just wanted to understand what was the volume growth in this Y-o-Y and Q-o-Q?

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Pramod Gupta: This number I can give you offline. Right now, I don't have this number handy, but we can take it offline.

Koushik Mohan: Okay. Sir, and also on the balance sheet, I can see that we have an inventory of INR1,280 crores. So do we have a breakup of how much is the finished and how much is the raw material in this by any chance?

Pramod Gupta: Yes. Raw material inventory is almost close to INR1,160-odd crores, and only INR120 crores is just finished goods, which would have been the production probably of the last few days in the AC business. So largely, it is the raw material inventory, which we are carrying.

Koushik Mohan: And sir, how are we seeing future growth on AC sales or the washing machine sales and everything? Like how is the growth over the market side in the inventory side and everything for the clients?

Pramod Gupta: Washing machine business continues to see strong momentum. We are continuing to grow at about 40%, 45% growth, and we hope to maintain that momentum even in 4Q. On AC side, given the fact that there is a very huge channel inventory, which is still there and temperature has still not started rising in the Southern India, where typically the summer starts early.

We are cautiously optimistic, and we hope that this summer season goes well, and we are prepared for that. But we will say that last quarter numbers were largely because of the fact that there was a huge channel filling, which was taken by some of the brands because of the rating change, etcetera, and that drove the numbers.

But we will have to watch out for how the summer season starts in the month of February, late February or early March to give a clear guidance on the AC business. But we stand by our guidance, and we think that we should be able to reach INR5,700 crores to INR5,800 crores sales for the full year.

Moderator: The ne

xt question is from the line of Vishal Dudhwala from Trinetra Asset Managers.

Vishal Dudhwala: So first of all, congratulations on a good set of numbers. So I have a couple of questions. First question, can you quantify your refrigerator units, like how many units will you produce annually basis?

Pramod Gupta: Vikasji, can you take this?

Vikas Gupta: So Vishalji, we are putting up a capacity of 1.2 million refrigerators in our Sricity factory. So that should be up and running by the fourth quarter of FY '27. And so that will be the installed capacity. And in the first year, we hope to have a loading of almost around 30% to 40% on that capacity.

Vishal Dudhwala: Okay. And second, like as you mentioned that we are on a line of guidance. So if we calculate Q1, Q2, Q3 PAT, so we have roughly done INR130 crores, INR132 crores of PAT and we require for Q4, INR160 crores to INR170 crores in Q4. So I just want to know how will we want to do that?

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Pramod Gupta: Typically, our fourth quarter is the strongest quarter even in the last year, last financial year, if you see out of the total PAT of INR290 crores, we actually delivered INR146 crores in the fourth quarter itself. And there are multiple factors which work in the favor in the fourth quarter. One is obviously the seasonality of the AC and cooler business.

And typically, a lot of operating leverage also kicks in during this quarter. So we are hopeful that the trend will probably continue, and there is no reason to doubt that because summer is setting in, and we are hopeful that the plans that we have, we will be able to achieve that.

Vishal Dudhwala: But as you mentioned, like you will focus for RAC business in end of Feb, so...

Pramod Gupta: No, no. I'm saying -- as I said, we will focus on end of the Feb. I'm just saying everybody will get to know how the AC season will pan out only towards the end of February. But the season is continuing. We have good amount of orders. We are making the ACs as per the plan. And we are very sure of the numbers which we have guided you for.

Vishal Dudhwala: Okay. And the third thing, like I want to know that every OEM player are currently renegotiating their pricing with the OEM players. So how the margin will be secured as OEM player has very thin margins?

Pramod Gupta: Right now, I'll be very upfront with you. Percentage margins is not what we focus on. We actually focus on per piece margin, which is what is what we get to make an AC. And there, we are not going to be compromising because of the price increase in the commodity. Typically, commodity prices are a pass on. And therefore maybe with a lag of 10, 15 days or a month maximum, we hope to pass on the price increase.

In fact, whatever inventory we had from the previous year, we are almost exhausted with that. And whatever new buying, which we have done in October, November, December, based on that, we have actually asked for the price increase and negotiated with most of the brands for the January, February dispatches. And we remain optimistic that we should be able to maintain the per piece margin in terms of overall absolute amount, which we demand from our customers.

Vishal Dudhwala: So sir, don't you think like if you won't compromise on your pricing, you can lose some market share to another OEM players?

Pramod Gupta: Well, we think there are not -- pricing is not the only reason on which the customer typically decides on the business. There are multiple factors apart from the pricing. And given the cost leadership, which we have, I think that -- and the quality and the other factors which we give to the customer, the stickiness is rather high. And we have seen in the past 5 years since the time we have started our AC business, we have not lost a single client. And in most of the clients, our market share has actually increased over a period of time.

Vishal Dudhwala: Oka

y. Just last question. So do we have the same clientele as RSG for the refrigerator? Or can you just give some light on order book of refrigerators?

Pramod Gupta: Vikasji?

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Vikas Gupta: No, Vishal. So basically, we are in discussion with all our clients wherever there is an overlap in the product categories, like there are clients for our washing machines and air conditioners, which are already into the refrigerator market.

So we are in discussions with them. So it is still very early for us to comment on that, but we will keep you updated once we are able to close some kind of a contract with some clients. But we are hopeful to do that in the near future.

Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance.

Keyur Pandya: Sir, two questions. First on the RAC side. You mentioned Q3 sales was boosted by, say, pre-buying from the brand. Has that continued in Jan-Feb as well in backdrop of continuously increasing RM prices, I mean, raw material prices. So just first question on that.

And second, on slightly medium term that at around 1.5 million room ACs, you are probably 10% of the overall market share of the AC market and around 20% of the overall outsourced market share. Now from here on, is it fair to assume that it's difficult to gain market share at a very sharp pace and that backdrop, what are the growth drivers, which are very large?

And say, for example, TV or washing machine at relatively low scale versus AC may grow at faster but not enough to offset, say, absolute growth. So just something on medium-term growth drivers. These two questions.

Pramod Gupta: Yes. So as I was saying earlier to one question that there is a channel inventory, which is on a slightly higher side. And obviously, because of the higher inventory in the system, brands are right now having a little muted outlook in the sense that they are going a little slow. But we have seen a decent order book, and we continue to have a good order book. And we are already seen a 27% growth in the first 9 months in the AC business.

And we are optimistic that whatever assumptions we have made, which is about 18% to 20% growth in the AC business for the full year, we should be able to achieve that number, irrespective of whatever is happening to the market in the next 2 months, and we have a good visibility and order book to the same tune.

Coming to the medium-term outlook. Yes, you're right. We have become sizable. We are almost 11% to 12% of the overall manufacturing of AC in India currently, and we do have a largest market share. But if you see in last 3, 4 years because of the PLI and because of the other things, there has been -- there has been a good capacity addition, which has happened in the brands and a lot of in-sourcing has also shifted.

And in fact, in the last year, everybody used to talk about in-sourcing versus outsourcing. But given the fact that this AC business remains seasonal, in our opinion, the economics is actually not in favor of doing in-sourcing, and it makes more sense to actually outsource the AC manufacturing. And therefore, in the medium to long term, we think and we believe firmly that economics will prevail.

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And once this PLI and all these things get over, then the capital allocation in most of the cap companies, even the brands will be towards doing value creation, which may not be necessarily happening today by setting up the own capacity because the in-sourcing actually is a very expensive proposition because of the fact that the business seasonality still remains very high. And outsourcing, at least partially makes much more sense and we think that will continue. So net-net, what I'm trying to say is that there are 2 or 3 growth drivers for us, still, which is, one is obviously that outsourcing should in

crease over a period of time.

Second and bigger thing is that we think the market growth itself probably should accelerate over a period of time from here because the penetration levels are low. And we are probably now for the first time, seeing that the continued growth. And then last year, GST cut also came. So all these things make us hope that penetration levels will increase -- start increasing. So overall, medium term, we remain very positive on the AC business as such. Also, I want to highlight one thing, you need to do the comparison of AC market with probably China, which is much cold country than us, and they consume every year over 10 crores AC and they make close to 20 crore ACs. And the largest player there makes about close to 5 crore ACs every year. And so the percentage gain or percentage market share probably is not the right way to look at it. Here, the basic thing that we'll have to work is towards basically the product development, innovation and cost leadership. So in our terms, we call it cost leadership and product leadership, and we are every year working to improve both those things.

So I think as the penetration grows, we continue to remain optimistic that we can probably continue to show better than the industry growth. Obviously, the delta that we have enjoyed over the last 3, 4 years may not be as high. Like, for example, even this year, the industry is probably seeing a 10% to 15% decline, at least in the first 9 months, and we have still posted 27% growth. So that kind of a growth may not happen, but we still hope that we can probably do better than the industry growth in the coming years also because outsourcing will increase. That is on the AC side. Yes, we are taking a lot of other measures to actually improve the medium-term growth. Refrigerator is one such aspect. Washing machine is growing faster than the company's overall growth rate.

We are working towards electronic components. And there are certain other initiatives also which are in the works, which I cannot disclose right now, but we are aware and we are working towards it, but our growth is mostly organic. We tend to actually believe a lot more in organic growth and given the kind of dynamics which we have, we will be continuing to focus on those aspects.

Our capital efficiency remains very key to our capital allocation decisions. And therefore, we do not tend to actually go overboard on the inorganic initiatives in our company. We think that the product lines where we are working in India, the penetration levels are still low, and we can continue to show very, very healthy growth for at least next 3 to 5 years, and we can continue to grow at a healthy pace.

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Keyur Pandya: Just one follow-up. So ref would probably at -- from zero base can continue to grow at fast pace.

Washing machine, what is the line of sight for growth, say, not for just for Q4, but say FY '27 or for FY '28 also, but at least for '27. That is first. And second, this land finalization in Maharashtra under the subsidiary next generation, any specific purpose, I mean, the quantum of land is much higher. So if you can just give more detail on utilization or usage of that land?

Pramod Gupta: Vikasji, can you take the first question and then I will talk.

Vikas Gupta: Sir, regarding washing machines, we are seeing, again, there is a movement towards the outsourcing, especially in the semi-automatic category. As this segment is very price sensitive and it's a mass segment product, we are seeing a trend where the brands are starting to outsource. So the semi-automatic market as a whole may not be growing.

But we feel because of the outsourcing phenomena increasing, there will be a growth in the manufacturing of semi-automatic washing machines with the players like us. And on the top of

that, we are already working on the fully automatic top load platforms, a

nd we are going to start

our work on the front load wash machines as well.

So we have a decent visibility, and we are very confident that we should be able to maintain a strong growth rate in the FY '27 also, which will be similar to what we have achieved in the past years.

Pramod Gupta: Coming to the piece of land that we have taken, as we have been saying that we think that the potential of growth in each of the categories, where we are working, is very -- still very high because penetration levels remain low. And we think that India will eventually go China way in terms of penetration in some of these product lines, especially AC, washing machine, and the capacity, which we have to plan for the next phase of growth actually have to be keeping in the mind the kind of potential that we see.

So as I was saying, that today, we are just making -- 15 billion ACs that the market that we have today for the industry and the largest player, which is probably is us or one of the competitions, is actually making just about 18 to 20 -- sorry, 1.8 to 2 million AC. But if this industry continues to grow and we have done some simulation at our end, we think that we reach 3 crore to 4 crore ACs by '31, '32.

And even if we maintain our market share, we will have to probably be making probably close to 50 lakh to 60 lakh ACs over a period of time. Now if that is the kind of capacity which we have to plan, then the kind of land and the other utilities, which we have to plan has to be multiple times of what we are doing today.

So keeping that in mind, now the internal thought process in the company is to work towards larger campus where we can actually have a lot of backward integration through and that will drive the cost leadership in the company.

And also, we will be able to work on technologies and innovations on that in these large campuses, where we can have fully integrated manufacturing facility. So that was a thought

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process, and that is why we are -- we have taken these 2 land parcels. One is Sricity, which is 52 acres, and this is a 72-acre parcel then in Ahmednagar.

Vikas Gupta: Just to add to what Pramodji has said, just to add to that, please understand, we have already -- like our land utilization in the current factories invest in District of Ahmednagar is already saturated. And what we feel, as Pramodji has said, that we -- for the next phase of growth for coming 5 to 7 years, we will require a large parcel of land.

And as a company, what we are trying to position is we are trying to create 3 large manufacturing hubs, one in North, one in -- the second one in West and the third one in South. So all these locations will be the -- going forward, the multiproduct locations where we will be producing all our product categories going forward.

So to have a better utilization of the assets and to have economies of scales at all these three locations and where we can offer the products that we manufacture from these three locations to have a better cost efficiency in the terms of logistics cost for all our customers. That is also one of those ideas.

Moderator: The next question is from the line of Bhavya Gandhi from Bajaj Alternate Investment Management Limited.

Bhavya Gandhi: Sir, is it possible to provide the capex split for the INR700 crores, how has it progressed? As of now, what are the commissioning dates and expected revenue and margins from this capex? And when can we expect those revenues to start reflecting in terms of numbers?

Pramod Gupta: So out of the INR750 crores, INR300 crores we had earmarked for the refrigerator facility, which we are putting up in the Southern India. And this will -- this product -- this project is going to actually become operational only in the fourth quarter next year. We just did a ground-breaking there.

Almost close to INR200 crore kind of capex have actually gone in the was

hing machine capacity

and the new campus, which we have actually built in Greater Noida. And that is almost ready and we hope to start doing commercial production very soon in that. Some work has trial production, etcetera, is going on already there.

There is another small campus, which we are building in Bhiwadi of about 10 acres, where we are actually in the final stages, where we have actually going to be putting up the tool room and some of the facilities for basically our plastic molding business, especially for the sanitary ware where we are doing some interesting work. So that campus, we hope to start probably by this quarter end.

And then we have done some capex in the ongoing facilities in Supa and Bhiwadi for AC

manufacturing. Both of those are also ready and they will be actually contributing in the fourth quarter. Apart from that, there is a land parcel, which we have bought in Supa for 72 acres, close to about INR84 crores has been spent on that. That we will be probably looking to start construction sometime maybe next year.

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So that is the breakup of the capex. Large part of the capex will actually start contributing in the next 1 year in our opinion. And some of the capex will be operational this year only barring the -- most of the capex will be operational, this year barring the capacity, which is coming in the refrigerator in Sricity.

Bhavya Gandhi: So just to sum it up, for the next year, what could the growth number look like? I'm trying to understand...

Pramod Gupta: It's too early to say. See, the issue is that it will depend on the market conditions. AC still remains a very large portion for us. And there, the -- how the actual summer season pans out this year is going to be quite interesting to watch out. Because what has happened is that because of the channel inventory, things are still not very clear. But we remain optimistic that the medium-term growth outlook is good, and we are not planning for season to season.

Obviously, we are taking a 3- to 5-year view on all the CapEx which we do. And therefore, we are optimistic that all the capacities, which we are creating will be optimally utilized over a period of next 3 to 4 years.

Bhavya Gandhi: Got it. And what could be the revenue number look like basis all this capex that we are doing? I understand maybe next year, you are not able to guide. But once the INR750 crore capex fructifies, what could the number look like in terms of revenue? Should we take the asset turn that you mentioned, 4% to 5%? Or how is it?

Pramod Gupta: Yes. Yes. Typically, on a fully operational basis, we internally try to have asset turn fixed, asset turn of about 4x at least on the overall numbers. And that is what is at least you should assume will reap the contribution which will be coming from the ongoing capex in the next few years.

Bhavya Gandhi: Got it. And on the PLI scheme, will it affect outsourcing players as well? Because I think that is usually a pass-through. So that benefit also will go away while you say that in-sourcing will be reduced once the PLI goes away, will it impact outsourcing EMS players as well -- in terms of margins, I am talking about?

Pramod Gupta: See, what I'm talking about is today that in the last 3, 4 years, there has been a lot of capacity, which has come up in the system. And the capacity has both come in outsourcing players as well as the brands themselves.

And actually, if you see on an overall basis, there has been a shift towards in-sourcing because almost the outsourcing imports, which were there, they have become zero. So what has happened is like since 2021, some of that gap, which was filled by some of the outsourcing players like us and some of it went actually the in-sourcing capacity of the brand.

Now what is happening is that some of these brands actually change their policies, internal policies to start outsou

rcing because also they thought that there was an additional advantage, which they were getting because of the PLI benefits or those things.

But what we are seeing and realizing is that -- most of the brands are not able to utilize the capacities as per plan and most of them -- most of them, at least our analysis says that the PG Electroplast Limited

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manufacturing remains uneconomical in the sense that it is not doing any value creation for them.

So they have created -- allocated a huge amount of capital to that and still most of the manufacturing is just not making sense because they are able to get the product from them -- from players like us at 2%, 3%, 4% cheaper than their factory gate cost.

And that is why the outsourcing happens. And therefore, this phenomena of putting up the capacity is probably at some point in time, will start reducing in the brands, and they will probably start outsourcing more. That is what I'm trying to say. And therefore, I remain very optimistic that growth opportunities are likely to be good in the medium term also.

Bhavya Gandhi: Got it. Just, I mean, a follow-up, that PLI, does it affect us? Because once the PLI goes on, it's only to be...

Pramod Gupta: Nothing like that is going. PLI is going to go away for everyone. But today also, when we do the pricing of product, in none of the product pricing, the PLI benefit passing is coming. It is only about the net price at which you are going to products -- supply the product to the end

brand.

Now if the brand is finding the price competitive vis-a-vis its own manufacturing or vis-a-vis other outsourcing company, then they try to outsource to companies like us or they will give the business to us or they may decide whether they want to do it in manufacturing. So that is the way this business works.

Moderator: The next question is from the line of Tanay Shah from DAM Capital.

Tanay Shah: Congratulations on the great set of numbers. Sir, just one question first on the AC bit, right? You mentioned that the inventory levels are on the higher end. So what according to you is the industry inventory levels, let's say, at both at the brand and channel end?

Pramod Gupta: And I think the total number in my estimation is probably close to about 5 million, which is there in the channel plus brands. And typically, this is slightly on the higher side in comparison to specifically what the number is.

And one of the reasons has been very, very slow sales in this year, even in the off-season. So if you see the sell-out from the channel to the end customer has actually not picked up even after the GST cut. And that is what probably is the reason that the inventory has actually piled up in the system.

Tanay Shah: Sure. So given that the inventory obviously already is at around 5 million-odd, summers yet haven't picked up to a great extent, what kind of gives us the confidence on the fourth quarter and the first quarter production? I know that you did mention that you have healthy order books.

But from that sense, what is your outlook on the RAC for, let's say, 4Q and 1Q?

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Pramod Gupta: So 4Q, we are maintaining -- see, despite showing a very robust growth in this quarter of about 80%. I'm still maintaining about -- for a full, year guidance of about 15% to 17% growth in the AC business, in the sense that first 9 months, we have seen a growth of 27%.

And we are still projecting a growth of about -- if you see the numbers which we have given in terms of the guidance. So we are still talking of a full year guidance of that number. So we are expecting that whatever acceleration now will probably happen is towards the end of the quarter.

In fact, we are hoping that because see, it is also the reaction of the brands right now, manufacturing is slow because our sales are slow generally with most of the brands and wit

h

also the outsourcing companies because the sellout is just not picking up the way it should have picked up from the channels.

But I'm hopeful that because this -- this is typically the peak manufacturing season, January, February, March. Now if in January and February, you are not doing a peak manufacturing in the industry as a whole, then there will be a huge pressure, which will probably come if the season is normal in March and April. And that is what I think is probably likely to happen once we see the season getting into effect.

Today, actually, everybody is in a wait and watch mode. Also, there is one more reason. Most of the channel is sitting on very low price inventory. And now given the price of commodity has risen so sharply, the price increases has to be taken by most of the brands as well as, I think, all the contract manufacturers.

Now channel is still reluctant to actually to absorb the full price hike because outselling is still not picked up in a very big manner. So I think once actual outselling happens, which is probably going to happen towards the end of this month, in my opinion, then we will actually get to know the full picture and the final picture.

Tanay Shah: Right. So I think the summer needs to be very strong for the outlook to fall in our favor and 4Q may just simply see some sort of good growth?

Pramod Gupta: Yes, yes. See, I'll tell you the reason. You have to look at the response function also. See, what happened for us, most of our brands were not doing manufacturing in the month of July, August, September. And October, November was slightly slow, but still they were okay.

And then December, everybody came asking for the product because they had to fill the channel.

Now same thing is probably going through in the -- with the brands and channels that right now, everybody is a bit slow because everybody is waiting and watching. And if March is okay, and it's a normal summer, then probably we will see everybody coming and asking for the products maybe in March or April.

Tanay Shah: Got that. That's fair enough. Fair point. That makes sense. Sir, and second is our current capacity right now for AC is around 400...

Pramod Gupta: Yes. It's about 425,000 a month is what we can make every month.

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Tanay Shah: Okay. And we're expanding that to around 450,000, correct?

Pramod Gupta: No, no. Right now, it has already expanded. So like there is a 425,000, we can make a split AC and about 50,000 window AC is what you can make in -- every month.

Tanay Shah: Okay. Understood. And sir, on the refrigerator piece, I mean, could you just speak a little more on what our plans out here, 1.2 million capacity, which you're sort of putting up, what is the outsourcing opportunity given that even competition is putting up large capacities? So what are the product segments which you're targeting, DC or FF, just some more color on how we're looking at the refrigerator piece?

Pramod Gupta: Vikasji?

Vikas Gupta: Yes. So please understand what we feel as it has happened in the washing machines and automatic category, as it is happening in the RAC business as well, we feel the outsourcing trend will increase in coming times, especially in the single-door direct cool category of refrigerators because, again, these products are very price sensitive in the mass segment products. And we feel that it will grow, the outsourcing will grow in this particular segment.

And that is the first segment that we are targeting to look into, and we are already developing a product in the single door category, which should be up and running as we start the mass production towards the quarter 4 of FY '27.

So we feel going forward that we will be adding frost-free 2-door product also in that lineup.

Our location of the plant for manufacturing of refrigerators in Southern India, we feel is a unique advantageous position for us b

ecause there are not many large manufacturing capacities available for refrigerators in Southern India.

And logistics and the freight cost plays a very important role in bringing a product all the way from Northern India to Southern India. So we feel that we will have that kind of a traction from the brands to pick up the inventory from our plant in Southern India for the Southern India market. So we are hopeful for the good business coming through in ref category.

Moderator: The next question is from the line of Achal Lohade from Nuvama.

Achal Lohade: Just two quick questions. First, in terms of the margin in this quarter, 3Q, was it normal? Or was there any pressure on margin for the third quarter, sir, for the RAC business?

Pramod Gupta: There was a bit of a pressure on the RAC modules because we wanted to actually gain the market share and also because we had a high inventory. So we were a little bit under pressure on that.

But I'll just also like to highlight here one thing that there are two parts to the margin.

One is obviously the gross contribution, which you are seeing, that is looking on the slightly lower side this quarter because of the fact that we have actually shifted to SAP across the whole organization. And in the previous ERP, which we were having, there were certain raw material, which we used to classify as consumable, which used to be part of other expenses.

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They have actually gone up, which has actually impacted the AC margins by almost close to 150 basis points. And overall, margins at the gross level by 120 basis points during this quarter. That is one of the reasons why gross contribution is looking up. But then at the same time, because of that, the other expenses are looking lower.

Now coming to the fact, yes, this quarter, just to gain the market share and also because the industry and the companies were -- that some of the clients, were having a little bit of a pain.

We have tried to support them wherever possible by compromising a little bit on the margins.

But we hope that, that situation is over now. And now we are comfortable and also most of the brands are trying to take a price increase, and we have also taken a price increase in January and the February delivery. So that situation is almost over now.

Achal Lohade: Got it. And just a clarification on the channel sales. Did you say channel has seen a 10%, the retail sales is actually 10% down in first 9 months. And for us, it's 27% growth. Have I understood the number right, sir?

Pramod Gupta: Yes, yes. So I think the channel sales generally, by most of the brands and -- is down by, in our opinion, from the numbers which we have done and by anywhere between about close to 10% to 15%. And we have still been able to manage a growth of 27% for the 9 months this year.

Achal Lohade: Got it. Those were my two questions. I'll fall back in the queue.

Moderator: The next question is from the line of Mohit Jain from Tara Capital.

Mohit Jain: Sir, you talked about the channel inventory and the overall inventory and you said for channel plus brand, it is at 5 million and which I believe earlier you have in the Q2 call said that as of 1st November, it was around 1.5 million to 2 million for the channel only. Now with such high inventory, and I guess nu star has hinted that they needed at least 10% price hike to pass for the recent increase in the RM and the INR depreciation.

So do you think with such high inventories and with the summers not starting as of now, even

slightly delayed in the Southern India and Northern India is also right now having very cool weather. So do you think there's a likelihood that the price hike will not happen for at least next few months unless the inventories get depleted first?

Pramod Gupta: I don't think so. My sense is this that because the price increase will also happen because most of the brands are now s

elling only -- in fact, all the brands are selling only the new B-rated products on which they are obviously charging slightly higher price than what they were charging for the like-to-like basis in the earlier record thing.

That is one part. And because under that graph, they will be able to charge some price increase. And it's actually -- price increase always happens or the price adjustment always happens when the sales start to pick up.

So as I'm saying probably, yes, right now, the price increase may be slow, but as soon as we enter the February and March thing, I think most of the brands will probably post, of course, the PG Electroplast Limited

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price increase and price increase can happen in many ways. There are several schemes which they keep on running. Some of those may be withdrawal or there will be some other measures which they will take to take a price increase.

But price increase is surely likely to come, there is no choice because the kind of movement, which we have seen in the commodities, especially copper and aluminum, it's not possible to actually absorb that kind of a price increase by anybody.

Moderator: The next question is from the line of Krushan from Hari Capital.

Krushan: Sir, I have one quick question is what are the asset terms in AC manufacturing business for us in terms of fixed effect and the total asset terms?

Pramod Gupta: Just give me a sec, I'll just tell you the AC business, the asset terms also.

Vikas Gupta: If you have some other questions, like we can follow up with that.

Krushan: And with brands having set up significant capacity over the last few years, do they use outsourcing partners for demand beyond their own capacity? Or is there some other dynamics at play where utilization is similar for our own plants, branch plans and outsourced plans?

Vikas Gupta: So please understand the outsourcing in RAC segment is not only influenced by the seasonality of this product. There are other factors also which play into the equation because it is not possible for the brands to make all the different SKUs, all the different models that they want to give to their channel partners because they would like to have different model lineups for the different channel sales channels like the -- for the online sales, they would like to have a different model lineup.

And for the offline sales, they would like to have a different lineup of models to avoid any channel conflict. So that is basically called as a DMDC means the different models for different channels.

So in that case also, the brands are always looking to outsource because they will also -- they will try to pick up certain models maybe for the online or for the large format retail chains, they will try to pick it up from the contract manufacturers like us. So there are various factors that play into the outsourcing game.

And I feel we have already said this thing in other call and our previous callers also have asked this question. So we feel outsourcing is a phenomenon that is growing. It can be seen from the numbers of the contract manufacturers, how the sales and the revenue has grown for the contract manufacturing companies in our space as compared to whatever is the growth of the industry.

Pramod Gupta: Coming to your first question about the net fixed assets. The total net fixed assets that we have deployed as of December in the AC business are close to about INR800 crores. And as of 12 months, we are having probably a fixed asset term on that at about 5.4x on that business.

Moderator: The next question is from the line of Mythili Balakrishnan from Alchemy.

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Mythili Balakrishnan: A couple of questions. Wanted to check with you whether the current quarter had any PLI or any other government benefit that we have received?

Pramod Gupta: There was no PLI in this quarter. PLI typically c

omes to us in the fourth quarter. And we will

be taking that PLI as and when we will get the confirmation from the government on that. And that will be last year's PLI, which would be INR37.5 crores, which will be coming in the fourth quarter to us.

Mythili Balakrishnan: Okay. So most likely, we'll have INR37.5 crores as PLI in 4Q?

Pramod Gupta: Yes.

Mythili Balakrishnan: Got it. Any other government scheme like there was a Maharashtra scheme, etcetera, which was there? There has been nothing per se in our margins, right?

Pramod Gupta: There is a INR1.5 crore kind of amount, which keeps on coming from the IPS for the PG Electroplast, which is there in the quarter.

Mythili Balakrishnan: Got it. In terms of the growth plans ahead, right, I wanted to get a sense of what is happening on the compressor side. Is there any development on that front?

Pramod Gupta: We are in touch with our partner, and we will be updating you as soon as we have any further information on that but we are very, very hopeful that we should be able to close it very soon.

Mythili Balakrishnan: Got it. And my last question is -- on this growth, right, we have done so much significantly ahead of what has happened on the industry side. Just wanted to get a sense from you of how you have managed to get this growth? Is it wallet share that you have grown or how exactly you have done this because this is quite a very -- it's a very good number when you especially compare it with what has happened in the industry?

Pramod Gupta: See, obviously, there are two, three reasons, the brands, some of the brands who are our key customers. There, the outsourcing is probably today much more than the in-house manufacturing. That is one. And they have actually continued to do that in the third quarter also to fill the channel.

Second thing is that probably we have gained market share, vis-a-vis the other contract manufacturers also. And that is also the reason because of which we have done well. But to put things in perspective, these numbers are looking too good, but overall, we have then close to 4.8 lakhs AC manufacturing in the fourth quarter.

So, on our overall numbers, they are not so big number, but yes, because this is typically a smaller quarter in comparison to fourth quarter. So that's why the numbers are looking on a percentage term slightly up.

Moderator: The next question is from the line of Abhay Jain from Hem Securities.

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Abhay Jain: Congratulations for the great set of numbers. I have only one question. In the recent budget, the PLI for the white goods, ACM LED lights has been significantly increased to more than INR1,000 crores. Your view on that regarding PG as it has one of the highest market share?

Pramod Gupta: No, no. That is the outlay on the budget, but that PLI was always there. Now see the PLI is entering the fourth year of its being. Now in the fourth year, the total outlay to this PLI was INR6,000 crores, if I'm not wrong. And therefore, every year, the money which has to be distributed to the successful participants, who meet all the criteria has to go up because it is based on the percentage of sales.

And sales targets on an incremental basis are going up every year. So that's why we are seeing an increase in the outlay by the government in this quarter -- in this year. But this INR1,000 crores is a part of that overall INR6,000 crores, which was initially envisaged for the industry at the beginning of the PLI.

Moderator: The next question is from the line of Amey Suresh Tupe from BOB Capital.

Amey Suresh Tupe: Sir, my first question is on RAC segment. Like I just wanted to know like did the recent growth came from like existing customers? Or were there any new client additions? And secondly...

Pramod Gupta: It was largely from the existing customers.

Amey Suresh Tupe: Okay. Okay. So, no new client additions.

Pramod Gupta: No. Th

ere are new clients. But typically, in the first -- very first year, new client typically is a very, very small percentage of the overall numbers. Because see, we are doing a very large number of AC. In the very first year, no customer is actually going to buy few lakh ACs from you.

So typically -- see, we are making close to about 17, 18 lakh ACs is what we have done in the last financial year and this year, hope we are probably going to close at close to 20 lakhs AC. In the first year, even the biggest brands normally do not do more than 1, 1.5 lakh ACs.

And then the smaller brands are typically much smaller in the very first year because they are testing you and they are working with you for the first time. It's only in the second and third year that the big ramp-ups happen.

Amey Suresh Tupe: Okay. And secondly, on the tie-up to manufacture POS devices, could you share like how the current order book for POS machines is shaping up? And what kind of demand visibility you have there?

Pramod Gupta: I didn't get this question.

Vikas Gupta: Amey, I got that. It's point-sale point-of-sale devices that we have entered into an agreement to manufacture for PAX Global. So please understand our models are already under testing and

evaluation with the Indian customers. And we are hopeful that in coming 1 or 2 months, we should be able to have the order book from them. And we will be sharing the visibility with you in the due course of time on that.

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Amey Suresh Tupe: Okay. And one last question, like it's just a book keeping question. Could you confirm the cash flow from operations for 9 months FY '26?

Vikas Gupta: Pramodji, can you take that? The cash flow from the operations for the 9 months?

Pramod Gupta: Yes, off-line. We will have to take it offline. I do not have this number handy with me right now.

Moderator: The next question is from the line of Neel Mehta from Equirus Securities.

Neel Mehta: Sir, given that the total inventory in the system right now, as you mentioned, is already higher, almost around 4.5 to 5 million, including a brand sales channel. What is driving the decision to further build the raw material inventory, which is almost around 11 billion that you mentioned.

Is this linked to anticipated demand recovery or the supply side base? And how should we think about inventory conversion and working capital?

Pramod Gupta: We had an inventory of close to 6.5 lakh AC for the manufacturing. This quarter, we have actually done 4.8 lakh ACs already we did build. And then this quarter, what has happened is, on an average, the price of the raw material has moved up for the last quarter itself by about 10% to 15%.

And we have actually reduced the AC inventory -- AC division inventory from the third quarter by almost 7%, 8% -- 8% there. So effectively, the number of AC inventory which we are carrying is down by almost 15%, 17%. But right now, we have close to about like 5.5 lakh Inventory, which we were carrying as of the December 31st in the AC division.

Also, I want to highlight that typically, January, February, March is the peak manufacturing month for us. And during the last year, we had a -- we had a very good growth, and we did manufacturing of almost close to 8 lakh ACs in the last quarter. And right now, I'm carrying the inventory, which is very normal, given the capacity that I have, we have capacity, as I said, to like a 4.25 lakh of ACs as well as about 50,000 window AC.

Moderator: Mr. Mehta, you want to ask more questions?

Neel Mehta: That's it from my side.

Moderator: Ladies and gentlemen, that was the last question for today. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you all for joining us today, and you may now disconnect your lines.

Call: May 2026

May 30, 2026

Sub.: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 - Transcript of the Earnings Conference Call

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in reference to our submission dated May 25, 2026, please find enclosed Transcript of the Earnings Conference Call held on May 28, 2026.

This is for your information & Records.

For PG Electroplast Limited

Deepesh Kedia
Company Secretary To,
The Manager (Listing)
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 533581 To,
The Manager (Listing)
National Stock Exchange of India Limited,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051

Scrip Symbol: PGEL
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"PG Electroplast Limited

Q4 FY26 Earnings Conference Call"

May 28, 2026

MANAGEMENT : MR. VISHAL GUPTA – MANAGING DIRECTOR ,
FINANCE – PG ELECTROPLAST LIMITED
M R. PRAMOD GUPTA – CHIEF FINANCIAL OFFICER –
PG ELECTROPLAST LIMITED

MODERATOR : MR. SHALIN CHOKSY – JM FINANCIAL INSTITUTIONAL
SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the PG Electroplast Q4 FY26 Earnings Conference Call hosted by JM Financial Institutional Securities. This presentation has been prepared for information purposes only. This presentation does not constitute a prospectus offering circular or offering memorandum and is not an offer or initiation to buy or sell any securities nor shall part all of this presentation form the basis of or to be released or in the connection with any contract or investment decisions in relation to any securities.

This presentation contains forward-looking statements based on the current health, beliefs of the management of the company, which are expressed in good faith and in management's opinions are reasonable. The forward-looking statements may involve unknown and unknown risks, uncertainty and other factors, which may cause the actual results, financial condition, performance or achievements of the company or industry to differ materially from those in forward-looking statements.

These forward-looking statements represent only the company's current intentions, beliefs or expectations, and any forward-looking statement speaks only as of the date on which it was made. The company assumes no obligation to revise or update any forward-looking statements. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shalin Choksy from JM Financial Institutional Securities. Thank you, and over to you, sir.

Shalin Choksy: Thank you, Rutuja. Good afternoon, everyone. On behalf of JM Financial Institutional Securities, I welcome you all to the Q4 FY26 Earnings Call of PG Electroplast Limited. We have with us the management of the company represented by Mr. Vishal Gupta, Managing Director of Finance; and Mr. Pramod Gupta, Chief Financial Officer.

With this, I will hand over the call to the management for their opening remarks, post which we can open the floor for question and answers. Thank you, and over to you, Mr. Gupta.

Vishal Gupta: Thank you, Shalin, and good afternoon, everyone, and thank you for joining us for PG Electroplast Q4 and Full Year FY26 Earnings Call. I'm Vishal Gupta, Managing Director, and today, I'm joined on this call with Mr. Pramod Gupta, our Chief Financial Officer.

Before we get into the numbers, let me set the context because FY26 was a complex year for the industry. The challenges were external and largely simultaneous. That said, our strategy remains the same and our long-term conviction has only centered through this cycle. I'll take you through four things today.

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First, the industry context and what made FY26 so difficult. Second, our own Q4 and full year performance. Third, the strategic progress we have made despite the headwinds and fourth, where we are headed in FY27.

Now let me start with the industry backdrop. The RAC industry, which remains the largest contributor to our product revenues, experienced a decline of approximately 15% during FY26. This was against a backdrop where just 12 months ago when we and the rest of the industry were guiding for strong double-digit growth.

Three demand side shocks were largely responsible for this degrowth. First, Q1 was delayed by an early and unusually prolonged monsoon. The RAC season effectively collapsed after May. June and July saw very weak industry sales because of high channel inventory.

Second, due to the GST rate cut announcement on the 15th of August, there were very few sales since 22nd of September, which further delayed

our inventory liquidation. Third, anticipation of the BEE rating transition led to preponement of production and sales in the month of December 2025, resulting in less offtake in the month of Jan and Feb. This further reduced our pricing power and ability to pass through the increases in commodities and exchange rate impact. Most importantly, on top of all this, there was a meaningful decline in confidence of consumer spending in and inflation in essential household categories reduced the availability of disposable income and Indian consumers adopted a more cautious savings-oriented behavior throughout much of the year.

On the supply side, we faced unforeseen large cost inflation, commodity prices, copper, aluminum, plastics and key components rose sharply. Most significantly, the Indian rupee depreciated approximately 20% against the U.S. dollar on a Y-o-Y basis, substantially inflating our input costs.

Since December '25 till April '26, the industry implemented cumulative price hike of around 10% to 15%, but with weak demand and excess inventory in the channel, the ability to fully pass

through these increases remain constrained, suppressing gross margins across the entire value chain.

Then in March, which is historically our single largest production month of the year, we were hit by a shortage of commercial LPG arising from the Gulf conflict. This forced nearly 2-week plant shutdowns to retrofit our operations to alternative fuel sources at a very exorbitant cost. Non-availability of LPG and general uncertainty triggered reverse migration of labor. The manpower shortages and uncertainty around fuel availability disrupted the ramp-up, which severely affected our production targets. In parallel, we also faced a shortage of trucks because of fuel shortage in the second week of March. Pramod-ji?

Pramod Gupta: Yes. I will now walk you through the Q4 numbers in detail. As you can see, consolidated revenues for the quarter were INR1,717 crores and a decline of about 10.1% Y-o-Y, while EBITDA came in at INR131.5 crores compared to INR231.72 crores last year, which was a
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decline of 43%. Net profit for the quarter was INR64.2 crores versus INR146.39 crores and a decline of 56% for the quarter.

If you see the specific disruptions and their financial impact, the LPG crisis in March disrupted room AC production, especially in Supa and we lost production to the extent of approximately INR300 crores in -- due to the LPG crisis. The truck shortage, which resulted in an estimated sales loss of close to INR120 crores for the quarter as finished goods were stranded at our plant and dispatches were deferred into April.

Together, these 2 items alone accounted for an aggregate revenue loss of approximately INR420 crores in the quarter on a base of INR1,717 crores. So had these sales happened, we would have actually crossed INR2,100 crores plus in sales.

Commodity inflation and currency depreciation resulted in estimated gross margin impact of approximately 250 basis points during the quarter, which we were not able to pass through. For the full year FY26, our forex loss was INR38.77 crores versus a forex gain of about INR17.99 crores in FY25. Even for the quarter, we had a forex loss of about INR25.82 crores versus a gain of INR12.77 crores last year same quarter.

In aggregate, these combined factors resulted in an estimated PBT impact of approximately INR120 crores for the quarter. We continued to incur most of our fixed and operating costs even as the production was impaired in the month of March. And even in January and February, because of the slow production, we had to incur all the major costs despite the production not being ramped up fully.

Our product revenue contributed INR1,412 crores, which is 82.5% of the quarterly revenue. Within that, room AC revenue declined 12% Y-o-Y to INR1,210 crores. For the full year, RAC

revenue grew 9% year-on-year. The washing machine business grew phenomenally 52% on a full year basis. And for the quarter, it grew at about 70%. Cooler business saw a decline of about 10.8% for the quarter And on an even full year basis, there was a decline of 8.2% in the cooler business.

Goodworth Electronics, our JV entity, reported revenues of INR155.1 crores in Q4 versus INR107.6 crores in the same quarter last year. EBITDA improved to INR6.19 crores during the quarter from INR0.94 crores last year same quarter. Full year consolidated revenues are INR5,288 crores versus INR4,869 crores in the last financial year. EBITDA stood at INR441.76 crores versus INR519.16 crores and profit after tax stood at INR193.61 crores versus INR290.92 crores last year.

The profitability decline reflects the margin compression from input cost inflation, operating leverage working negatively from lower production volumes and elevated finance costs from higher working capital intensity and the Q4 disruptions. We continue to gain wallet share within our anchor customers and deepen our trust with our brand partners and continue to benefit from the structural shift towards outsourcing in the Indian consumer global manufacturing.

During the full year, working capital was stressed mainly because of the higher inventory, which we carried and the demand washout, which happened in the first quarter last year, and we carried
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the higher inventory through the Q4. That also delayed the collections because some of our customers were also seeing huge inventory at their end and the receivable cycle was stretched, leading to higher borrowing utilization and therefore, the higher interest cost resulted. But this year, things are likely to change significantly as we see things normalizing.

Now let me hand back to Vishal ji to cover what we are building through the cycle.

Vishal Gupta: Thank you, Pramod ji. Let me cover the new initiatives that will come online in the next few quarters. We are developing a new refrigerant manufacturing facility in Sri City in South India, which is progressing well. We plan to start commercial production by quarter 4 of FY27, and this will become a meaningful revenue stream in FY28. We have already entered into a tie-up with our anchor customer for this facility.

We are also establishing a rotary compressor manufacturing facility at our Supa plant.

Machinery has been ordered. Installation is planned to begin in August 2026 and operations are expected to commence by quarter 4 of FY27. We will have a capacity of 2 million compressors in the first phase, which can be expanded to 4 million compressors in the second phase.

We have received approval and commitments from our anchor customer for this facility as well.

Compressor manufacturing will significantly deepen our backward integration in the RAC business and will greatly secure our supply chain.

Our expanded washing machine facility is now operational at Greater Noida. We have strong order book visibility and outsourcing momentum in the semi-automatic segment continues to build. We have grown this business by 52% in FY26, and we look forward to again growing this business in a very meaningful manner in this financial year.

We are consolidating some of our molding facilities at Salarpur, Rajasthan, which will help us in enhancing our operational performance, space utilization, eliminating warehouse leases and allowing us to build better economies of scale. This is a multiyear cost structure improvement and initiative, and this will show up in margins over FY27 and FY28.

During FY26, we have completed our migration to SAP. This has improved our inventory visibility, demand planning and financial reporting accuracy. This is very important as we scale up our operations. We have implemented a comprehensive cost management program that includes granular expense tracking, I

ease rationalization, low-cost automation investments,

workforce skilling and productivity enhancement. These initiatives are aimed at preserving and extending our cost leadership, which is a very core competitive mode for us in our outsourcing business.

Now let me turn to FY27. Channel inventory have now normalized materially from the peak of approximately 5 million units seen during FY26. April and May have shown better sellout momentum compared to the same period last year. This will help us in controlling our inventories in a very big way.

The El Nino weather pattern is forecasted to intensify from July onwards with a peak expected in September. If this holds, it could extend the effective AC season into months that are typically

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off peak. India's room AC penetration remains among the lowest globally, well below 10% of the households.

Rising temperatures, urbanization, growing middle class income and replacement demand from the shift to energy-efficient models are structural demand drivers. The outsourcing trend in India's consumer durable manufacturing is a structural long-term shift. Brands are rationalizing their own manufacturing, focusing on design, branding and distribution.

They are relying on partners like us for cost-efficient production. For FY27, we are targeting better than industry revenue growth. We expect EBITDA margins to improve towards 8% as operating leverage returns, input cost pressures moderate and our cost discipline initiatives take effect.

Working capital intensity is expected to improve significantly as inventory and the receivable cycles improves. We expect to improve operating and free cash flow generation in FY27. On capital allocation, we will continue to invest in our strategic products, the refrigerant plant, the compressor facility and washing machine expansion while maintaining our discipline on returns. Our business model is stronger. Capacity is growing, customer relationships are deepening and the balance sheet gives us the confidence to invest through this cycle. We are entering FY27 leaner, better organized with normalized channel inventory, new capacity and capabilities coming online and stronger customer relationships. The quarters ahead will reflect that.

Thank you, everyone. Now we will open the floor to the questions, please.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Mr. Achal Lohade from Nuvama Institutional Equities.

Achal Lohade: The first question I have, if you could talk a little bit about the gross margin contraction in a bit more granular manner. The question I have is you had a large inventory, as you pointed out in the initial remarks throughout the year. So ideally, given the copper price inflation in December and January, with our inventories, we should have benefited. So if you could talk a little bit about this pricing part of it? And has that normalized in the April and May month?

Pramod Gupta: Yes. So I'll take this question. Basically, what happened was we had a good amount of cheaper inventory till December. But for us, December quarter was very strong, as you may recall that in December quarter, we grew almost at 46% during the quarter, and our AC business actually grew very significantly in the December quarter. The sales in the December quarter was almost INR932 crores versus last year same quarter at INR516 crores.

And this was -- this actually took care of our low-cost inventory of raw material. And we had a good understanding of a good commitment from the customers for January, February, March. And therefore, we stocked up the -- restocked the inventory of raw material for the March quarter.

So whatever cheaper inventory we had, most of it was actually utilized in the December quarter. In fact, to give you very specific numbers, we had about 6.5 lakh AC material,

out of which

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almost 4.8 lakhs kind of a number we actually did in the quarter ending December. So the cheaper inventory that we were left with was very little in the January, February, March month. And unfortunately, the January and February months were very slow.

We did try to take a price increase, but we were not able to pass on the raw material cost as well as the rupee depreciation fully, and it hit the margins in the January, February, March quarter. to us in the sense that most of the sales actually happened in the month of March, and we were not able to pass on the cost completely.

Also, we had some additional cost during these months because some of the energy transitioning, which we had to do from LPG to maybe more expensive energy sources had to be absorbed by us during that quarter.

Achal Lohade: And how about April, May, sir?

Pramod Gupta: We have taken a price increase in April, tried to pass on the price increase, which we have seen or the cost inflation, which we have seen. But to be very frank, the situation is very dynamic. Rupee keeps on depreciating and some of the key commodities are still continuing to go higher up, especially on the aluminum and copper side.

So whatever price increase we have taken probably it's been good till maybe April and May.

And if season continues well into June or July, etc., then the costs have further gone from our - from our price increases. That's all I can say.

Vishal Gupta: I will further add to this. See, we have been able to take some price increase in the Jan and March and in the June quarter also, we have taken some price increase, which has largely taken care of the commodities. The problem is the exchange rate. Exchange rate is something which is so volatile in moving.

And normally, whatever price agreements you have with the customers, they are based on the current dollar exchange rate. And normally, the payments happen a month or 2 months later from the current supplies. And so what is the exchange rate in a month or 2 months later, that is one big joker in the pack, okay?

Achal Lohade: Understood. And the forex loss, what you mentioned is part of the cost or it's part of the other expenses, sir?

Pramod Gupta: It's a part of the other expenses. It actually goes in the part of other expenses. The forex gain actually reduces the other expenses and forex loss actually increases the other expenses. Coming back to your one more data point I want to highlight that a lot of the forex exchange loss happened because most of the liabilities, which is the unhedged liabilities on account of opened LCs or some of the OA payments, which were due later on in the quarter, maybe in the April or May or June quarter, they were mark-to-market at the quarter end number, which was at INR94.8 for us at the end of March.

And those also actually led to a forex loss, some of it we actually covered when the rupee came down to something like INR93, almost about \$15 million to \$20 million of hedging we did and

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some of the payments of those liabilities have been made at those rates. But again, the rupee has further up to now INR95.5. So those are the kind of things which are leading to the forex losses this year.

Achal Lohade: Got it. Just one number on the industry, if you could talk overall volume number for the industry in terms of manufacturing? And how much was the outsourcing of total I believe you would have still gained some market share, but just wanted to understand what the numbers would be in your estimate?

Vishal Gupta: Very difficult to have those accurate numbers, but the industry overall manufacturing FY26 would be anything between 13 million to 14 million -- and we -- I think we are operating around 13 million to 14 million.

Moderator: Next question is from the line of Tanay Shah from DAM Capital.
Tanay

Shah: So my first question is on how the quarter is going around the ongoing season, given that almost 3 weeks of April were muted and we just saw a pickup post that for second wave and the end of April. And given that we were to begin the year with higher inventories because of the challenges we faced in 4Q, how is demand shaping up for us? How is demand shaping up for us? And also the outlook to some extent, if you can give for the industry from an FY27 perspective?

Vishal Gupta: See, overall, April has been a decent month. May is also looking to be a decent month, but I will not risk taking any such long-term forecast. But last year, we have already suffered on that because this business is so dynamic and so much weather dependent and nobody knows what is going to be the weather. These are all forecast what we have.

But it looks overall channel inventory has normalized because the April, May, the sellout has been very good. So as of today, channel is sitting at a very normal inventory. So we can see at least not as compared to last year. We might see some good sales or some decent sales happening in the off-peak season months of July, August, September. That is all I can say.

Pramod Gupta: Nonetheless, I will just add here that this year, the channel and brand inventory is very much normalized at the end of, say, mid-May also. And even in the May month, whatever feedback we have got from most of the brands, the sell-out has been much higher than last year. So channel inventory, brand inventory is normalized.

Most of the industry players this year have had some setbacks in production on account of multiple factors like labor shortages. In some geographies, there has been this new Labour Code, which has caused some disruption temporarily.

And in some cases, because of the non-availability of LPG or LPG cylinders being priced very high, the temporary labor has gone back to their home. So all those kind of issues have actually also hit the production. So net-net, the supply has been lower this year. And while the demand has been higher, which has led to overall channel and system inventory becoming much normalized than last year.

Tanay Shah: Sir, any number which we could put to the channel inventory right now?

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Pramod Gupta: I don't have those numbers right now. Maybe you can connect probably post maybe first week of June. That time, we will get to know good color on it. But from whatever feedback we are getting from the sales channel, the sellout this year has been much stronger. That is what we have learned till now.

Tanay Shah: Sure, sir. Understood. Sir, my second question is the margin impact, which we've seen on a Y-o-Y basis, right, on the gross margin, especially almost a 260 bps impact. We spoke about a 10% to 15% price hike which the industry has taken. Can you possibly quantify the amount of price hike which we've taken to the brand and the gap which gets sort of remain? Because I'm trying to understand that how do we see the margin sort of normalizing into FY27 from a gross margin perspective?

Pramod Gupta: So I'll tell you like we would have also taken a price increase of anywhere between 10% to 12% till now. From the last year basis on our overall numbers. But as Vishal ji was explaining, there are -- is a rupee, which has depreciated very sharply and some of those payments are made generally slightly later. So those things have not got priced until now yet. That is one.

Second thing is there, which is important is that the whole value chain has been under stress last year. And it's only in the month of April that the industry took a very meaningful price increase, which is the brands took a meaningful price increase to the channel. And that has actually also reflected for us also.

And Nonetheless, we will be still probably having a lower percentage margin in the AC business this year. But in the absolute

amount, the gross contribution that we try to target per piece is likely to be in the range of historical averages. That is what we foresee for ourselves in the coming year.

Tanay Shah: Understood, sir. And sir, for this year, the PLI remains at INR37.5 crores?

Pramod Gupta: Yes, yes.

Tanay Shah: And INR50 crores for the next year, right?

Pramod Gupta: Yes. We have been able to meet all our PLI targets and -- in the last year and the PLI that is going to be due for the financial year '26 is going to be received in '27 and therefore, we will be taking that into account in '27.

Vishal Gupta: And sir, I think it will be INR71 crores Pramod because we will have NGM PLI kicking in.

Pramod Gupta: Yes. The total amount will be INR71 crores.

Tanay Shah: INR71 crores for FY...

Pramod Gupta: The amount is for FY26, which we will be receiving in '27 and recognizing in '27.

Tanay Shah: Okay. Okay. And just one last question, if I can squeeze in. On the compressor bit, right? We spoke about putting up the machinery, etc., last year. So -- but we're yet awaiting the approval.

So any update on that?

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Vishal Gupta: No, no, we don't need any approval. The compressor machines have been ordered, and we are putting up this plant on -- by ourselves. And we already have a tie-up for the customers also and the product approval is also -- is in line right now. We don't need any approval for this. There is no JV in this.

Moderator: The next question is from the line of Jitendra Arora from ICICI Prudential Life Insurance.

Jitendra Arora: Given the fact that you mentioned that it's very difficult to give any kind of guidance about '27.

Go about planning what kind of capacity you want to install, how do you stock up on inventory?

And how do you do that? See, because as investors, we'll assume that management has to have some sense of what kind of demand they can expect.

I understand that weather can play a spoilsport but we know that at least the bulk of the season is through because we're sitting in May and June is perhaps the last big month of the season. We will start planning for next year now practically or next season. So [inaudible 0:33:05] I'm actually wondering that how -- if one were to model any kind of revenues from the rainy season for FY27, how should one go...

Vishal Gupta: Hello, I think we lost him in the middle.

Jitendra Arora: Can you hear me now?

Vishal Gupta: It is better. Yes I think I got your question, Jitendra. So see, we do keep -- we do modeling. So what has happened this year, this year is a little different from last year. Last year, if you see the whole year, there was such a big inventory overhang on the whole industry, which won't be there. So as we have already said in our commentary that we will see a little -- a better offtake in next few months, which might be off-peak months also. And then once we enter the season, with a normalized inventory.

So see, last year was a low base, so we should see a decent growth in this, but we don't risk -- we don't want to take any risk of giving any numbers as of now. As Pramod said, first quarter is done and then by June -- by July, middle of July end, we'll have a fair idea how the industry is performing, then we might be in a better position to give some clear answer on the numbers.

Jitendra Arora: See, there is also that by that time, it's nothing that it will not -- the weather next season, right?

Vishal Gupta: No, no, definitely, sir. See, no, no, that is right. So we'll start preparing for the next year season.

And typically till March, which is FY27 last date, by up to March, nobody is all -- it's a roll of a dice. So it's all primary selling, manufacturing and channel filling. So that should remain strong going into -- by end of FY27 because by June, July, August, we should be at a very normal inventory at the industry level. So I see at least there. We have our int

ernal plans available with

us, but I don't think we are in a position to share those plans right now with the investors.

Jitendra Arora: My second question is about not the gross margin, but how should one look at the gross profit as a whole? You mentioned that you were not able to pass the price increases in the last quarter.

And right now, also what you have passed on, perhaps not fully cover you for rupee depreciation or rupee volatility per se.

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But let's say, as investors, this FY27, I'm looking at your gross profit and top line. Will it be fair to assume that your gross profit will at least move in line with your top line? Will it be better off given that you've been able to pass on some price hikes?

Vishal Gupta: See, commodity price increases are largely taken into account from our customers as of today.

But exchange rate is one thing which is really you can't put any finger to that number right now.

And as we have seen last year, we have suffered massively because of the forex thing. We take certain budgeting in the costing also. But if it moves beyond that, then it becomes a pretty big problem for us, which has been there for FY26.

But as you said, so largely, our PBT numbers should move in line with our sales top line growth.

It should move in line, provided we don't see very big change in the rupee exchange rate. Today, we are sitting at maybe 94, 95.5 something. It can go up to INR97. This is what we factored in.

But it goes beyond that, then it becomes a problem for everyone.

Jitendra Arora: So that is understood, sir. But coming back to this. So the fact is that in FY25, we reported a PAT of around INR270-odd crores, then this year, it was much lower than that. When do you expect to cross the FY27 PAT?

Pramod Gupta: If the normal situation is there, then yes, we very much hope that we should be able to cross that PAT. The situation is very dynamic still. There are many things which are not yet known. One is obviously this situation in the Middle East and then this El Nino how the consumer sentiment is there in the second half this year, especially after a very steep energy price increase, which is there and maybe more coming and also because of the rupee depreciation, the inflation.

So all those things we have to take into account, and we will probably be in a better situation post June quarter to take a call on these things. And then we can probably give you some better color on that. But we are very hopeful that if situation normalizes sometime this year, then we should be able to at least have a -- we can probably cross the profit which we delivered in 2025.

Moderator: The next question is from the line of Vipraw Srivastava from PhillipCapital.

Vipraw Srivastava: Just quickly, sir, on the compressor side, given that now we are going on our own in terms of setting up capacities. So just we are not tying up with the Chinese partner, which we are doing before and secondly, we have required technical expertise for the manufacturing of those compressors. Is my understanding is correct, right?

Vishal Gupta: Yes, sir. So we are going on our own. We are sitting at the facility, and we have acquired those capabilities, which will help us in offering a cost competitive and efficient performing compressors to our customers in India.

Vipraw Srivastava: Sure, sir. Just a follow-up on this, sir. So currently, as we know, there are 2 brands which dominate the compressor market. So will be the first brand there? Or how do you plan to go about it?

Vishal Gupta: Sir, once the commercial production will start, we'll update you on that. As of today, this information is enough that we are setting a compressor manufacturing facility, and we see no

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challenge in the acceptance of the compressors, which will be made by us by our customers. The tie-up is already in pl

ace, as I have said in my commentary.

Vipraw Srivastava: Sure, sir. And lastly, in the entire compressor, what percentage of value-add we'll be doing in the entire middle of the compressor?

Vishal Gupta: Around 60% of that will be localized and around 40% will need to be sold.

Moderator: The next question is from the line of Saumil Mehta from Kotak Mutual Fund.

Saumil Mehta: Sir, if you can just call out for FY26, what was the total production in units, both for IDU and ODU and the capacity utilization for the year?

Vishal Gupta: See our overall production in FY26 was around 1.75 million sets, okay? And we make -- normally, we make some extra IDUs for some customers who take IDUs, extra, which should be around 250,000 to 300,000 for the whole year.

Saumil Mehta: Okay. So 1.75 million and 2 million very broadly?

Vishal Gupta: No, no, 200,000.

Saumil Mehta: 200,000. And the average utilization for the year was?

Vishal Gupta: Average utilization is something -- it's very difficult to tell, but it should be something -- see, our overall yearly annual capacity of AC manufacturing is around today it's easily around 4.5 million. But average utilization is normally in AC business is around 50%, 45% to 50%.

Saumil Mehta: And second question in terms of the incentive income, have we received the entire incentive income due for FY25 in this financial year?

Pramod Gupta: We have received the amount of PLI, which we -- which was due for us. We have received that in after the closure of this quarter, but we did receive the amount which was due to us.

Saumil Mehta: So as of March '25, whatever the PLI was due, there is no receivable on that front. It is only for this financial year, this will be the part of receivables?

Pramod Gupta: Yes, which we will be filing for the same probably sometime around in October, and we hope to get sometime in February, March next year.

Saumil Mehta: Okay. And in terms of -- for the financial year FY26, in terms of top 3 or top 5, however you would want to call out, was there any change in terms of top 3 or 5 clients? Any -- while challenging, but specific brands where the challenge was far higher than others, something on those?

Vishal Gupta: See, normally, see, overall, there was no such specific from any of the clients. And largely top 3, top clients are in the same ratio as of today also. There was -- it was a general industry-wide very similar behavior what we have experienced in FY23.

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Saumil Mehta: Okay. Okay. And last question from my side of the plant happen, which could be maybe 12, 18, 24 months from now, whatever time frame will be required. In the initial cost analysis, what you would have done, how competitive would you be versus maybe some of the Chinese players who have plants in India? Any ballpark number, 10%, 15%, 20% premium or you would be able to produce at the similar price what has been offered by plants which are in the nearby vicinity for you?

Vishal Gupta: So this whole project has been delayed by more than 18 months. because of certain things, there were certain setbacks. That is why it took us 18 months to reach a level where we are confident that our product will be cost efficient, also energy efficient also. And I will tell you, sir, we are expecting that we will be able to hit our capacity numbers in FY28 only. That is the target internally we have with us, and that is the kind of discussions we have already had with our customers also on this.

Moderator: The next question is from the line of Neil Mehta from Equirus Securities.

Neil Mehta: Sir, roughly, we have spent almost INR800 crores in financial year FY26. Can you ballpark give us broad ranging each of the new initiatives that we have spent in this year? And what kind of peak asset turns in each of the new initiative looks like?

Pramod Gupta: Yes. So out of the total INR785 crores that we have spent this year in the

capex, almost close to

INR500 crores has actually gone into the land and building piece. I'll try to put things in perspective. We have actually put up a new 10-acre campus for washing machine in Greater Noida. That came through and that facility is ready.

We have another about, I think, 50-acre campus in Sri City for which land has been procured and construction is going on for the refrigerator. So that -- part of that money was spent on the land and some advances for the building has actually gone into that from INR500-odd crores of land and building capex.

Then we had a completion of the compressor building in NGM Supa, which was already about a 12-acre campus, half of which was built and half of which was completed last financial year, which is in '26. The building was ready in early May, June itself. So some part was spent there on that. And then we have actually this year also bought another 72-acre land in Kamargaon in Ahmednagar only. And all the payments for the land have been made and some leveling, etc., has gone into that.

So those things contributed to the land and building portion this year. Apart from that, we spent close to INR70 crores for the washing machine plant and machinery, almost close to INR165 crores was spent in the RAC plant and machinery for expanding capacity.

And the other businesses, which is molding and electronics took about INR35-odd crores for the increasing of the capacity. And INR10 crores was the plant and machinery advance for the refrigerator business, which was done in the last financial year.

So that is the breakup. Now coming to your asset turn business question, we are very hopeful that once all these capex are over, which should be happening this year, we will be probably be PG Electroplast Limited

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doing a capex of close to INR400 crores this year. We should be able to utilize these assets and get to an asset turn of 4x plus by 2029.

So maybe this year and next year, we'll see the ramp-ups of the facilities which we are producing, which we are building, and we will be able to get the 4x asset turn, which we typically have for us from these new facilities also by end of 2029.

One more thing I want to highlight, we also actually bought an 8-acre campus in Salarpur, where we are consolidating our plastic molding business. So that campus is also going to get ready by maybe July or August this year. And that also has been a part of those INR500-odd crores, which we have spent in land and building.

Neil Mehta: Okay. And sir, in the initial remarks and during the call, you also mentioned that it's difficult to gauge the numbers for the RE business in FY27. But sir, would like to give you color on how the washing machine business would be panning out in FY27 kind of growth what you are projecting or numbers you would like to put on for FY27, particularly in the washing machine segment?

Pramod Gupta: I'm not saying it is difficult. I'm just saying that uncertainties are high. So I don't actually comprehend -- I don't want to actually make a guess on the numbers. But I think -- the numbers in '27 for AC will be better than -- much better than the '26 financial year number, where the industry actually saw probably a slight decline in primary sales.

So '27 from that point of view will be much better, and we should probably continue to gain

some market share. But difficult to put those numbers right now. We will be able to get to these numbers probably after first quarter because by that time, we will exactly know how the situation has panned out in terms of sell-out and what are the inventory levels, etc. That is one.

Second thing is we have a good visibility and commitment from some of the clients which -- with whom we are working in the washing machine. We grew 52% last year. This year also, we are expecting a very robust growth. upwards of 30%, 35% is what we think we should be able to do in washin

g machine. But specific numbers, we will spell out after first quarter.

Neil Mehta: Okay. And sir, just last question. The inventory that we are having right now at, let's say, at the end of the March month, I mean, what would be the roughly bifurcation of the raw material inventory within that and the -- I mean, the final good inventory of that?

Pramod Gupta: We had an inventory of close to INR1,600 crores at the end of March quarter, out of which the AC business alone was having close to INR1,300 crores of inventory and rest of the other businesses had about INR300-odd crores. In this INR1,300 crores inventory, we had close to INR450 crores of finished good inventory and rest was the raw material and semi-finished goods inventory, which we had. This inventory has meaningfully come down in April and May.

And we are hoping that by June end, the inventory levels will very much normalize for us, and we will be able to bring it significantly lower, significantly in the sense like more than INR600 crores, INR700 crores is what we are internally targeting on an overall inventory level reduction by June.

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Neil Mehta: INR600 crores, INR700 crores, you mentioned about the inventory or total overall inventory?

Pramod Gupta: Total inventory, total inventory should -- which is INR1,601 crores as of -- thing should be less than INR900 crores in our opinion by June end.

Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance.

Keyur Pandya: Sir, on the RAC side, so you mentioned a couple of times that inventory has come down, system inventory has come down significantly. So because of this primary, secondary mismatch, do you think you would be lagging the industry growth -- secondary industry growth rate, your primary sales would be or you see -- basically, just to get sense of how your growth would be against, say, secondary consumer growth in this year?

Pramod Gupta: Well, we hope to be at least in line with the secondary sales volume growth of the industry in the financial year '27. And for us, April and May have been good months, and we hope that if the summer continues in June, July, August also, we should see decent volumes from a very low base of last year.

Last year, actually, if you see for people like us, the sales actually became almost 0 from June till October because in August, there was the announcement of GST rate cut and then all of the purchase from the customers got postponed until October and then the GST actually set in. So we think that we should have a much better year in FY27 in comparison to FY26.

Keyur Pandya: This holds true for quarter 1 as well. I mean I was referring to Q1 when I meant season because then it would be more of stocking season from Q2 onwards. So Q1, how should we think of your sales or industry growth rate?

Pramod Gupta: I think I cannot actually give you the number right now because June is still to happen. And in our industry, a lot of things change when the monsoon sets in and till now, monsoon has not set in properly even in the southern area and North is still very, very hot.

So till now, I can tell you that we are probably doing good, and we -- our numbers are great in comparison to last year. But June is still to happen. So once we will see the June month right now, plans are good. And if we are able to execute those plans fully, then we should see a good growth in the first quarter.

Keyur Pandya: Understood, sir. And second question on the new projects, compressor and air. So what should we think of profitability in first year and when things stabilize or volumes have reached, say, near peak utilization?

Pramod Gupta: See, first year is not going to have a much high profitability because in the first year, you typically have a lot of start-up costs and utilizations are typically low. But still, as Vishal ji was telling you in compressor, we

think that we are going to be able to kind of stabilize the operation in the very first year of operations only.

So we are targeting that in financial year '28, which is going to be the first full year of operations because in FY27, we'll just get probably a quarter or so. We are hoping to at least run the capacity

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at something like more than 70% capacity utilization. So we think that compressor should be profitable in the first year itself.

Coming on to the refrigerator -- there the plans are good, and we have a support from one of the anchor customers. And we think that we should be able to reach something like in the very first year of production, that is FY28, something like 50%, 55% capacity utilization we should hit in the very first year.

And important thing to note there is that in southern markets, there are not many refrigerator facilities actually. And the market remains good, and we are going to start with both frost free as Direct cool refrigerators. And also we may start-by-side refrigerators also in that plant immediately.

So from that point of view, the product range as well as the customer support, we are very hopeful that First year, we will not be having losses for sure in the refrigerator. I don't know how the profitability will pan out. But in, we are very hopeful that first year itself, we should be seeing profitability.

Keyur Pandya: Understood, sir. Sir, just last question. So you highlighted that you aim to maintain gross profit per unit in RAC this year at the normal levels. So with industry growth and gaining market share, EBITDA per unit should be higher, we should see increase in that number in rupee terms?

Pramod Gupta: For sure, internal targets are to basically restore the EBITDA to original figures, which was there in '24, '25 numbers. But a lot will actually depend on how the industry pans out, but we are hopeful that if the industry does not have the supply side challenges and does not have the pressures of inventory like last year, profitability should get restored maybe in the second half this year fully.

Vishal Gupta: Pramod, there is one thing which we need to factor in. See, last year is the last year of the PLI target achievement for all brands. And there is a lot of desperation with certain people. Why?

Because they want to -- they are not able to achieve their PLI targets. So that puts also some pressure on us. Just be very conscious about this fact also, sir, please.

Pramod Gupta: Yes. This is something which I missed out and rightly pointed out by Vishal ji. The industry dynamics are going to be important to see because this is the last year for PLI targets and targets are quite steep for everyone this year from point of view. So let us see how things pan out and what the volume -- how the volume growth happens for the industry.

Moderator: Ladies and gentlemen, that was the last question for today. With that, I now hand the conference over to management for closing comments.

Vishal Gupta: Thank you, everyone, for attending this call. As you know, FY26 has been a very tough year. But let me tell you, I can assure all our investors that at a company level, at the management level, everyone is trying to come back strongly. And we are quite hopeful that FY27 will be a very different story from FY26.

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And in case you have any specific questions, you can get back to Pramod ji, our CFO or in case you want to plan a visit to our plants, you can talk to Shalin. Shalin can organize the visits also to the plants. Thank you, everyone.

Pramod Gupta: Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of JM Financial Institutional Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.